

Birla Corporation (BIRLACORPN)

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Call: May 2023

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15th May , 2023

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National Stock Exchange of India Limited
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Scrip Code: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst conference call on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2023

Pursuant to the provisions of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investors/analyst conference call held on 10th May, 2023 on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2023 .

A copy of the same will also be uploaded on the Company's website at www.birlacorporation.com .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above

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MANAGEMENT : MR. SANDIP GHOSE – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – BIRLA CORPORATION LIMITED
MR. ADITYA SARAOGI – CHIEF FINANCIAL OFFICER –
BIRLA CORPORATION LIMITED

MODERATOR : MR. RAJESH RAVI – HDFC SECURITIES

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Moderator: Ladies and Gentlemen, good day and welcome to the Birla Corporation Q4 and Full Year FY '23 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajesh Ravi from HDFC Securities.

Thank you and over to you, sir.

Rajesh Ravi: Hi. Thank you, Darwin. Good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to this Q4 and full year FY '23 earnings call of Birla Corporation hosted by us. From the management team, we have Mr. Sandip Ghose, MD & CEO and Mr. Aditya Saraogi, CFO, to discuss the theme. Thank you to the management for their time and I now hand over the call to the management team for their opening remarks, which will be followed up by Q&A session.

Thank you and over to you, sir.

Sandip Ghose: Thank you very much, Rajesh. This is Sandip Ghose and I have with me Mr. Aditya Saraogi, our CFO. First of all, thank you so much for joining the call. I find a very large number of participants, which kind of warms our heart and for you taking so much interest and taking the time out to be with us. We are also, for us, this is a maiden conference, so we are also very excited to be able to communicate with you, engage with you. Since this is our first call, probably I will devote a couple of minutes to introduce the group to you because sometimes there is a bit of, although all of you are from the investor community, you have a better idea, but still sometimes, I find the construct of a group or the image of a group is slightly hazy in the external world.

We are part of the MP Birla Group. MP Birla Group was set up by Mr. Madhav Prasad Birla, who actually is not really known. He was the man, who had helped Mr. G D Birla set up many of his thriving industries from Hindalco to Saurashtra Chemical and many others. He was the man, who has assisted Mr. G D Birla, who is his uncle, to do that. But this particular company, Birla Corporation, our history goes back more than a hundred years.

We are the first Indian jute mill, which still operates and is one of the largest players in the jute sector. But Mr. M P Birla diversified the jute business into a multi-product company. After he passed away, his wife, his partner Ms. Priyamvada Birla took reigns of the company and the progress apart from on the industrial front, where we have other group companies in the cables field, we have it in Guar gum and others, but we have a substantial presence in the social sector. Not many people know Bombay Hospital is something, we are associated with. The Belle Vue Clinic in Calcutta, which is one of the very well-known private nursing homes, are again part of our group. Similarly, we have the South Point School, which is part of the largest school in Asia as per the Guinness Book of Record in terms of number of students at a single campus. And it's one of the leading schools that's part of the group. We run educational institutions at other places. The iconic Birla Planetarium of Calcutta, again as MP Birla Planetarium, is part of a larger family. We have two major hospitals other than this, one in Chittor, which is a newer hospital,

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which came up, plus in Satna, which is one of the first hospitals, multi-specialty hospital, which is there.

We have a fairly large presence also in the social sector. And that's why, we say, our group's value is heart and strength. Our strength would define our emphasis on technology and excellence, and whereas

, the heart is the way, we go about it, the larger good rather than pure business needs. And that's how this whole new – I was in the company at that point in time. Some of you know, I was with Birla Corporation earlier, then I took a sabbatical for three years and now come back as the MD CEO. At that point in time, this heart and strength motto was developed.

And we remain very close to it because that is the real ethos, which our promoters lived by. So, along with Mrs. Priyamvada Birla, Mr. Rajendra Singh Lodha, he was also part of evolution of the group. Mr. Lodha, again, is not known. He was not just associated with the M P Birla group, but he was associated with the larger Birla, at that point in time, the undivided Birla empire. He was one of the very close associates there.

And he had a very long, what I might say, an emotional connect with the entire family and the group. So, he, therefore, took keen interest in the evolution of Birla Corporation, when it was under the stewardship of Mrs. Birla. And he led it to afterwards, till his untimely demise, when Mr. Harsh Lodha, his younger son, who is a brilliant chartered accountant, he took over charge of the company. And since then, he has been leading it.

And a lot of you, who have been following the history of this group have seen that, how the group has been transformed under Mr. Lodha's leadership. The other very interesting thing about our group, if you see our board of directors, composition of board of directors, we have, in fact, a majority of independent directors on the board. And each of these people are of great standing and who are highly respected. So, to take a few names, we have Mr. D. N. Ghosh, who was a former chairman of SBI, a long banking experience, part of many company boards, Philips, Peerless, and many others. And he's there.

Then we have Dr. Deepak Nayyar, a very well-known, renowned economist, former vice chancellor of Delhi University, Jawaharlal Nehru University, and also, at one point of time, the chief economic advisor during the period, when the Indian economy went through the first round of liberalization. We have Mr. Anand Bordia, absolutely a very renowned person, again, bureaucrat, who is from the IRS service, who is known and who's also been involved in many industries. We have Mrs. Sailaja Chandra, who was the health secretary of the Government of India, in very critical times, like when there was a Surat plague. And then she was the chief secretary of the Delhi government under Mrs. Sheila Dixit. So, we have a profile of people like them. We have Mr. Vikram Swarup, who is head of the Paharpur Group of companies.

So, in fact, our board of directors have got more non-executive, independent directors than having either members of the promoter family or any related individuals. So, we are not only professionally managed, I think we have a very strong governance system, because all these people are of such impeccable credentials. They are very demanding as directors in terms of Birla Corporation Limited

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both performance as well as the compliances, governance, etc. But they also bring a huge experience bank to the table, which I personally can vouch for as, in my previous stint, as well as in the short stint after returning and taking charge of the MD & CEO, I have found extremely helpful and reassuring.

So, that's in a broad sense, the background to the group now coming specifically to Birla Corporation as it stands now. I mentioned to you, we have a jute's business, but that's not the real focus of your discussion or interest, I would think. But today, we are a 20 million ton company. Our capacity has actually doubled in the last six years, which many of you know has happened, primary trigger was the acquisition of the Reliance business, Reliance cement business, which we acquired initially with the Maihar cement plant, w

hich is the integrated unit and the Kundanganj grinding unit.

And what was significant was, as perhaps not known, we didn't get a business on the platter. When we took over the business, the capacity utilization of those plants was very low. And we were able to ramp it up not only to the, maximum capacity, both Kundanganj which, had a lot of incentives, part of being under the UP government, but also Maihar, which again, was an

incentivized unit and modern plant, but we were able to take its capacity utilization very quickly, which to the almost maximum maxed it out, which something, which Reliance had not been able to do earlier.

But what was, I think more creditable for us, a lot of people didn't think Birla Corporation, which was then a smaller company, usually dealing in the lower end of the market, the price points would be able to handle the brand, taking over a new brand, and positioning it at the premium end. We didn't have the luxury, at that point in time, unlike some other companies, which went through a taking over process. They had a two year kind of a period when they could use the brand of the old company which they had acquired. In case of Reliance, we had just about three months window, when we had to just change it to a Birla Corporation brand, and thus was born Perfect Plus, which is the brand.

And very few people at that point in thought that we will be able to penetrate and position it at the higher end and not just in terms of the consumer, or the final product, but they didn't think that we will be able to attract the distribution system, we will be able to retain the sales force.

They were used to working in a different environment at a different operating when we merged. I think that was the biggest success story over there.

And therefore, today, when I look at it, I don't look at the success of the Reliance merger, in terms of just acquiring physical assets of production, the real value of acquisition, which has been unlocked, is by the assets which we created both in terms of the brand, and the distribution or go to market, a route to market, which you would say. But simultaneously, what we were able to do, which I personally take a great deal of satisfaction, if not pride, is the integration of the distribution system, and also the integration of the manufacturing units.

Today, many companies, big companies are trying to do so called cross branding and other things, trying to produce from other people, but we did it way back in 2016, 2017, when there

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was a seamless amalgamation of making products, both of the Reliance brand, as well as the old legacy or heritage brands, they call them a Birla Corporation being produced equally from any of the plants. And that was achieved by, it's not easily appreciated by the kind of, quality parameters we established so that end consumer, I come from a, FMCG background, most of my life is spent with in the soap manufacturing and soap and detergent manufacturing company in the Levers, where we buy a soap or a toothpaste, you never look at where it has been made. Unlike in the cement business, where people keep asking, which plant it has come from? Even for the bigger plants I remember people will ask, what this has come from Jamul or from Chaibasa or from some other place. And that used to be even in the case of ours, but today look at it. We supply products in the UP market from six different plants. And nobody ever needs to know or cares to know where it is coming from. We supply the UP market from Kundanganj, from Raebareilly, from Satna, from Maihar, and on the other side, we bring it from the Chanderia as well.

Okay, so we are supplying them from all sides, to all and not just in restricted areas, there is clear swapping from one area to the other. But nobody really bothers today. And that is where today when you go into t

he market out there, nobody will tell you that we are a Reliance distributor, or we are as earlier they would call them selves Satna cement distributor. Today, everybody is a MP Birla distributor. Earlier people didn't think that, some of the top end, so called, quote unquote, A category companies, dealers will come to us. Today we have people very happy to join us. A lot of people keep coming, knocking at our doors. And I think the ultimate test of the pudding is in the people.

I recall even when I joined this company in 2015 -16, a lot of people raised their eyebrows. But today, constantly we have people from the top companies, I don't want to take names, who are willing to come and join our group. So that shows the brand equity, the change which has happened. And why I'm emphasizing on this not to beat our drum. But because I think when investors talk about it, generally, we all talk about how many million ton capacity, what is the value of plants and the assets on the balance sheet.

But we don't tend to look at the valuation of the brands, as well as the valuation, what I call the commercial assets. Commercial assets, I would term as your distribution network, logistics network, and most importantly, the people, because without a sales force, who is able to position themselves. A lot of people try to position themselves just by launching a new brand at a premium end and between people who are successful and not depends on their ability to penetrate that. I think that's where the strength comes. And why again, it's relevant is this from here arises my confidence of what we are trying to go and do in Mukutban, which I think is a

great deal of interest for a lot of you, being a newcomer in a totally new geography, how are we going to penetrate that market.

So that's kind of giving you a backdrop. And having come back, again, after a hiatus, after my sabbatical, I'm sometimes a bit amused to see from that when I was to be here earlier, four years ago, when we used to set out this, our quarterly press releases and bulletins, I started writing at that point in time, how much is the premium percentage in our portfolio. Today, I find that, not Birla Corporation Limited
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only everybody is writing day before yesterday, two days back, I found a Money Control article saying that how cement players are today trying to premiumize their portfolio.

So to some extent, we have been, I think, a little ahead of the curve in this matter. Because we today, our premium portfolio already, we are selling, we have reached 54% in what we call, the people may quibble as to what we call premium and what is the premium of other companies, if you would look at the so called earlier biggies, but that's not the point. What I would look at my premium, what was my modal price or the base price at which I was selling the cement earlier? And what is the premium which I'm commanding over that? And that is where, I think the point comes in, or when you look at blended cement, we come back to these points, we were at an 85%, much, much earlier.

When we had moved away practically, from OPC, except in very small markets, very small and non-trade as well, we had focused totally on trade sales, and that is a mix which still remains. We'll come back to it, how it has helped us even in the last quarter, despite prices remaining flat in the market, how we have been able to protect our realizations, and in fact, improve the realizations, despite a slight weakening in our key geographies, which is central India, we have been able to do. I think these strategies have paid off. And these are the strategies which we are trying to replicate in Mukutban.

And we are already seeing results of that. One of that we had touched upon, much to the surprise of our own, lot of our people inside and outside, we hit EBITDA positive in Mukutban in March end, last fiscal. And that

that, I think, was ahead of many people's expectation. And if you look at the total investment, the financial investment, which has gone in, what I call not loss, but I'll treat it as an investment, we have been able to manage the outflow for Mukutban at lower than what was initially projected in our internal budgets. And that's again happened because of this similar kind of strategy, which we are focusing and you'll find those,

I know some of you follow the market very closely, you've got a lot of links with the dealers, trades, and you've got your own market intelligence, you will find that our thrust even there is on the trade segment, and that too with Perfect Plus. And what is beginning to give us results today is that Perfect Plus has got established as at least it's our flagship premium brand, which today is positioned from a marketing language, if I call in the entire HSM geography, HSM stands for Hindi Speaking Markets, as they call it in media.

In the Hindi speaking markets with being there, I am today able to leverage national media to promote Perfect Plus across all these relevant geographies, which is UP, Bihar, Madhya Pradesh, Haryana, wherever our footprints exist, Rajasthan, and now going down to Madhya Pradesh as well. So that is the synergy which we have got. And that is part of a strategy, which I don't think is easily realized. And that's what differentiates us from many of our peers in the same league or in the same mid-cap or mid-size brands, which you've got the kind of synergies, the way our growth has come. Our growth has not come in disjointed manner that you are there present in one region in the east, and then you've got a pocket of presence right in the west.

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Our growth has happened contiguously. So, if you see from Bengal, we are not present in Chhattisgarh of course, Odisha of course, but from Bengal, you can draw a line and take us all the way once to the west, and then if you come down towards Maharashtra, I'm digressing a bit. And the importance of that is, again, something which people haven't realized earlier, I'm underscoring. Some may not have realized, I shouldn't be presumptuous in saying. Today, people say, what will you do with your clinker in Mukutban? But one doesn't realize my clinker from Mukutban can reach Durgapur as cost-efficiently as we could do earlier from

Maihar or Satna. And in the process, my Maihar and Satna clinker is getting released if I take excess clinker from Mukutban to Durgapur, my Maihar and Satna clinker is getting released for UP and Madhya Pradesh, which are my most profitable markets.

So that is what's giving us, people when they ask me, how will you leverage if you don't have additional clinker capacity, where will you get your margins coming from? And that's the little bit of a clue you have that how we've been able to manage our results in the last quarter. It is by no sleight of hand, no accounting jugglery. It is these kind of adjustments which have allowed us to deliver the results which we have in the last quarter.

Again, Mukutban does not restrict me to be selling only in Maharashtra. Surely, I'll sell in Maharashtra as much as I can. And as it becomes profitable, more viable, obviously, I'll maximize Maharashtra. But today, from Mukutban, I'm able to supply on a contribution positive basis to South Madhya Pradesh. And what's that doing for me is releasing South Madhya Pradesh capacity for me from Maihar, which I was selling earlier. And today, Mukutban can supply all the way to Khandwa. Even if I want to take it, I can take it all the way up to Jabalpur, etc. But I may or may not take it. But I'm able to supply Southern Maharashtra. I'm releasing that amount of clinker and volumes for me to go and sell in my core markets and protect my market shares there as well as my price point there.

So, from Mukutban, I

have been supplying South Madhya Pradesh. From Mukutban, I've been able to take material, now those of you who keep a tab in the market would know an area which was out of reach for me earlier, which was South Gujarat, which was not viable for me to sell from Chanderia, where I could take it. Today, Mukutban is giving me a reach there. Not to mention when Telangana becoming more, the price positions improving there, Telangana is my proximate market.

So, some of these elements which are happening, I think that's together, it gives us a great deal of confidence going forward. I don't want to repeat to you what are the, the demand projections in the geographies where we are there. All of you know that much better than me. But it gives us confidence that even if the price situation remains static going forward, we are quite well placed in the coming year to realize our ambition.

Having said so much, I will take a pause and pass on to my colleague and CFO, Mr. Aditya Saraogi, to give you some more, idea of the financials before we come back to taking questions.

Thank you.

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Aditya Saraogi: Good afternoon, everyone. So, in the fourth quarter, we have posted an EBITDA per ton, including Mukutban of INR615 per ton, which is marginally lower than what we had done in the corresponding quarter previous year, which was INR650. So, there is a drop of about INR35 odd. That's mainly on account of higher fuel costs, which to a large extent we were able to mitigate by higher realizations. On a sequential basis, our EBITDA per ton has grown by INR240. Now, that's a function of higher realization, which as Mr. Ghose explained, despite benign market conditions, we have been able to improve by better geo mix and higher blended cement and higher premium category of cement, as well as reduced costs. I now request the audience to come up with their questions.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you. First of all, thank you for hosting the call. I hope we will continue to doing calls after every quarter results. It would be a great opportunity to interact with the management. I have three broader questions. First, definitely on the Mukutban. In terms of the volume, it is also good to see that we have now turned EBITDA positive in the month of March. So, how much volume we have done in the fourth quarter and the FY '23?

How we are looking at in the FY '24 and FY '25 in terms of increasing the utilization? At the same time, in terms of the profitability, now we have turned into EBITDA positive. How are we looking at FY '24 as a full year? Can we see the EBITDA per ton equal or maybe higher than the existing plans for the Mukutban? Also, in terms of the incentives for the Mukutban, what are the incentives? If you can quantify also how much we have booked in FY '23 and how we are looking at FY '24 and FY '25?

Sandip Ghose: I would like to take the first part of the question and clarify certain things about the strategy of

Mukutban before getting into the specific numbers of volumes and incentives, etc. Our first objective for Mukutban is not to ramp up just for the sake of ramping up but ramping up profitably. And when we talk of ramping up profitably, my first level is ramping up the clinker capacity. Because unless I run my plant in a continuous basis, my cost of production goes up. And that is why I hinted to you that Mukutban clinker, we

would be using not just in Mukutban, maybe in other places as well, because that is what is going to give me better utilization of my clinker capacity.

Now, thereafter, my trick in Mukutban is how my costs come down. One of the problems which we faced in the previous year was Maharashtra much to the contrary to expectation, prices in Maharashtra had not gone up. In that situation, if my costs were high, my ability to spread across in the market was difficult and some of the growth which was coming from the infrastructure segment, which are obviously into OPC and it is at a non-trade, at a lower level, I was uncompetitive there. But that is going to change dramatically, has already changed. That is what

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has made us now today EBITDA positive, because my costs have started coming down. And as I utilize my plant better, my costs will further come down, increasing my competitiveness in the primary and the secondary market of Mukutban to increase my volumes.

So, what is relevant is not really what we have done in the last quarter, but my kind of exit numbers. I exited month of March at about a 1,00,000 tons of cement from Mukutban and we want to exit next year at about 2,00,000 tons in terms of cement from Mukutban. And obviously, the average will be somewhere in between 150 -160 would be the average through the year in terms of cement when you are talking about. But my clinker utilization correspondingly, we expect it to be much higher, because my ambitions in other zones are high, which will, allow me to take Mukutban clinker either through swapping, by which I swap close by and I use other clinker in my plants afar. Or as I told you today, if you look at the map before you from Nagpur to Durgapur is not that far as people think compared to Maihar to Durgapur, etc.

So, there are options for me, I could be swapping Mukutban clinker, getting clinker in Durgapur from somewhere else, or otherwise to be using my therefore corresponding clinker utilization would be much higher than the 2,00,000 tons which I am talking about of cement when I am exiting the year.

Shravan Shah: Yes, that's a great thing. Just a second one on the broader costing in terms of reducing the overall cost, not only the, definitely Mukutban you have mentioned, sir, but as we mentioned in the press release in terms of the projects required and for lease. So, broadly, if you can highlight in terms of the raw material, logistics, power and fuel, so including the increasing the mining, the coal production, how we are in terms of and also if you can quantify in terms of the number broadly, how are we looking at in terms of reducing the cost in the next year FY '24 broadly?

Aditya Saraogi: On account of these specific projects that we have undertaken on part of the management, we expect a saving of at least INR50 a ton. And coupled with that, the better realization in terms of better blended cement, higher volumes and higher premium cement, our overall profitability is definitely going to be much, much higher than what we have done in this year, which was an aberration because of Mukutban being the first year. Just to give you a sense, when we started Mukutban operation, our variable cost of cement was more than INR4,500 and when we exited in the month of March, it was less than INR2,800. So, you can now understand with that kind of a cost structure at the beginning, the more we sold, the more losses we would have incurred. So, we were deliberately not pushing the volumes.

Now that our cost at Mukutban has become competitive, in fact, in the next financial year, it is going to come down to another INR300, INR400. So, with this cost competitiveness, we will now be in a position to ramp up our volumes. Coming to questions regarding incentives...

Sandip Ghose: Just one minute. On the cost, please keep in mind two things. When you are ta

lking specifically

Mukutban, one is our incrementally or linear reduction of cost, which we are doing, but there are certain options available to us, I do not want to elaborate, which are also going to give us step change in cost reduction. It is to do with raw material and fuel, etc, which is going to come.

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We have already commissioned the WHRS. On the fuel and power side, there will be other things which are going to give us step change or a step reduction in cost over there. But similarly, nationally, if I were to take this thing, we are one of the companies which will be using a maximum percentage of our own coal because of our captive mines, which is going to go up further. We have got a lot of work to do on AFR, which is now picking up, so our percentage of AFR will go up. Also, our alternative energy, green energy that is the thing which will go up, so you will see much more improvement though Aditya is saying about INR50. We will not commit anything right now, but we expect our ambition is to do much better than that on the cost front.

Aditya Saraogi: Of course, that INR50 did not include the savings that we expect from the commissioning of the Bikram coal mines in the second half of this year. So, those are purely on the account of the improvement projects that we have considered at the operational front. Coming to incentive on Mukutban, one question was asked, so it is approximately INR600 per ton, but that will start getting reflected in our P&L only towards the middle of H2 of this financial year. So, the full effect of the incentive will really be seen in the result of the next financial year.

Sandip Ghose: You might like to explain to them why?

Aditya Saraogi: Yes, because currently, we are availing of the input tax credit, which got accrued on account of capital expenditure that we did. So, till such time that input tax credit gets consumed, we are not required to pay GST to the government. And since we are not paying any GST to the government, so there is no question of getting any refund of the GST. So, that situation of payment to GST will arise towards the middle of the second half of this current year. And that's when we will start accruing the incentives of say about INR600 per ton in our P&L account.

Sandip Ghose: And just to give you a lead, so today when I am selling, I am that's why under no compulsion to sell everything in Maharashtra at incurring a high loss. I can restrict my Maharashtra sale instead of trying to spread thin and go beyond. I am able to sell Maharashtra in my proximate areas of Vidarbha and other markets, whereas I have the flexibility to sell the same quantity if I get a better realization, whether it's in MP in Gujarat or in Telangana. And once my incentives start kicking in, that's going to change the game. That's going to be a game changer as far as Maharashtra is concerned. And then I can really go all out.

Aditya Saraogi: So, we have been able to achieve this EBITDA positive status without the incentives.

Shravan Shah: Got it. Last part on the expansion and the date front...

Moderator: Sorry to interrupt, sir. We request you to please rejoin the queue if you have further questions.

Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to two per participant. You may rejoin the queue if you have further questions. The Next question is from the line of Rahul Jain from Credence Wealth. Please go ahead.

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Rahul Jain: Thanks for the opportunity and congratulations on a good set of numbers and also in terms of being positive on the Mukutban plant. Sir, two questions. One is with regard to the expansion, the roadmap ahead for our next phase of growth to

enhance capacity to 25 million tons, which

you have talked about in a couple of AGM interactions in the last two years. Both, and if you could share some details with regards to the clinker and the grinding capacity, which we are going to add, the location for the phase. Is there any inorganic expansion opportunity being explored? So, what I'm trying to understand is the expansion roadmap for the next two years, three years?

Sandip Ghose: Two things you need to keep in mind. In terms of reality, there is a COVID situation which happened, which delayed a lot of plans, including our Mukutban expansion. There was no problem from our side, but in terms of the construction and everything, it went up. So, now our first objective would be to not only maximize capacity utilization, but as I said, make it maximize it in the most profitable way. So, you, this 25 million ton target remains, so does our 30 million tons going forward. All of that remains, but there may be a change in timing.

In terms of sequencing, our next priority would be setting up the second line in Maihar, which we will look at and then start also putting the grinding capacities for that additional clinker, which is going to come in. And for that, we have got three or four options which are lined up, but we will go in terms of hierarchy and depending on how the market evolves. So, that is how it will go. But we have today enough, shall I say, I will not call it headroom, but I will call it elbow room to optimize our existing clinker availability more profitably and generate the cash

flow, bring down our leveraging so that we are able to undertake the next expansion at a time of our choosing, depending on how the market is going.

Rahul Jain: Sure. My second question is about the power and fuel cost. Am I audible?

Moderator: Yes, you are audible.

Rahul Jain: Sure, So, sir, with regards to the power and fuel cost and the inventories of coal and coke and coal and the pet coke, from the data available through the results, like last five years, except for FY '23, our average power and fuel per ton cost used to be around INR1,000 to INR1,100 range, which last year for the full year went up to INR1,500.

And in the previous three quarters, we were averaging around INR1,600, but we have done exceptionally well in the fourth quarter when we have been able to bring this down to around INR1,290, INR1,300 per ton. So, how do we see this going further improvement with regards to the various initiatives on WHRS, captive power, our own coal coming in, the inventories which we have. So, if you could share some details or some light on the power and fuel cost going ahead?

Aditya Saraogi: See, my own sense is that in the next financial year, our power and fuel cost should be lower by about at least INR250 a ton, if not more. On account of various initiatives that we are taking, whether it is waste heat recovery or our own starting of Bikram coal mines and even the solar power plant that we have set up. So, it should notch up to INR250.

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Rahul Jain: So, Aditya sir, just to clarify, this INR250 you are talking from the amount, from the fourth quarter that is INR250 incremental from INR1,300 per ton?

Aditya Saraogi: From INR1,500, there is a fourth quarter was INR1,500, no?

Rahul Jain: Fourth quarter is around INR1,300 sir, power and fuel cost per ton. For the full year, it is INR1,500.

Aditya Saraogi: Yes, from INR1,500, we are expecting a reduction of more than INR250 per ton.

Rahul Jain: Sure. Thank you so much. I'll come back.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Hi. Good afternoon and congratulations for hosting this call and thanks a lot for hosting it firstly. So, on Mukutban, you said that you have not sold much in Maharashtra. So, how are

you placed

on the distribution network there and when do you plan to build out the distribution network?

That's the first question.

Sandip Ghose: Don't get me wrong. I have not said we haven't sold much in Maharashtra. Obviously, when I am selling 1,00,000 tons, my majority will be in Maharashtra. But my distribution network, as you are saying, I would first concentrate, I have my seeding done much further, almost all the way up to Pune and on this side of Bombay, etc. But there is no point in my activating that network beyond a point until I am able to profitably supply those markets.

So, when I am selling 1,00,000 tons, I would be selling at least 80% of that within Maharashtra even now. But I would focus in the more proximate markets of Vidarbha, Khandesh and I would consider right next to us the Telangana area, Nizamabad and all those things is also being proximate markets. Those is where I will concentrate first. Rather than push myself thin to go further down to Aurangabad, Pune and other places until I am profitable.

But that is a dynamic situation. As Mr. Aditya Saraogi has said, the way my costs are dropping, it's a matter of every other day when you will find me expanding my footprint and for that I am ready. We have earlier shared with you numbers which I don't have handy as to how much, how many distributors and other people we have already appointed. Our sales teams are ready. But right now, I am focusing and concentrating, bringing my troops in too much more to operate in my proximate areas within 150 to 200 kilometers of my plant before I spread next to the 300 kilometers or so range, 250 to 300 kilometers radius is what I will move after this.

But at any point in time, you will find at least 80% of my volume from Mukutban, the cement volume will be sold in Maharashtra. And once the whole incentive kicks in, then as I said, the ballgame will change. And by then I suppose I will be on my third con-call with you and then we will give you a better picture.

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Amit Murarka: Sure, just to understand this better, but you said that the incentives have not been accrued. So if you are already selling, won't some incentives accrued for the GST credit?

Sandip Ghose: How it works is, first, before you start getting the incentive, all my GST which I have paid before and which is mainly on account of the plant that is lying to my credit. So first, that will get offset.

And after that has got offset, only then I will start getting the incremental credit which will go into my bottom line.

Amit Murarka: Ok, Understood.

Aditya Saraogi: So actually, just to clarify, whatever GST we charge from the customer, so that is not required to be paid because we have got a credit lying in our books. So we use that credit to set up against the payment that is required to be made. And since we are not making any payment of GST, we are using our input tax credit which is lying with us. And that's why we are not making payment and since we are not making payment there is no question of claiming reimbursement from the government. Once we start making the payment, once we exhaust the full amount of input tax credit, that's the time when we will start making payment of GST to the government and then claim 100% of that GST from the government. I hope I am clear.

Amit Murarka: Understood. What is the total quantum of the incentive in rupees crores?

Aditya Saraogi: It is 100% of the project cost. So it will be around INR2,300 crores. And it is available for a period of 20 years and 100% of GST is available.

Amit Murarka: Sure. Got it and in the existing plants of Reliance, are there any existing left or they have all expired?

Aditya Saraogi: No, we have incentives in our Kundanganj plant.

Amit Murarka: And when does that expire?

Aditya Saraogi: By the end of this financial year.

Sandip Ghose:

End of '24. I saw somewhere somebody saying that it is '23, it has expired. It has not expired.

We still have at least a runway of one more year until other changes happen, which we will discuss at an appropriate time. But we still have a full year to go before Kundanganj gets exhausted.

Amit Murarka: Sure sir. This is the last question from me. On Kundanganj, there was a plan to add 1.2 million tons there. So what is the status on that?

Aditya Saraogi: See, for your information, our rated capacity in Kundanganj was 2 million tons. So by internal optimization alone, we have been able to ramp it up to 2.7 million tons. And since we did not have visibility on clinker, that's the reason we did not make additional investment on the grinding unit immediately. So what we are going to do, as Mr. Ghose explained, we are going to align our next phase of setting of grinding unit with the Maihar line through expansion, so that we

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have got clinker to support the grinding units. So that is the manner in which we are going to expand our business.

Amit Murarka: So you think the Chanderia debottlenecking, clinker debottlenecking, actually you didn't have the visibility on that one?

Aditya Saraogi: No, That has already happened last year.

Amit Murarka: Okay, sir. I'll come back in the queue.

Sandip Ghose: And you see, for the rest, not just answering your question, Chanderia clinker, if you see the overall clinker balancing in the northern region, there is enough demand for Chanderia, clinker to be used in its own native markets. The native market would be Rajasthan and going down south into Gujarat and also up in towards Haryana and Western UP.

So there is not going to be excess clinker available to me from Chanderia to take into Kundanganj and that will not be the most economical way to do it. But whatever we are getting today is 2.7 million. We will feed that. As I told you, getting a cushion from what we are getting from Mukutban and saving on some supplies, which we were doing earlier at Durgapur, we will be able to utilize Kundanganj much better this year, demand supporting.

Amit Murarka: Thank you very much. I'll come back in the queue.

Moderator: Ladies and Gentleman we request you to please restrict your questions to 1 question per participant. The next question is from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar: Yes, thanks for the opportunity, sir. Sir, all said and done like, you have a high -trade cement share, blended cement, and I believe, based on your data, your premium cement would be highest in the industry. But despite that, your margins are the lowest in the industry, if I compare with your peers. So why is it the case, despite the fact that, there was so much of harping being made

on the part of blended, premium cement, every aspect of the cement production?

And secondly, sir, our growth in the month of April has been hardly around 4% to 5% in terms of sales volume, despite the fact that, the industry has grown at 15% odd and we had a benefit of the capacity addition at Mukutban. Why we have not been able to ramp up the volume?

Sandip Ghose : First of all, I don't know, where you have got the figures of April from because we don't have that data to show that industry has grown by 15% and we have grown far lower than industry. I don't know the validity of that. So I will not be able to comment on that point. There is very little ramping up, which we need to do because our mother units, if I were to call them, leaving Mukutban, they are all operating some at even higher than 100% capacity. So, where is the ramping up opportunity, you are seeing? I am missing that point too.

Yes, our margins to some extent are curtailed, especially certain plants of ours. The cost is higher. Like you know my cost of limestone in Chanderia is high

her. My Satna plant is an older
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plant. So the costs are higher. Mukutban, we have already told you, we are in the process of pairing. So it is not a question of, we are not harping on anything. We are just stating facts before you. The facts to be verified in terms of our numbers of, how much of each brand we sell and what is the price, we sell and what is, I am sure your market checks in and dealer connects will tell you, what is our price points in the market.

So there is no question of either harping or making claims, which do not stand. Those are based entirely on facts and facts, which can be, as I said, validated. So I really do not know where you are coming from in that point. Costs are an issue and costs and there will be various factors. If somebody is selling right next door and if he has got a 4.5 million tons capacity and he is selling right next door to the plant and when I have got a 20 million tons capacity, my lead would be higher. I am bringing sometimes clinkers from Chanderia into the center, somewhere I am sending from, my cost would be higher. If I had a one million ton capacity and I sold within 100 kilometers of my plant, I would obviously have much higher margins.

So I do not know, whom you are comparing as peer group. Peer group comparisons have to be done on a like-to-like basis, not because somebody has a plant right next door to me. But in terms of, similarly on the reverse side, if you are looking at Mukutban, my neighbors, there are big plants, older plants, which have got their captive, right next to the coal blocks. So their power costs are lower. Obviously, their costs would be very different and their mining costs are lower. So that will be different. We have to see each element. But assume that, I did not have any of these premium volumes, which has been created over the last six years, seven years, what would have been my profitability compared to anybody else?

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Namaskar Sir and thank you for the opportunity and we look forward for the continuity of the calls going ahead also. Ghose sir, as you were mentioning that, about the actual numbers in terms of volume, but at least you could give us some color, since this is the peak season for the cement, what are the pillars on the ground currently, in terms of the, what the exited March and how the situation is currently in terms of the offtake, especially from the government projection also, both from the trade and the non-trade segment?

Sandip Ghose: Saket, you have been in the trade, you have been observing the trade much longer than I probably have been, though you are much younger than me. April is not the yardstick for the season and April is not really when the thing starts and when you have one company selling 100 million tons in March end to completing that, what is the impact it has, on the market and while others are also not giving. So I don't know again where the figures of 15% growth in April comes. You live in Kolkata, you know, what the situation in the Bengal market today is. You know, the pricing situation in the Bengal and the Eastern markets and the conditions of the rains, which are untimely rains, which have happened in certain other parts of the country, all these are factors which are there.

But once, as I think our overall projection as most analysts have given, most of the firms like CRISIL and others have given, one expects the healthy growth in volumes this year. None of us
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are optimistic about huge price jumps, as has been seen and some of you have reported. Attempts at price increase have not gone through or reverse /rollback and that is also due to certain industry dynamics, which

are going on right now, which I can't spell out. All of you are aware of what is happening between some big players, each one having trying to secure their position.

So we are, our strategy is based on that prices are not going to go up significantly. Volumes are going to move in a healthy manner unless there are any major dislocations, disruptions or hiccups going forward. And last bit, what you are talking about in terms of the government spending, yes, I think I have written, I have said before, I am very, very bullish on the India growth story and everybody is coming to recognize the investments that, have gone into infrastructure. Those are going to bear fruit.

Like one has seen such things happening already in the western market like Gujarat. Gujarat you would have seen had gone through an exponential growth in the last year, which boosted up certain companies' profitability because with bullet train, with the expressway, everything and all the development, which is happening on the two sides of that, that had boosted up Gujarat. The same thing I expect to see in Maharashtra now and most importantly, with states like Madhya Pradesh, UP, both in the run-up to the 2024 election and in the run-up Madhya Pradesh and Rajasthan, run-up to the 2023 end elections.

You will find government projects like Pradhan Mantri Awas Yojana catching speed and that is a sweet spot, for a company like us, which operates primarily in what I call the rural markets. The rural, I mean rural and the small towns, that is tier 2, tier 3 towns kind of market, which are on the outskirts.

That is, where our strengths lie and especially in the Hindi heartland, the HSM area of Madhya Pradesh, that is my core area of Uttar Pradesh, Madhya Pradesh. So I am, fingers crossed, I am very optimistic about getting results there. UP is going great guns just now in all respects.

Rajasthan should be doing well. Western MP is, as all of you know, Western MP, I am very well positioned. If you do some market checks, my Perfect Plus has established its position in the Indore and adjacent markets very well. So I am quite confident of that going. Keeping in mind, being very realistic about prices and not going to anything coming up on prices is going to be a bonus for me.

Saket Kapoor: Sir, small point on the EBITDA per ton, sir? We did INR615, that is taking into account good one also and now with the volume expansion coming towards from H2, what should be the ballpark number or what should be our endeavor going ahead, as a combined entity for the EBITDA per Ton numbers? What are we eyeing, say, if you could give some color to it in, what ballpark number we can do, going ahead?

Aditya Saraogi: Our sense is, we are working with a number of INR850 per ton for the next year.

Saket Kapoor: Okay, that is the average we are looking at?

Aditya Saraogi: Yes, average.

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Saket Kapoor: That is a significant jump. Including Mukutban...

Sandip Ghose: Including Mukundban, including our incentives kicking in in the second half.

Aditya Saraogi: Just to give you a sense, our EBITDA per ton this year inclusive of Mukundban was around INR480 per ton. So from there, we are looking at a number of INR850 per ton for the next financial year.

Saket Kapoor: Okay, and for the utilization level, sir, can you give some color, what kind of cement volume we are looking, the in-current cement volume, we are eyeing for the next year?

Aditya Saraogi: We are looking at more than 15% growth in volume terms.

Saket Kapoor: Okay, so on a base of 15.73 million, we are looking at?

Aditya Saraogi: More than 15% growth in volume terms.

Saket Kapoor: 15% on a 15.73, which we have done for the year.

Aditya Saraogi: More than 15% growth.

Saket Kapoor: Okay, sir. And lastly, on the jute part, sir, although it is a very...

Moderator: Sorry

y, to interrupt we request you to please rejoin the queue.

Saket Kapoor: Yes, I will join the queue. And all the best to the team, sir. Thank you.

Moderator: Thank you. The next question is from the line of Mangesh Bhadang from Centrum Broking.

Please go ahead.

Mangesh Bhadang: Okay, and congratulations, sir, on a good set of results. Sir, very short and crisp couple of questions. Firstly is on the limestone availability. So do you think that any of our plants would

face the scarcity? And second one is on our coal blocks. So I just wanted to have an update on the Bikram and Brahmapuri blocks when they would be operational?

Aditya Saraogi: So on limestone, I can state that in each plant of ours, we are having at least 20 years of reserves. Now coming to the coal blocks, as I also already mentioned, Bikram we expect to start in the third quarter, October to be precise. And Marki -Barka, we expect to start in November of 2025.

Mangesh Bhadang: That percent of the total central requirement will be met. And if you can give some idea in terms of rupees per kg?

Aditya Saraogi: Once Bikram is fully operational, about 38% to 40% of our Kiln requirement will be met through captive sources. And once Marki Barka is also fully commissioned, about 60% of our total fuel requirement at kiln, will be met through captive coal blocks.

Mangesh Bhadang: Okay, so just final rupees per kcal cost of the domestic coal compared to the current fuel cost – the cost of the domestic coal in rupees per kcal term that you would incur at your kiln?

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Aditya Saraogi: Domestic coal?

Mangesh Bhadang: Yes, sir.

Aditya Saraogi: Versus Bikram?

Mangesh Bhadang: So the cost of that domestic coal on rupees per kcal basis, how much it would be compared to the current cost that you are incurring for all the rest of the plant on a rupees per kcal basis?

Aditya Saraogi: So, domestic coal cost currently will be between, let's say, 1.55 to 1.7, 1.75 depending on the region. And what is the second part? And the pet coke prices will be slightly higher in the region of 1.9 to 2.

Mangesh Bhadang: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Hello, yes, my first question is on your guidance. So last year when we started hearing commentary on your media interviews, we understand there's a 15% growth guidance given for FY '23 for volumes versus what we had like 10%, 11%. So where did that come from? Whether it's from Mukutban or other central operations? Secondly, what is the target capex for FY '24, FY '25 of the full year?

Aditya Saraogi: Yes, the question was not very clear, but it's related on volume. As Mr. Ghose mentioned, we consciously cut down our ramp -up of volumes in Mukutban because the more we were selling, because of high cost, the more losses we were incurring. So our focus was really on the rationalization of cost and containing the losses rather than the mindless volume ramp -up.

Sandip Ghose: If your question is where the 15% is going to come from, it is going to come from Mukutban, as I said earlier. Mukutban, we have exited at about 1,00,000 tons, we expect to exit at 2,00,000 tons next year. We have got elbow room in Chanderia, where we are going to increase in Chanderia. We have got in Durgapur and we have got rationalization in central India.

So it will be fairly well spread. Our objective would be to get a maximum growth in the profitable areas, which is our most profitable areas, which I would say, which is central India, where we would get it, but overall it will be fairly well spread across the region. So Mukutban itself will give us at least a bump of average 1,00,000 tons per month.

Moderator: Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go

ahead.

Navin Sahadeo: Yes, good afternoon, sir, and thank you for the opportunity. It is great to interact with you and hear your views Sandip sir. So thanks again for hosting this call. Sir two quick questions. One is, you mentioned that for future growth, the next point, or like you may look at line two at Maihar. Now, given it takes roughly two years for the capacity to come on board or at least one and a half year at best to get that capacity on board, what would you say as the tipping point to Birla Corporation Limited

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kick start this project? Would it be a utilization of certain, like, that you have in mind that once that it hits, that you think you should go for line two, or is it going to be some comfort on the net debt to EBITDA front? What would exactly that be?

And my second quick question in the interest of time is, what is the current status of incentives receivable? I think this is more for Aditya ji. So what's the status on current outstanding

incentives, especially from West Bengal, because we recently saw some other cement company provisioning a loss on that particular front? So your views will be really helpful. Thank you so much.

Sandip Ghose: Before coming on the incentive, I'll just take your point quickly. As for the clinkerization unit, there is both, the outlay is much larger as well as you rightly said the time. It all depends this is slightly fluid in today's world. We have to look at it from quarter to quarter. If markets improve, if my cash flows improve, I could be looking at a grinding unit in Eastern India, which I can still feed from Mukutban in terms of my additional clinker, and that might come up before I look at a Maihar line expansion.

The Maihar line expansion, as soon as I go, that's as you said, it depends on my balance sheet, how much money I do. And if that is not happening, maybe I'll first go for Maihar. So these things will get greater clarity as we move along. But we are quite confident that, as I told you, our existing capacity to give the reasonable growth, both in top line and bottom line, we are well-placed. There are various levers available to us, including increasing the level of premium which we have got on our brands. I hinted about it to you that today my ability to more cost effectively invest on a brand like Perfect Plus has increased a great deal.

So I would have opportunity to increase my margins, my premiums on those brands across the markets, expand this footprint, do other innovations. So those also will give me, so we are looking at both the top line and bottom line to meet the market expectations or street expectations to keep us going. And we will go in for the investment, we'll cut the coat according to the cloth available. I'll leave it to Aditya to respond on the incentives.

Aditya Saraogi: Yes, specifically on West Bengal incentives, we also have some outstanding of INR140 crores odd. But recently, because we are not getting the money, we had approached /filed a petition before the High Court for recovery of the amount. And we are pleased to inform that some time back, the High Court was pleased to direct the state government to pay us the incentives, which we still haven't got. So we have again gone to the High Court, against the state government, with a plea that the incentives be disbursed immediately.

Navin Sahadeo: Yes, correct. But the annual accrual is on the higher side and actual receipt is much lesser. Is that a correct understanding? Because last year also we had.

Aditya Saraogi: See, actually, in this year, just to tell you, our receipt of incentives was about INR200 crores. And our accrual was also similar to that. And that was only because in Uttar Pradesh, there were certain procedural issues. So you will find that this year, receipt is going to outstrip the accrual to a large extent.

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Sandip Ghose : You have to segregate between West Bengal and the others. West Bengal is a very typical case. And in the old case, we are not accruing anything more in West Bengal. It's an old and frozen case. It is only a question of our being able to take the money out. And we have got comfort from the High Court ruling that, it should happen sooner than later, or sooner or later, it will happen. As far as Uttar Pradesh, Madhya Pradesh goes, we don't anticipate a problem. It's a timing issue.

Last year, there were certain procedural delay has happened. But there is no mismatch between accrual and Madhya Pradesh in any case, there's no further accrual. That's over. Uttar Pradesh, that's happening. And as soon as they start releasing, we should be better off.

Navin Sahadeo: Great, sir. Great. Thank you so much and all the very best.

Moderator: Thank you. Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to Mr. Rajesh Ravi from HDFC Securities. Over to you, sir.

Rajesh Ravi: Yes, thanks to everyone for participating in this call. Sir, would you want to make any closing comments before we conclude the call?

Sandip Ghose: I would like to, only thing I missed, only thing I missed adding is we now, as we have said, our management E -team, we've got a new E -team, which are two very valuable additions. We have Rajat Prusty who has joined us from Adani or formerly ACC as the Chief Manufacturing Officer and Projects Officer. Mr. Prusty brings in a long experience in ACC, about 30 years of experience starting from the mines. He has worked in grinding units. He has worked in integrated units. And then, he worked in projects.

And essentially, he has worked in, so he has long innings. And then he was in the combined ACC -Ambuja setup. He was the CMO of two large geographies. From there, he has joined. So, Mr. Prusty is a great addition and he has already brought in a new energy, into the manufacturing side, as you are seeing, as you yourself noted in the Project Shikhar initiative, which we have started.

And we have got Mr. Kalidas Pramanik. Again, Kali has got a very, very interesting mix of experience. He spent 15 years in the cement industry, largely with ACC. From ACC, he went into an adjacent industry, which is fertilizer. He was the All India Head of Logistics and Marketing in Coromandel Fertilizer, one of the finest and best managed fertilizer companies. And from there, he has come to us.

So, he brings the good blend of logistics and sales experience. And as you know, in cement, how important logistics is and that is where the next, what I say, the wave of innovations will happen. So, he will add value. And one of Kali's specialization, while he was in ACC, he was the man implementing, the wholesale price management in India.

He also had launched the F2R, which was launched by Holcim against Concreto of Lafarge. He was the person who launched it there and he pioneered the wholesale price management. So, I expect Kali to bring in a lot of commercial insights and marketing insights in terms of increasing Birla Corporation Limited

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both our price positioning and premium positioning here. And in addition to that, we have got some other additions in the team.

We have a new head of IT, who has joined us from Penna Cement, Durgamadhab Mohanty. He was there. He would bring in probably a lot of changes in digitization, especially on the manufacturing side, where Penna had done a good work. And then, we have our younger team, Mr. Tamal Pal, who is heading our strategy. Tamal has been very instrumental in getting the new mining leases for captive coal mines, Bikram, Marki -Barka. These have been initiatives, which is been led by Tamal.

We have strong CPD under Sanjeev Daga, which is now a centralized function. CPD is the procurement

division centrally. Mr. Aditya Saraogi, of course, everyone of you know and interact with and we have with him Mr. Arun Agarwal, who is our CFO. He is an old hand. He knows everything about Birla Corporation. He has been here for over 20 years. They are working through various functions. So we have an extremely strong, young, dynamic team and that's why we have started on these initiatives, which you have seen called 4V. 4Vs, I will just spend a minute, and 4Vs and OKR.

OKR, is the objective and key results. It is the methodology followed by companies like Google. It was started by Intel, Adobe, Microsoft and all of them and many other companies in India.

The importance of OKR is, they realize that today's volatile environment and dynamic environment, you need to keep your end objective clear, your longer-term vision clear, but work in short time horizons of three months with very, very specific objectives with results, which will be visible, which will show you, where you are going.

And we saw, the first impact of this, in our last quarter's performance and when we talk of 4Vs, we first talk of vision, which as I was telling you, is the long-term objective, but when the next vision is, we are saying values, we are moving to a culture of value creation. Value creation for all stakeholders, not just investors, everybody there.

But the third is most important in today's context is velocity, which is the speed of action. Speed of action, we include the speed at which you correct your mistakes. Mistakes will happen, situation will change there and finally is the visibility because whatever we do has to be visible to stakeholders and to everybody to perceive that, the action is really happening rather than our talking in conference calls. Thank you very much and a great pleasure being with you all. Bye. Moderator, you can conclude the call now.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Birla Corporation Limited
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14th August , 2023

Corporate Relationship Department
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Rotunda Building,
P.J. Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Code: 500335 The Manager
Listing Department
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Scrip Code: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst earnings conference call on the Unaudited
Standalone and Consolidated Financial Results of the Company for the quarter ended
30th June , 2023

Pursuant to the provisions of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investors/analyst earnings conference call held on 9th August, 2023 at 2.30 P.M. (IST) on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June , 2023 . The event concluded at 3.42 p.m. (IST) on 9th August, 2023 .

A copy of the same is also available on the Company's website at
<https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above

MANAGEMENT : MR. SANDIP GHOSE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA CORPORATION
LIMITED

MR. ADITYA SARAOGI – CHIEF FINANCIAL OFFICER –
BIRLA CORPORATION LIMITED

MR. RAJAT PRUSTY – CHIEF OF MANUFACTURING AND
PROJECTS – BIRLA CORPORATION LIMITED

MR. KALIDAS PRAMANIK – HEAD OF MARKETING AND
SALES – BIRLA CORPORATION LIMITED

MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER ,
RCCPL PRIVATE LIMITED

MR. TAMAL PAL – HEAD OF STRATEGY – BIRLA
CORPORATION LIMITED

MODERATOR : MR. RAJESH RAVI – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Birla Corp Q1 FY24 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajesh Kumar Ravi from HDFC Securities. Thank you and over to you, sir.

Rajesh Ravi: Thank you, Dorwin. Good afternoon, everyone. On behalf of HDFC Securities, I welcome you all on the Q1 FY24 earnings call of Birla Corp. From the management side, we have today Mr. Sandip Ghose, MD and CEO and Mr. Aditya Saraogi, CFO, to discuss the same. I now hand over the call to the management. After their opening remarks, we'll open the floor for Q&A. Thank you and over to you, sir.

Sandip Ghose: Good afternoon and welcome, everyone, our valued investors and analysts. This is Sandip Ghose and I have with me Mr. Aditya Saraogi, our CFO and key members of our E-team. Mr. Rajat Prusty, who is the Chief of Manufacturing and Projects. We have Mr. Kalidas Pramanik, who is our Head of Marketing and Sales. We have Mr. Arun Agarwal, who is the CFO, the Financial Controller, and we have Mr. Tamal Pal, who is our Head of Strategy and also he looks after our mines and land acquisitions.

So once again, thank you very much for joining. We are quite overwhelmed by the number of you who have come on the line. In fact, as you know, last quarter was our first con call which we held in the Company and we weren't too sure about the general level of interest and we didn't think that we would probably be holding it every quarter, but going by the interest evinced by all of you at the conference and then subsequently also we held a few roadshows where we met people.

We felt that it's probably warranted that we come back and speak to you after the first quarter. I will give a brief overview of both our performance and how we have looked at the market or the overall industry scenario. First thing is for us, this quarter from our standpoint has been quite satisfactory, or I would say it's really confidence-giving to our own leadership team because we had embarked on the new year, or the last quarter from January, with a new team at the helm, and also revisited our strategy in the light of all the developments, in the light of not only Mukutban, but our overall business and growth plans.

And the first quarter was confidence-giving because we seemed to get the initial kind of results which we were looking for directionally. We were seeing that as, you know, sort of vindication of our policies which we undertook. Many thought maybe that's a flash in the pan and therefore it was important for us to validate the strategy of where we were moving forward, even in the first quarter. And at the end of it, therefore, we feel quite satisfied with the outcome. And it gives us the reassurance that probably we are on the right track while we have to

constantly recalibrate, measure, reorient our way forward path because we are ultimately living not just in a volatile and uncertain world, but we are living in an environment of disruptions and nonlinear development. So, one has to be vigilant, one has to be able to quickly correct course.

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And for that, as I had mentioned to you all earlier, we have now moved in our management cycle, we have moved to the OKR principles, which is the objective and key result principles, which were earlier used primarily by a lot of the leading tech companies, like Intel in fact had pioneered it, and then Google, then Adobe, Microsoft,

a lot of these people took it.

But now it has become the order of the day because everybody sees that you probably need to cut down your planning cycle and look at deliverables quarter -wise, and with not just deliverables in the end but also key indicators or key results which will show that you are proceeding as per your longer term direction because ultimate goal remains the same, you just keep on adjusting your path. So, the OKR principle seemed to be working in our case. We have now had a formal rollout of OKR. We are working with external consultants and we have rolled it out. We've got an OKR platform. The idea being that you need to bring all operating people on the same platform so that they're totally aligned to the corporate objectives and they deliver as per on track and they can clearly, they can see the results, they have transparency to see the objectives of their seniors, of the corporate objectives and how they're contributing and that's how they get rewarded and recognized.

This is critical for us, especially for, among everything is important, but especially for Mukutban, which is I think a matter of interest for all of you. And in Mukutban's case, we have been following the OKR very closely. And I'm happy to say that we have been seeing steady progress there. The progress has been the most notable progress we have had is in terms of reduction in costs. In Mukutban we are going down on a very steep, you know, fall in the cost levels as predicted, as projected by us, as the volumes are not only being ramped up, not only due to the volume ramping up, but all the other efficiencies which we had planned for. Especially in power conservation with full implementation of WHRS, efficient running of our CPP, but more importantly also, getting our mining operations up to full speed, use of internal captive mine limestone to the maximum extent possible, improving our clinker quality due to which we are not required to buy or get third-party clinker or clinker from any of our plants to produce the higher grades of OPC, et cetera, which we have announced.

So, there are a lot of technical improvements and innovations which Mr. Prusty under him his team has done. So, we are extremely satisfied with how the cost curve is behaving. And we see that progressively coming down in the subsequent quarters exactly as we had predicted. On the sales side, we have been ramping up and there has been a little bit of a chicken and egg story out there, essentially because of the depressed prices in the Maharashtra market.

Now, how that has, why is it a chicken and egg story? It is because it has been our plan to gradually extend our footprint within Maharashtra from the immediate vicinity and proximity of the plant. So, in the previous quarter, we were operating within about 200- 250 kilometres from the plant that was really our core market which was essentially Vidarbha and parts of Khandesh. Our plan was to now extend it further to go down towards Nasik, Aurangabad and other areas. But while going on as you will realize it calls for, it involves additional freight, and the additional freight you can compensate only if there is better realization. Now there we got a little handicap

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because prices in Maharashtra were unexpectedly depressed, I would say, than what it was in other regions, even in comparison to other regions. So that, you know, made sometimes a difficult choice as to how much we want to invest in seeding the market going forward and how much we want to pull back to stay within the positive contribution.

So that required careful balancing. We tried to make up for that with three initiatives. One, our thrust even in the Mukutban market, though we have gone there, we are new entrants there, our thrust has been largely on the premium product which is our Perfect Plus. And we are

happy to

see there is a brand recognition of Perfect Plus because Perfect Plus had gained some kind of a, national identity because we had been supporting the Perfect Plus on national mainstream media, especially on television, with very key properties like cricket.

Some of you who are cricket fans would have seen the Perfect Plus advertisement coming, not in a big way, but in a very

noticeable way as Aston Vans below in the World Cup, in the Test Series which just now happened, and on ODIs, etcetera. And this has been happening systematically over since the time we had launched it. But that is in 2016-'17 beginning, from there it has been accruing.

And we are pleasantly therefore not surprised but we are happy to see that that recognition carries through even in Maharashtra market, coupled with our quality. I think the Mukutban plant has been producing excellent quality, quality-wise, and there is a lot of confidence in the local stakeholders, local market, about this being. Although there are a lot of other plants present, but in the kind of when you see the plant, some of you have visited the plant to see.

It's really a state-of-the-art, modern plant with very, very advanced quality control systems and due to which -- and that the proof of the pudding is in the eating because they see that translated in the product. So Perfect Plus is giving us -- so about 50%, 45% to 50% of our sales in Mukutban in the trade segment is of Perfect Plus. And overall as you see in the company we are around 54% in the premium category nationally across all units. So, when Mukutban is picking up at 45%, that shows that we feel is encouraging.

Now, along with that, when we are talking about logistics, our logistics, we have been trying to make again, innovations. We have increased our direct sales from plant DSOs, and DSO percentage of Mukutban has gone up to as high as 65% of our road dispatches from Mukutban. We have improved our rake loading efficiency and both mini rakes and full rakes and giving our whole packaging plant operation, cutting down on demurrage and loading time.

So that to reach further points. So, we have now started reaching areas like Nashik, Aurangabad, these are within Maharashtra I am talking about, other areas we were already reaching, I will come to that later in Madhya Pradesh, Gujarat, etcetera. So that has started giving us, so directionally we find had the prices been a little better.

We probably could have ramped up much more aggressively during this quarter. It did not happen as fast or as aggressively as we would have liked to. But still, we are ahead of what our own original estimates and anticipation was.

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As we go forward into the third quarter with costs coming down and even if the prices were not to improve significantly, we are better off to spread out further and go on. As on date, our Mukutban average lead is how much? We are doing 384 kilometres average lead, but the 384 kilometres is higher because of the other, we are also supplying in the Madhya Pradesh, Gujarat, etcetera, which is going.

So, within Mukutban, we remain at about between 250 to 300 kilometres is what we are doing in terms of Maharashtra. We have seeded Telangana market, which is just adjacent and it is actually a natural extension. We are again finding their acceptance of the brand to be quite good.

So that is broadly the picture on Mukutban, I dwelt on it at length because that I know is of great interest to... And the growth in Mukutban has been 21% in volumes over Q4 of 2022-23.

So that gives you the overall, flavour of what's happening in Mukutban. But all other building blocks in Mukutban are right now in place in all functions. So operationally also, we are getting more efficient and we are beginning to also look at on the operation side, how to bring down our cost structure because in terms of right-sizing

manpower because of the project states, you probably had a little bit of a higher bench strength, all those are being rationalized.

So Mukutban, in terms of as a standalone operation, because it's a major unit of RCCPL, which is a subsidiary, we have our eyes totally on the ball. And so far, we are satisfied, I repeat myself, with what's been happening. Now keeping aside Mukutban, I saw some comments in the analyst report talking about the growth, which we have got in terms of volumes and in terms of pricing, thinking that most of the upside has come from Mukutban.

I would like to correct, or not correct, I'd like to clarify or elaborate on that, to say that our performance in our existing core markets has been again in our internal assessment, quite commendable. First of all, talking about capacity utilization, including Mukutban, our total capacity 91%, but if you were to look at the capacity utilization of our remaining plants, it has been at a whopping 105%, which I would think would be one of the best in the industry in terms of capacity utilization that is all our existing plants, Maihar, Satna, Chanderia, Kundanganj, Raebareli, all of them have produced ahead of their overall capacity.

As a result, this is a question a lot of times asked by some of you in our offline conversation about our clinker utilization. Somebody had was quite cynical about why would we would like to transfer some clinker from Mukutban to Durgapur. Does it make sense? Yes, it makes great sense because our entire clinker production of Chanderia, Satna, Maihar are totally utilized in our highest realization and in our strongest markets, which is Eastern UP, Western Bihar and Madhya Pradesh.

These are the markets, where we are able to absorb the entire clinker and get the maximum what we call the clinker realization. And therefore, instead of supplying clinker from those plants to

far away, Durgapur, where the realizations are lower and all of you know, the markets in the east have been depressed, my incremental clinker from Mukutban, if I supply to Durgapur, it makes in our calculations eminent sense.

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I am not getting into the aspects of clinker swapping, that is an option which is there, which people sometimes do not realize, so I don't always have to send my clinker all the way from there to Durgapur. There are other ways to optimize. So, the Mukutban, what I underscored in our previous telecom, Mukutban one has to look at not just with the lens of Maharashtra, Mukutban gives us a great deal of flexibility and creates synergy for our entire operations. I would ask for your indulgence for two more minutes to explain to you what I mean by synergy. If you see our core market, the heart of our market, is broadly what you would call, what is loosely referred to as the Hindi heartland. And that is the area of Uttar Pradesh, Western Bihar, Rajasthan and Madhya Pradesh, practically the whole of Madhya Pradesh. If you see today, Birla Corporation is most uniquely placed.

We kind of encircle this area almost on a 360-degree basis from all directions. I have got two plants in Madhya Pradesh, Maihar and Satna, in Kundanganj in UP, Raebareli, which is though small, it's a highly profitable and efficient operation. And of course, we have got Chanderia in

Rajasthan. And now, because of Mukutban, I can service the lower part of that geography, which means southern Madhya Pradesh, southern Gujarat, which was earlier beyond my reach from Mukutban. And I can do these interchangeably.

The talk of cross branding, which has become very, very fashionable and popular in the industry, we have been doing cross branding way back from 2016. And then I can continue to do now today with far more ease and far more flexibility to supply these markets with the brand, with the product which is required and where it makes the biggest sense.

And we are p

robably, I can say with some modesty over there that, we are one of the companies which has actually a full brand architecture with a segmented architecture, segmented both on the price level as well as in geographies. So, we are one of the few companies, when I read a lot of people are talking about premiumization, but our premiumization strategy has been very different.

We have had the flagship brand, the umbrella brand, Perfect Plus at top, which we have been investing as I mentioned to you consistently to make it get with the critical mass to become a recognizable national brand at position in the A category. But below that, it's not unlike others may have brand A and say brand A premium, I have got my value segment brand, which are the regional champions.

So, look at Samrat in UP. Samrat is an extremely strong brand in UP and it's a heritage brand which has been around for many years. So, I get a complementary, I get a synergy between Samrat and Perfect Plus in both the segments. So, my distributor or dealer has a unique position to be able to sell both a premium brand and a value brand from the same counter depending on the customers.

Earlier, even for us, if they were selling my Samrat, they would have had to go and buy another A category brand to keep on the shelf of another of my competitors. But today, because of the

Perfect Plus having been established in those markets, my distributors are able to sell both simultaneously.

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And why I'm belaboring on this? I'm belaboring on this because we have seen the impact of that during this period, where even in the overall in the company, you will see in the overall terms, my premium sales has gone up from 51% to 54% of my total trade sales. And much of this increase has therefore come from my core market. Why one is happy or one is proud is as you know, some of our core markets have seen very, very intense competition in the last six months with a lot of new entrants in that place.

That we have not only been able to hold on there, but actually consolidate and premiumize in that market is I would give a lot of credit to Mr. Pramanik and his team, which is I would consider one of the best sales team, we have in that region. And last year, for a variety of reasons, Madhya Pradesh was probably underperforming. But today we see Madhya Pradesh also picking up despite the intensity.

And Madhya Pradesh has grown 21% in the last quarter. Okay, so we are getting and all that growth is really coming from the premium segment. That's Perfect Plus, is driving the growth

with some amount of growth coming from Rakshak, which is a waterproof super premium brand. So, the brand strategy seem to be in place.

We are not complacent about it, but we know that, we have the right assets in place in terms of our distribution assets, go-to-market assets, and in terms of the brand and marketing assets, and certainly the people assets in those markets. So that gives us our confidence. The next area on which we have obviously been focusing is on logistics. Logistics, apart from the conventional way where we have done I think well is in terms of movement of fly ash in container, in rakes over there. And there are two kinds of rakes which we are doing, lot of other people are also doing ordinary rakes where they're making conditioned fly ash with spray.

But we have been pioneers in investing in the BTAP rakes and having, that's where Tamal, who's our strategy head, he has played a big role. We have done that and today we are one of the highest movers of BTAP rakes to our plants, especially in Madhya Pradesh and the BTAP rakes give us, between BTAP and your normal wagons, we get about a INR200 benefit in the landed cost of fly ash.

why I am citing this is an example, this is not a one-off example, but that is the kind of focus which we are looking at in terms of our cost management

and that is where OKRs come to play

a role. The last thing again on cost I will tell you, it's common observation that most companies have benefited from the softening of fuel prices, imported fuel. But when you look at our fuel reduction, I would like to point out to you, it's not just a function of the lower fuel prices.

Our fuel prices have come down also due to our changing of fuel mix and much of it has been one of the areas apart from solar, green energy, apart from our alternative fuel thrust, which has been -- you'll find, we have already reported that this quarter we have been one of the highest use of unconventional green energy.

We have actually now reduced our import dependence from 41% to 29% by beginning to use domestic coal, including from our captive mines, which will only go up. We have, I think,

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mentioned there, with Marki-Barka Bikram coming through, that will go up, so, our captive coal and internal coal.

So, the point to be noted here is, if there is a sensitivity of tomorrow, the imported coal prices going up again, we are, I think, managed to insulate ourselves a little better than others in terms of the energy cost. Finally, we had referred to even in the thing about Project Shikhar, which is being led by Mr. Prusty there, and it is essentially manufacturing excellence, but manufacturing excellence clearly focused on not just increasing efficiency, but actual cost reduction.

We have achieved in this quarter estimated about INR30 per metric ton from the Shikhar which we are planning in quarter two we are targeting another INR50 per metric ton on Shikhar. Now how is Shikhar being done? It is not a buzzword. It is not the new flavour of the month. There have been workshops held across the factories and there will be 4,800 ideas which were generated. Out of the 4,800 ideas, 249 projects were identified and these projects were categorized in terms of priority from P1 to P4, and with we sanctioned both opex and capex investments on this, capex was authorized by the board, which we did, and then it is being tracked on a daily basis at a central level. So, that has given us those savings and now in terms of cultural change, in terms of change management, we have set up earlier, I'd be very honest in saying, Birla Corporation in his earlier days, each factory, the older days used to work in kind of silos, they were independent units.

There was not too much of cross learning or exchange of best practices which was happening. So, now what, thanks to IT, thanks to digitization, thanks to apps, we have been able to set up community of practices and actually encourage a copy with pride kind of initiative by which the good practices can get exchanged and we get an organizational synergy.

So, Shikhar has given us very encouraging results and this we believe this will be culturally embedded in the organization which will not be individual specific, not a person specific. This will become our way of working, the MP Birla way of working and we should start seeing this on an ongoing basis as a lot of large organizations even in different industry segments in

categories of which they do, this continuous improvement in the cost function.

Equally, as I mentioned earlier, in marketing, there is work happening, because we have been quite frank and honest in saying earlier that we have temporarily we are kind of almost sold out on our clinker other than in Mukutban. So, our idea is to increase the premiumization, but along with the premiumization, focus on our high realization geographies there, and high realization geographies, not just because they're high realization, where we have, I reiterate, our industrial strength, that is our industrial assets, present the footprint.

But along with that, most importantly, our commercial assets, which means the distribution system, the route to market,

the go to market, our sales team, our brand strengths over there, because that is what is going to help us and these are investments which one has made over the years. People do not always -- it's difficult to put a value on it unless you do a separate valuation.
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But I believe that if you were to value our brand assets and our commercial assets in any situation, theoretically also, it will put Birla Corporation ahead of many of our competitors and as we are clearly seeing in the market with some of them trying to emulate or follow our earlier strategy of premiumization or geo mix, which has become a buzzword now, everybody talking but they are probably not as well placed to do that as we have done over having the first mover advantage in the last six years or seven years. I think I will take a breather here. I will hand over to Mr. Saraogi in case.

Aditya Saraogi: Okay, I think we can ask the questions.

Sandip Ghose: Okay I think now we will open it out for questions and then we will take the questions here as a team.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue you may press * and 2. Participants are requested to use handsets while asking the questions. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you, sir. So, without wasting much time, I would request if you can get the in short answer would be helpful to address all the participants. So, the first question is last time we talked about a 15% volume growth. So, are we sticking on that? How much volume we have done from the Mukutban in this quarter?

Second, so does that mean last time we have talked about 2 lakh volume per month, so will it remain the same for the Mukutban and for FY25, does that mean that we can increase the utilization of Mukutban to 75%, then the second question is on the profitability?

Sandip Ghose: First, answer to your question, I think we already said that there is a 21% volume growth between Q4 last year and this year. So, we are proceeding on track in terms of our volume growth. And yes, what you are saying about a 2 -lakh exit, that is something which we are also standing by just now of a 2 lakh exit from Mukutban. Right now, I wouldn't venture in talking about 2024-25, but this year we stand by what we had said earlier. Thank you.

Shravan Shah: Okay, second is in terms of the profitability we have talked about INR850, INR860 EBITDA per ton. This quarter, we have done 664. So, does that mean for next three quarters, we need to do 900, 925 type of EBITDA per ton? So, in that, from here on, how much more cost reduction at the console level we can see and if you can also talk about in terms of the pricing that would be helpful?

Sandip Ghose: Pricing to answer first I think everybody is assumed that there is not going to be much price, increased price will remain by and large flat to soft throughout the year. Though, it's too early to say, I wouldn't rule out later in the year a slight upswing in prices for a variety of reasons. I don't think that is something, it's not restricted to Birla Corporation, so I will not like to comment. So, we may see some tailwind on pricing, but that if it comes, it'll come as a bonus to the industry per se. I'm not factoring in it for our results. But yes, we still stand by our not 860. We didn't say
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860. We said closer to 850, and that is something which we stand by. We clearly have visibility of certain major cost saving coming through for us, which I would not like to discuss in an open forum just now, but we do have visibility of some major cost benefits coming our way, which

gives us the confidence that we should still go for that 850 number at the end of the year.

Now it's not that it is going to move up in a continuous curve from today to March, you will have discrete jumps with some specific developments which will happen, which are expected to happen. And if that happens and if we maintain all our other assumptions and parameters which we are delivering, personally I would still hold 850 as a do-able target.

Shravan Shah: Okay just on the costing front, how much more at net opex we can see in terms of the reduction because we have talked about power cost to reduce by 250, but that is from the average of FY'23.

So, we are already down to that number. So currently for this quarter, 1153 power and fuel costs.

So, how much more we can see the cost reduction from here on?

Sandip Ghose: I don't think we'll go into further detail just now. I think we've given enough indications overall direction. Now, beyond that, the specifics, I think it will be premature or slightly unfair to get into there then I'd be probably have to put before you my entire working sheet. So, the direction

I think we've indicated enough and since we are holding by our EBITDA projections and we've indicated like the kind of cost which we are reducing in our project S hikhar, what we are doing in logistics, and most importantly what I showed you in that how our fuel mix is changing as opposed to just being dependent on international prices. That should give you enough leads as to what's happening. Thank you. We'd like to move on to the next questioner, please.

Moderator: Thank you. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta: Good evening, sir. Good set of numbers. My question is on the raw material cost. There are two parts to it. One is the movement of the lead distance that you have mentioned is 384. What percentage is clinker because it is obviously 384 multiplied by 2, which means we are moving quite a bit of clinker, is that going to increase? And has the busy season surcharge in any way impacted this lead distance and would it further impact the lead distance and do we see some kind of rationalization in your raw material cost going forward?

Management: First question is we do not consider clinker dispatches in our distribution cost. It's purely cement Jyoti, there. And we will work on raw material reduction. There are many things which is in the pipeline. As I told you, Mr. Prusty has extremely clearly chalked out plans. He brings onto the table a wealth of experience from his long stint in ACC and in the Lafarge Holcim System. He is one of the rare people who has, who is a mining engineer to start with. Then he has worked in projects. He has worked in grinding units. He has worked in integrated units, small and large, new units, he has done for those companies. So, he brings in a lot of energy, lot of focus, and we've got, I think now, a very charged up manufacturing team. So, you will see benefits on the raw material cost. Thanks.

Jyoti Gupta: My other question is, sir, can I ask one more question?

Management: There are lots of people are in the queue, Jyoti.

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Jyoti Gupta: Okay, I'll speak offline, sir. Thank you.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Hi, good afternoon. Just on incentives, could you just highlight how much incentive was booked in this quarter?

Management: We have booked about INR45 crores in this quarter. That's coming largely from Kundanganj.

Amit Murarka: Right. And this Kundanganj incentive is getting over when?

Management: We've said that it will get over at the end of this fiscal.

Amit Murarka: So, it will be available till Q4 then?

Management: That's right.

Amit Murarka: And you expect the Mukutban incentive

to pick up to compensate for this loss like, from FY '25 onwards?

Management: Mukutban will certainly start before that compensation. Yes, once we are in full same Mukutban the incentive is quite high. This will offset, but we have other plans as well, but we are too early to discuss.

Amit Murarka: Sure. And on Maihar Line 2, is there any update? You have some plans which you're working on, you had said.

Management: Maihar Line 2, we have always said that Maihar Line 2, we will look at it after some time because right now, you know our balance sheet, you know the kind of debt exposure, we are not a company who become overtly aggressive or adventurous, shall I say to on the debt front. We need to consolidate our thing. Our first challenge is to get Mukutban up and running to full steam. Once that happens, you'll find a lot of other things falling in place. So, it's very much on the anvil, but we'll action it as soon as we are ready in a time of our own choosing, not by any external pressure.

Amit Murarka: Sure, and just lastly on captive coal mining. So generally, anyway, the pet-coke costs have dropped to like INR1.75 Kcal. How much of benefit would come from captive mining given the current costs on pet-coke?

Management: First of all, pet-coke is not a fuel of choice for us in all our units. Okay, and the places where we use pet-coke, there the captive mining is not relevant. In other places, we have indicated, what is it, roughly?

Management: No, but our costs are still lower than the -- despite this reduction in pet-coke prices, our captive coal mine prices are still lower. In fact, the landed first from Bikram coal reserve is expected to be as low as INR1.10.

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Amit Murarka: Okay, got it. Thanks a lot.

Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Sir, when will the Mukutban, incentives start getting reported in the P&L?

Management: As soon as we start receiving them?

Pritesh Chheda: So, in the last quarter, it was mentioned around quarter 3. So, will that fall in time too or there can be changes in there?

Management: We by and large hold that if there is a setback, but we don't see a major shift in that. Three could get pushed to the end of 3 or beginning of 4 or something like that but not necessarily not any major shift.

Pritesh Chheda: And you know when you reach this 2 -lakh ton per month type volume, ex of incentives what kind of EBITDA per ton one should look at?

Management: We've already said the exit EBITDA for the company.

Management: Average price is INR850 a ton, we can't get -- EBITDA from [inaudible 0:45:33]

Pritesh Chheda: No problem, sir. And my last question is sir, on the power cost, so incrementally on the two three quarters based on the positioning that we have, what kind of cost reduction we will see?

Management: See, on power front, last year because of non-availability of linkage as well as domestic coal and very-very high prices we had largely switched to grid power. Now with the cost of domestic coal coming down and the availability also improving, we have again gone back to captive power plants, wherever we have one. Okay so it is a dynamic situation which keeps on changing depending on the market situation, availability of coal, cost of coal etcetera.

Pritesh Chheda: So, based on the current situation what kind of cost reduction or will you see?

Management: Eventually, the cost per unit should be more than a INR1. More than a INR1 per unit eventually. But that may not happen overnight because we have increased our contracted demand. It will take a while to reduce the contracted demand. Once all of that happens, obviously we'll start to get into those on top.

Pritesh Chheda: Okay.

Management: Next question, please?

Moderator:

Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Yes, hi, sir. Thanks for the opportunity. So just one question. What do we make of biodiversity?

The reason I ask this is there have been like, 20 -odd tiger deaths this year in Maharashtra. I think the last one was in the Yavatmal Sanctuary. So just wanted to have your thoughts on are you

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100% sure on sourcing limestone in a sustainable way from the reserves which have been earmarked for us?

Again, the reason to ask this question is, prior to the current government, which gave us the approval to go ahead with the use of reserves, there were two technical committees which had actually given an outright, no. So just wanted your thoughts on this particular aspect which I believe is quite critical. Thank you.

Management: See I'm not too sure where you're getting this from. We have been engaged with the National Wildlife Board. We have been engaged with the Tiger Conservation Authority, we have been engaged with the WII Wildlife Institute of India all of that, the whole, in making a general comment, all these things, there's the approach is, one is mitigation, one is making, environment friendly thing.

The answer is, if you were to, if the approach of the government and everybody is, that if you were to simply look at what the kind of points which you are saying, then probably you can't have any construction, any development anywhere. So, whenever you're doing it, you have to do it in a sensitive and a scientific manner. And which is, you know, in the country, it is extremely, this is being managed very closely and at various levels.

Now the point which you are saying, I don't want to get into that territory, it's not a subject of this call. Some of those things are due to man-animal conflict and things like that which are happening in certain areas and that is precisely what the government or at the macro level they're trying to address. So, there are, if you read articles where they have said, what we need -- what India needs is not just an exponential growth in number of tigers and other thing, it's a sustainable tiger population.

So those are very larger question, that's not really my remit to purview, but whatever we have done, we are doing in very close collaboration and dialogue with experts, with the authorities, and this is a dynamic review. And wherever we are having to make sometimes investment, like say, somewhere we are having to actually invest in an overland conveyor belt. We are making those investments out there so that there is least disturbance to the biodiversity and the flora and

fauna of that area.

So, this is done in close, as I repeat, in close consultation. And we go by the guidance of experts and do what is required of a responsible corporation. If you know the guidance, our guiding principle of this organization, our corporate principle is heart and strength. So, while we do believe in the strength of our commercial strengths or anything else, we are, at the same time, we're an organization with a heart. So, we would not do anything, and the heart doesn't apply only to humanity, it applies to much larger than that. So, it includes plants, it includes animals, it includes everybody else. So, we will do what is called for and everything it takes to maintain that.

Ritesh Shah: Right. So, I was just referring to the fine print documents which are available on the Maharashtra government website. So just to clarify that point. And just to continue, sir, is there a plan B just Birla Corporation Limited
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in case, if there is some disruption on supplies on limestone? Do we have a backstop plan B in place? And that will be my last question, thank you.

Management: I don't get you, please come again to repeat, please.

Ritesh Shah: Sir

For my question is, if at all, there is some problem in sourcing of limestone for the Yavatmal facility, do we have a plan B over here? The reason I ask is, earlier we have seen similar instances at the Chanderia CCW1, CCW2. So just being cautious, is there a plan B if at all there is some disruption over here? Thank you.

Management: Two points. First, Chanderia and Mukutban are not comparable. Okay. Having said that, first of all, let's, since you raised Chanderia, let me say, Chanderia, we have not stopped mining. We are doing mining in an environment-friendly way, even if it means some additional cost for us, because we value conservation as high as any, than any other activist or any other people over there.

First of all, we will not do anything that jeopardizes the nature, which we do not have permission for. Obviously, this plant cannot be set up, couldn't have been set up, based on availability of limestone in some other state. And even if you have some other state, the same kind of issues can arise there. We have limestone reserves earmarked for this, not just in one mining block. There are more than two, one, two, and there are others which are potential limestone blocks which are there within the vicinity. You cannot be running such a plant of 3 million tons by getting limestone from another state.

And I don't know which Maharashtra government notification you are looking at. We have, as I said, the requisite permission. We have the requisite mitigation measures in place, we have a -- and in which we have worked with authorities at various levels and that's the way to go forward. And I don't think the government or anybody wants to shut up plans on some theoretical assumptions. They are also interested in development happening in the areas and they will work in partnership with the industry to find a way forward.

Ritesh Shah: Sure, sir. Thank you so much. I'll look forward to the conversation on this topic with you sometime. Thank you.

Moderator: Thank you. The next question is from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang: Hi sir, congratulations on a good set of numbers. So, the first question is that we are already operating at very close to 90% utilization and probably if we achieve that 15% growth would be very close to full utilization of the plants which could hamper the volume growth in the future years. So, any debt levels that you would look at planning or you would probably plan and make sure that the plant would come up on-line? So that at least there is continuity to the volume growth that we are looking at. So just wanted to know the timelines when we can sue and what kind of debt levels you would be comfortable?

Management: See, first let me comment on the growth plans and I will let Mr. Sarangi talk on the debt levels.

We obviously have a growth roadmap in mind and I have been, all of us have been, very upfront

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in saying we are not looking at exponential growth and getting at for that matter to get that get into any kind of adventurism in the market or investment thing.

But here we have very clear steps planned. Now to deliver on the first 15% we do not see that as a challenge, A, with Mukutban ramping up which we are doing. As soon as the Mukutban ramping up is in stage, we may do a couple of other things to make the operations more profitable. We have on the plan, we have indicated, we may be looking at some new grinding

units in proximate markets, which will – we have still got some excess capacity in the Chanderia and other places. We will do that.

And once the whole thing stabilizes there, we will be ready – I don't want to give a date and number – to move forward. The most logical thing next would be our Maihar Second Line, which we will go for. So, we have a clear, steady plan of both volume as well as profitability. On

one of the areas we would like to focus to create value for our shareholders, for our investors, is getting our profitability at par with the, you know, the top, the leading players, where we had been lagging earlier for a variety of reasons, and we want to catch up on that speedily.

Aditya Saraogi: On debt level, as we have mentioned, we would like our debt to EBITDA ratio to be within 3 on a sustainable basis. We stand by that.

Mangesh Bhadang: Understood. Sir, I have just one small question that we recently purchased a company called Sanghi Infrastructure which has mining rights in Katni in MP. So, in this, just to augment other limestone resources for existing operations, or you'd be looking at a Greenfield facility here sometimes, probably in the future?

Management: We look at that whole block as a total consolidated production capacity in that block. By block I mean that whole geography of Satna, Katni and that area. So, this is where it is part of our whole limestone bank, raw material bank which we are doing and how, which is the most cost-efficient way of doing it, whether it is a separate greenfield plant or by adding a second line to Maihar or doing something in Satna, those are calls we'll take later.

But we are looking at how much production we need from that area. What is the kind of market share which we can realistically command in those areas, because we are not the only people present there. At the kind of returns that we want. We are not the kind of company who just put up capacity and then undercut my own brand to bring down premium and everything.

So, we will do what is best, but for a long-term limestone security, we take a number of steps and this is one of them which you have seen so far.

Mangesh Bhadang: Understood.

Management: This is exactly how we want to, you know, make our operation sustainable. So, there are many ways we feel to augment the business rather than just setting up capacity, buying units, etcetera.

We have got a lot of these sort of things to do and we have been focusing on those, whether it's the, when you talk of the captive coal mines, we are getting our limestone security in place, and I talked about the whole branding, branding architecture, your distribution assets, all of that we Birla Corporation Limited

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focus rather than just simply once upon a time people used to look at the cement industry only in terms of capacity, but we think we need to look at it much more holistically.

And all these are equally important. And once all these blocks are in place, when you have your sourcing, the raw material assets, you have your production assets, industrial assets, you have your marketing assets, you have your logistics, there's a lot of work to be done, which we are

focusing on, because that will be the next, I think, frontier of value creation in the cement industry. All those things, everything may not necessarily happen only by addition of capacity.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Yes, good afternoon, sir. Thanks for the opportunity. My first question is on your debt level. So last quarter it was suggested as around INR3,600 crores, INR3,700 crores FY '23 end. Has that materially changed this quarter? And what is the capex number which we should build in for modelling purpose for FY'24?

Aditya Saraogi: Our debt as on 30th June was around INR3,600 crores only, net debt. And our total capex plan for this year is around INR1,000 crores which includes sustenance capex, capex required for Shikhar project, capex required for the operationalization of coal blocks of Bikram and Marki Barka and also some capex which remains to be run in Mukutban or the payment which needs to be made.

Prateek Kumar: INR1,000 crores is for one year or like you were saying for spread over '24-'25?

Aditya

Saraogi: No, no this is for '24.

Prateek Kumar: And our capacity will remain at 20 million ton post this capacity capex what we are envisaging?

Aditya Saraogi: Yes, this year there is no change in capacity, this year.

Prateek Kumar: Right, and for the other capex or expansions which we have highlighted for going from 20 to 25 million ton, so the...

Aditya Saraogi: There is slightly improvement, there is slightly improvement.

Management: We are going into that question over and over again, we've been very clear, we are not looking at doing it just now, till the time we have got our existing operations in order, which does not mean its indefinite delay, but we'll do as I said, at the time of our choosing, and we are not

changing capacity. And once we are comfortable, we'll do that. But because we don't really want to get, as mentioned earlier, adventurous on the financing trend.

Prateek Kumar: Right, and just one more question on Mukutban operations. You said last quarter, cost of operation has come down from 4,500 to 2,800 per ton variable cost. Has this come down further or is that stabilised at this level?

Management: We also indicated, I think you are supplementing questions, I have indicated that coming down is incremental and a steady coming down and we expect this to come down, as I mentioned earlier also, it is not just as a function of volumes or volume ramp up, it is in the function of

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various other initiatives and you know things which are going to come in terms of raw material sourcing and the rest of it which we so our target is far lower and we expect to achieve that in a steady manner and directionally we are proceeding there. So, it is not plateaued and it's far from having plateaued.

Moderator: Thank you. The next question is from the line of Tushar Verma, an individual investor. Please go ahead.

Tushar Verma: Yes, hi, sir. I have a couple of questions actually. My first question is on the pricing side. How are the prices of cement shaping up across various regions that we are catering to in Q2 FY'24?

Management: If you please finish all your questions. If this is the only question, then I'll take it on.

Tushar Verma: No, I have one more question on the fuel cost side. What was the consumption fuel cost in kilocalories in Q1 FY '24? And sorry, I missed this answer. What is the benefit we expect to occur in the coming quarter from this fuel cost coming down?

Management: Yes, so first point is we have been indicating that we do not expect prices to be fluctuating too highly anywhere. This quarter obviously you have the impact of monsoon, but despite monsoon we have not seen a huge slide in prices. The prices will remain soft, but I do not think it will crash in any way. We are proceeding on that basis that which has been projected for the industry at large that this year overall prices would remain flat. It might go up and down a little bit but average pricing for the year will remain flat.

Aditya Saraogi: And on fuel costs in this quarter our cost on an aggregate basis was INR1.95 per million calories. In the next couple of quarters, we expect that to come down to around INR1.70 to INR1.73 per million calories.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Namaskar Sir and thank you for a very elaborate briefing in your opening remarks. Sir, please help me with the net debt number, absolute number, our blended cost of fund and our current year maturity?

Aditya Saraogi: Our net debt as I explained earlier is around INR3,600 crores. As of 30th June, our cost of fund is 8.02% which we expect to reduce gradually over the course of the year. And our total maturity is INR491 crores.

Saket Kapoor: And sir when is our rating review sir?

Aditya Saraogi: One of that is already happened, by CAR

E, CARE has already done its review.

Saket Kapoor: And I take the liberty of just a small submission here also that the message to be forward to our chairman that even other companies in the space also warrant attention the way Birla Corp has been attended by Saraogi sir and Ghose sir. So please do convey the message that the other listed companies are also wanting the same kind of attention in the form of investor interaction through

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con call and press releases. And a very elaborate press release, we hope for the continuity of the con call and the release going forward. And all the best to them.

Management: Thank you. The other, please talk to the other when you are talking to the other management.

Saket Kapoor: It's a cross holding, sir, we don't get an opportunity. But anyway, I thought a message to be conveyed. Maybe. Pardon me for my unawareness. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Rajesh Kumar Ravi for closing comments. Over to you, sir.

Rajesh Ravi: Hi, sir. Do you want to make any closing comment before we close the call?

Sandip Ghose: I'll just thank everyone. Thank you very much, all of you for joining. I would obviously your focus on numbers is very natural and commendable but as far as Birla Corp is concerned I would request you to look a little beyond the numbers on a, there is a lot of qualitative efforts which have been happening and has happened over the last few years, which I don't think was really factored in by the market. It was probably not visible. Now, because we are talking, because you're seeing there are more closer interactions, you're

seeing those things, I think that is something I would like you to, you know, pay attention sometimes because a lot of things are actually, goes beyond the numbers and we are certainly not a company, I said, who are chasing capacity, because that cannot be our game.

When you have people at 100 million and somebody else at 70, 75 million, just by chasing capacity I can't compete with them. I have to do things qualitatively, consolidate where I am and that is what was going to generate value for my investors, we believe, rather than just simply chasing volume numbers.

So that's the strategy which we have been going so far. I think it's stood us in good stead and we would like to build upon it. So, when you are looking at us also, I would request you to pay some more attention to what is being done at the various qualitative level. Thank you. Thank you so much. I really appreciate your joining, taking the time off. All the best. Thank you.

Rajesh Ravi: Thank you. Thanks. Thanks everyone for joining this call. Moderator, you may now conclude the call. Thank you.

Moderator: On behalf of HDFC Securities, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2023

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15th November , 2023

Corporate Relationship Department
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Scrip Code: 500335 The Manager
Listing Department
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Scrip Symbol : BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst earnings conference call on the Unaudited
Standalone and Consolidated Financial Results of the Company for the quarter and half
year ended 30th September , 2023 _____

Pursuant to the provisions of Regulation 30 read with Part A Schedule III of the Securities and
Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please
find attached the transcript of the investors/analyst earnings conference call held on 9th November,
2023 at 1.30 P.M. (IST) on the Unaudited Standalone and Consolidated Financial Results of the
Company for the quarter and half year ended 30th September , 2023 . The event concluded at 2. 31 P.M.
(IST) on 9th November , 2023.

A copy of the same is also available on the Company's website at
<https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above

MANAGEMENT : MR. SANDIP GHOSE –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA CORPORATION
LIMITED

MR. ADITYA SARAOGI – CHIEF FINANCIAL OFFICER
BIRLA CORPORATION LIMITED

MR. RAJAT PRUSTY – CHIEF OF MANUFACTURING AND
PROJECTS – BIRLA CORPORATION LIMITED

MR. KALIDAS PRAMANIK – HEAD OF MARKETING AND
SALES – BIRLA CORPORATION LIMITED

MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER –
RCCPL PRIVATE LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Birla Corp Q2 FY24 Results Conference call hosted by HDFC Securities. As a reminder, participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajesh Kumar Ravi from HDFC Securities. Thank you and over to you, sir.

Rajesh Ravi: Good afternoon, everyone. On behalf of HDFC Securities, we welcome you to Q2 FY24 earnings call of Birla Corp. From the management side, we have Mr. Sandip Ghose, MD and CEO, and Mr. Aditya Sarangi, CFO, to discuss the results.

I now hand over the call to the management for the opening remarks, which will be followed by the Q&A session. Over to you, sir.

Sandip Ghose : Good afternoon. Very good afternoon. I'm Sandip Ghose, MD and CEO of Birla Corporation. I have with me key members of our E-team. That is Mr. Aditya Sarangi, our CFO, Mr. Rajat Prusty, our Chief of Manufacturing and Projects. I have Mr. Kalidas Pramanik, who is our Chief Marketing Officer, and I have Mr. Arun Agarwal, who is our Finance Controller. Thank you very much for joining this call. I'm sorry we are literally eating into your lunch time, that all of you took the time out to join us. I'm indeed grateful for your continued interest in Birla Corporation.

This is the third con call we are making, and the large participation indeed gladdens our heart that all of you, though we are relatively a smaller company than many of our big peers, that you continue to be interested in our company's performance. That's very encouraging for the management and our operating team, and it gives us a great deal of inspiration as well. Now, coming to the quarter's performance, I think we have circulated a very comprehensive press release, which covers much more than what probably is covered in the presentation.

So you would have had all the major explanations of management in terms of uncommemorative management, in terms of the performance. I will therefore focus on a few key areas, which I anticipate would be also your main points of interest. And then on, you know, we'll move from there to take on your questions as we go along.

First, I think which is everybody's favorite topic, is our Mukutban operations. I'm very happy to report that Mukutban, we have been progressing very much according to our plans. I've mentioned in the previous calls, when I took over as the Managing Director and the new E-team at the beginning of this year, I found there was much of, you know, apprehensions or some amount of misgivings about how our Mukutban project was doing.

There was some perception in the market. I don't know how it was contributed, what contributed to it, that Mukutban was probably lagging behind plans and it was not really working out on plans. And I personally felt when I took over, and that was the conversation I had with our
Birla Corporation Limited

promoters and directors, that I personally felt as soon as I came in and when I did my ground checks before joining, I joined a month before that on the board, I was very confident that Mukutban was in the right path and very soon we will see, you know, light at the end of the tunnel if there was one.

Because Mukutban, you know, contrary to what people didn't quite appreciate, it had come into being in very, very difficult circumstances. We ran straight into the heart of COVID and then the second wave of COVID was even more harsh, which affected our operation. But we, our management team, the project team did an excellent job along with our con

tractors and

associates to carry through the construction in that period.

And what we achieved through that, you know, there are, I think there were very few other examples of people carrying on such a massive project during that time. But obviously, there was a kind of a delay that would have contributed, but the delay was not only on our side, because the delay was also impacted in the market because of whatever the COVID lag effect which was there in those markets, that was also there, it had a lot of collateral impact. And so it had to be judged in that context.

But coming, cutting a long story short, after nine months, I can say with confidence that we are moving ahead in full steam. And there is traction, there is momentum. We have already said in our report that we were close to one and a half lakh tons in September. It is since then, it has gone up further. In October, we had a very good month of October for Mukutban. Our various strategies which I had outlined earlier are yielding results.

But one major, very, very major development which had, and that is entirely as per our plan and prediction, was the scaling up of mining in our own captive mines at Mukutban. Again, a factor on which I think there were a lot of people had some doubts or raised some apprehensions. But today, our captive mines is fully operational and this has given, had a very, very positive impact in terms of our raw material cost.

And we, not only are we able to mine from a proximate, you know, source, but there were earlier, we had to get in some high quality limestone from distant places for, to top up the quality. All of that has been eliminated. Now, we are purely on our own source and this had a huge impact over there.

And as our production, our capacity utilization has been going up in Mukutban, the plant is running, you know, for the kiln is running for a longer period and that is bringing in all the efficiencies over there. And we have had a progressive reduction in cost month after month. If I were to give you some ballpark indication without going into specific numbers, from the time we started or commissioned the plant, or if you were to compare exactly same time last year to now, the reduction in our variable cost is about 50% since then.

And from where we started off exactly a year back. And that should give you an idea of the kind of, you know, bottom line impact that is coming through over there. Simultaneously, if I were to show you a graph of how the volumes are being ramped up, that has been a steady increase.

So, it has been a double bonanza, volumes going up and there is a strategy for it, which I will explain to you in a little greater detail later. So, if you were to see a graph, either month on month or if you see it on a moving average basis, we are making steady progress to come to, as I told you [inaudible] Am I back? Can you hear me? Because there seems to have been an interruption. Okay. We are there. Can I continue?

Moderator: Yes, sir. Okay. Sorry about that.

Sandip Ghose So, coming back, as I said, we have reached about 150,000 tons at the end of September. But that was no flash in the pan because we have made a steady progress, even in October, taking it up further, figures which probably would not be appropriate for me to say. But so, you have had a two-way, you know, benefit. And I will dwell on the marketing strategy and our marketing plans, how it's panning out a little later. So, that's really been a heartening story as far as we are concerned. Now, talking of volumes, there are two parts to it.

You all are always interested and all would be interested in terms of our Maharashtra sales. And I can say that our Maharashtra sales today, out of this 150,000 tons, if we were to talk about our Maharashtra sale is higher than a lakh tons, which is again, more than two-thirds

of the volume

is coming from Maharashtra. This is excluding Telangana, which is almost an adjacent market. And taken together, we are doing about that volumes over there. But we are getting additional

50,000 tons odd from secondary markets. And this was perhaps not appreciated. This is very much part of our strategy. What we have been able to do as I have dwelt in the earlier calls, we are now servicing a large area in southern Madhya Pradesh from Mukutban. Now, these areas, again, we are reaping a two-way benefit.

One is these areas are today much more serviceable from Mukutban and then they are opening up for us. Earlier, from Maihar and Satna, we could not reach these places very effectively. So, our penetration in these areas or the reach or the extensive reach was not very large.

Now, today, because I am able to service these areas better, there is better connectivity rail-wise from Mukutban. And if you were to look at all these railheads like Ratlam, you look at Khandwa and Chindwara, Betul, all these are the railheads which is there, which I am able to take. And therefore, my distribution network there is increasing.

Simultaneously, I had mentioned to you earlier, South Gujarat has come within a striking distance. So, there also our volumes are picking up. And also, occasionally, on an opportunistic basis, we are able to service adjoining areas of Chhattisgarh on an opportunistic or a tactical situation.

Now, what does this do for me? What it is doing for me, as we had mentioned earlier, in terms of our strategy, it is releasing a lot of my clinker capacity from Maihar and Satna. And this material, I am able to service, A, my profitable markets of Eastern UP, Madhya Pradesh, but also take all the way to Bihar. But not only Bihar, this is sometimes, depending on the prices in the east, which fluctuates.

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But now, as you know, the prices are moving up in the east once again. We are able to even service parts of West Bengal, especially North Bengal, which were earlier not reachable. And it is not really at a low price. It does not make sense for us to supply ex-Durgapur, which is a high-cost unit. We are able to service there.

So, the Mukutban facility should not be, as we have said, should not be looked at in isolation.

And a point I have mentioned in the press release, and this I had elaborated in some of our earlier conversations, is today my central zone market, which is the key market, I have really, in a way, surrounded on a 360-degree basis, from four of our main plants, which is Satna, Maihar. On the other side, from Chanderia, I was already supplying Western MP, that is Indore and those adjoining areas over there.

And now, because of Mukutban, I am able to service, Southern MP and Gujarat. And in the process, as I said, releasing much of my capacity in those earlier, the older plants for more proximate location. So, this has worked out very well for us. And that's also because something which I mentioned in the press release yesterday, not many people realize there is a lot of talk in the market about people doing cross-branding, people utilizing flexibility of manufacturing, flexibility of two companies or their other plants.

But Birla Corporation has been doing this way back since 2016, when we have been seamlessly supplying the market with products from both the old BCL stable, that is Chetak, Samrat, etcetera, and the newer brand, which is Perfect Plus, we were doing it seamlessly, interchangeably, from Satna, Maihar, Kundanganj, Raebareilly, Chittor, all these places to these areas. And now, to that portfolio has been added Mukutban.

So, our ability to reach these markets, service these markets, is better than a lot of our esteemed peers who are in the same league as ours in terms of capacity and size. But that brings me to the other point, related point,

is about our branding strategy of Perfect Plus.

Today, when you see, we keep talking about our premium component in our trade sales, which is about 54% comes from the premium component, and within that premium component, Perfect Plus contributes about 65% of the premium component, which is the volume.

Perfect Plus is acquiring the status of not only being a flagship brand, but it is also, if I were to say, it is close to becoming a national brand, because we have today got media synergy to promote Perfect Plus on a pan-India or pan-North India, at least I can say, north of the Vindhayas, that area, the Hindi-speaking media market, that I am able to promote Perfect Plus. And we are seeing that traction coming through.

Very clearly, we are seeing the investments which we have made on this brand for the last several years now paying off, because even if you were to look at Mukutban, where I have said this before, that when a new market, when I am entering, for us, it is a virgin territory, and when I am entering there, even today, I am selling more than 40% of premium products in those markets. And that has been, therefore, the acceptance of Perfect Plus has been very good in these areas. And going forward, it is premature, it will be premature for us to reveal, but you will see much

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more investment in this franchise of Perfect Plus, both in the brand itself as well as brand extensions. Now, why brand itself?

I will come back to that in a while, a little later. But Mukutban market, we are looking clearly at positioning ourselves as a premium player. So, we have also just launched our Rakshak brand, which is a super premium water repellent brand in league with some of our competitors, top -end brands like ACC Gold and Ambuja Kavach, etcetera.

And we have launched that in the Maharashtra market, and we will be supplying adjoining markets. So, this is to take up our value share in these places. Now, more than that, we have reached a 54%, which is pretty much, you might call it a saturation level of a premium thing, because our idea is not to vacate the popular space.

We would like to operate, as I keep using the term, borrowing from some other people, this is really a double -engine strategy. We are one of the few companies who offers travel between the popular value, which I call the value segment, and the premium segment simultaneously. Either our top, our bigger competitors, they play only in the A category, they don't have B category offerings, or we have a lot of people who are at our league who play only or primarily in the B category with a very small segment of A category product, whereas we are more or less evenly distributed between the two.

Now, what does this allow me to do? Again, within the premium, by the way, we have followed always a segmented strategy, which no longer it is only Perfect Plus. We have now got Samrat advance in our core gung-ho markets, which is positioned below Perfect Plus, but higher than the value segment.

Now, with Perfect Plus gaining a critical mass across the geographies where we are present, and now through investing in it further, I hope to take up the premium of Perfect Plus, not in terms of volume, but in terms of price premium further. A lot of you do your own independent checks, channel checks, and your own market research, and you may like to validate my statement today in our key markets. If you were to look at Eastern UP, large strata of Madhya Pradesh, I am priced, in fact, in some markets, a couple of rupees higher than some of the leading brands, which were there in the A segment.

It is a function of two things. Some of the A category brands have diluted their price position. I do not want to name them. You know them better than me, and others, there is a lot of, tussle in that segment, but within that segment, we have been able to not only hold our

price position, but

we have been also able to hold our market share, and that is the point which we have highlighted in the press release. In all our core markets, despite the tough competition which is happening there, we have managed to hold our market share. By core markets, I mean, again, once again, MP and Eastern UP.

These are our most profitable markets, and we have been able to hold both our price position and this, which, once again, reaffirms and reiterates our branding strategy. So, although these markets are seeing a lot of competition, both at the value end due to new players who have come in, as well as at the higher end, where you have the biggies, looking eye to eye, and some of

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them diluting their price position, etcetera, we, as, a second, a lot of these markets, we are the number two brand in comparison there.

In some markets, we are actually, in combined sense, Birla Corporation is the market leader, if I were to combine both the value and the premium segment. But we have been able to hold that, and I think that's something I would give Mr. Pramanik and his team a lot of credit, plus whatever the brand investment, the channel investment, creating what I call the distribution assets and marketing assets has paid off.

Our sales team, I think they are very motivated and charged. There is a lot of pride in our sales team, people who are working in the field. We are getting today, our employer branding there has improved. We are getting constantly people from bigger companies wanting to join us. So this, all this kind of, reconfirms my faith in that.

Perfect Plus, again, in a very small way, though we have not focused too much on that segment, in our brand extension, we launched our RMX or RMC, we did a test marketing and a pilot plant in Uttar Pradesh, in Lucknow, which we are selling the ready mix concrete as branded as Perfect Plus Concrete. We are not selling it as MP Birla Concrete, we are selling it as Perfect Plus Concrete. We have got very positive response.

We are, again, in a small way, we were one of the first to introduce the value -added segment of, waterproofing material, wall putty, etcetera, again, under the same, though we have not really, so far, put too much effort behind those, we are finding even those, the acceptance in the trade channels is good. So the franchise is working, is what I'm trying to emphasize to you all. You will see much of this, therefore, happening also in the Maharashtra and Mukutban market.

So far, we have been keeping our powder dry in those markets till we achieved a critical mass, but going forward, in the next few months, you will see a lot of marketing action in those places, which are tailor-made, focused in that market, through which we expect to, improve our brand salience and presence there. So that is what I would stop on the branding thing there.

The next point, I assume your interest would be in our new unit, which we have declared, announced yesterday, which we are going to set up in Prayagraj. This, we had indicated to you all earlier, that our next major expansion, in terms of clinker capacity, will come at Maihar, and that will be about two years down the line, because we were originally talking about 2025, it would get postponed by a year or so, because of the Mukutban delay, etcetera. So, in the meanwhile, our investments would be in optimizing some of our production capabilities -- our capacity.

Now, here, the strategy is, if you were to ask me, is this, all of you know that next year, my Kundanganj's incentives are going to be, excuse me, going to expire, and in that situation, I would need another, though I will offset a lot of that thing with our Mukutban incentives, which will kick in by then, and start coming and compensate that in the bottom line.

But going forward, I need to augment this, and this Prayagraj facility,

which will be entitled to

the UP government incentive of 300% of investment, is going to provide me a substantial benefit out there. But the benefit will not be restricted only to the incentive, the benefit will also --

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accrue in terms of logistics, because when I'm in that market, right now, I am bringing fly ash from that zone of around Allahabad and adjoining areas from Prayagraj back to Satna or Maihar. This, which I'll produce, I will be producing in the market, and this being a very, very core market, it will increase my serviceability in those markets, instead of servicing them all the way from Satna.

And we expect, therefore, that's why we have mentioned very clearly in our press release that we expect the ramp-up to happen very soon. Now, meanwhile, you might ask, what is happening in terms of my overall capacity? How do I manage to keep the projection of 15%, which we have talked about in our volume delivery? I have already given you a clue to that. We had this plan, how we are optimizing our Mukutban facility to sell there. And there are other things on Mukutban, clinker capacity, I talked off earlier, how we are able to sometimes swap or, carry the clinker, even sometimes makes sense for us to carry it all the way to West Bengal, to Durgapur, and other things.

So, these are the things which will, and also debottlenecking, which we have in plan, will carry us through in the interim period. And here, when I am talking about volumes, I think it will be appropriate to me to touch on our oldest unit, Chanderia. Now, Chanderia, we had carried out certain expansions earlier, which you are aware of. Now, those expansions are fully utilized, and we have really stretched our capacity there. So, that is now going to be -- that is beginning to produce in full steam, and that will also give us some additional volume. So, that is how our entire volume makeup will happen in the interim period, and with that, the branding strategy is what is going to move up.

Coming down, all of you know about Project Shikhar. We have mentioned Shikhar is operating very well. It has already yielded about INR50 per ton savings, but now the Phase 2 of Shikhar will start. It is early for me to share more details, where we will now start tackling more of the overheads part of our operation, the fixed overheads and costs, and we expect to get benefits of that in the coming period. Maybe not much of it will accrue in the next six months, but you will start seeing results of that going forward.

But simultaneously, a project which we had not talked about earlier is Project Unnati, which Mr. Kalidas Pramanik is leading in the entire go-to-market segment, which is not just brand sales distribution, where there are a lot of initiatives like digitization, etcetera, happening, but also into logistics. We have made certain investments in the previous period. Some of them were yet to fructify, but now they are fructifying. One is our integrated logistic management system, which will get operational in two of our main plants, and that will give us total visibility of the movement, outward movement of our material right to the dealer's steps, and be able to monitor movement costs and the turnarounds.

So that is something which is taking place in the logistics field. We call it the ILMS, Integrated Logistics Management System. Along with that, we talked about our focus market activities with an idea to raise, first of all, our realization. Here, I would like to mention that is the way we have maintained realization. All of you know, in the core markets of ours in Central India, prices had slipped in the last quarter, but we have been by and large able to maintain our price because of the focus marketing activity and focus on premium brands, especially in Madhya Pradesh, where

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last year it has slipped a bit, but we are putting in all efforts on perfect plus, and we are seeing the results. So there is a whole gamut of things in Project Unnati, which I am going to share with you all later. That is beginning to give us the results.

So I think by and large, I have covered most of the areas from my side to reiterate on volumes and capacity utilization. You know that capacity utilization this time has reached 87%, and a lot of it is because of the Mukutban scaling up. It will go up further. We were earlier at 90%, 95%. We were operating at large. We are still operating at that in our older plants. This is going to go up further in the coming quarters. We are keeping our volume projections unchanged.

We still maintain that we are going for our EBITDA margin in the region closer to INR850. In that kind of region, what we have talked about earlier, we are not changing that. Internally, we have maintained our same budgets as we started the year with, and therefore for the benefit of all of you, we are not changing all of that, and I think we are cautiously optimistic of making that.

On pricing, we are taking again a realistic view. Although, we have seen some price increases during October, we are also seeing some slackening this month. So to be conservative, we are taking on a flat price scenario between October to March. Anything which comes as a tailwind will be beneficial for us. We will welcome it. But in terms of our own internal projections, we are looking at a more or less flat scenario in planning our volumes, planning our marketing strategy.

So I will take a pause here and open it for questioning. I would request for the sake of being able to accommodate everybody, please don't put two or three questions together. Try to keep your main questions so that I can take on more people, because later on, I get complaints from a lot of my friends that you didn't give us a chance to ask or you didn't answer our question. I like to have them as friends, so give everybody a good chance to speak. Thank you.

Moderator: Thank you so much. We will now begin the question-and-answer session. The first question is from the line of Mr. Aman Agrawal from Equirus Securities. Please go ahead.

Aman Agrawal: Hi, sir. Thank you for the opportunity. First, on the Mukutban itself, last time we highlighted that because of the depressed prices in Maharashtra region, we had to curtail some dispatches to far markets of Maharashtra. We just wanted to understand how was the situation in 2Q and what was the lead distance for Mukutban and overall lead distance in 2Q?

Sandip Ghose I will let this question be answered by our marketing head, Kalidas Pramanik, so that you can hear it from the horse's mouth and in terms of the Mukutban, footprint.

Kalidas Pramanik: Yes, this is Kalidas Pramanik from marketing side. So, the question pertaining to Mukutban, if you look at, mostly we have sold in Maharashtra. Out of our total sale, whatever we have sold, almost 65% to 70% it has been sold in the Maharashtra itself. And then when you are talking about the certain areas carved out from the MP, the southern parts of the Madhya Pradesh, there as well as we have sold some quantity in Gujarat. In Gujarat, yes, the lead is little bit higher, but if you look at the pricing point of view, that pricing is far better than the Maharashtra and this part. So, that gives us a better contribution.

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So, our further efforts will remain to maximize our sale in Maharashtra. Yes, but these are the areas which are coming as a natural market for Telangana as well as southern Madhya Pradesh and small quantity in the Chhattisgarh area. And whatever the tactical way, one or two rakes we are sending like North Bengal and all these areas, this is just when the opportunity sells, whenever the price is better, we are pushing it.

But our prime focus is in Maharashtra and southern MP. So, and as far as the lead is concerned, if we talk about the lead is mostly within the Maharashtra itself, our lead, it is coming around 250 kilometers to 300 kilometers. That is the range basically we are focusing on. And if you look at, yes, Gujarat, it is coming around 750 kilometers to 800 kilometers. But overall, if you talk about, it is not going more than 350 kilometers to 400 kilometers.

You asked all prices and price. And if I look at the prices, prices, yes, in the Maharashtra, if you look at in the quarter 2, that is a little increase happened, not as we expected. And that, since it is our home market, it gives better realization. Simultaneously, if you look at the MP, MP more or less the price remains flat. But since it is closer to our plant, it gives as good as Maharashtra realization. And as already I talked about in Gujarat, since price is better than these are the parts, it is giving the good realization. And I'm expecting in the quarter and then October more or less, we put our efforts and we realize some price gain.

And in this month, yes, as MD also said that that little bit slackening is there. But I'm hopeful that after Dipawali, again, it will pick it up.

Sandip Ghose I'll just add to the price point to answer. I think you were focusing more on Maharashtra. As Mr. Pramanik said, Maharashtra did not increase significantly, only marginal price increase. But what allowed us to increase our footprint is the sharp decline in our cost, which we got. We were expecting increase in Telangana, which sometimes is a spillover effect into the adjoining areas of Maharashtra. As you know, Telangana has also been a little yo-yo situation. There has not been effectively price increase. So price increase has not really contributed to our volume increase. Our volume increase has come through partly improving our realization through premiumization and our cost efficiencies. Thank you.

Aman Agrawal: Thank you, sir. Thank you for the detailed explanation.

Moderator: Thank you. The next question is from the line of Mr. Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you, sir. Sir, we are again reiterating INR850 EBITDA per ton. So in the first half, we have done INR673 per ton. That means the ask rate in the second half is more than INR1,025.

So that is a 52% hike from the current INR673 that we have achieved. So how are we confident that we are able to deliver such number? And that means in the third quarter also, are we expecting such a significant increase in the profitability to more than INR1,000?

Sandip Ghose: We have a very clear roadmap and our internal visibility on this. And we have also factored in certain tailwinds, but equally we have factored in contingencies in case some of those tailwinds were not to materialize. But clearly, we will get benefits through our higher volumes, which we are talking about.

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We have looked at marginally higher prices through our mix, geomix and our, if you were to look at, when we talk of prices in our kind of company and as it is for other larger companies, it is a mix of a variety of things, including which plant is producing how much and the respective pricing in those markets. We have a view on that.

So although the overall market prices may not go up, but in our mix, the prices should go up and we are looking at therefore about a 3% kind of increase going through in this second half.

Mukutban profitability will clearly, be a major contributor. And as I have indicated to you, we had earlier indicated an exit rate for Mukutban in March 24. We are hopeful of achieving that much ahead of it.

We are, today tracking ahead of our own projections. So if that happens earlier, Mukutban should throw some positive surprises. And then our efforts on Shikhar, Unnati, etcetera will

already

Shikhar has delivered 50. We expect to see more delivery through Unnati as well. It is about INR17 to INR20 we are beginning to see now through ILMS and other things will come in.

So overall in that mix, when we are saying, we have always said just to be very clear, I am not diluting the 850 number, but we always said in the region of 850 and that is something which we maintain.

Shravan Shah: Okay, that's great. Second, sir, if you can share a couple of data points, lead distance for second quarter, 1H for FY'24 and for FY'23 as a company on a console basis and KKL cost for this quarter and the fuel mix, particularly our own coal mine share is how much and the petcock is how much?

Sandip Ghose: I requested you all to limit your questions to one. I'm sure this question will come up later. We'll take it up then. I'd like to give a chance to another person.

Shravan Shah: Sir, I request you to humble request. Yes, I understand. I just wanted to finish my line. Sir, humble request. If you can reduce your opening remarks, you have taken a 30 minutes and then we don't get the chance to ask the question. So either you increase the con call time to one and a half hour. So that's a humble request.

Sandip Ghose: We will keep that in mind next time. And that's a very good input for me. I tend to speak too much. If you don't like that, we'll keep it. I don't mind keeping it only question answers because we do. I got wrong feedback so far that you do like, a longer explanation. But if this is the feeling of the entire house, next time onwards we'll make amends. I'll take the feedback from our con call arrangers. If they also, that's general feedback. We'll certainly reduce it. Thank you very much.

Moderator: Thank you. The next question is from the line of Mr. Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: Hi, sir. So thank you for the opportunity. So I just wanted to know that what sort of EBITDA Per Ton did Mukutban generate this quarter?

Sandip Ghose: We don't disclose our numbers unit wise, please.

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Parth Bhavsar: Would it be like in line with the consolidated number?

Sandip Ghose: Obviously, we can't comment on that. Obviously, consolidated number, if you're saying the average number Mukutban and if you're expecting Mukutban to come anywhere close to that, that's very unrealistic. A consolidated number is a weighted average.

Parth Bhavsar: And the last question, what sort of incentives do we expect at Mukutban?

Sandip Ghose: What kind of?

Parth Bhavsar: Incentives.

Sandip Ghose: We have said that before. Our incentive would be INR600 per ton in Mukutban. But that will obviously get averaged out between other units. And also, there are various factors on which the incentives get decided as per the incentive rules of Maharashtra. But overall, if you were asking us, that is the kind of number which we have budgeted on a longer-term basis.

Parth Bhavsar: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Mr. Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Hi, thanks for the opportunity. So the first question is again around Mukutban. So I missed the opening comment, actually, the first part of it. So what is the utilization currently at Mukutban?

And what is the exit FY'24 that you're looking at?

Sandip Ghose: Our current Mukutban, utilization is in the region of 40% till quarter two. We are looking at an exit of closer to 60%, between 55% to 60% when we exit quarter four.

Amit Murarka: And how much sales will happen in Maharashtra out of that?

Sandip Ghose: We've already indicated in the previous calls, we are looking at an exit of 2 lakh tons overall. And in that, we expect Maharashtra to be closer to 150.

Amit Murarka: 150?

Sandip Ghose: Yes.

Amit Murarka: And currently, you are achieving similar proportions in your sales?

Sandip Ghose: I said that in my speech, I won't repeat because I've already been ticked off for speaking too much.

Amit Murarka: Thank you very much.

Moderator: Thank you. The next question is from the line of Rajesh Kumar Das from Navodaya Enterprises. Please go ahead.

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Rajesh Kumar Das: Thank you for the opportunity, sir. My first question is, is there any possibility of declining the raw material prices in the coming quarters as well as in FY'24?

Sandip Ghose: We have not budgeted for anything. We are looking at it in a static way, which we think is realistic and that's why we would like to keep it.

Rajesh Kumar Das: Okay, sir. My last question is, what is the expected premium sale volume in the next quarter as well as in FY'24? Any guidance for that, sir?

Sandip Ghose: We already said that I think we have reached quite a bit of a peak in this and we don't want to vacate our value segment. We want to be more or less equal on both sides. Our strategy now would be to increase the premium on products rather than just increase premium sales volume.

At 54%, which we have reached, actually at 50%, I'm very happy. If something more is fine, give or take, but we don't want to push it further. I would rather push up my premium Per Bag.

Rajesh Kumar Das: Sir, my last question is, any price increase in the month of October and November and what is the average price for this quarter?

Sandip Ghose: I have already indicated that. As I said, I won't repeat, then your other colleagues will pull me up again for repeating myself. Thanks.

Rajesh Kumar Das: Thank you, sir. That's all from my side.

Moderator: Thank you so much. The next question is from the line of Vipulkumar Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah: Thanks for the opportunity, sir. This question relates to our Chanderia plant where there are restrictions on limestone mining. So how does it affect the raw material cost there?

Sandip Ghose: Chanderia limestone mining has been existing for the last, if I'm not mistaken, how many?

Management: Eight years.

Sandip Ghose: So that is our current normal. That's how we operate. All our projections are there. We do not consider it to be a handicap. We have perfected the art of mining without blasting, reduced our costs. Whatever we are projecting today is the basis of that.

If the court orders and other things change, that will be a new projection. But right now, whatever we are telling you, basis current -- the same thing which has been happening for the last eight years, so there is no change.

Vipulkumar Shah: So is cost there much above the company average or we have been able to bring it down through these innovative initiatives?

Sandip Ghose: We have brought it down and the delta has been indicated throughout, sir. There is nothing new

Vipulkumar Shah: Thank you, sir.

Moderator: Thank you. The next question is from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang: Good afternoon, sir. And congratulations for a very good set of numbers. And happy festive season. Happy Diwali to everyone there. Hello.

Sandip Ghose: Yes, I'm there. Please go ahead with your question.

Mangesh Bhadang: Sorry, sir. Couple of questions. So first is on the limestone availability. So just wanted to have a question on Chanderia and the Satna associated limestone mines. What kind of proportion do we have to buy in terms of higher quality limestone there? And is the availability of, basically is that a constraint that availability of that high quality limestone?

Sandip Ghose: We have no constraints. Sometimes you buy a little sweetener that is common for all the, all cement plants. We are not buying anything because

our quality is bad or we are short of quantity.

And we have been moving on a strategy to increase our limestone reserves, to extend our limestone reserves. As you know, the acquisition which we did on Sanghi, which is there. So we have similar plans in pipeline and we don't expect any shortage in limestone at any of these locations.

Mangesh Bhadang: Thank you, sir. So second one is on the debt.

Sandip Ghose: No second, please. No second, please. There are others waiting in the queue.

Mangesh Bhadang: Okay, sir.

Moderator: Thank you. Next question is from the line of Mr. Aman Agrawal. Please go ahead.

Aman Agrawal: So much. Thanks for the follow up. My another question was on the thermal power plant, captive power plant. Now we have already reached 60% of our power requirements through these sources. Do we expect a further inch up in this?

Management: No, I think this is the level at which we expect to maintain.

Aman Agrawal: Okay. And just the last bookkeeping question.

Sandip Ghose: No. You have first of all come back again and you're adding more questions. I have to say no to you. Others are in the queue.

Aman Agrawal: It's okay. Sure.

Moderator: Thank you so much. The next question is from the line of Mr. Rajesh Ravi. Please go ahead, sir.

Rajesh Ravi: Good afternoon. My question pertains to Mukutban. You know, we are seeing the ramp up while you mentioned that the ramp up is happening. But what stops you to bring 75% of the time in

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the non-trade opportunity is doing this in the nearby markets, whereby you can expedite the ramp up? And also, what was the fuel cost in Q2 per kilocal?

Sandip Ghose: We are, customer agnostic at this moment. If my capacity is not fully utilized, it is unlike, say, in my other plants where I'm operating at 95%. There I try to minimize my OPC, minimize my non-trade. Here, when I'm operating at a lower level, I am totally capacity agnostic. I don't worry about that. I will sell wherever it is economical to sell and whatever I get.

Now, it all depends, again, as I said, on the pricing. There is a certain limit on which you can sell non-trade in a certain area. If I find non-trade lucrative for me to go and sell in Gujarat, which I already do, I will sell non-trade in Gujarat. I will sell non-trade as far as down in Maharashtra I can. So, I don't give up any opportunity here in Mukutban. It's not that I can increase to 75% and I'm cutting it down to 53% now.

So, when the opportunity comes, the prices are, lucrative, I'll sell wherever. So, there is no, nothing prevents me from selling except for the viability of the numbers.

Management: The fuel cost was 1.75 per 1,000 kilocal in Q2 of this financial year

Rajesh Ravi: Great, sir. And do you expect this to further cool off, in Q3?

Management: No. In Q3, we expect the cost to remain at these levels only.

Rajesh Ravi: Okay, sir. I'll come back in queue. Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Thank you for the opportunity and thank you for the vivid description. Sir, although Q1 and Q2 sequentially are not comparable because of the monsoon impact, but then also we find out, the cost of material consumption is up numerically from INR352 crores to INR377 crores. So, if you could explain the reason why?

Management: It is primarily because of increase in slag prices by Durgapur. Okay, and some increases in the outside limestone purchase at different locations.

Sandip Ghose And that was mainly in Mukutban earlier when our, own mining was not fully operational. That is quite clear. But since you raised this, Mr. Kapoor, of our, one of the, which I didn't comment earlier, just for the benefit of all, one of the things I think you should take note of, and I personally think it's been creditab

le without patting ourselves on the back, is the consistency of our performance in the last three quarters. Not all our peers have had a consistent performance in the last three quarters, including some major ones who have had ups and downs. We have been able to maintain our consistent, and that's what the Chairman has remarked in his press release, which probably indicates that, we are on the right track.

Saket Kapoor: Correct, sir. And a small point about the operating leverage, sir. For the Mukutban, I think so, as our utilization level is currently at 87%, you mentioned, 87% for H1. So, for H2, and also commenting on the EBITDA per ton that we have targeted for the year, when will this operating

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November 09, 2023

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leverage start kicking in? At what percentage are you looking to exit H2 in terms of utilization levels?

Management: See, at the end of the year, we should be in the region of more than 90% plus, on a corporate level.

Saket Kapoor: Okay, H2 will be 92% for the entire year?

Management: H2 will be more than 90%.

Saket Kapoor: More than 90%, right. Thank you, sir. And all the best, sir, and happy Dipawali to the team.

Management: Thank you.

Moderator: Thank you so much. The next question is from the line of Nishant Bagrecha from Incred Equities. Please go ahead.

Nishant Bagrecha: Yes, thank you so much for the opportunity, sir. And thank you again for the detailed opening remarks. This was really helpful. Sir, my question pertains to the demand side. So, just what did you sense on the demand outlook in the near term in your core market?

Sandip Ghose I think, Nishant, what we have indicated, we can talk about ourselves. We are still confident of delivering 15% at the end of the period. I don't see demand. We have also mentioned in our press release, demand can get affected in our core market of Rajasthan and Madhya Pradesh. You know, this month is actually a bad month because of both the elections plus the festive season, which is happening in these markets. But overall also, what is the good part is the demand in non-trade, especially from infrastructure, is sustaining. Even prices are not too bad there. So, we are reasonably confident of sticking to our 15%, but it varies from market to market. And as I mentioned in the context of Mukutban, if trade demand falls, I don't mind if it is economical or attractive for me to sell in non-trade, I will sell in non-trade.

Nishant Bagrecha: Okay, thank you so much.

Moderator: Thank you so much. Ladies and gentlemen, we will take that as our last question. I now would like to hand the conference over to Mr. Rajesh Kumar Ravi for closing comments.

Sandip Ghose Before that, I want to wish all of you a very happy Diwali and New Year and taking this call just on the eve of the festive days to you, your families, colleagues, everybody. And thank you so much and my apologies once again if I took more time in the initial remarks. Thank you.

Rajesh Ravi: Moderator, you can now conclude the call.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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12th February , 202 4

Corporate Relationship Department
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P.J. Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Code: 500335 The Manager
Listing Department
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Scrip Symbol : BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst earnings conference call on the Unaudited
Standalone and Consolidated Financial Results of the Company for the quarter and
nine months ended 31st December , 2023 _____

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities and
Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find attached the transcript of the investors/analyst earnings conference call held on 7th
February , 202 4 at 3.00 P.M. (IST) on the Unaudited Standalone and Consolidated Financial Results
of the Company for the quarter and nine months ended 31st December , 2023 . The event concluded
at 3.58 P.M. (IST) on 7th February , 202 4.

A copy of the same is also available on the Company's website at
<https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above

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"Birla Corporation Limited
Q3 FY '24 Earnings Conference Call "
February 07, 202 4

MANAGEMENT : MR. SANDIP GHOS E –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA CORPORATION
LIMITED
MR. ADITYA SARAOG I – CHIEF FINANCIAL OFFICER
BIRLA CORPORATION LIMITED
MR. RAJAT PRUSTY – CHIEF OF MANUFACTURING AND
PROJECTS – BIRLA CORPORATION LIMITED
MR. KALIDAS PRAMANIK – HEAD OF MARKETING
AND SALES – BIRLA CORPORATION LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER --
RCCPL PRIVATE LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Birla Corp Q3 FY24 Results Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajesh Kumar Ravi. Thank you and over to you, sir.

Rajesh Kumar Ravi: Yes, thank you Sagar. On behalf of HDFC Securities, I welcome you all to the conference call with the management of Birla Corp to discuss the financial results for the quarter and nine months ended December 2023. From the management team, we are hosting Mr. Sandip Ghose, MD and CEO and Mr. Aditya Sarangi, CFO. I now hand over the call to the management for their opening commentary, which will be followed by Q&A. Over to you, sir.

Sandip Ghose: Very good afternoon and thank you so much for joining. This is indeed heartening to see so many of you on the line. I think now we have more than 70 people and we really appreciate taking out the time for us.

This is Sandip Ghose, Managing Director and CEO of Birla Corporation. I have with me Mr. Aditya Sarangi, our CFO. Also, Mr. Arun Agarwal, who is our CFO for Reliance RCCPL. I have Mr. Rajat Prusty, who is our CMO, Chief Manufacturing Officer and Projects Head. I have Mr. Kalidas Pramanik, who is our Chief Marketing Officer.

This is actually the third conference call we are doing. We started doing it from Q1 this year and in these nine months or three quarters, I think we have come a long way, both in terms of our conversations with the investor and analyst community, as well as what has been happening inside the company. There has been a lot of change.

Again, we appreciate a lot of you analysing and recognizing some of those progress which has happened. As is reflected in many of the reports you circulate and I would like to again record my thanks in that regard.

We will keep this conference from our side pretty focused and specific. I will make a few initial comments and then hand it over to my colleagues to add especially the financial and the elements of cost and other things, and also the marketing part, which will be discussed by the respective colleagues. We as a company, we issue a fairly detailed press release in which we cover most of the aspects that people usually talk about in the conference calls post-result. We cover most of it in the press release itself.

You would have all seen the press release, so I would not like to cover those points again in the interest of time and though we can take up any questions you have on those at the end of our initial interventions.

I would like to emphasize essentially on two things. First, a major point of interest has been the progress of our Mukutban project. I hope you have noticed the steady progress which we made in the three quarters since I said we started talking to all of you. You would also appreciate that

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we have not predicted something ahead of expectation. Whatever we have indicated to you, it has been either met or exceeded.

Like we had told you, we will exit the year at 2 lakh tons, whereas we have touched 2 lakh tons in January end itself. We have reported positive EBITDA all three months of Q3, which again, as I think not many people had expected.

So when we started the year, I had told many of you that there was probably some communication gap either from our side or understanding from the other side to think that Mukutban was running behind schedule and it was going to be a drag on the company. I had clearly menti

oned that no, we are moving as per a plan and a particular trajectory. We clearly understand what are the challenges and how we are going to mitigate them. You see that reflected, translated in the results.

Essentially, we were driving on two levers. One was cost and today, we can say with a great deal of pride that we are one of the most efficient and lowest cost producers of cement, not only in that region, perhaps in the industry itself. Equally, we were ramping up production and I think there was again some misperception or miscommunication in terms of what is the ramping up and how we will do it and there we had given you a clear understanding and we had also clarified. I think an understanding before that Mukutban was meant to supply entirely into Maharashtra, which was never really the plan and intention. Mukutban has to supply to its natural markets around Mukutban, as a result of which today we have reached 60% capacity utilization, which a lot of people had doubted that we will reach at this point in time.

What I am calling the natural adjacent markets that was very much part of our plan, so as a result of that, today I am selling, my presence in Gujarat has increased substantially. Today, I am selling more than a lakh tons in Gujarat to become a significant player in Gujarat. A large part of that quantity is actually coming from Mukutban servicing South Gujarat, where there is a huge growth happening because of the activities of things like bullet train, the corridor that is around surrounding that, there is a lot of economic and construction activity and we are today in a position to take advantage of that.

Similarly, Southern Madhya Pradesh, which was not particularly economical for us, not the most profitable for us to tackle from Maihar, we are able to do that and release the Maihar clinker for the more profitable markets in our core areas, where we needed additional clinker, additional volumes to be able to ringfence ourselves from the newer capacities, which were coming up there.

That is the concern people had that how are we going to retain our market shares in those parts in view of the newer capacities coming in. These were very much part of our plan. As a result, we do not get into the specific details, but in those markets which are key for us, Eastern UP, Madhya Pradesh, we have not only retained our market share, but we have actually enhanced our premium in those markets and secured our position.

And talking of premiums, this is something which I have said in the past. It's probably not as well appreciated. This is a company, while everybody else is now talking of increasing their

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premium share and they consider taking it to 10% or 12% premium share, we have been above 50% for a long time. But the significance of that is not just 50% of premium.

Significance of that is we have almost an equal presence in both the premium category as well as in the popular category or value category as we say. Very few companies or I do not know of any company who can say that kind of a portfolio distribution between the premium brands and the value brands, which gives us a very, very unique position in the markets where we are present.

Secondly, another point I have emphasized, our part of the strategy has been to tackle our go-to-market supply chain in the most cost-effective and optimal manner. And by go-to-market supply chain, I mean, that is the example I gave you that whether I have to supply Gujarat from Mukutban or South Madhya Pradesh from Mukutban, these are very much part of our strategy. So, when our plants have been created, we kind of encircle our core market on a 360-degree basis with Mukutban there taking care of the south reach. We are going up there from Maihar, Satna and then to Kundanganj, which takes care of the core and Raebareilly, which takes care o

f

that core area and then from Chanderia, we are able to service the north as well as western MP. So, this is what is part of our, again, a very clear go-to-market strategy. And when we are operating in the popular segment, there too, we follow a segmented approach wherein we have got a whole bouquet of brands, which we can put in the way, position them at various price points. We have a Samrat, but we have a Samrat advance in LPP bag in the same market in the value segment, which is as sold at a premium, but we are able to tackle the popular brands with

a Samrat or a Chetak.

So, these are very much part of our overall strategy with which we have been working and that's how we would like to go forward and our future plans have been clearly indicated to all of you as to how we would like to first augment our grinding capacity and then move towards our first next expansion of the clinker line, which would be Maihar Line 2 in FY27.

So, that's broadly the picture which I would like to leave there. Last comment, two things is we have indicated in this, I think we are probably the first company to indicate that there is reason to exercise caution in terms of the growth happening in the first quarter of this calendar year. In this quarter, what we are seeing, January has not been a particularly good month for the industry. Even right now, we are not seeing any kind of sharp firming up of volumes and all prices have slipped a little bit in the last week or so. So, we are viewing this quarter in a cautious way from the marketing and pricing point of view. So, therefore, we have only place where we are kind of revising our projection as we had indicated a 15% growth in volume, but right now we are taking a call to say it will probably be in the region of 13%.

And that's owing, purely due to market conditions, not anything to do with our ability to service the market or our ability to compete out there. But we are sticking to our projection of INR850 per ton EBITDA for the year and Mr. Saraogi will elaborate on that further, but I want to really make the categorical statement that is something which we are still confident of and we are not revising our estimates there.

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With that, I will leave it for Mr. Saraogi, Mr. Prusty and Mr. Pramanik for initial comments and thereafter we will move straight into the question and answer.

Aditya Saraogi: Thank you, sir. So, as Mr. Ghose said that we are maintaining our guidance of EBITDA per ton of around INR850. In this year, we have factored in incentives coming in from Mukutban, so that EBITDA will be inclusive of this number. And I would now, Mr. Prusty, if you have any comments.

Rajat Prusty: Good afternoon to all and thank you Saraogi sir & MD sir. As rightly said by sir, yes, we are working on the cost reduction initiatives in all fronts, starting from the variable and fixed cost and we have optimized the fuel mix and though the fuel cost reduction has helped a lot. And apart from that we are optimizing the fuel mix also, kiln by kiln, that is also helping us further to reduce our delta. And as a result, you can see that our cost has reduced by INR400 plus compared to Y-o-Y basis.

And it was around 8%, which shows that continuous efforts are on to reduce further the cost and to be one of the best costs in terms of total variable and fixed cost delivered to market. Apart from that, there are some initiatives which already we have taken, that is the Shikhar project, which is mainly it is driven for the manufacturing excellence project, which is really helping us for taking the team together and working on small, small, very small initiatives, which really the team is working at the field, at the site for helping us.

In this quarter also, we could able to achieve a round INR55 saving per ton of cement. So, continuously we are working on all these areas

, including Mukutban ramp up volume and

reducing the Mukutban cost. So, all these initiatives are helping us to improve our volume and reduce our cost. Thank you. Now, I request Mr. Kali.

Kalidas Pramanik: Good afternoon to all of you and thank you, our MD & CEO, CFO and Rajat and our colleagues.

If you look at the quarter three, our growth already has been published over there and our main focus was in Mukutban and all of you have seen that in the Mukutban, we are able to increase the volume and the volume increase, it is mostly concentrated in the natural markets of the Mukutban. If you look at the location of the Mukutban, it is not only just entire Maharashtra, there are certain parts of the Maharashtra where we are not getting particularly the South Maharashtra.

But whereas the MP, South MP is coming under this Mukutban's purview where we have improved our volume. Similarly, as our MD said that like Gujarat, that Saurashtra, these are the parts if I look at where the realization is good and it comes from Mukutban point of view as a natural market. So, these are the markets where we have Gujarat specific if I talk about from Mukutban almost 10% sale there happened.

And looking at the price realization, yes, we are almost at par with the industry price realization in the quarter three. Particularly in our addressable markets, which are our factories natural market, these are the markets we are able to take our realization better. In quarter four, if I look at the outlook, yes, in the month of January, if you look at industry per se, there was some dip.

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But February, we are expecting that it will pick it up from mid of February. And again March focus would be there on primary as well as since a lot of infra projects are there. And most of the focus would be on the infra and commercial side.

But as we said that our focus still remain on the individual house segment, though there is not much demand we are expecting quarter four. But overall, if you look at this will help us in terms of particularly in the Maharashtra infra projects it will help us to ramp up further the Mukutban volume. And I am sure we are expecting a very good volume with respect to quarter three in from Mukutban.

And realization, yes, realization, if I look at there are pressure but from as manufacturing as I have taken the project similarly from marketing side, we have our project Unnati. In the Unnati, basically our focus is on the cost reduction, how we can reduce our logistic cost. Second focus is on how we can increase further our premium products percentage out of our total kitty.

Third focus will remain on that whichever is our high contribution zone markets, which is identified and we are focusing on those areas. And another focus will remain as the network optimization as MD sir already explained in terms of factory specific like Mukutban, if I talk about which are the areas, which are the rake points we have to cater so that our logistic costs would be optimized. That is how these are the projects have been taken.

Even if price does not go up in the market in absolute terms per bag, but these are the efficiencies I believe it will help in terms of taking an incremental or marginal improvement in realizations.

Thank you from sales & marketing side.

Aditya Saraogi : We now request questions from the audience.

Sandip Ghose: Just one minute, Rajat you may like to add something on the alternative energy and the renewable energy and green initiatives. What I would like to point out is nowadays I find a fashionable term has become green cement, everybody is manufacturing green cement, but the proportion of blend which I understand as a layman as blended cement and the proportion of blended cement in this company has been close to 85% and we would like to stay that way if necessary.

If as and when

we can, we would like to take it up more than 85% and what we are calling blended cement probably we should be in going forward, we should be calling it as green cement for better understanding or popular understanding because I do not think we get enough credit for what we have been doing for a long time. Thanks.

Rajat Prusty: As you know, we are at around 23% to 24%. Last quarter it was 23% on the WHRS and solar energy total consumption of that and continuously we are working to improve the efficiency both in terms of reducing the auxiliary consumptions on the CPP and WHRS and this green energy contributes around 23.3% last quarter and going forward we are working on further augmenting our WHRS capacities plus the additional capacities in three plants on the solar, especially at Mukutban, then Kundanganj and Maihar. These three plants we are working again for increasing the capacity of the solar installations, so that will help us. In fact, by FY'26 we should be able to reach to the level of 29% to 30%.

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Sandip Ghose: I would like to compliment both the commercial and the manufacturing teams of the very dynamic fuel mix optimization they have done, due to which our fuel, of course our cost levels we have, I think, bettered the industry.

Aditya Saraogi: For this quarter it was INR1.58 paisa per 1000 kcal as compared to INR1.75 paisa in the immediately preceding quarter, so there was a reduction of 10% sequentially.

Sandip Ghose: This is noteworthy and I think a lot of credit goes to my colleagues in manufacturing and the commercial colleagues who procure the fuel. Thank you.

Sandip Ghose: You are welcome questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Sharavan Shah: Thank you, sir, and congratulations on better profitability. The first question is on the volume front, as you mentioned, you have already reduced the guidance from 15% to 13%. If I look at the ask rate for the fourth quarter, it seems like a 12.3%. That is kind of a 5 million tonne kind of a number that we need to do for the fourth quarter. So, are we confident to achieve that? On the profitability front, though we are maintaining INR850 for the full year of FY'24, that means for the fourth quarter, we need a INR1100 rupees kind of a EBITDA per ton versus the third quarter, we have achieved a INR903. So, are you confident and how are we going to achieve that? So, as you are mentioning, the prices have already reduced. So, that kind of a cost saving is possible, INR200 kind of a Q-o-Q improvement in the fourth quarter.

Sandip Ghose: I first let Mr. Pramanik answer your question on the volume for the fourth quarter volumes. And then we will take up the EBITDA point.

Kalidas Pramanik: Yes, as far as the volume is concerned, if you look at so far, we are 13% and overall here we

have talked about 13%. So, in the quarter four, the basic increase will come from our Mukutban side. If you look at our Mukutban volume in the quarter three, and vis -a-vis if I look at quarter four, the way we have projected, so there is a major growth will come from the Mukutban plant. And then I am coming to our existing, the addressable market of which is already established markets. There also I am expecting the growth would be around almost 8% to 9% we are expecting. If I can get this kind of volume, then definitely whatever the projection we have given, we will achieve that projection.

And basically, when the market subdued, the major volume will from Mukutban because already we have seeded the market Maharashtra and the surroundings. So, from those markets, our volume will come.

Sandip Ghose: I want to add on Mukutban one point again, maybe of interest to all of you and to pre-empt any questions. 6

0% of Mukutban volume is from Maharashtra, 65%. And that is something which we have indicated all through, we are maintaining and we have achieved that.

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And we had said 40% of premium volume of our trade volumes, even that we are consistently maintaining, and we expect to improve upon it. And our premium volumes, our premium prices are at par with the market leaders, their mother brands. And in UP, MP, our core markets, we can proudly say that today our perfect plus sells at either at par or INR1 or INR2 higher than the mother brands of the leading A category players, as you call them. I pass it on to Mr. Sarogi to answer on the EBITDA.

Aditya Saraogi: See, we are mindful of the fact that we need to record higher EBITDA in the fourth quarter. We are also cognizant of the fact that there has been some pressure on the pricing front. So while giving this guidance, we have factored in some drop in prices to the extent of 3% to 4%. And still, our guidance is based on the fact that we will be recording higher volumes, which will yield higher contributions. Our various measures on the cost front is going to reduce the cost, which is also going to add to our EBITDA. Our Mukutban plant, the profitability continues to improve with each quarter.

So that is also going to lead to higher profits. And the point that I shared about the incentive of Mukutban to come in. So because of these factors, we feel that we should be able to achieve our guided EBITDA of around INR850 per tons on an annual basis.

Sharavan Shah: Okay, that's good. That's good, sir. If you can allow me, I can ask one more question.

Sandip Ghose: I think we should not have follow on. I'm sure these questions will come from many people.

Sharavan Shah: Okay, thank you, sir.

Sandip Ghose: And the EBITDA question, I hope has been answered for everybody, because this question would have come up later. So please, let's not go back to that question.

Moderator: Thank you. Mr. Shah, do you have any more questions?

Sharavan Shah: No, sir has said that, you will take the next question. Thank you.

Moderator: The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Hi, thanks for the opportunity. So on the incentives, firstly, could you kind of spell out the incentives booked in Q3 from Kundanganj and Mukutban?

Aditya Saraogi: Mukutban, we have not started recognizing incentives.

Amit Murarka: You're still capitalising is what I understand, which you had mentioned earlier.

Aditya Saraogi: Kundanganj is INR33 crores for this quarter.

Amit Murarka: Sorry, how much?

Aditya Saraogi: INR33 crores.

Amit Murarka: INR33 crores. And by when will Mukutban accrual to P&L start?

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Aditya Saraogi: That's what we said, no? In this quarter, we are expecting that.

Sandip Ghose: From the fourth quarter, we will start recognising the Mukutban incentive. And that is something to repeat, is factored into our EBITDA projections for the year.

Amit Murarka: And the Kundanganj incentive expires in this quarter, right? Has it already expired?

Aditya Saraogi: No, no, no. It will expire in March.

Amit Murarka: Understood. And lastly, on the Maihar line 2, you mentioned that you plan to commission in FY '27. When will the work and the capex for the same start?

Aditya Saraogi: Next financial year.

Amit Murarka: Earlier, I remember you had said that there's a debt target you have in mind before you start work on it. So, I remember in the earlier call...

Aditya Saraogi: No, so that debt target still remains. So, as we have shared in the past, we have a clear policy of maintaining debt to EBITDA ratio at the maximum level of three on a sustainable basis. So, on

that basis, only we made a capital allocation.
So, on that basis, onl

y we are going to start this project of expansion next year. And we are confident that we will be able to maintain our debt within the metrics that we have considered as a policy.

Amit Murarka: Sure. Thank you. I'll come back in the queue.

Moderator: Thank you. The next question is from the line of Aman Agrawal from Equirus Securities. Please go ahead.

Aman Agarwal: Yes, sir. Thank you for the opportunity and many congratulations on good side again. So, first, I wanted to understand on the lead distance for company as a whole and for the Mukutban plant.

Kalidas Pramanik: Lead distance, it is around 350. And Mukutban is also coming around 300 to 310.

Aman Agarwal: Understood. And second, on the RM cost side, we have again seen 6% or kind of 10% kind of a sequential improvement. If you can explain what has majorly factored into this and how do we see the RM cost going forward?

Aditya Saraogi: What, sir? What cost?

Aman Agarwal: Raw material cost.

Aditya Saraogi: Raw material cost, sir. We don't expect any major change. As far as raw material is concerned, I don't know if you mean fuel also within raw material.

As far as fuel is concerned, as I shared, we have had a sequential drop of 10% in fuel prices compared to Q2. In Q4, we expect the price to be at the levels of Q3, which is around 1.58.

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Aman Agarwal : Understood, sir. And lastly, on the UP expansion, which we are expecting by Q2, by FY25, that guidance still sticks? Any progress on that?

Aditya Saraogi: I don't think we mentioned Q2 of 25. I don't think we have guidance for that Q2 of 25.

Sandip Ghosh: But we can progress. We said commencement of, not production, commencement of the project.

Aditya Saraogi: By the end of next financial year, around that time, we should be having that commission.

Aman Agarwal : Understood, sir. Thanks, sir.

Moderator: Thank you. The next question is from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang: Good afternoon, and thanks for the opportunity. Sir, two questions. First is on the cost front. So basically, very evident reduction in cost that you have reported. And I just wanted to understand the steps taken by you under Project Shikhar, and how much more cost -saving and because of this initiative is possible going forward?

Rajat Prusty: As rightly said, there are two things. One is the majority is the fuel cost. And we have optimized the fuel cost and obviously, the WHRA plus our CPP operations also, because the fuel costs were lower.

So we used to, you can see that from 12% of the CPP operation to, we had gone up to 60% of the CPP power contribution. So that shows that whatever the opportunities were there for the cost reduction with respect to the fuel, we are already doing that. And continue, it will continue further also in this quarter also.

In the Shikhar project, yes, we are working and continuously our team is working, identifying the ideas, small, small ideas, small, small savings. And this quarter also, we are sure that we will continue to maintain this 55 rupees.

Aditya Saraogi: And just to add to point, in regard to fuel, our composition of imported fuel in third quarter of last year was 43%. In last, in immediately preceding quarter, that is second quarter, it was 31%. And in this quarter, it is now down to 25%.

So that is the kind of change in the fuel mix that we have been able to achieve. And that is also contributing to the reduction in fuel cost.

Mangesh Bhadang: Great. Sir, and similarly on captive coal blocks, so we already have one captive coal mine, and we had got three under the auction. So just wanted to check on the timelines on when the Bikram coal block and the others would start coming into the overall production.

Aditya Saraogi: Bikram coal block, we expect to start production in the second quarter of next

financial year.

Mangesh Bhadang: And that should add, I must say, 20% of total central capacity, should basically take care of central region's 20% requirement?

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Aditya Saraogi: Yes, yes.

Mangesh Bhadang: Okay, great. Sir, great. Thank you. I'll come back in queue, sir.

Moderator: Thank you. The next question is from the line of Tushar, who's an individual investor. Please go

ahead.

Tushar : Yes, hi.

Tushar: Congratulations on a good set of numbers. Just need a quick clarification on your statement first. Like you said, Bikram coal mines, you expect to be starting second quarter of next financial year?

Aditya Saraogi: That's right.

Tushar: Okay. And one more clarification on Mukutban incentive. Like you said, they are coming in Q4. So are they in Q3 as well?

Aditya Saraogi : No, in Q3 we have not recognized any incentives. We expect to start doing that in Q4.

Tushar : Okay, in Q4 only. And so now my question is, in last quarter you talked about improvement in NSR through geo mix, and we saw improvement of 2% in Q3. So should we expect further improvement going forward?

Aditya Saraogi: We would not like to quantify that number, but yes, there will be an improvement on a continuous basis.

Tushar : Okay. And so my last question is on the fuel cost. You said to be in line at the level of Q3.

Aditya Saraogi: Yes. One point I rated what we have achieved in Q3 and we expect the number to be in that stage in Q4 as well.

Tushar: Okay. Thank you so much. Thank you.

Moderator: Thank you. The next question is from the line of Sanjay Nandy from BT Capital. Please go ahead.

Sanjay Nandy: Hello.

Sandip Ghose : Yes, please go ahead.

Sanjay Nandy : Yes. Thank you so much for the opportunity. So can you just elaborate like the project which is going on and that year, so what is the future of that project? Like what kind of cost savings we can anticipate in like coming 2 to 3 years down the line?

Rajat Prusty: See, as we rightly said, this project was launched in last first quarter of this financial year. And continuously our teams are working in each and every plant. This is a bottom-up approach project and it is the involvement of all the team members who are working at the site.

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It is like for the plant and by the plant, by the people. And this concept of improving the manufacturing efficiencies and excellence in manufacturing, both in terms of improving the KPIs and reduction of the wastages. So all these things, there are small projects people are working and continuously our aim is to reach to the level of 100 rupees in 2 years, which already we have seen a result of 55 rupees.

So another 45 rupees is the target is there for which we are working, but it will take time to really materialize because there are small, small projects and the savings are also small. And the capex are also very, very low capex or it's a nil capex projects.

Sanjay Nandy: Got it. So that's it from my side, sir. I'll come back in the queue. Wish you all the best.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor: Namaskar, sir. And thank you for this opportunity. Firstly, sir, as alluded in your press release, wherein you have articulated the fact that demand have remained subdued for January due to extreme winter and fog across the country. And so, is this the only reason for which the sales have not picked up and now with the weather getting cleared, we can see the ramp up or execution in the projects where we are supplying cement will pick up? How should one understand the situation?

Kalidas Pramanik: You see that in the month of January, yes, there are some fog areas like mostly in the northern part. And because of that, there are some drop in sales, but

as far as in the industry, but if I look

at from our side, we did not have much drop rather we have maintained what we did in the last. And in the month of January also what the growth we have maintained that is mostly from our Mukutban plant.

As already it is mentioned in the, already published that 2 lakh tons we have done more than 2 lakh tons from Mukutban. So, that gives us the overall growth in our case. But yes, overall, if you look at industry for say the demand, except top northern part, there was subdued demand.

Saket Kapoor: Okay. And so, when we mentioned 2 lakh tons per month mark, what was our quarterly number for Mukutban and what are we positioning in for the post quarter in terms of the sales? And I think, there is some threshold after which our benefits will start accruing. So, if you could give some color on that also.

Aditya Saraogi : So, 2 lakhs was what we achieved. So, the next quarter we will do at least 6 lakh tons in terms of volumes.

Sandip Ghose: We had indicated 2 lakh tons on the exit of March. We have achieved it earlier. We expect therefore to maintain the same rate and come somewhere close to 6 lakh tons in the third, fourth

quarter. That is basically what we can say right now. And in terms of there is no threshold, we, fourth quarter, we will start recognizing the incentive. That is the plan.

Saket Kapoor: Okay. And what would be the amount, sir? How much we will achieve?

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Sandip Ghose : We will not indicate the amount right now. That is not, we cannot say that that is not proper.

Sanjay Nandy: Okay, sir. And one more point on the transport and the forwarding expenses on the finished product. On a Q-on-Q basis, our volume has risen from 4.18 million ton to 4.2 million ton wherein our transport cost has gone up from INR453 crores to INR488 crores on a Q-on-Q basis. Sir, what explains this increase and whether this gets rationalized going ahead? Any one-off item here?

Kalidas Pramanik: If you look at the total delivered cost, that has gone up because of the busy season surcharge, right? So, whatever the increase happened, but that is not totally added. We have -- whatever the projects we have taken, small, small projects in logistics, like digitalization, we have as well as the automation process that helps us in terms of reducing that TDC, what it should be if I add the surcharges.

Sandip Ghose: So, we have not had a full impact, you know, negative impact of the surcharge. The surcharge - resistance in surcharge would have affected everybody. And that is where to answer your question is the jump. But the jump is much lower than what would have been had we not put in our cost savings or cost efficiencies in place. Thank you. Next person, please.

Sanjay Nandy: Yes. Thank you, sir. And all the best to the team.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you, sir. Sir, how much capex we have done till nine months and for full year and for next year FY'25, how much capex are we planning to do? And at the same time, what is the gross and net debt as on December?

Aditya Saraogi: So, capex we have done till December INR415 crores and within March, we will do less than INR700 crores. Our net debt as on 31st December was INR3,470 crores. And we expect to end the year with a figure less than INR3,400 crores.

Shravan Shah: Okay. Got it. And then, sir, you mentioned this 1.4 MTPA grinding unit at Prayagraj to start by 4Q FY'25 or 4Q FY'26?

Aditya Saraogi: We expect to start that by the end of next financial year, which is FY'25.

Shravan Shah: Okay. The production will start from 4Q FY'25?

Aditya Saraogi: Yes.

Shravan Shah: Okay. And the next expansion, so definitely the Maihar Line 2 and then the further grinding units also in the coming years whenever we will

be announcing. But our plan is to reach a 30

MTPA by FY'30. That will remain. But any intermediate guidance, if we can have any, after three years, how much capacity...?

Aditya Saraogi: No, by FY'27, we expect to reach a capacity of 25 million tons.

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Sandip Ghose: These are very clearly stated in our press release as well.

Shravan Shah: Okay, Okay, Got it Sir and all the best.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Yes. Good afternoon, sir. Congrats for good results. A couple of clarifications. You said capex for FY'24 is INR415 crores plus INR700 crores or total capex of INR700 crores?

Aditya Saraogi: Total capex till December is INR415 crores. We expect to end the year with a figure less than INR700 crores.

Prateek Kumar: Okay. So we were looking at INR1,000 crores earlier in the year.

Aditya Saraogi: Yes. So we'll be spending less than what we have indicated earlier.

Prateek Kumar: Sure. Okay. And just on volume, so what -- including the ramp up of the volume, the total Mukutban volume for the year was how much? Is like expected how much and what is the expectation for next year?

Aditya Saraogi: I don't think we can give that detail. But as we have indicated, we expect to end this quarter. In Q4, we are expecting a volume of 6 lakh tons. And in Q3, it was 4.9 lakh tons. So there is a sequential improvement of 22% in volume.

Prateek Kumar: Thank you, sir. These are my questions.

Moderator: Thank you. The next follow-up question is from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang: Hi, thank you, sir. My question was regarding the Chittorgarh stone mines. So we have got an approval now to do blasting. So just wanted to know the status there. Have we already started

and stopped the mechanical mining there? Or in case if we do, what kind of cost saving would it entail for us?

Aditya Saraogi: Your perception is not correct. What the court has -- Honorable Supreme Court has ruled, they have asked four-month study to be conducted by IIT(ISM) Dhanbad. And to assess if at all the blasting has got any impact on the Chittorgarh Fort. Once that study is completed, the report will be submitted to the Honorable Supreme Court. And based on the findings of the report of the study, the court is going to take a final call.

Mangesh Bhadang: So during this period, you are only allowed to do blasting for that study purpose and not commercially?

Aditya Saraogi: Yes.

Mangesh Bhadang: Okay. So probably it's a prolonged matter. So there will be a report to be filed and then it will again go to the...

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Aditya Saraogi: But four months' timeframe has been given. So in that sense, it's not such a long timeframe.

Mangesh Bhadang: Understood. And sir, just one more thing. You mentioned you are tapping the southern Gujarat market from Mukutban, which is almost 800 kilometers away. So just wanted to understand how the economics work in that respect. So is the realization much higher there which can take care of the additional freight or is it because of better connectivity or just because we are getting some volumes there?

Sandip Ghose: No, we're not doing it any incremental way. It is definitely profitable. The prices as well as our connectivity by rail makes it very, very lucrative for us to sell in Gujarat. It's a natural market according to us, south Gujarat and in due course, the Bombay region. But the Bombay region is a different material requirement and that we will take care in due course.

Mangesh Bhadang: Okay, understood. Thank you.

Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Sir, congratulations on good set of numbers. So

was the Kundanganj incentive in similar range what it has been in Q3 for Q2 also?

Aditya Saraogi: Yes, around the same range.

Keshav Lahoti: Okay. And whether the fuel costs have reduced due to higher linkage and captive in this quarter and what is the number for linkage and captive for Q3?

Aditya Saraogi: No, that's not the reason. The reason is the change in the fuel mix and the drop in the fuel prices, procurement at lower prices.

Keshav Lahoti: Okay. And what is the number or what is the percentage of linkage and captive?

Aditya Saraogi: Linkage and captive, I can't give a separate figure but as I indicated, our component of imported fuel on a sequential basis has come down from 31% to 25%. So the domestic procurement of domestic coal is to the extent 75% in this quarter. And domestic coal is the cheapest source of coal fuel in most of the regions, especially in the plants located in the central part of the country.

Keshav Lahoti: Okay, understood. Got it. And sir, on Mukutban incentive, you highlighted it will come from Q4, but from which month? Have you started accruing from Jan?

Aditya Saraogi: We will not try to get into that but in Q4, you will find the accrued.

Keshav Lahoti: Okay. So it will be more like a fag end of Q4, like maybe last 45 days.

Sandip Ghose: It doesn't matter whether it's fag end or beginning. That is a matter of... Recognition. Recognition and putting there, it doesn't change anything in terms of declaration or anything.

Keshav Lahoti: The question is more on the side of, I am talking more from Q4, the guidance of EBITDA per ton. So if Mukutban incentive also doesn't come in a major way, then the 4% uptick in realization, won't it be a tall task in the market when the market is muted?

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Sandip Ghose: We have talked about, as we said, we have factored it very clearly in. So when we are giving you a guidance of 850, obviously we are factoring in how much will come in and whether that will allow us to meet our guidance. That's where you have to either trust or do your own independent view on the management guidance. We cannot be doubly guessing our own guidance.

Keshav Lahoti: Yes. Understood. That is quite helpful. Thank you.

Moderator: Thank you. The next question is from the line of Raghav Maheshwari from Asian Market Securities. Please go ahead.

Raghav Maheshwari: Can you please a little bit elaborate about all the three captive coal mines and Bikram, Sial Ghoghri and Brahampur. Whenever the mining will start at all three, what is that 1000 per kl cost will come from these all three mines?

Aditya Saraogi: Sial Ghoghri is already in production.

Raghav Maheshwari: I know Sir Sialgogiri. Other than Vikram and Brahmapuri, what will be the estimated cost of the 1,000 per KKL?

Aditya Saraogi: Bikram will be around INR1 and Brahmapuri, we are not pursuing currently. Marki Barka is the one we are pursuing. So that will be around INR1.25.

Raghav Maheshwari: And for the Sial Ghoghri sir?

Aditya Saraogi: Sial Ghoghri is INR1.45.

Raghav Maheshwari: And Sir, whenever all the three mines will start, how much it will cater for all the clinker capacity including Mukutban as well as Chanderia ?

Aditya Saraogi: 60% of the enhanced capacity after Line 2 of the Maihar starts.

Raghav Maheshwari: 60% at a company level for a clinker, right?

Aditya Saraogi: Yes, correct.

Raghav Maheshwari : Including CPP. And all the three mines have a kiln grade coal or any one have only CPP grade?

Aditya Saraogi: No, no, no. Mostly, mostly. Yes, we will be able to use it in kiln as well as CPP.

Raghav Maheshwari: Okay, Sir. Thank you.

Moderator: Thank you . The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.

Uttam Kumar Srimal: Yes, thanks for the opportunity and congratulations on a good set of numbers. Sir, what is our

volume to guidance for FY '25?

Aditya Saraogi: We cannot give that. Maybe we will be able to give that guidance in the next conference call. .

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Sandip Ghose: You must leave some material for us to talk in the next conference call. As it is, you are finding our speeches are getting shorter and shorter.

Uttam Kumar Srimal : Okay, Sir. And Sir, what has been our borrowing cost for this quarter?

Aditya Saraogi: 7.98%. 7.98% in Q3.

Uttam Kumar Srimal : Okay, Sir. That's all from my side and all the best.

Moderator: Thank you. The next question is from the line of Vipulkumar A. Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah: Hi. Thanks for the opportunity, Sir. So, my question is, you said by '27, we will be reaching 25 million tons. So, 5 million tons, where we are adding and what type of capex we are incurring on that? And it will be only clinker or there will be grinding capacities as well? Thank you.

Aditya Saraogi: As our MD has indicated, it will be a mix of I.U. The clinker capacity will come at Maihar , doubling of capacity at Maihar , from 10,000 TPD to 20,000 TPD. And grinding will be split grinding unit that will be coming in the states of Bihar, coupled in Uttar Pradesh and maybe one in the West.

Vipulkumar Shah: What will be the capex for this 5 million tons?

Aditya Saraogi: That we are not able to share at this juncture. Once we get the board approval, which we intend to get in the beginning of next financial year, once we have that, then we will be able to share specific details.

Vipulkumar Shah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Anupam Jain, who's an individual investor. Please go ahead.

Anupam Jain: Yes. Hello, sir.

Aditya Saraogi: Yes, please.

Anupam Jain: Hello.

Aditya Saraogi: Yes, please.

Anupam Jain: Yes. Yes. What I wanted to understand is how is the regional demand going on? As you're expanding the capacity and you're saying there's a caution in the side. So how's the demand looking from two to three years perspective?

Sandip Ghose: But the caution which we have given is only for this quarter. And two to three years projection, we will give it to, as we said, leave something for the next conference call.

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Anupam Jain: But you're just, as the election are coming up and you're saying this is much more in the marketplace, not majorly related to weather. Is there any phenomenon that you're experiencing apart from that? That is my primary question.

Sandip Ghose: We are giving you by the trend. We are giving you by the trend of what January has happened. And when people were expecting the quarter, there's obviously the past trends of January were factored in. We have seen that. We have seen softening of prices. That's what we can comment at the moment.

We are not really, looking into elections or how elections will affect if that's a subsequent

change. But right now we have taken a full call. And Mr. Kalidas Pramanik has very clearly said our growth will come primarily from Mukutban and where we are making steady progress. So we are, not banking. We are practically sold out in our other plants . So we are not really looking at volume increases, substantial volumes to come, additional volumes to come from there.

Anupam Jain: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to the management for closing comments.

Sandip Ghose: That was a great conversation. Thank you so much for your interest, continuing interest in the company. Thank you for your words of encouragement. We really appreciate that. And we continue to look forward to your support and, your confidence and faith in us. Thank y

ou.

Moderator: Thank you.

Management: Operator, you can now conclude the call.

Moderator: On behalf of HDFC Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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10th May , 2024

Corporate Relationship Department
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Scrip Code: 500335 The Manager
Listing Department
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Scrip Symbol : BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst earnings conference call on the Audited
Standalone and Consolidated Financial Results of the Company for the quarter and
year ended 31st March , 2024

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investors/analyst earnings conference call held on 6th May, 2024 at 2.00 P.M. (IST) on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March , 2024. The event concluded at 2.46 P.M. (IST) on 6th May , 2024.

A copy of the same is also available on the Company's website at
<https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above

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"Birla Corporation Limited
Q4 FY '24 Earnings Conference Call "

May 06 , 202 4

MANAGEMENT : MR. SANDIP GHOS E –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA CORPORATION
LIMITED
MR. ADITYA SARAOGI – GROUP CHIEF FINANCIAL
OFFICER - BIRLA CORPORATION LIMITED
MR. RAJAT PRUSTY – CHIEF OF MANUFACTURING &
PROJECTS – BIRLA CORPORATION LIMITED
MR. KALIDAS PRAMANIK – CHIEF MARKETING
OFFICER – BIRLA CORPORATION LIMITED
MR. ARUN AGARWAL – GROUP CONTROLLER AND CHIEF
FINANCIAL OFFICER – RCCPL PRIVATE LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

Birla Corporation Limited
May 06, 202 4
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Moderator: Ladies and gentlemen, good day, and welcome to the Birla Corporation Q4 and FY '24 Earnings Conference Call hosted by HDFC Securities Limited. As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajesh Kumar Ravi. Thank you, and over to you, sir.

Rajesh Kumar Ravi: Thanks, Susan. Good afternoon, everyone. On behalf of HDFC Securities, I welcome you all on this call to discuss Birla Corp's financial results for the quarter and year ended March 2024.

From the management side, we have Mr. Sandip Ghose, MD and CEO; and Mr. Aditya Saraogi, CFO -- Group CFO. Before I hand over the conference to the management, I would like to remind you that certain statements made during the course of this call may not be based on historical information or fact and may be forward-looking statements. These statements are made -- are based on expectations and projections and may involve a number of risks and uncertainties. Such that, the actual outcome may differ materially from those suggested by such statements. Thank you, and over to you, Sandip, sir.

Sandip Ghose: Good afternoon, and thank you very much for taking time out to join. I find there is 137 participants, and that's extremely flattering for us. And we know some of the conference timing clash with your lunch break. So take that -- you could take time off, is something we really appreciate and grateful for.

I'm Sandip Ghose, Managing Director and CEO of Birla Corporation. With me, as mentioned, I have our group CFO, Mr. Aditya Saraogi. I also have Mr. Rajat Prusty, who is our Chief of Manufacturing and Projects. I have Mr. Kalidas Pramanik, who is our Chief Marketing Officer. And I also have Mr. Arun Agarwal, who is our Group Controller and CFO of Reliance Cement Company Private Limited, or RCCPL, to be precise.

I will keep my introductory remarks short, because you already have seen our press release and our press release is fairly detailed. And in a way, it is probably more elaborate than what many of our peers issue. So most of the facts from our side, whatever I would verbalize, are already covered there. So I wouldn't go through it again and save you the repetition.

Notably, this is the first full year of operations under the new executive team, E -team of the company, which was -- which started last -- which came in place beginning of 2023. I know many of you had in private some apprehensions, reservations or skepticism about the change of top leadership.

But I suppose the results bear out the value, which has been brought in by all my colleagues, in particular, Mr. Prusty, who is, as I mentioned, he's the Chief Manufacturing and Operation -- Chief of Manufacturing Operations and Projects; Mr. Kalidas Pramanik, who is our Sales and -- Group Marketing Officer, Sales, Logistics and Marketing; and of course, our entire Commercial and Support team, led by Mr. Aditya Saraogi, Arun Agarwal, and everybody else.

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So this is to some extent to a large extent a satisfying year for us because we had embarked not only with the new team, but with a new strategy which is a 360 degree strategy encompassing not just one area of operations, both -- we tackle both the harder and softer aspects. There was a lot of initiatives taken even in the HR area and other processes -- business processes and the planning processes of the company. And we believe that the pieces are falling together and coming together that is reflected in the results.

Of course, the hero of the year

is Mukutban operations, where again, when we started 2023 or we started this fiscal year, there was a lot of apprehensions expressed, a lot of nervousness by many of you in terms of our ability to scale it up, ramp it up, and more importantly, also make it viable and profitable. I hope we've eluted some of those concerns and being able to deliver quarter-on-quarter on our projections. And finally, going ahead of the guidance, which we had issued for the last quarter and which should have been pleasant news for all of you. I will stop here, and I will let my colleagues add a couple of points if they have to, and then we will open it up for question and answers, so that you have much longer -- larger time to discuss issues that may have been left out in our press release and which may be in your mind. Thank you. Aditya, would you like to?

Aditya Saraogi: Yes. Just a couple of information, which is probably not there in public domain. One, our net debt, as of March 31, 2024 was INR 3,003 crores. And our fuel cost in Q4 was INR 1.56/Kcal, of course, leading to your guidance. Over to you, Mr. Sandip.

Sandip Ghose: And how much is the debt reduction, therefore, Aditya, do you like to indicate?

Aditya Saraogi: About INR600 crores compared to last year.

Sandip Ghose: So there is a INR 600 crores debt reduction. I think that has been also...

Aditya Saraogi: More than what we have guided for also. It was in what we have guided for.

Sandip Ghose: Yes, we have guided. And that was, I think, again, an area of interest for all of you. And so INR600 crores reduction is something we request you to take note of, as well as the power cost of INR1.56, which is again, probably ahead of the guidance which we have given. Rajat?

Rajat Prusty: Good afternoon to all. I'm Rajat here. As rightly said by MD, sir, we are continuously working on manufacturing excellence, and starting from safety and operational reliability, maintenance reliability, that has helped us a lot to improve our capacity utilizations and reliability of the plant. And for that, the journey on the projects, the small, small projects and the projects from the Shikhar projects are also manufacturing excellence projects, that has also helped us to contain our costs and identify the areas of improvement for which the team is working. And going forward, we will continue to put our best effort to see that how the safety and the manufacturing excellence will continue to ensure that our capacity utilization, including the projects, whatever we have planned, that will be implemented.

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Sandip Ghose: Kali?

Kalidas Pramanik: Good afternoon. This is Kalidas Pramanik. If we look at quarter 4, all of us we know that there was a challenge in terms of realization in the marketplace, as well as the secondary demand was a little bit muted. But our efforts in terms of pure focus towards Mukutban, that helped us in terms of realizing the -- volume. As well as if you look at our realization with respect to industry more or less we are better off, particularly the project we have taken in terms of the Unnati, where our main focus was how we can reduce our cost, how we can contain our lead, that is the lead management in terms of -- from a logistics point of view, as well as we have seen that how we have sold our premium products. Basically, these are the few areas where we work hard and we are able to realize better. Also, if you look at the overall growth in quarter 4, as well as in the entire year, if you look at, we have grown 12%. While we have grown that 12%, the major growth came from Mukutban. And other than Mukutban, though do we have almost 100% capacity utilization and the growth came somewhere around at 5%. So overall, our strategic approach in terms of our end users, philosophy in terms of 4Vs and objectives with OKR that helps us in terms of achieving our -

-

these sorts of performance.

Sandip Ghose: Thank you very much, Arun, do you want to say something?

Okay. So I think we will go ahead with the questions and answers. Rajesh, you can probably initiate.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aman Agrawal from Equirus Securities.

Aman Agrawal: Many congratulations on strong set, especially on the profitability side. Just to understand this better. Sir, if you can share some numbers around Mukutban, especially the volumes that you

have done from Mukutban, the amount of it sold in Maharashtra market itself and the incentives that we have booked from Mukutban?

Aditya Saraogi: So we have done volume of 6.6 lakhs tons in this quarter, out of Mukutban. And we have not booked any incentives in Mukutban. We had envisaged that we will be able to book some incentive, but we are used to get the registration certificate from the state government. So because of that, we have not been able to book any incentive from Mukutban in this quarter. So from next year, definitely, in this financial year, definitely, we'll start booking incentives.

Sandip Ghose: And Maharashtra?

Aditya Saraogi: And Maharashtra is about 65%.

Aman Agrawal: 65%. Understood, sir. And sir, second, that you have mentioned, despite strong performance, there has been an apparent dip in your trade sales, premium sales, as well as blended sales on a percentage basis, on a Y-o-Y basis. Now is this something that entire industry has maybe went

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through? Or does it have something specifically to do with the ramp-up of Mukutban plants?

Just wanted to understand on that, sir.

Sandip Ghose: Can you just repeat on the -- what did you say about the percentage bit?

Aman Agrawal: While the absolute volumes for all three parameters, trade sales, blended sales and the premium sales, while the absolute figures have grown. But on the percentage terms, as a share of overall volumes, there is an apparent dip on the Y-o-Y basis. So just wanted to understand, is this something that the industry in general has seen a better sales of non-trade? Or is this something that Mukutban has faced specifically?

Sandip Ghose: First of all, I'll let Mr. Pramanik answer this. But first of all, I don't see how our total volume has grown, how any of these things in individual parameters would have fallen. And certainly, in our premium sales, which is really a function of the trade sales, we have had a growth from 51% to 54% in terms of percentage growth. And that will get reflected commensurately also in the volume.

Trade channel, there has been a marginal drop. And that drop is essentially in relation to how the markets have behaved during this period. And particularly in the last few quarters, when there was a -- the trade was impaired and there was a greater traction in the infrastructure sector. So there has been from our traditional, when we looked at our traditional mix, which we used to have, which is closer to 80% in terms of trade sales, there has been a drop.

And of course, there is a contribution of that in Mukutban as well, but that is as per the trend.

But we still remain -- our trade sales shares remain far higher than the industry average is what is my impression. Kali you want to add?

Kalidas Pramanik: No, mostly, you have covered the entire point. Actually, in the quarter 4, if you look at the entire industry, the demand mostly came from the Infra and Commercial segments. When the demand mostly in the Infra and Commercial segment, so that segment growth, the entire industry has grown, simultaneous to with respect to us also, we have grown in that segment.

Though we have in the trade, we have grown in the quarter for 2% in the trade. So overall, if you look at the premium sale against the percentage of the total trade

sale, we have in the quarter

4 almost 1% in the year, almost 3% we have grown. But in absolute volume, if you look at in absolute volume also grown. But percentage-wise, if you look at the overall sales versus this, basically that, this business has grown.

Aman Agrawal: Understood, sir. And lastly, last question, if I may. I just wanted to understand the lead distance overall and for the Mukutban plant.

Kalidas Pramanik: So lead distance for entire company, if you look at in the quarter 4, 349, yes. So the 349 that is trade -- I mean, rail and road combined together. And if I look at other than Mukutban, which is coming around 337. So that is 420 -- Mukutban is 420 is the lead.

I will only now request, we have answered the first question. We'll try to answer all the questions. So I request participants not to repeat the questions and restrict your question to one question

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only, because that will give others, because we have a long queue, and we are now total participants have gone up to 179 is what I noticed. It will give others an opportunity to ask questions. So people who are ahead of the queue should not take up disproportionate time is what my submission would be. Thank you.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: And congratulations on a great set of numbers. Sir, my question is now what's the guidance on the profitability for EBITDA per ton for FY '25 and also in terms of the volume, total volume growth? And if possible, how much are we looking at from the Mukutban in FY '25?

Aditya Saraogi: In terms of volume, we are expecting 8% to 10% growth. And in EBITDA per ton also, we are expecting an 8% to 10% growth next financial year. In Mukutban, we are expecting to have a volume of about 2.7 million tons.

Shravan Shah: Sir, this 8% to 10% EBITDA per ton growth is from Q4 or FY '24?

Aditya Saraogi: FY '24. It is INR 808 crores of EBITDA.

Moderator: The next question is from the line of Saket Kapoor from K apoor Company.

Saket Kapoor: Sir, obviously, you mentioned our net debt at INR 3,003 crores. What are the current year's maturity? And for the tax advantage for Mukutban, we will be starting the collection from the next year. So for this year volume, there will be no tax advantage when it could be retrospectively or prospectively that will get the same?

Aditya Saraogi: I think, our current year maturity of INR 520 crores. And what's the second question?

Saket Kapoor: Second question was on the tax advantage o f for Mukutban, which you mentioned that due to registration issue, so we will be getting that advantage for last previous year volume also, last year volumes also or will it be a big process...

Aditya Saraogi: Guys, we are not -- wait here -- only once we get the registration certificate, we'll be able to comment, maybe by the next quarter con call, we will have answer to that.

Moderator: The next que stion is from the line of Vipulk umar Anopchand Shah from Sumangal Investment.

Vipul Shah: Congratulations f or a very good set of numbers. Any guidance for yearly incentives for Mukutban plant, sir?

Aditya Saraogi: Overall, incentives next year will be around INR 100 crores -- INR110 crores, including the other plants.

Vipul Shah: So that will be inclusive of all plants, right?

Aditya Saraogi: Yes, all plants INR 110 crores against around INR 160 crores what we have accrued in financial year '24.

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Sandip Ghose: When we talk of all plants, as you would know, our Kundanganj incentives have ended. And so, there are other smaller incentives in Rajasthan, in Raipur, etcetera. So those things taken together. The bulk will, of course, come from Mukutban.

Moderator: The next question is from the line of Amit Murarka from Axis Capi tal.

Amit Murarka: So on Muk

utban, like I didn't get the number, you said the guidance for FY '25 will be about 2.7 million tons.

Aditya Saraogi: Correct .

Amit Murarka: 2.8 million tons, okay. And what was the exit that you did in FY '24?

Aditya Saraogi: 2.5 million -- 2.5 lakh tons in March.

Amit Murarka: Okay, right. And also, would you be able to provide the split between Maharashtra and non-Maharashtra sales in this number, like...?

Aditya Saraogi: About 65% of sales are within Maharashtra.

Sandip Ghose: We said that earlier, 65%.

Amit Murarka: Sure. Also, I was just wondering like if you were to do 2.8 million ton volume with, let's say, two third of sales in Maharashtra, like should the incentives booking be higher than INR 110 crores in that case?

Sandip Ghose: First of all, we said 2.7 million ton, not 2.8 million ton, for the sake of accuracy. Let us record that. And incentive percentages depend on various functions, including pricing. And our final split of trade, non -trade and various other things.

Aditya Saraogi: And within Maharashtra and the input taxes, various factors, this is our number.

Sandip Ghose: We have the number, we have taken as per our realistic estimates.

Amit Murarka: So it's 14% state GST that you accrue, right?

Sandip Ghose: Yes. But that's based on actual and selling price. And selling price differs between trade and non-trade. It also differs between areas. So there are various assumptions which come in. We have taken all those assumptions and come to our, what in our view is a r ealistic estimate, and that is what we can predict. And all these things have been built into our guidance of about 8% increase, 8% to 10% increase in our EBITDA per ton.

Moderator: The next question is from the line of Kamlesh Jain from Lotus Asset Manage rs.

Kamlesh Jain: Sir, just one question on the incentives part. So how much we had recognized in FY '24? And I believe guidance you have provided is INR 110 crores.

Aditya Saraogi: We have said we have not recognized anything from Mukutban.

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Sandip Ghose: Total incentives, we have recognized is around INR 160 crores in FY '24. Okay? And we have not recognized any incentive for the Mukutban in FY '24.

Kamlesh Jain: So FY '25 guidance includes Mukutban? Or how is it?

Aditya Saraogi: Yes. Mukutban -- Including Mukutban, we have guided for about INR 110 crores.

Sandip Ghose: As we said earlier, you probably didn't pay attention, our Kundanganj incentive is ending has ended really on March 31st. So Kundanganj wouldn't come. So this INR 160 crores this year, a bulk of it has come from Kundanganj. Next year, the bulk will come from Mukutban, on which we've already stated our estimates.

Kamlesh Jain: And secondly, sir, on the expansion side. So is the grinding unit, which we have announced, is this the only expansion we are looking at? Or are there any expansion in the clinker capacity, which we are pursuing?

Sandip Ghose: First of all, I would request you again to keep your questions to only one question because others don't get a chance. But since you have already asked it, we have stated that our clinker capacity expansion is not going to come just now. So there's no plan for clinker capacity. And we have announced our grinding unit plan that will happen in the course, which is indicated.

Moderator: The next question is from the line of Mohit Jain from Tara Capital Partners.

Mohit Jain: I just wanted to have your view as to how the competition in the central market is panning out considering the fact that significant new capacities have come up as you can see. So in the right time, what is your outlook overall?

Sandip Ghose: Competition coming up would be -- issue with the capacity is or the supplies are in excess of what is the expansion in the market. Last year, we did not face any said intense competitive scenario were there in terms of w

hat you might call any kind of intensive fight for market shares.

This year, it's too early to predict. It all depends on how the growth happens in the next 2 quarters, especially the capacities having come up. We have to wait and watch what is going to be the behavior of all players, whether they would still go for volume at the cost of price or they would behave more rationally.

Mohit Jain: So is it too early to say that we will see any kind of headwind to our volume guidance if the competition increases? How will you look at it then?

Sandip Ghose: We do not expect it, because we are practically sold out or more than sold out in those areas. We have got a very strong brand presence as well as the channel presence. As we have in the past indicated, we are the only company which operates at both ends of the market. We have a premium product market and popular or what is called the value segment with almost equal presence in both. This is one of our strongest position, because very few channel partners can offer both the products in the same company.

And these areas, especially in the central market, when you're talking about Central UP, East UP, I think we are in a fairly strong competitive position. And since we do not have any anxiety

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to sell more volumes, we hope to, -- and given our strengths of our brands, our quality parameters, our location of our plants in the region -- we expect to just as we have done this year, we expect to hold our position.

Moderator: The next question is from the line of Aman Agrawal from Equirus Securities.

Aman Agrawal: Sir, just wanted to confirm on the timelines for upcoming coal mines, Bikram coal mine and Marki Barka. You told Bikram by 2Q 2025 and Marki Barka by FY '26 timelines, remain intact, sir?

Sandip Ghose: See, Bikram, we are expecting in Q4 of FY '25. And Marki Barka, we are expecting in FY '26/'27.

Moderator: The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: Sir, firstly, congrats on a good set of numbers. I have a couple of questions. One is on prices, we've seem to have had really good control during this quarter, where peers have all cut prices very sharply. So could you give me an understanding of whether it is a geographic mix or it was more pricing discipline from our end, which helped in doing this?

Sandip Ghose: I think Mr. Pramanik has said this in his preamble at the opening remarks. Our strategy is very clear. We do not have in these markets any anxiety for volumes, because we do not -- our capacity utilization is 100% in the key markets, which are our core markets of Central India. Our focus has been on premium products, and we have continued to make investments in the premium product brands strengthening and which will continue in the future. So our focus has been on that. And therefore, we have not diluted our price positioning at all.

And coupled with that, as we mentioned, we have taken under this project, Unnati, several measures, including one is lead reduction. Secondly, it's selling more in higher realization markets. That's how we have been able to keep our realization higher than maybe some of our peers. And that's the strategy, and we would probably -- we would like to continue on that and improve upon that strategy. But obviously, we cannot be totally insulated with market movement. If the market prices come down, we will also be affected. That goes without saying.

Pathanjali Srinivasan: Sure, sir. Sir, and just one last question. Can you just tell me what your capex guidance would be for FY '25 and '26?

Aditya Saraogi: INR800 crores. And FY '24-'25, not '25-'26. For '24-'25, it is INR 800 crores -- around INR800 crores.

Pathanjali Srinivasan: Okay, sir. And for '26, do you have a number?

Aditya Saraogi: No, we don't have a number for '26, as I just answered.

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Moderator: The next question is from the line of Viraj Mahadevia from Moneyg row.

Viraj Mahadevia: Congratulations, fantastic numbers. You've shown a meaningful uptick in the EBITDA margins through a combination of what you suggested is probably not taking massive price cuts as well

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as the cost saving grows to 18% in Q4. Can you guide us towards a potential EBITDA margin range for FY '25?

Sandip Ghose: We've already said that per ton, we are at the moment, budgeting for about 8% to 10% increase in the EBITDA per ton. And that is what we can say from our outlook of next year, which is -- which as we elaborated in our press release, so unless we have any further visibility, this is what we would like to stick with, 8% to 10%.

Moderator: Next question is from the line of Vipul Kumar Anopchand Shah from Sumangal Investment.

Vipul Shah: Yes, all my questions have been answered.

Moderator: The next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Yes. So, already you mentioned INR800 crores capex for the current financial year, '24-'25.

Where will the money spent for and what will be the capacity augmentation? And then our net debt numbers will remain flat for this year even with the current maturities because the EBITDA adjusted number with the current maturity and the capex works out to flattish numbers.

Aditya Saraogi: See, out of the INR 800 crores, we plan to spend about INR 400 crores on sustenance capex, about INR200 crores on the development of coal mines and another INR 200 crores on Kundanganj line three. And as a result, net debt number, we expect to close that number below INR 3,000 by the end of next year.

Saket Kapoor: So INR3,003 is close to INR 3,000 only? So many ...

Aditya Saraogi: Below that. That I can say at this time.

Saket Kapoor: Right, sir. I'll again join, sir. One more question is there.

Sandip Ghose: Saket, you're monopolizing. You are being the closest to Calcutta and to the office. We can't give you undue advantage.

Moderator: The next question is from the line of Girija Rai from Asit C. Mehta Financial Services Limited.

Girija Rai: And more congratulations on a good set of numbers. So my first question is with regards to premium segment. So just wanted to check, our premium segment prices like last quarter, INR 2

to INR3, more than other players. So are we going to see any kind of threat when other players are coming up with premium segments? And what is the price right now for the premium segment sales?

Sandip Ghose: Price for premium segment would vary from market-to-market. And it vary from period-to-period. So therefore, we can't talk of a single pricing. Other people coming into premium segment, they would come in only if the premium segment is growing. They don't really cannot come in to cannibalize somebody else's premium product per se. So we don't see that as a problem for us with all the brand investments you would -- I don't know how much you've been following this company's brand strategy.

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Right from the time of 2016, when we acquired Reliance, initially again, a lot of people apprehended that whether we will be able to maintain the price premium of the Reliance brand or whether that will get pulled out to our legacy brands, which used to operate primarily in the popular segment. But I think what we achieved significantly at that point in time, and I was in the company, then some of you would recall as CEO and CMO, we were one of the first companies to adopt our brand architecture.

In that brand architecture, we had our flagship brand called Perfect Plus, and that cut across all the geographies where we were operating. And we have consistently gone on and investing in that brand, and we are seeing clear dividends of that. A classic example or a best example of

that

is when we entered Mukutban, where we were a totally new kid on the block. For us, it was a virgin territory we didn't know.

We have from -- practically from day 1, we are selling 40% as premium volume. And as Perfect Plus, where we found immediate acceptance of the brand. That shows the brand equity, which has been created over the years. And in the core market of UP and Eastern Central UP, I'm happy to state and some of you can verify this through your own market checks.

Today, our Perfect Plus sells at a premium over some of our very well entrenched and large competitors. It is clearly established that we are selling higher than that. So -- and we, as I mentioned, we will continue to invest on it. Those are -- if you follow cricket on television or even today, following the political news and television for the elections, you will see the kind of visibility this brand has got there. And this is part of strategy, and that is how we have been ongoing, whereas our regional brands, what we call our regional champions, which is the heritage brand, we have a separate strategy for that. Like Samrat is a very big brand in Central India.

In the popular segment, it has got very clear clientele customer segment where it goes. Similarly we have Chetak in Rajasthan, which is a heritage plant with a long history, which we support there. So those brands are supported. So we have been one company which has now for much before others have entered -- drive this kind of brand architecture. We have been operating in that way.

And that's why I said, we are -- the few companies which can make offerings in both the segments. So when you look at our dealers, especially in our core market and whereas the figures indicate our premium brands has over 50%, and almost equal quantity is sold in the popular brand. Our channel is on a few channels which can offer the customer both the brands from the same shelf and same counter. And therefore, that is played.

And if you were to compare with many of our peer group, which we are quoting, it's not for me to say the numbers. They are talking. Even some large companies, they're talking about 10% to 12% in the premium category, whereas as we said, we are operating already at 54%, 57% in our principal markets.

Girija Rai : That's quite helpful. And second question was with regards to freight cost. So I can see there is a decline on freight costs, 3% on quarter-on-quarter basis. Because we have sold -- I think we

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are catering to Gujarat market from Mukutban plant as well. So any further kind of reduction in or what kind of strategy are we using to see respite on freight cost?

Sandip Ghose: We look at our net realization. So if you see a Mukutban situation, obviously, there, we will have to now spread ourselves further. So you may not get a freight cost reduction in Mukutban. Whereas in the markets where we have saturated, there, we try to see how we optimize on our freight costs further to increase our realization. So it's a combination of those factors. So we don't look at this thing in isolation. We look at from market -to-market. We look at where is the scope for optimization with road versus rail.

But even when we look at road, we try to see where we can do direct dispatches from factory instead of routing them through the godowns out there. And so that is a continuous optimization process which goes on. But it's a market -to-market, say it so -- distance per se or just the number of freight costs don't make absolute sense, because we have to finally look at what is our net NODT realization.

Girija Rai : Okay. So, if I may allowed for a last question. So if I see from past 12 quarters, there is a price decline, more price impact in Central region, the rest of the regions like Western region, Northern regions and Eastern regions prices are at a good and stable, I can say. But

Central

region prices are quite down. So are you seeing any kind of price installed in kind of in near term? Any price stabilization in Central region?

Sandip Ghose: Why would you say Central region prices are down? It's all a matter of averaging from quarter -to-quarter, which has happened in different areas. You see Maharashtra was quite depressed for the better part of last year. North picked up at the point in time, then there has been slippages.

So this has been going on.

And I think, as I kept saying in previous conversations, that I think the overall last year's price movement was quite in line with expectation or what has been the projections at the beginning of the year. At the beginning of the year, all of you who are the analysts as well as firms like CRISIL and everybody had predicted just about 1% growth in pricing throughout the year. So basically a flattish pricing menu for all India. And whereas they had talked about a high single digit between 8% to 10% growth in volumes, that is precisely how it played out last year. This year is different, and you'll have to see it from quarter -to-quarter, because there are several factors. As we have indicated in our own press release this quarter is affected by elections, extreme heat in most of the country. And once the elections and everything is over, it will probably take a little while for the economic condition to stabilize.

But then we have to see how the monsoons play out in the next quarter. So it's a bit early for anybody to predict how the demand scenario will go and therefore, consequently, how the price scenario will go. But looking at last year, I don't see a great cause for disappointment, except in the last quarter where it was unexpectedly soft, because every time traditionally, in the last quarter, prices used to go up in the cement industry, so as to demand. But this is one aberration

of a year when in the last quarter, you actually saw a decline.

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Moderator: The next question is from the line of Tushar, who is an individual investor.

Tushar: My question is how much savings are possible from the Bikram coal mine that are to be commissioned in Q2 FY -- sorry, Q4 FY '25?

Aditya Saraogi: In this year, we don't envisage much savings, because it is in a ramp-up phase. The savings will start acquiring from next financial year.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Rajesh Kumar Ravi. Please go ahead.

Rajesh Kumar Ravi: Yes. Thanks, everyone, for joining in the call. If there are any closing remarks from the management, after that, we will close the call. Over to you, sir.

Sandip Ghose: No, I would just like to thank all of you, a, for joining and a, for the support and understanding, which you have extended to us over the last entire year and has been very meaningful conversations whenever we have either met in person or spoken in these sort of calls, and we will continue to count on your good wishes and goodwill and understanding.

And I hope we never used to interact earlier, as you know, it is only last year we started the conference call process as well as having investor roadshows, etcetera. I hope this has been a --

for us, it has been a great learning experience, very meaningful experience. I hope it has been mutually rewarding and wish you all the very best for the new financial year. And please take care of yourselves in the heat. And this weather is excruciatingly hot of yourself this and there, and thank you very much and hope to see you in about 3 months' time.

Moderator: On behalf of HDFC Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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13th August , 2024

BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai - 400 001
Scrip Code: 500335 National Stock Exchange of India Ltd.
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Symbol: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst earnings conference call on the Unaudited
Standalone and Consolidated Financial Results of the Company for the quarter
ended 30th June , 2024

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities and
Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find attached the transcript of the investors/analyst earnings conference call held on 9th
August , 2024 at 2.00 P.M. (IST) on the Unaudited Standalone and Consolidated Financial Results
of the Company for the quarter ended 30th June, 2024. The event concluded at 3.00 P.M. (IST)
on 9th August , 2024.

A copy of the same is also available on the Company's website at
<https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

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"Birla Corporation Q1 FY25 Earnings Conference Call "

August 09 , 2024

M

ANAGEMENT : MR. SANDIP GHOSE – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , BIRLA CORPORATION LIMITED
MR. ADITYA SARAOGI – GROUP CHIEF FINANCIAL
OFFICER , BIRLA CORPORATION LIMITED
MR. RAJAT PRUSTY – CHIEF OF MANUFACTURING &
PROJECTS , BIRLA CORPORATION LIMITED
MR. KALIDAS PRAMANIK – CHIEF MARKETING OFFICER ,
BIRLA CORPORATION LIMITED
MR. ARUN AGARWAL – GROUP CONTROLLER AND CHIEF
FINANCIAL OFFICER , RCCPL PRIVATE LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

Birla Corporation
August 09, 2024

Moderator : Ladies and gentlemen, good day and welcome to the Birla Corporation Q1F Y25 Earnings Conference
Call hosted by HDFC Securities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity
for you to ask questions after the presentation concludes . Should you need assistance during the
conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please
note that this conference is being recorded.

I now hand the conference over to Mr. Rajesh Kumar Ravi from HDFC Securities. Thank you. And
over to you.

Rajesh Kumar Ravi : Good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to Q1 FY '25 Earnings
Call of Birla Corporation.

From the management side, we have Mr. Sandip Ghose – M.D. and CEO and Mr. Aditya Saraogi –
Group CFO.

I will now hand over the call to the “ Management for the Opening Remarks ,” which will be followed
by “Q&A .” Over to you, Sandip, sir.

Sandip Ghose : A very good afternoon to everyone. Thank you so much for joining this call.

I see a very large attendance already and it's encouraging that there is so much interest in the results
of Birla Corporation support we have been receiving from all of you.

I have with me as mentioned Mr. Aditya Saraogi – our CFO , I have Mr. Rajat Prusty, who is our
Chief Manufacturing and Projects Officer, we have, Mr. Kalidas Pramanik, who is our Chief Marketing Officer , and we also
have Mr. Arun Agarwal, who is the CFO for our Reliance Cement
business, the RCCPL .

Now , you have a lot of queries I have been receiving some of them since our press release last
evening. So, I will keep our presentation short and give more time for all of you to clarify whatever
doubts /queries you have, and we will try our best to answer those. But, as a preamble, I will address
a few issues on which I have already received questions, and I think they are a special area of interest
for all of you. And subsequently , when we open up for questions, if your answers on those issues
have been met, I would request you to avoid repetition and move on to an additional topic and we would
be very open to answering whatever clarifying, whatever doubts or whatever queries you have.

So, to begin with, I know , many of you from your consensus estimates as well as your own brokerage
house estimates , the results which we have declared this quarter may have fallen below your

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expectation, particularly seen in the light of the last quarter of previous year and overall our exit rates
on various counts, including our EBITDA per ton.

And one repeated query I have been receiving is on realization , why our realization dropped has been
probably higher than expected with some peer group companies you have been comparing with.

Though, if you really look at also some of your colleagues have shared with me comparative
companies who operate in similar geographies , in that if we were to compare that I don't see where
I'm being very high. But be that as it may, I would like to state what is our position on the matter.

First of all, when you look at realization, you shouldn't look at it in an absolute term because the
previous period and current period are not always comparable if you were to look at the market wise
mix and in our case the market wise mix has changed considerably , it's a weighted average of the
various regions. And so, in our case, the weighted average of the market wise composition has
changed considerably due to the addition of Mukutban where we have had not only the maximum
capacity utilization but also ramp up . So, much of the volume growth which you have seen for us has

come from Mukundhan and that will change our overall mix in the realization. But that's one aspect. I will dwell on that later on, because I would like to discuss

with you our views of how the realization

of the markets has moved in each of our addressable markets of our relevant markets.

But overall, what I would like to add, everybody has spoken of and what is there all of you in your commentaries have spoken about two factors which affected Q1 of this year. One was the elections and secondly, the extended heat wave which resulted in non-availability of workers, a lot of workers also went home for the voting and the rest of it which affected the market.

But a third element which for some reason everybody has not spoken of is the pricing behavior of the leaders? Especially the volumes we have seen in June, we don't think that kind of a softening of prices or aggression and pricing was really warranted or called for and that was something I don't think many of us factored in and there are reasons for it, which we can only conjecture. One is because

of the consolidation in the market. People were wary about losing market share. So, there was a defensive pricing strategy. Nobody wanted to yield market share to their other larger competitors.

So, they tried to hold on and therefore they were less I think bullish on pricing and not only less bullish on pricing, the price situation diluted, and I will dwell on that also a little bit more.

But more importantly, due to lower capacity utilization in the units, many new units have come up and all those units which have come up, the newer units are all incentivized. Because there the grinding units, they have incentives in the key market. And so, there was a double benefit which many enjoyed, one was the lower input cost, and on top of that, the benefit of the incentive which came, and so the more they ramped up, the grinding units etc., they had a bigger cushion. These two things probably facilitated a soft pricing strategy, especially by the leaders and some of the bigger

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new entrants and this was particularly relevant for some of our core market areas, which primarily I would say first of all which is of great importance to us is Central India, which is UP and Madhya Pradesh.

UP had another factor. UP, if you see in every way whether it's in terms of volume growth or whether in terms of pricing, all if you have the statistics if you see the pricing, the pattern of UP for almost two years, till I would say the third quarter of the previous fiscal, UP pricing held on and in fact there was marginal increase from time-to-time, but certainly there was no slide down. But UP, the scenario changed during and post elections and UP therefore you will see a lot of dilution of prices in the UP region and consequently also parts of Madhya Pradesh. And this is a phenomena which I said affected people like us, because we operate in this area with practically at 100% capacity utilization.

So, our strategy here was, we certainly didn't want to dilute our price positioning, we tried to hold on to our price positioning and in our price positioning something we have worked and built upon over the years is our entire premium brand positioning which was there. So, we were very clear that we don't want to lose either market share or dilute our price position.

To our surprise, we saw some market leaders who were at one point in time enjoying almost Rs. 20 or Rs.30 premium even within the A-Category other players are, today, their pricing levels have come down, they've actually wiped out their entire premium and they're operating at a much lower premium.

And secondly, another very interesting new phenomena which we saw, though there were a lot of talks a year back about people withdrawing all price equalization discount or RTs from the thing, if you go back to these markets, some of you who do channel checks, you will find that the PE and the RT levels have actually not only shot up, but it has shot up very, very exponentially. By

our estimate,

in some places, markets operate in our relevant geographies to Rs. 30 to Rs. 40 PE, which has resulted in the WSP position that the wholesale price position significantly coming down, whereas retail doesn't fall in the same way. So, the margin between WSP and retail has gone up and that has caused certain aberrations in the market because also the dealers their investment gets stuck in the market because what they pay for and then subsequently what they receive back in PE and RD, which is up to a lag, requires greater investments. So, these have caused certain distortions in the market. So, this is just in terms of background.

So, what's relevant is what has been our strategy. Our strategy, as we mentioned to you, was first of all, we are very clear that we do not want to dilute our price and our brand positioning. We as a company have believed always that investment in cement, contrary to popular belief,

counterintuitively, it doesn't mean investment, only in plant and machinery or setting up new units, investment also what you make investment in the go-to-market assets which includes logistics, your entire distribution network channel, therefore, and then finally, obviously your brand pull, for us that

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is equally important. And we have invested in this consciously in the last 7-8 years which you are

aware from being primarily a Birla Corporation which is to operate at a B-Minus or a lower thing, today, we operate with more than 55% of our trade volumes in the premium category and I can say with some degree of pride, as I told you, if you today go into the retail segment in some of our key markets, you will find us to be at par or in some cases maybe slightly higher than some of the market leaders. So, we think this strategy has paid off for us. Equally, if I were to look at, if you see Mukutban, where we have been an entrant in just about a year back, even today, we are selling more than 40% of our volumes in the premium category despite being a new entrant and our ramping up there has been also some of you would see in terms of the percentages what we have ramped up. It has been much higher than that too within the premium category in the trade channel. And even during this period, we have succeeded in further ramping up Mukutban. That's why we have a 91% weighted average capacity utilization and also maintain prices there. So, we would continue. As a strategy, we have done it now. We will continue to maintain our brand strategy and invest in the market because we do believe that this market situation is temporary, it is not going to last forever. There will be sanity prevailing and market correction, and at that point in time we don't want to be relegated to a lower pricing point and we will therefore continue to do that.

Secondly, what we have done is our geo-mix optimization. When we talk of geo-mix, we don't talk of it in the larger context, we talk about within our core markets. So, our core market for example is Eastern UP. So, we would like to focus there, defend our market and grow there. That's why our investment is now coming up in Kundanganj, which is going to start operation early next fiscal and then also we will also get the advantage of the incentives in the new plant, which is now the old Kundanganj plants have the incentive has stopped, but we will get it and that will increase our competitiveness. And again, therefore when we get back there, we do not want to dilute our price positioning. So, our focus on strategy will remain.

Secondly, what we are trying to do, we try to also expand our footprint position in the secondary markets which are there for us. So, Mukutban, we have tried to increase our footprint. As we increase our footprint from Mukutban since our plant is located in Vidarbha, we will see some amount of dilution also in realization further

where we go.

And the same thing with Bihar is the market which has been growing on volume, there also we have been consciously working on our brand strategy to upgrade our volumes, get more quality volumes over there, more premium volumes, that will also affect. And Bihar again is a market where prices as you know in Eastern India were very, very depressed and there we have lost on realization. So, I'm giving you granular detail of regions so that will give you a picture.

But honestly where we have been hurt most is in Rajasthan. Rajasthan, we have been hurt because you know the price levels crashed, people have been discounting heavily, but there was a salvation for everybody in Gujarat. Until the previous quarter, Gujarat was doing extremely well, Gujarat Birla Corporation

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pricing was higher. So, a lot of other companies also, you will see a lot of their profitability was coming from Gujarat, but in the last quarter, Gujarat tanked. And Gujarat having tanked for a company, like ours, which has got a high cost of production, that's no secret, everybody knows, we have been rendered uncompetitive in many places, including there's been a huge shift because of capacity utilization, people have shifted to non-trade, that's institutional sales and OPC and we found ourselves to be quite out priced in many cases, in some cases, we had to actually choose not to compete. And it's been crazy out there. Our customers within 50 Kms of our plant, we found our prices were undercut. So, we have lost a chunk of our volumes and the realization in our Chanderi plant, Chanderi plant again is where we do not have a very high component of premium products, and we have got just about 25% of our product sales at the premium. And while we have held on to that volume or improved that volume marginally, certainly our popular product, Chetak has been quite hurt and as I mentioned again our realizations growth that has a higher component of OPC and institutional, we have lost there as well.

So, it's a combination of all these factors which if you see brought down, it is not that any places where there is a dilution which is overall reduced our realization. We are conscious of this situation of what has happened. But we have decided consciously also to ride this through because we genuinely believe, as I repeated earlier, a situation stabilize as equilibrium sets in, there is greater sanity, markets have to improve with the demand, when the demand improves, pricing will improve and at that point in time we want to be in our position of strength, because once again a reality for us we know that we are not going to add very major capacity going forward in the next two years till '27 when our plan is to go to 25 million tons. So, during this period, our objective is that we will play at the position where we have chosen, not dilute, not get relegated to back to A-Minus or B-Category player, we want to continue in this thing in whatever we sell. Our company's vision is that we may not be the biggest, but we want to be the best-in-class that is something which we say and that is what we want to practice.

So, hopefully this has given you some broad overview on the marketing and the pricing front and we will take on the other elements. Subsequently, my colleagues will talk.

Only two other things we like to continue to add are like everybody else our investments in terms of cost reduction have happened. Some of you have even commented in your commentary about the reduction of operating costs, which we have reported. I recall reading somebody said that that's the only silver lining they have seen in the results, but it's not a surprise, we have been doing this, we have been doing an excellent work on "Project Shikhar," we have been doing great work on "Project Unnati," which is a lot of it is related to logistics improvement. While those

are happening and so as

renewable energy thrust, our own captive coal mines on which we will deal, I mean the progress of it in a bit we will talk about that as well. So, while those will do, there are many more strategic other things in anvil and pipeline which we will talk about it in due course. Some of them are, we cannot talk about it now which will happen and so our thrust on cost will remain.

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Equally, we will try to actually increase, as I said, our geographic footprint. So, we have plans which was discussed many quarters ago and some of you may not recall, we had plans in setting up a grinding unit in Bihar in Gaya, which for a variety of reasons was earlier put on shall we say on a slightly slow track, but now it's back on fast track. Bihar situation has improved, the new government is very, very receptive to investment, they've become proactive. So, we are almost completing our land acquisition there. There are a couple of other grinding units or extension we have a plan on which we should be in a position to talk to you by the next quarterly call. So, those things will go on. So, that is business as usual. There is no letup in focus. That will happen. So, this is the mix of strategy on which we are going.

At the moment, we are not really doing any crystal ball gazing beyond what is there in public domain from all of you in terms of how the market will behave going forward. Everybody is projecting that, okay, if GDP growth is 7% the year we are supposed to end cement also in 6% or 7%, how that will pan out? Things can go in various directions, post a good monsoon with a lag, there can be a great demand surge, but to get to 6% to 7%, one will need a hockey stick effects in the second-half. So, we will hold our horses for talking about those things till there is greater visibility in the current scenario, economic, political as well as industry scenario. So, we are not really sticking our neck out to say too much about it.

So, with that, I'm opening the call for questions. And as I said, we will try our best to answer your queries let's not repeat things which we have already addressed, anything more, please feel free to come across. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, two questions. So, one is on the volume front. So, last time we said 8% to 10% growth that we are looking at in FY 25, so already 0.7% decline this quarter. If you also can share what was the Mukutban volume in this quarter and for full year, how much we are looking at? So, what's the revised guidance on the volume growth front? And second is on profitability. Last time we had talked about 8% to 10% growth on EBITDA per ton. So, that goes to Rs. 880-odd per ton, but given the 603 EBITDA per ton, the ask rate is now significantly higher 950, 970 and given the pricing pressure is already there and we are saying so even second quarter it is also muted than the second-half we need a significant close to Rs. 1,200 kind of EBITDA per ton if we want to have Rs. 80. So, what's the revised guidance on volume and EBITDA per ton?

Sandip Ghose: As I mentioned, we are not giving any guidance just now because the market is very, very nebulous situation. So, I think it would be imprudent for us not just from our side, but even from a market standpoint to stick out and mention any numbers. So, we would go by what all of you are predicting in terms of the market growth. As I just said, that people are talking about a 6-7% volume growth.

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But if the market grows that way, we have that much cushion and headroom because especially of our Mukutban upside as well as we have got upside in Chandaria and then even in our existing units, we have

got upside. So, we don't see a problem if the market picks up to be at par or slightly ahead of the market over there. In terms of profitability, again, we would not comment just now. We would of course have our ambitions. What we have stated, we will still try to do that, but we will not either revise or give firm guidance at this juncture. Mukutban question you asked, we have done 5.93 KT in the last quarter, which given the market conditions and the usual dip one sees, we are personally very happy with that number and especially since the number has come a large amount from premium and a lot of it has come from the core of our approximate area of the plant and that gives us and we have been in our strategy, we have been focusing more on blended cement even that has been kept. Though we are open to revising some of the product mix that the market so demands, so far we have been on track and strategies. We will leave it at that.

Shravan Shah: The last one is just wanted a lead distance for this 1Q and what was the CAPEX in Q1 and for full year how much we are looking at?

Management: The lead distance is around 350 Kms. We are maintaining our guidance for CAPEX for this year, it may be slightly less, but we are maintaining our guidance on that.

Sandip Ghose: Again, on lead, I'd like to clarify. We are not making a granular to compare our lead with our older markets and newer markets, obviously because of Mukutban where we are trying to increase our reach and footprint, there will be some increase of lead there which might compensate for the reductions which we are achieving in other areas for our geo-mix optimization. So, we are doing a lot of optimization elsewhere so that our overall lead doesn't change, but we could have probably dropped it further if we just looked at our existing units, but Mukutban is going to add some more lead distance to our overall weighted average lead.

Shravan Shah: From 20 to 25, 1.4 Kundanganj, 1.4 Prayagraj, how much we are planning to add, and if the timeline possible when that all these plants will come up?

Sandip Ghose: Whatever we have said about the expansion that is contained in our declaration. We are not going to make any more specific comments on actual thing because that will be contrary to our disclosures.

We should move away. Not anymore supplementary on that.

Moderator: The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta: My question is, while you are saying that the trade mix has actually improved by 59% of the total sales, so one is what is the breakup of trade inventory? Second is if it has increased, then why has it actually impacted or why has it not stabilized the realization? Third is, could you provide us numbers on the regional mix in terms of north, south and what has been the shift in terms of the ratio mix?

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Sandip Ghose: See first of all, as I said, our trade channel, we have tried to maintain, trade has not increased in this quarter because we have talked about premium in 59, trade we have kept it same as previous quarters because in fact there's just 1% decline you might say marginally and that's because how the market has behaved. As we said that a lot of people because of lower capacity utilization, they have been focusing more on OPC, etc., and the general markets we have not increased trade in terms of percentage. Premium, we have increased from 55% to 59% but again, Jyoti, you have to keep in mind that weighted average thing. So, while I'm selling more premium say in Maharashtra now as a total component, my Maharashtra premium prices are obviously lower than what I get in UP. So, you are not going to get in the weighted average. That's sort of an impact. So, you have to look at the entire in totality how my ... So, therefore what I say is when you are comparing realization

for us,

YoY or even QoQ our thing is not like-to-like because it is not in the same markets where we are expanding.

Jyoti Gupta: My next question is, I understand that a lot of companies which have put up new plants are actually running it by the new lines and therefore there's been a significant improvement that they are able to show in their EBITDA per ton. But I thought we will see some incentive gains or some improvement, something coming from Mukutban because for me this decline in EBITDA per ton is pretty significant. I am not able to understand why such a steep decline even constrain the way the Birla Corp. is actually operating in the last three, four quarters?

Sandip Ghose: I tried to explain that, Jyoti, in fair amount of detail. Again, repeating it is a weighted average of things. All regions have not moved. I told you about UP, which is a –

Jyoti Gupta: Can you share regional mix numbers, is it possible to do that?

Sandip Ghose: I will come to that, but first of all, let me answer your first question obviously on incentive. Yes, Mukutban incentive we have booked this time, and it is in line with whatever guidance we have given. But, at the same time Kundanganj incentive has gone out of the system. So, it doesn't fully compensate for what Kundanganj was, Kundanganj you will understand is a plant which produce over 2 million tons and just about the same thing is coming about in Mukutban, we are around the same level, but at the lower price level, at a lower therefore GST level, so obviously the incentive levels will not be the same. And in terms of regional sales, we have given you broad indications. I think giving specific ones will be correct on our part because we have not declared that in the results we don't give. But you know broadly how we operate, unlike I was seeing some other companies just there have given their state wise percentages, we don't declare it in that manner either annually or here. So, I wouldn't get into those specifics, but people have a broad idea because of our plants, our location in the plants, etc., what is our broad pattern across regions, and I have also given away to you what is my Mukutban volumes. So, obviously you can do very simple back-of-the-envelope calculation to get them.

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Moderator: The next question is from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

M Bhadang: Sir, a couple of questions. So, my question is on the industry prices. And as you said that industry leaders are actually keeping the pricing lower in the markets, where do you see the revival coming -

- is it only because demand has been weak now and after demand recovers it will come back or do you think that it can sustain that weakness can sustain for a longer term?

Sandip Ghose : See, I can't read other people's minds, and the leaders are far too big people for somebody of our size to try and read and predict their mind. So, as I said, we were wrong in terms of our forms in admitting what we expected that kind of behavior in the first quarter. I repeat that we don't think the kind of volume change or drop and if you see the kind of volumes especially people have done in the month of June, warranted this kind of price correction. So, it is difficult for me to predict how the competitive scenario will pan out, because as you see every second day, there is some new announcement happening in the industry. We are price takers. We will have to plan our strategy as per how the market goes. We are smaller players. We have no illusions about that and so we will have to protect our turf, protect our thing and we will do what we can. We are not going into acquisitions as I said. So, therefore our lot of investment has been in brands. So, that is where our assets lie. Not just brand, it's the entire go-to-market distribution assets, which is our

people on the

ground, the feet-on-the street which we have got, the investments we have made in software for customer relations and logistics, we are continuing to make things, we're in our ILMS system, all of that we are doing and we can't just fritter it away and getting into our pricing game with the big brothers.

M Bhadang: Secondly, was on CAPEX. So, you have maintained the CAPEX of I think 800 crores for this year. So, I just wanted to understand the timelines for the two units that we are planning, when they would be operational, so when actually should we take the additional capacity in our number?

Sandip Ghose : We have mentioned Kundanganj, Bihar, I said that is in the pipeline, but we are not giving any firm dates anything for it because we have to make a formal announcement on that. And overall, we have said that 25 million tons by 2027 we stand by that.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor : Sir, can you give me the current maturities for the year? And about the NCD issuance, what are the rationales going ahead and what kind of cost of fund are we looking to price the issue?

Aditya Saraogi : NCD is just an enabling resolution. In case the terms are more competitive then only we will go for the NCD. I mean, we are flexible, whether it is the NCD and today we are not under any kind of obligation for the point SEBI regulation also. As I mentioned it is just an enabling resolution and if you find the terms of NCD to be more competitive, then we will go for it. Our average cost of

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borrowing price is 7.9% and any price following that we understand, is also expected to be south of 8%. And in terms of the size maturity this year, it is 375 crores including 135 crores of NCD.

Saket Kapoor: What are the receivable dues from the government incentives?

Aditya Saraogi : Other than West Bengal, it is about 500 crores.

Saket Kapoor: And last year, how much we have received? I just wanted to understand what are the receivable general inflow from the incentive that we get?

Aditya Saraogi : That you can't project that because last year we did not get any amount from the UP government where most of our incentive is receivable from UP government where this year we're expecting a large amount to be received from UP government.

Sandip Ghose : It doesn't happen in a pro rata basis how government works.

Aditya Saraogi : There were some procedural issue which have got resolved. Rest of the amount we expect to receive from ..

Sandip Ghose : Government's budget, everything else, so that's not in our hands, we can't really predict that.

Saket Kapoor: As of now, you mentioned 500 crores as the closing receivable balance?

Sandip Ghose : Yes, right.

Aditya Saraogi : Other than West Bengal.

Saket Kapoor: So, that is from the state of UP only, the 500 crores?

Aditya Saraogi : See, small part of maybe 40-odd crores from MP...

Sandip Ghose : And then we will have Maharashtra also adding up now 21.

Saket Kapoor: This is exit of June. Also, we have been witnessing the correction in cement prices or the realizations are down. Can you give some more color, 5% to 6% for further correction we have seen as you were alluding that these prices are not commensurate for the market, but even exit of June, can you give some color on the same?

Sandip Ghose : So, you are saying the change from exit of June to now. I don't think it's a 5% to 6% change. In the market everybody, half of us will close down.

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Saket Kapoor: But can you give some color, sir, how the market is behaving since this is a monsoon quarter?

Sandip Ghose : Market has definitely weakened, it's different in different regions, but there is no change in behavior, we have seen people. So, the variation between so

me areas is 3%, 4% -odd that's the kind of.

Saket Kapoor: And two small points. Firstly on the coal addition that will be self-mining activity. How are those going to improve?

Sandip Ghose: Just to clarify or recall. As I said, it's a range. If you see our impact, we look at it between 1.5% to 2%. As I told you, some areas could be more where there is a slide and then you see the composite between trade and non-trade and all of that. But it's not 5% across the board. I would like to reiterate that.

Saket Kapoor: Sir, I was taking some additional information about the availability of other coal that we should be mining. What is the status of the additional coal volume and when will that kick in and other efficiency steps also which are in the air that will further lower our variable cost? And last point is on the Supreme Court ruling on allowing states to impose more power on for other states also on the minerals from the land. So, the limestones also fall under that. So, what's the thought process of the management on the same, sir?

Sandip Ghose: Last one, I would react that we can't be again conjecturing what the government is. There are several governments with different kind of stakes in minerals. So, how they are going to do and that will be an industry-wide effect. So, we don't see that being specific to us over there. So, that is not something which is we would like to comment just now. And on the coal –

Management: As indicated earlier, we expect Bikram to be operational by the end of this year. So, we will see the production really will come from next year. And the other one Marki Barka, we have indicated that we expected to commence in FY 27 so that is what we are expecting right now. And apart from that, as Mr. Ghose indicated in his initial opening remarks, across the board, whether it is manufacturing, whether it is sales, marketing, logistics, across the board there are multiple programs which have been undertaken for cost rationalization. So, basically there is no particular area or no particular scheme. There are multiple numerous scheme on which work is going on.

Sandip Ghose: Two major initiatives we have always indicated is Project Shikhar and Project Unnati. Unnati is to do with the go-to-market side, Project Shikhar is the supply chain and actually manufacturing plant costs and overheads.

Management: So, first, cost reduction you will see on a continuous basis, and you will find cost improvement.

Sandip Ghose: And also, renewable energy, etc., which will go on by AFR renewable energy, all that is part of them, some of them are part of our CAPEX and the rest of it that continue. As I said, we are absolutely

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focused, while we don't see a huge difference between us and somebody else doing, but we are not going to lag behind others either.

Saket Kapoor: Thank you for all the answers and also do provide us some comments on the jute division. You did not allude to the fact that jute being a small part also, but this time I think there were some extraordinary factors that resulted into poor numbers. So, if you could just enlighten us on –?

Sandip Ghose: We have mentioned that Saket, in fair amount of detail in the press release. You live Calcutta and you know the jute industry is in the doldrums. There are statements in Bain including by Mr. Irfan Pathan, who has given a statement. So, right now jute is in totally top seater we think. Good for us is that we are not totally dependent on government order. We have a large chunk of our private orders as well as we have an export business. That's why while many units have shut down just now, there are big plants which have declared shut down for 45- days, two months and the rest of it. We are running low, albeit with a slightly lower number of shifts but our plant is operation, that is going on, and we are

committed to this business, we are not here in opportunistic way as you know Birla Corporation started with jute, this is the first enterprise. So, that's why we are hundred four-year-old company here, that was our first unit. So, there is both sentimental, emotional and management attachment to it. We will persist and if there are these kind of 5 crore loss in a year those things we will have to take in our stride because it's really speaking, it's like the mother of our company.

Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh K Ravi: My question pertains to first on, could you share the fuel cost both in Q1 and what is the current consumption cost you are looking at in Q2?

Management: So, in Q1, the fuel cost was Rs. 1.48 per million kilocalories. Going forward, we expect some maybe about five paise or further reduction as of now.

Rajesh K Ravi: And sir, incentives, you mentioned you have booked in Q1. What was the amount in Q1 and same number in Q4 on total basis?

Management: In Q1 it was 21 crores and we are maintaining our guidance that we told earlier for the whole of the year.

Rajesh K Ravi: Q4 was how much, sir?

Management: Q4, it was around Rs.44 crores.

Sandip Ghose: That is because in Q4 we also had Kundanganj. So, you can say right now between quarter and quarter it is less than half.

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Rajesh K Ravi: This coal, how is the percentage? I think last year close to 18% of the total coal requirement was captive. How will this number be in basis your current ramp up plans in FY25 and FY 26?

Management: That we can't share just now. Maybe in the next call we can share.

Rajesh K Ravi: And lastly on the progress on the Prayagraj and Kundanganj expansions?

Sandip Ghose: Kundanganj, we mentioned that we are looking by second quarter next year, we hope to start from the Kundanganj. Prayagraj, we have not started work as yet. It's in the state of getting it ready. So, it will follow after Kundanganj. We will give you an indication later.

Rajesh K Ravi: So, Kundanganj ordering would have been already done?

Sandip Ghose: Kundanganj, a lot of work has already happened, a lot of work had happened even earlier. We're moving on a fast clip.

Rajesh K Ravi: This Maihar clinker, any thought by when that plant you are looking at clinker expansion?

Sandip Ghose: Rajesh, we will not speak exactly where, but we are committed to our 25 million tons by '27.

Moderator: The next question is from the line of Viraj Mahadevia from MoneyGrow. Please go ahead.

Viraj Mahadevia: Just a quick question. What are the plans either organic growth wise or unconventional out-of-the-box steps for deleveraging the balance sheet because your interest coverage shows a pretty weak given the leverage?

Management: I think our leverage is not high. In fact, as of 31st March, our debt-to-EBITDA was less than two.

So, on what basis you say we are having high. Our rating, based on last year's performance also turned to negative. Those have also been reverted back to stable by the rating agency.

Viraj Mahadevia: Also, from a servicing perspective, I guess you are okay, but your increased coverage ratio, if I look at it this quarter is not very strong?

Management: You can't look at quarter-to-quarter, boss. You have to look at it from a more long term perspective.

Viraj Mahadevia: But even if I look at FY24 entire financial year, your PBT was 573 crores, whereas the interest finance cost was 371 crores. So, that's a lot of leakage?

Management: See, we have always maintained that we set our debt in terms of debt to EBITDA and as long as it is three, we are okay. As of 31st March, it was less than two and this is what we have always maintained across all for us with the rating agencies, with the bankers, and with the media, with

the investors,

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everyone and we continue to maintain that, we continue to track our leverage in terms of debt to EBITDA which will continue to do so. As long as debt to EBITDA is comfortable, because EBITDA is an indication of profitability, as long as the debt to EBITDA is within the specific range, we are okay, we will definitely be okay in terms of interest and other ratios also.

Viraj Mahadevia: And given that your plans that presumably now you will go slower on CAPEX as mentioned, will the priority be to pay down debt on the balance sheet over the next year?

Management: No, but we are not going slow on CAPEX. We are maintaining our guidance of reaching 25 million tons by '27. So, there is going to be CAPEX, but at the same time we are not divesting from our philosophy of maintaining debt within the range of three in terms of debt to EBITDA.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Last time we said that net debt for this year by FY 20 and we are looking at net debt would be lower than the 3,000-odd crores. So, there we are maintaining that stand or there also we are having -?

Management: We are maintaining that.

Shravan Shah: We mentioned the cost reduction. So, if you can help us in terms of any quantum that we are looking at now onwards it by end of this year, how much more or even by FY 26 how much more cost reduction can happen?

Rajat Prusty: This is Rajat here. Good afternoon. The way our M.D. has already briefed us about the processes, this is the manufacturing transformation project which we are working in all the areas of operations including efficiency. And if I see three, four areas which are the key areas, one is the increase in the renewal percentage. Even in the last quarter it was 27% and gradually it will improve. And the second one is the AFR. Of course, the AFR is again a delta between the fuel cost and this. So, this is also we are working on to improve further on the AFR. And the third one is the efficiency improvement, both electrical and thermal in our all plants. So, all together you can see that this year we have taken a stretch target of Rs. 40, 50 reduction and similar will be there for the next year also.

Sandip Ghose: We will close it here and thank you very much for participating. I will only close with quoting something we have written in the press release. The company has invested a lot in the last eight years

in building our organizational capacity. Today, our depth of management, leadership, as I said, our assets in every front, not just in manufacturing or marketing, but how we are managing our HR, how we are managing our other capabilities and competencies, that have increased and therefore we say with a lot of conviction that we will stay the course of our strategy. We don't want to move kneejerk.

We will not do flip flops and that's why what you have seen, we have not hesitated in putting upfront the actual thing without any way to dress it up or say, beat around the bush. Because we are confident

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of our strategy, it can be temporary blips one can go through, but the way we have tried to do work on things for the last so many years and in the last 1.5 years in particular, we stay committed to that and that's the confidence with which I would like to leave all of you. You will see if there is something requires a course correction, we will come back to you and state it upfront. Otherwise, you will see a consistency in approach of Birla Corporation, the kind of consistency you have seen, and also along with that two more important things you will see from us, one is total transparency, secondly, higher standard of governance because our thing is to be not only as I said best-in-class but also the most respected in our category.

So, we will work towards that and that is something which you can take from me as long as I'm at the helm and the current leadership and our chairman, you can expect us to be exemplars in that. Thank you very much. Pleasure.

Moderator: Ladies and gentlemen, we have reached the end of the question-and-answer session. I would now like to hand the conference over to Mr. Rajesh Kumar for closing comments.

Rajesh Kumar Ravi : Thanks everyone for joining this call on HDFC Securities. We thank you all again. And with this, we conclude the call.

Moderator: On behalf of HDFC Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2024

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29th October , 2024

BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai - 400 001
Scrip Code: 500335 National Stock Exchange of India Ltd.
'Exchange Plaza', C- 1, Block G,
Bandra- Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Symbol: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst earnings conference call on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended 30th September , 2024
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investors/analyst earnings conference call held on 24th October , 2024 at 2.00 P.M. (IST) on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended 30th September , 2024. The event concluded at 2.55 P.M. (IST) on 24th October , 2024.

A copy of the same is also available on the Company's website at
<https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above

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"Birla Corporation Q 2 FY25 Earnings Conference Call"

October 24, 2024

MANAGEMENT : MR. SANDIP GHOSE – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , BIRLA CORPORATION LIMITED
MR. ADITYA SARAOGI – GROUP CHIEF FINANCIAL
OFFICER , BIRLA CORPORATION LIMITED
MODERATOR : MR. RAJESH RAVI – HDFC SECURITIES

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Moderator : Ladies and gentlemen , good day , and welcome to the Birla Corporation Q2 FY '25 Earnings Conference Call hosted by HDFC Securities .

As a reminder, all participant lines will be in listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajesh Ravi. Thank you. And over to you, sir .

Rajesh Ravi: Thank you, Sejal. Good afternoon, everyone. On behalf of HDFC Securities, we welcome all of you to the Q2 and H1 FY '25 Earnings Call of Birla Corporation.

From the management side, we have Mr. Sandip Ghose – M.D. and CEO and Mr. Aditya Saraogi – Group CFO.

I will now hand over the call to the Management for the “ Opening Remarks ,” which will be followed by the Q& A session . Thank you, and over to you, sir.

Sandip Ghose: Thank you very much, Rajesh. Good afternoon and welcome to everyone. It is rather heartening to see we have almost a hundred or a little over 100 now guests available despite, what should I say, not so encouraging results.

So, that's a matter of encouragement for us that all of you, therefore, stand by our comments and communication. And we have been in the past tried to be as realistic and as, you know, to the best of our judgment, portray what we see the market and our company's prospects are. And that's how we would like to approach this particular call as well in talking to you.

Normally, probably when the results are not so good, people say much more to explain, but I wouldn't do that. We have explained our stuff in whatever we had to say in our press release, which most of you would have seen.

All that I will say is, we recognize the market realities , and we saw the headwinds , and our strategy is , in that sort of a situation, to keep our head down, play with a straight bat, stick to the wicket, hold your ground rather than try to do any shenanigans or try any kind of, you know, trying any helicopter shots or anything of that kind. And that's how we would like to navigate in the days to come as well.

Because we remain, as we have stated, in the press release cautiously optimistic though I have seen many people expecting a huge upturn in the second half of which almost a month is already over, so that leaves five months , and people have expected , some have talked of a massive upturn.

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While we definitely see things improving on both price as well as on volume and demand front , but we are not painting an extremely bullish scenario . We have projected our second half in terms of volume increase at about 8...

Aditya Saraogi: On a Y -on-Y basis, based on H2 volumes .

Sandip Ghose: H2 volumes we have looked at second half about Y-on-Y basis 7 % to 8% and that's how we stick and for entire year , we are looking at about 4% , thereabouts plus or minus , and that's what we think is realistic at the moment to assume .

In terms of EBITDA, we are again looking at between the first half to second half. We have projected about between Rs. 150 to Rs. 170 upswing in the EBITDA format, and that is how we see it translating. We don't see, again, going by some market indications, people have talked about getting only through realization, people have talked about getting Rs. 200 gain by

realization alone. We don't see that in such an optimistic scenario.

So, we have taken our all told, given our continuing cost efforts to reduce costs, increase the geo-mix and everything else, we have projected about Rs. 170, as I said, and that is all that we would say by way of guidance at the moment.

The rest of it, we remain c

onsistent with our strategy in whatever we have been doing, and our approach would be to, we have had, in our older plans, our core markets, we have had a little slip in terms of capacity utilization, and I will explain why that has happened. And what we really look forward to is to be able to take our capacity utilization up in those plants to over 100% as we have been doing or close to 100% especially in our Central India plants and Mukutban where we have achieved a very good ramp up and scaling up and we hope that the pricing scenario would allow us to again, get back to the same kind of levels of about 60% last year. What is that we...

Aditya Saraogi: Capacity utilization 48% last year.

Sandip Ghose: No, towards the end we were almost operating at about 60% .

Aditya Saraogi: 60%.

Sandip Ghose: 60%. So, that is the kind of level we would like to get back to. Hopefully with the demand picking up and if there is slight upturn in prices, though in the West, especially Maharashtra, we are being circumspect because of the elections which have been announced and that impact will continue for about a month at least and whichever government comes in, by the time they settle in, new funds are sanctioned, etc. , I think we will get into at least January there.

In our core market, we are also factoring in the Maha Kumbh, which is going to happen in Prayagraj . That is once in a 12-year event, as you know, and that entire area, the logistics get Birla Corporation

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impacted. So that will also be something which will eat in to the peak season period of January, February, which is usually there. So , we are being cautious on that count as well.

But the real pain point in the last two quarters has been, in our judgment , in our view, has been the non-trade sector. If there is any impact, everybody talks about consolidation in the industry, if there is any , I think, visible impact of consolidation, we have seen that happening in the non-trade sector where the prices had crashed, come down very abnormally or to an unrealistic levels in the last quarter especially and in the markets where we operate in North and Center , we were never major players in the non -trade category or OPC category. As you know, historically, we have tried to keep our non-trade levels below 20% and our OPC at below 15% of our capacity over there.

Now, because of the whole market dynamics, the trade sector or the individual home building sector since they were not as buoyant in the last two quarters as all of you would have noted and seen, there has been a major market shift towards non -trade. And because of the market shift towards non-trade and also OPC component , I am talking about the industry as a whole, not about us.

So, since the market shifted towards non -trade and also OPC and overall industry capacity utilization came down by a couple of percentage points by our reckoning or whatever figures which are available from the analyst reports, which are coming out , there has been a shift in that direction and there were price drops, very, very significant, which made it unviable for us to be participating in the non -trade and the OPC segments in many markets, especially in Rajasthan, where things dipped, as I said, to very abnormal levels in the pricing of non-trade and OPC.

Similarly, in UP, in Bihar, people were participating . So, we deliberately chose to keep our exposure limited there because we certainly didn't want to operate at a variable cost loss or a cash loss to be in those markets. And that has resulted in our slightly lower capacity utilization that what we are capable of and what could have done, and we have not certainly tried to push volumes unnecessarily, which would have hurt both us as well as the industry.

We tried to be prudent in that, but we hope from whatever we are hearing, if the non-tra

de prices,

if there is more, I should say, rational pricing and market things happen in the non -trade and OPC sector, that will have its positive rub -off in the trade sector as well, and that should benefit everybody . And that is what we see as a silver lining going forward.

Finally, coming back to summarize, as we said, we are looking at second half in a very sort of a positive, but with a great deal of realism, pragmatism, and therefore we are committing our growth for the entire year. We are talking about, as we said, around 4% in the volume growth. Annually, we are looking at about 8% to 9%, or around 8% is the growth. We have talked about the EBITDA increase, which was around Rs. 170 is what we are guidance, which we are giving just now for second half, the increase between first half to second half.

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And with that, I will rest my introductory remarks, open up for questions, and we will be happy to, wherever we can, elaborate further or comment, or where we can't, we will be very honest and frank enough to tell you our situation.

The one last one which I missed, which is mentioned in our press release, is our progress of our Kundanganj's third line is going on satisfactorily and on track, and we hope when that comes in next year, we will have some of the incentives which we lost because of Kundanganj incentive getting expired last March will get restored and between that and we have already started clocking in the incentives from Mukutban between these two will be kind of back to a level playing field that what we were pre-March 2024. So, that's how we will only other major significant change which we see.

Some of our competitors have the advantage today of having incentives, especially in UP, which is enabling them to participate much more aggressively in the non-trade segment or even the OPC segment where they are doing. We are constrained there, not that, as I said, our intention is not to sell more OPC or more non-trade. We would like to remain in the trade segment where we feel we have very strong brand assets.

Our brands are today very well accepted, especially Perfect Plus, and Samrat has always been a heritage strong brand in UP. Chetak is a heritage strong brand in Rajasthan, and our distribution system, which we have our distribution assets, go-to-market assets, they are very strong in our core market. So, as soon as markets bounce back, we hope to be back again on the driver's seat as far as the trade and our channel sales are concerned. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, just a couple of data points needed. What was the incentive that we booked for Mukutban in Q2? And if possible, in 3rd and 4th Quarter put together, how much are we likely to book the incentive for Mukutban and also the volume for Q2, if possible?

Sandip Ghose: I will let Mr. Saraogi answer that.

Aditya Saraogi: In Q2, we have booked the incentive of 17 Crore for Mukutban.

Sandip Ghose: 17.

Aditya Saraogi: 17, okay? And what was the other question?

Shravan Shah: How much more in the second half we are likely to book and what was the volume of Mukutban?

Aditya Saraogi: We have guided for total incentive of about 100 crores for the whole year. We are standing by that guidance, okay?

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Shravan Shah: And what was the volume in 2Q and the lead distance for second quarter?

Aditya Saraogi: The volume was 5 lakh tons, and the lead distance was around 340 kilometers.

Shravan Shah: 340. What was the lead distance for the full entire company?

Aditya Saraogi: For Mukutban, it was 425 kilometers for Mukutban.

Sandip Ghose: You are asking for the entire company, or you are asking for Mukutban?

Shravan Shah: Entire company, sir.

Aditya Saraogi: So, entire company, it was around 350, the lead distance.

Shravan Shah: And last, sir, just a clarification. This Prayagraj 1.4 million tons, when it is likely to start?

Sandip Ghose: Not Prayagraj. We are talking about Kundanganj's third line.

Aditya Saraogi: Yes, Kundanganj.

Sandip Ghose: Kundanganj's third line.

Shravan Shah: Yes, that we know, but on the Prayagraj 1.4 million tons, when it will start?

Sandip Ghose: No, that we will announce. We have not announced commencement. It is in the pipeline, but the project is starting. We will announce whenever we are ready for it.

Shravan Shah: Lastly, if possible, the CAPEX for full year 800 crores we said, and we have done 200 odd crores. So, any downward revision in the CAPEX?

Aditya Saraogi: Yes, CAPEX for the whole year, we expect to go about within 700 crores.

Moderator: The next question is from the line of Jyoti Gupta from Nirmal Bang Institutional Equities. Please go ahead.

Sandip Ghose: The clarification, sorry, before you go on, just one clarification for Dolat Capital. What we are saying is our first unit which will come on stream is Kundanganj. Prayagraj is in the pipeline, but we have not commenced construction there. So, we are not committing the date when it is going to come in. It is also linked to certain other things.

So, right now what we are focusing, what we are visibility and committing is Kundanganj. It should not be read as Prayagraj is not happening. Prayagraj is very much part of our plan, like a few other locations of grinding unit which we have announced, but we talk about these

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specifically only when we have started the project broken ground, and that is where we stand as far as Prayagraj is concerned.

Jyoti Gupta: So, in second half, you said your EBITDA per ton will improve by 170. Just wanted to have an understanding in terms of cost, where do you see the cost and what kind of cost, means improvement you will see from Project Shikhar, in terms of numbers from Mukutban and Unnati, and your logistic optimization. What kind of numbers you are building in the second half of these two projects, in case you have anything?

Aditya Saraogi: For these two projects, in the second half, we are expecting efficiency of around Rs. 70 a ton, for Unnati and Shikhar, taken together.

Jyoti Gupta: Each, taken together Rs. 70.

Aditya Saraogi: Taken together 70.

Jyoti Gupta: And 100 will come basically from raw material and the volumes and the...

Aditya Saraogi: 170 is the cumulative effect of realization, cost optimization, efficiency improvement, everything.

Jyoti Gupta: And I could see that you are not very positive, quite cautious on the second half, but obviously first, so how do you see any particular impact, apart from the non-trade segment that you see, is coming from the consolidation? You are impacted, like adverse impact from the consolidation in your core markets, apart from non-trade, which has taken downturn by Rs. 300 per ton decline, is there anything else without him?

Sandip Ghose: No, we are not seeing any impact there. As I told you, it's a function of, we are luckily, Jyoti, given our capacity, as we said, we have been operating at 100% capacity, and we would be very, we don't see that as a problem. And I talked about those core markets, touchwood, fingers crossed. We have very strong brand assets. We have got very strong go-to-market assets. Today, we can say with great deal of, with some degree of, I think, pride, in terms of our people's strength, we believe that the employer branding of the company has gone up, significantly, at least from how we see interest of people, especially in sales and marketing, to come and join us at

various levels today.

So, I think we are quite well placed to take on the market opportunities, as soon as there are some tailwinds which come in and the market table improves. I deliberately talked about non-trade, because that's an area where we don't participate, and that's where our area, we are limited players, participate in a limited way, and certainly, it is not, OPC is not our preferred product. We don't like to do that, but when those segments come down, obviously, there is an impact, a spillover impact on the trade segment.

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So, I am taking hope or encouragement from certain pronouncements, which I hear in the market, where people are talking about increasing bottom line contribution through realization of Rs.

200, I expect some of that will come through the non-trade and the OPC segment as well which should auger well for trade and the blended cement segment where we are major players.

Jyoti Gupta: Sir, anything that you expect from the Orient, the acquisition of Orient Cement, do you think this is with Adani...

Sandip Ghose: We don't operate in that market. We are very small operators in Telangana. We just watch it from the ringside. We are on the other side of the fence there sitting in Maharashtra.

Moderator: The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: A couple of questions. Firstly, on your premium segment which is like very high overall mix, so when you say that the price of the trade segment like sort of gets impacted by non-trade, is the premium segment also gets impacted like how the difference like sort of changes?

Sandip Ghose: See, premiums don't exist in isolation. Premium you are always, when you are talking about premium, you are talking over a base price. So, if the base price drops, obviously, while the delta might remain similar or delta may marginally increase, but overall, in the price table, there is you are going to have only so much of a difference between what's happening in a non-trade and the trade.

So, our premium, we consider that to be a competitive advantage of this company. As I have said in the past that we are one of the few or perhaps the only company where you can say with some degree of pride who straddles almost equally between the premium and the popular segment. I don't call it popular. I call it the value segment. So, between the value and the premium, we operate almost on equal footing.

So, to that extent, we are able to calibrate some of our shifted. So, therefore, in this quarter, you will see when part of the realization which we have delivered, why we have been able to keep

our realization higher or the drop lower than the market drop, is because we have been able to shift volumes towards premium in most of our markets . That's how our premium volumes have increased. But we don't see any absolute virtue in either premium or value segment. We will offer what the customer wants.

And so, if the value segment again picks up, when I am upping my capacity utilization, not all of it will come from premium. It will come from value as well, because that's a very important segment of the market. You cannot, you don't operate right at the top end. You also, the middle matters. And we would like to be present everywhere.

Prateek Kumar: One another question on incentive guidance for 100 crore incentive in FY '25 compares to 160 crore or 140 to 1 60 crore in past three years . Is that right or ?

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Sandip Ghose: Yes. Since obviously the delta between what we were getting in Kundanganj and this period , especially '24-'25, you will find that as a gap because Kundanganj has stopped from 1 st of April and only Mukutban is what has come in its place. The Mukutban incentive are lower than what we were getti

ng in Kundanganj. So, therefore, that is why you are seeing the 160 to 100, that is the kind of gap which you are getting .

Hopefully, next year, as we go on commissioning Kundanganj Line 3, that will get restored. So , you will find us back. As I said, it will be a kind of level playing field once more between the two places . We will go back to our original levels of incentive in the company.

Prateek Kumar: And the last question on your comment there regarding Orient Cement, you said you sit on the corner of the other ...

Sandip Ghose: We sit on the other side of the fence because we are in Maharashtra . There mostly in Telengana and the South, we don't operate in that market much , in their co re Market . Even in Maharashtra, they are much more in the Western and the lower parts of it. We are concentrated in Vidarbha where they have a very modest presence. And so we will have to see how it pans out post the acquisi tion because I have been reading just like you a lot of analysis .

Because if you were to look at Adani as a combined thing, Adani already has a presence in those areas with their own brands of Ambuja and A CC. So, how much is this Orient going to add to their presence? You know, it's not easy having brand integration, what will be their brand strategy ? Those are things. So , we don't see the Orient really affecting us significantly as per their existing operation.

In future, I saw that they have got lea se in Rajasthan . If that comes up, how that will pan out ? Or recently, I saw they are tying up on some fly ash in Madhya Pradesh in Betul area. All those are in future, but similarly, they had a grinding unit planned in Maharashtra, which they gave up. They had a tie up with A dani. Maybe since this was in the anvil, that has come . So, those are futuristic , but as on today , Orient and we don't have much of an overlap .

Moderator: The next question is from the line of Sa ket Kapoor from Kapoor & Company . Please go ahead.

Saket Kapoor: Saraogiji, as you mentioned about 100 crore being the total incentive number that we are factoring in for Mukutban , how much actual cash have we received for the first half? Out of the 17 crore or is the entire balance also suspending?

Aditya Saraogi: See, 100 crore is for the company, not especially Mukutban. There is a small incentive in some other units also. In the first half, we have received around 120 crores from Uttar Pradesh.

Sandip Ghose: It's not from Mukut ban, boss. These incentives don't happen hand -in-hand and as soon as you claim, the next day you get . Like today I believe you are getting income tax refunds immediately, 24 hours . It doesn't happen in subsidies.

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Aditya Saraogi: It comes with a lag.

Sandip Ghose: Lag.

Saket Kapoor: So, what is the closing balance, sir ? Other than whatever we have booked as incentives, how much is still left to be received on the receivable account?

Aditya Saraogi: Excluding West Bengal where the matter is under sub judice , it is a bout 450 crores. And in fact, West Bengal also, there has been a development in the quarter. The state government has filed an appeal against the High Court order which has decided the matter in our favor . So that matter has also been dismis sed by the Supreme Court. So, currently , the state government does not have any legal rec ords in the matter.

Saket Kapoor: Can you come again? 450 crore is the figure you mentioned that is still left to be received by the...

Sandip Ghose: Total, if you were to say what is the receivable on account of incentives from various governments as on date , it is 450 crore.

Aditya Saraogi: Excluding West Bengal.

Sandip Ghose: Excluding West Bengal, where we have an additional amount, which was under, which was subject because the government had contested it. And that contest has been di

posed of by the

Supreme Court. So, the ball is back in West Bengal government's court, and they will have to, when they settle it as a different matter. So, excluding that, it is 450 crores on which we see that as a timing issue and not any dispute issue.

Saket Kapoor: And can you mention that figure also, which is in under dispute or litigation from the West Bengal government?

Aditya Saraogi: Around 140 crores.

Saket Kapoor: And now we have an upper hand because of the disposal by the Supreme Court.

Sandip Ghose: We were always on an upper hand. We were always on strong grounds. It is not a question of any upper hand, lower hand. Nothing underhand.

Saket Kapoor: Sir, Sarogiji, for the capital work in progress, the closing balance stands at...

Sandip Ghose: Any question, Saket, I told you, you are in Kolkata, you can't take advantage of so many questions.

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Saket Kapoor: Sir, last question. Sir, Sarogiji, the closing balance for capital work in progress is 558 crore.

With Kundanganj getting operationalized by 1st Quarter, sir, how much will we capitalize currently? And for Kundanganj, how much have we spent as of now?

Aditya Saraogi: I can't give you this figure off-hand. You can connect separately on this, please.

Saket Kapoor: And also, sir, in the press release, the update for coal mines are not mentioned, sir. So, if you could give some color on that.

Aditya Saraogi: Coal mines, Bikram Coal, we are expecting to start commencement of operation from Q1 of FY '26.

Saket Kapoor: And we are still extracting coal, sir, it has not mentioned anywhere in the press release.

Currently, one of our Bikram Coal work is operationalizing. So, we are extracting coal.

Saket Kapoor: I agree. Where we are extracting as per the capacity of the block, this is around 2,50,000 tons on an annual basis.

Moderator: The next question is from the line of Mangesh from Centrum Broking Limited. Please go ahead.

Mangesh: Sir, my question is regarding demand in UP and MP. So, I just wanted your views in terms of how much there could have been the demand decline in this quarter on a Y-o-Y basis, and was it only because of monsoon and election after effect, or do you think, you know, and when do you expect recovery in the same?

Sandip Ghose: Mangesh, we cannot give you exact as our estimated figures. Those figures of market decline, you will get from the analyst figures, because today there is no published data in that regard. So, we would not like to comment on that. But in terms of causes, it is also money availability, because a lot of fund released from the governments have got delayed in many places, or they have got governments have other priorities, it has gone for different schemes in different places. So, some of the fund release has been an issue in both these markets. And that is what has probably delayed some of the state-level development work or development expenditure which happens, because money has probably got more to welfare schemes and other stuff. There has been no elections, as you know, in MP and UP in the last six months. So, it's that and the overall situation.

Mangesh: And sir, another question was on the pricing front. So, we feel that pricing post August has improved marginally. But what is the current realization compared to the exit of September? Is there any improvement?

Sandip Ghose: I don't think there is any significant improvement, Mangesh. This is based more or less terms.

One has not really seen any consistent improvement or improvement which sticks. And I

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personally don't expect to see any very significant changes between now and at least till mid-November.

Mangesh: So, final question to Saraogiji. So, given that we would have a very weak operating

rating cash flow

this year because of weak realization, do we see debt increasing and any target or guidance on debt levels by the end of this year?

Aditya Saraogi: So, debt level, we expect to close around 3,000. Net debt, we expect to close around 3,000 crores.

So, like our cash from operations has been less than what we had budgeted. But then we have also scaled down our CAPEX. I think earlier, we had guided for 1,000 or that also we have

brought it down to 700. So, we are calibrating our options also according to the insight.

Moderator: The next question is from the line of Rajesh Ravi from H DFC Securities. Please go ahead.

Rajesh Ravi: Two questions. First, the margin guidance for second half, Rs. 170 or which you are looking forward to. First half, we have done close to Rs. 540. And even if we add up the Rs. 170, our full-year margin would be hardly to the tune of Rs. 620, Rs. 630 versus fully as is. First half, we have done 535 and second half, we are looking at Rs. 170 higher, so close to 700 odd. So, the full year average would work out to be 620 versus 800 we have done in FY '24. Are you not building any price improvement in the second half? Or what is...

Sandip Ghose: Of course, we are building in Rajesh. As we said, Rs. 170 is not going to come purely from cost savings. Our cost and other initiatives, as we indicated, will probably give us about Rs. 70 and rest will come partly from price and a few other things as well. But we are not being bullish enough to say that we are going to get Rs. 200 into the bottom line from price alone. We are positioning about, because you know, price increase, if I have to get 100 between now and March end, that's an average.

So, average to get there, even if you would, I don't want to get into showing you back of the envelope calculations, you see how much it can peak and it's a regional factor. Others, I am not questioning other people's projections. They could be having other regions in mind. We don't operate in the south where they may be having more. I am looking at the specific market in Maharashtra. I told you, I see Maharashtra, I have been cautious in Maharashtra because of elections and the post-election impact, because this takes a little time for, you know, again, governments to settle down, monies to come out. Maharashtra also, there are various welfare schemes and all committed. So, I don't know how soon monies will come and how much impact that will have on the demand and the pricing.

Similarly, I am being cautious. Our core markets is East UP and the peak season where all of us look at a spurt in volumes and prices, usually, as you know, in this industry from second week of January to February middle, that's the real time when you find historically, cement prices go up sharply. But that's the time when we are going to see UP some major dislocations, okay, with Birla Corporation

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the Maha Kumbh and everything else, and that time movement becomes an issue and various things.

So, we are being perhaps, you might say, a little extra cautious, but we would rather be conservative than be foolish and come back to you cutting our sorry face when we speak in three months' time.

Rajesh Ravi: And on volumes, any thought process, what sort of growth Q2 obviously has been bad and for full year?

Sandip Ghose: We mentioned that, Rajesh, we are looking at second half, about around 8%, 7% to 8%.

Rajesh Ravi: And last question, sir, there is too long a large investment sitting on your books, Ultra Tech and Century Textiles, cumulatively, if I look at approximately 700 odd core value. So, is there any thought? Do the management or the promoters have any willingness, or can these be sold off and used to reduce debt or for some other efficiency programs?

Aditya Saraogi: There is no embargo in selling these investments. We

have the mandate by the Board, we can sell these investments whenever we want to. These are non-strategic investments, but we will not sell these to settle or reduce debt. So, if we feel like we can deploy this proceeds from the sale of these investments into a productive asset which can give good return those kind of things, at that point of time we will consider.

Rajesh Ravi: So, because you would be doing this Maihar expansion also, so this could come handy.

Sandip Ghose: It could come for various things, Rajesh. This is, you know, we would do at the time of our choosing and in terms of the opportunity. Since you have been associated with the company from a very long time, you would know that we were sitting on a fairly large treasury balance for a long time till we made our Reliance acquisition. So, we did it at the right opportunity when we felt it was right in our prudence. Similarly, we will take a call on that, but we don't have any compulsion right now to dilute our debt by selling this. That is certainly a question we can tell you categorically that's not in terms of our plan.

Moderator: The next question is from the line of Girija Rai from YES Securities. Please go ahead.

Girija Rai: See, getting incentive as the additional money makes sense, and it is really adding to the profitability, but in terms of core business, so if I see in 4th Quarter FY '24, we have done an EBITDA per ton of around 974, which is pretty good. And significantly, I can see 1st Quarter, second quarter, there is a huge decline. Even in fact, second quarter FY '25 we saw around 50%, 60% of decline from 4th Quarter if I compare. So, again, 4th Quarter will be a volume driven quarter. Obviously, volume is higher. Then again, your EBITDA per ton will come down.

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So, my question is that, so what kind of projections we can go ahead for 4th Quarter FY '25 EBITDA per ton? Is this the mark we can see somewhere in between 700 to 800? Because price, again, I do not see much price kind of appreciation in coming near term.

Sandip Ghose: I see that's your view. You have to take a view, and it is not also a question of your view versus our view. You have to see the entire thing. We can only give you our point of view. First of all, when you are looking at last year 4th Quarter to now, obviously you will agree that the drop which you have seen is not isolated for us. Already you have seen three, four companies' results are declared, and we are no exception in that pattern. And in fact, in some ways, from whatever we have seen, you are a better analyst. Maybe we have done a tad better than other people in terms of the management of the bottom line in terms of the drop. So, that's being one. Now, if you were to compare, to answer one question of yours last year, last year was very interesting. I found it slightly odd in a way, the 4th Quarter. Historically, in cement from as long as I have been, 4th Quarter, the surge you see is both of volumes and prices. Last year, 4th Quarter was only volume without prices. There was no substantial increase in prices. There was a surge in volume.

Now, this 4th Quarter is a matter of conjecture. When you are talking of volumes, whether it will be volumes in isolation, if it is volumes in isolation, not just for us, others who are projecting Rs. 200, where will the Rs. 200 come from? Obviously, that has to come along with a surge in prices. Now, for the Rs. 200, what other people are projecting, we would not see it. We would not bet our horses to expect it will be that high.

So, we are being conservative in this, but we certainly see a price improvement in the last quarter. And where I see the price improvement coming, without getting more specific, despite some of the other issues which we talked about, the elections in Maharashtra or Uttar Pradesh, Prayagraj,

etc., and what I hinted in the beginning, I think the prices today, real abnormal prices are in the non-trade. And if the non-trade prices pick up, and people become more, there is more rational pricing in non-trade, and especially in the OPC segment, I see you are immediately going to see a positive impact or positive rub-off spillover in the trade segment.

And that has happened in the last two months also. If you see what are the areas where there has been improvement in prices, when we talk of nationally, you don't see any kind of price changes between August, September, October, but areas where there has been actually a price increase, say, North has recorded some price increase. The North price increase has essentially come, if you go through, it has come because people have corrected the non-trade prices. Before that, non-trade was pulling trade hugely down. Once some amount of sanity was restored in the non-trade prices, trade picked up.

Similarly, we therefore hope that if that phenomena you see across geographies, if not across the country, you will start seeing some impact of that coming. And so, at least you will get back to

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normal levels. Right now, I think the prices are depressed below normal, and that will come and once that level playing field, if we come back to that by November or December end, which is entirely possible, it is just a matter of, as I said, some sanity getting restored. If that happens, last quarter, you are going to see both volume and price increase. People are talking about pent-up demand. Pent-up demand will come. With pent-up demand, obviously price will also go. It is not going to be just volume.

Girija Rai: Sorry to cut you off. So, you mean to say the price level, which is hovering right now, so this is bottom out since there is no further decline in price, it is like, I can just assuming, or is there any kind of further, I mean to say there is no further decline in price, and there might be some chance if the momentum goes up?

Sandip Ghose: Yes, I think that will be a fair assumption. Things can only improve here. I don't see further decline happening because whatever disturbances, those are more or less done. Now Diwali over. Chhath will be over. By then your new crops will come in. In the harvesting season, money will be there in the system, all of that. Labor will return back from the Chhath thing, then harvesting and all that, people will go back. I don't see, therefore, certainly scope for further slide and decline. And I repeat myself again and again, that is the only conjecture I am making, sticking my neck out, if sanity returns in non-trade prices, which are obviously in the hands of the big players, who are big players who participate in non-trade or especially on national accounts etc., you are going to see benefits of positive rub-off of that also on trade.

Girija Rai: Sir, my second question is into premium segment. Right now it is 71% it seems, right?

Sandip Ghose: 61%.

Girija Rai: So, this has improved a lot, like it was 51, now it is 61.

Sandip Ghose: I wouldn't call it improvement. It will be wrong on my part to, as I was trying to clarify earlier,

this is strategic . If today the prices have come down and if I am selling below capacity for whatever reason I can 't participate , I would focus which is giving me the maximum return . So, it is a combination of product mix and geo mix .
So, if I am selling in markets which are giving me the geo mix wise it is the best market because it is close to my operations and in those areas , if my premium product has a greater pull , I will sell more . I have got nothing against selling anything in the value or the popular segment . Okay?
But if the value and popular segment I find there is more maramari happening

and here I have

got a thing , I would rather take the Rs. 20, Rs. 25 premium , but I don't want to vacate that segment .

This is a very unique advantage this company has . I don't know how many people recognize that. We are a company where we have almost equal , we straddle between both the segments almost equally , okay.

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Girija Rai: Yes, I truly agree with this because we are the highest premium segment sell in the industry it seems, and that is a good part in our company.

Sandip Ghose: Both sides , boss, to use my favorite expression , we are a double engine company.

Girija Rai: And lastly , what was the Mukutban utilization rate in this quarter?

Sandip Ghose: Rajesh , let's move on to the other one . We have given the figures.

Girija Rai: I will get it.

Moderator: Thank you. The next question is from the line of Raaj from Arjav Partners . Please go ahead.

Raaj: I just wanted to know your full -year growth guidance.

Sandip Ghose: Boss, we have said that , boss, already . We have said . We repeat that full year growth guidance we have said in terms of volumes , we said 3% to 4%, and we have given just now as you heard our EBITDA also we have given . As I said volume we have given already . We said about a full year volume will be about 4% .

Aditya Saraogi: 3% to 4% .

Sandip Ghose: 3% to 4% is what we have said . And EBITDA also we have given . H2, we have told about Rs. 170 over H1, which is about 530. So, you can do your averaging of the two and come to the number just like Rajesh did just before your question.

Moderator: Thank you. The next question is from the line of Amit from Axis Capital . Please go ahead.

Amit: So, I just wanted to check captive coal mining status and when would you start the captive coal mines , and also with the pet -coke pricing now having come off and rupees kcal , I think pet-coke is now almost 1.5. What kind of cost benefits would still come in from the captive coal mines?

Sandip Ghose: Captive coal mines as already we had informed for the Bikram , already Sial Ghoghri is in operation for which we do around 2.5 to 3 lakhs tons per annum and for Bikram Coal Mines , we are going to start the first coal production going to start from the Q1 FY '26, and pet-coke because our only requirement of the pet-coke is only in one plant only , and we have reduced the requirement of the pet -coke and more on we are in the indigenous coal . And wherever there is a change in the prices , we take it to account , and our coal , fuel prices , you can see in the last quarter is 1.47 paisa per kilo cal, and it will be , if the changes are there, we are not seeing much of changes . Maybe slight change will be there depending on the prices of the pet -coke which is going in the market now.

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Aditya Saraogi: So, in terms of the cost differential, our cost from Bikram coal block is expected to be around Rs. 1.10 paisa per 1,000 kilo cal , and the ongoing rate for fuel in the central region is between 140 and 150. So, that is the kind of difference that exists as per the current fuel prices.

Sandip Ghose: Thank you very much. I think that brings us to the last question, and it is really heartening to see we are ending the day with 150 people on the call . That is very encouraging . Thank you so much for joining , taking the time out on a busy day . I see today there were at least three con calls in the cement sector . There are one in the morning , one now , and one after us so that you took time out for us . It is really heartening . Thank you very much.

Moderator: Thank you. On behalf of HDFC Securities , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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11th February, 2025

BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai - 400 001
Scrip Code: 500335 National Stock Exchange of India Ltd.
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Symbol: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst earnings conference call on the
Unaudited Standalone and Consolidated Financial Results of the Company
for the quarter and nine months ended 31st December , 2024

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities
and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations,
2015, please find attached the transcript of the investors/analyst earnings conference call held
on 5th February , 2025 at 2.00 P.M. (IST) on the Unaudited Standalone and Consolidated
Financial Results of the Company for the quarter and nine months ended 31st December , 2024.
The event concluded at 2.53 P.M. (IST) on 5th February, 2025 .

A copy of the same is also available on the Company's website at
<https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

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"Birla Corporation Limited
Q3 FY '25 Earnings Conference Call "
February 05, 2025

MANAGEMENT : MR. SANDIP GHOSH –MANAGING DIRECTOR & CHIEF

EXECUTIVE OFFICER , BIRLA CORPORATION LIMITED
MR. ADITYA SARAOGI – GROUP CHIEF FINANCIAL
OFFICER , BIRLA CORPORATION LIMITED
MR. RAJAT KUMAR PRUSTY – CHIEF OF
MANUFACTURING & PROJECTS , BIRLA CORPORATION
LIMITED
MR. KALIDAS PRAMANIK – CHIEF MARKETING
OFFICER , BIRLA CORPORATION LIMITED
MR. ARUN AGARWAL – GROUP CONTROLLER AND
CHIEF FINANCIAL OFFICER , RCCPL PRIVATE
LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Birla Corp's Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajesh Kumar Ravi. Thank you, and over to you, sir.

Rajesh Kumar Ravi: Thank you, Sagar. Good afternoon, everyone. On behalf of HDFC Securities, I welcome you all on the earnings con call of Birla Corp -- Birla Corporation to discuss Q3 and 9-month FY '25 financials ending December 2024.

The management team is being represented by Mr. Sandip Ghose, MD and CEO; and Mr. Aditya Saraogi , Group CFO. I would now hand over the call to Sandip sir for his opening remarks, which will be followed by a Q&A.

I would also request participants to restrict their questions to two per participants initially, so that management is able to address queries from most of the participants. Thank you. Over to you, Sandip sir.

Sandip Ghose: Very good afternoon, and welcome to this con call. We have with me Mr. Aditya Saraogi: as mentioned, our CFO, but I also have our Chief Manufacturing & Projects Officer, Mr. Rajat Prusty; our Chief Marketing Officer, Mr. Kalidas Pramanik and our CFO, Arun Agarwal. That's the full team ready to answer your question.

The results are before you. I don't think there are too many surprises or to really answer or talk about. So I will start, first of all, by giving a little setting the context on a couple of points which may not be apparent from the published results. This is actually probably my eighth con call or even for us, because we never used to have con calls earlier, eighth con call in the last two years. I did my first con call here in January 2023.

At that point in time, the burning question used to be Mukutban. Everybody was concerned and really worried about Mukutban. We used to be grilled and quizzed about Mukutban. And two years down the line, having made steady progress quarter -from -quarter, I don't hear as many questions, but I am happy to report on my own, that Mukutban today has become really a growth engine for the company, and a lot of the performance, which you are seeing today, are contributions from Mukutban.

Not only has the units become profitable, but the swing in profit which was before over the years, and that is what's making the difference. From a situation when it was cash negative, it used to pull down our overall profitability, Mukutban has today become, as I mentioned, incremental and both in terms of our volume as well as our bottom line.

We are happy that we have, I think, much ahead of expectations of a lot of people, we are today doing high capacity utilization of high 60s in Mukutban and we hope that this will improve further in the times to come. So as management, we are extremely pleased with the way

Mukutban has been ramped up. And as I said, proving the naysayers wrong or the apprehensions

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which people had expressed. This shows our ability to enter a new market. And this is something as far as Birla Corporation, I would like to underscore, if I may, taking a minute more.

When we acquired Reliance in 2016, there was a lot of apprehension expressed, whether we'll be able to upgrade our volumes from being -- essentially, we were then a discount segment player in B or B -, from there, whether we will be able to retain the premium positioning of Reliance. There were a lot of doubts expressed by people.

They thought that we will probably get -- even the Reliance portfolio pull down

and the company had proven at that point in time, our ability, our marketing ability to not only maintain the Reliance premium, actually to upgrade it, so that today, we have a portfolio where we are a significant player in our core market, not only a significant player, I would say, are core market leaders in our core markets, are addressable market in the premium segment. Perfect Plus has got accepted and has got a brand equity across all the markets where we operate over there. And at the same time, we have consolidated our position in the popular segment. And most interestingly, we have also entered a mid-price segment between the two, with another our premium brand, Samrat Advanced, in those markets. We are operating over there in three levels. So the Reliance integration and the way we were able to seamlessly move into our co-branding operation, etcetera, which many have not succeeded even a longer -- after a longer period, I think, it is something this company has proven and demonstrated then. And equally, when we entered a totally new area, which was totally a new area where the company was unknown, our brands were unknown in an area which was dominated by very strong players. I think, there were similar apprehensions expressed about Mukutban two years ago. I think, we have once again not only proved our ability to enter into the virgin territory or what is a virgin territory for us, but also position ourselves at -- in a very, very respectable situation. Even in Mukutban from day one, we are selling upwards of 40% in terms of premium products. We are selling a very high percentage of blended products, although large parts of Maharashtra is OPC dominated. In institutional dominated, we have been able to make our positions fairly in a strong footing on the trade segment as well as a blended segment. So these are the two things I think is -- I would like to highlight and thereby, what is underscored what's the immediate importance is the contribution Mukutban is making to the overall performance of the company. And why is that significant? Why that's significant in the context of this quarter's results, it is because as all of you know, our core markets in Central India has faced severe competition intensity over there for reasons which are well known to you. There has been -- that is one area where there has been, to some extent, oversupply or overcapacity. The prices have been under pressure for a variety of reasons. And in normal circumstances, in earlier circumstances, that would have affected us very adversely because that is where our core strengths lie. But because of Mukutban today where

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our portfolio has become so much more balanced, we have been able to offset that in a big way, both in volume terms as well as in terms of the profitability. And this is a point I would like to underscore. But there is a flip side to this, which is not understood. Some people have raised the questions about our realization growth. Why our realization growth is probably lower compared to some other people in terms of the top line realization, the explanation for that also lies here, because the Mukutban volumes which have come in, which I said, which is a very significant volume today, that comes in at a much lower net realization, because that's how those markets are operating. Compared to, if you were to compare to people who are very strong in the north or even for people who are strong in the Central region, if we were to just have a weighted average of our earlier product portfolio or our geographic mix, of North and Center, our net realization would have been much higher. The net realization today looks lower, because of the impact of Vidarbha and Maharashtra in the pricing. So this is another explanation, I would like to -- elaboration, I'd like to provide to you all, those who are trying to decipher some of the figures. Now coming to region-wise thing. As we all know, in the last quarter, things have looked up since end November and December over the industry, both in terms of volumes as well as in prices, but the biggest uptick or upswing was in the northern area. So people who are -- who have got a very strong presence in the North have done extremely well, because they have got the full benefit of the volume uptick, upsurge, as well as the price improvement which has happened there, especially in the non-trade segment, where the prices were very depressed earlier in the northern region. And that, in turn, has pulled down the trade volumes. In our case, although our presence is not as large or as strong as other people, but in terms of our portfolio, our Chanderia unit as a single location unit is today one of our biggest unit. In fact, it is the biggest unit for the company. And because of this situation, our Chanderia unit has performed exceedingly well. Exceedingly well, both in terms of volumes, the way we have been able to make capacity utilization, keep up our dispatches as well as because we are in the trade segment and the beneficial impact of the non-trade to the trade prices,

we have also benefited from the improvement in trade prices.

So Chanderia has been a very happy story for us after a long gap. Today, Chanderia has really performed, I think, to its potential, and we hope that going forward, it will further augment the company's results and be the jewel that it was in the company's entire portfolio.

Coming back now to Center, which is our region. As I mentioned earlier, it is well known that Center has faced a lot of competitive intensity due to some amount of capacity overhang over there, lower capacity -- bigger players with lower capacity utilization and therefore, being very aggressive on the pricing front.

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And there, again, what we saw in the Central zone, the pricing, the pressures was much more in the non-trade segment, because when trade demand was muted, people focused a lot more on the non-trade sector.

But even that, there was a little bit of, I think, slowing down on traction over there. As a result, the big players were extremely aggressive on the non-trade thing and certain new players also

who have a very -- who had additional capacity and incentivized capacity in those areas, they could be very, very aggressive on the pricing in non-trade.

Non-trade is never our suit. That is not the area we operate, neither do we want to operate in OPC segment, but obviously, there is a spillover effect, which happens on the trade front if the non-trade market levels go down. So there are two things which happened as far as we are concerned. In terms of positive, what was our strategy, our strategy was to focus much more, because we have our capacity utilization even in a slightly soft market conditions are very high in that region.

So we focused primarily not only on trade, but we focus entirely on maintaining our price premium. And we believe, and this is for those of you in that channel checks, we have been able to maintain premium over many of our peers, including large competitors in terms -- in the A segment.

We were able not only to maintain our premium, but we have been able to increase the proportion of our premium in that A category segment. So if you compare our presence in the premium segment is, today, probably the highest among our peer group.

We have done about 58% premium volumes in this quarter, and that was very -- not because we want to neglect the popular quarter -- popular segment where we are very -- we have a strong presence with our heritage brands, the Samrat, Chetak.

But here, it was a conscious decision. In that market, we wanted to maximize our premium sales.

And I think we have largely succeeded and that has

really protected and insulated our margins over there.

Simultaneously, though it's a very small area, our Durgapur unit has performed well in the last -- towards the end of the quarter, because that's when the Eastern market prices also went up.

There was an uptick in demand. We saw better demand in Bihar also improved. So all that helped us also in the East. So East was also a supportive story. Though not, as I said, we are not very large players there, but it was certainly not in any way a drag on the performance.

Our focus on costs remain a relentless focus on cost and subsequently, I will request Mr. Prusty, our CMOP to talk -- comment a little bit more on the cost side. So that, and the cost elements we have continued to do. We have done quite a few initiatives and certain initiatives undertaken, you will start seeing the impact of that in the last quarter. Many of the cost initiatives, the results you'll start seeing now.

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And now given the outlook of the market, which is before all of you, luckily or unluckily, our results are coming towards the far end of the sector. Only two or three, I think other companies are left before announcing the results as we are coming.

I'm happy to say that we are not changing any of our guidance, which we have given earlier.

And on that score, we have been, I think, fairly consistent. We have never taken an over-bullish position. Even in the previous quarter, we have tried to give a realistic assessment.

And even now, therefore, we maintain our guidance, which we have given previously. We are looking for the entire year, our volume growth of 7% to 8% in H2. We are looking at it over there. And we are also keeping our projection of what we said about H2 EBITDA increase, which we had indicated between first half to second half, H2 average would be about INR 150 increase in the EBITDA, and we are maintaining that and no change in that. We will stay there.

So that kind of concludes my part of the presentation. No major changes in the debt situation. All those are remaining constant. So I will end over there. I will request, Mr. Saraogi, if he has to add anything, Mr. Prusty. So, we'll take on the questions now, and we will respond. Thank you very much.

Moderator: Our first question comes from the line of Shravan Shah from Do lat Capital.

Shravan Shah: Congratulations on a good set of volume growth for this quarter. First is the couple of data points if you can say, lead distance, KKL, our capex in 9 months, net debt and incentive in the third quarter?

Aditya Saraogi: So lead distance is 360 kilometers. Okay? And fuel cost is 1.50 per million kilo calories and we received an incentive of about INR 40 crores in Q3. Our net debt as of the third quarter is around INR 3,000 crores.

Shravan Shah: And the capex in 9 months, sir?

Aditya Saraogi: Capex for the whole year, we are looking at a number of INR 500 crores.

Shravan Shah: And for 9 months how much, how much we have done?

Aditya Saraogi: 9 months, it is around INR 300 crores.

Shravan Shah: Okay. Got it. Sir, now the question is both on the volume growth and which is also related to the -- in terms of the expansion. So broadly, in 9 months, we have done kind of a flattish volume growth. And if you are maintaining the guidance of 3% to 4% or 7% to 8% kind of a growth in the second half, so we will be needing a kind of a 10% kind of a volume growth in the fourth quarter. So are we confident to do that?

And second is for FY '26/'27, given the 1.4 million tonnes, the Kundanganj which will be coming in, if you can also clarify in terms of the timeline, previously you said by Q1. So for FY '26 and '27, unless we add more capacities, our growth, my calculation suggests would be of 5-odd, 6% average for '26, '27, which would be lower than the industry, if it grows at 7%. So if you can help us there?

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Sandip Ghose: First of all, your question in terms of -- we've maintained that, when we are saying the overall growth percentage of 7% to 8% we are maintaining. It's true we are maintaining that. That is not what we are changing, and we are quite confident of doing so. As I said, we are not changing any of our guidance.

Your question about the new line coming up in Q1, Q1 end, et cetera, that we are also not changing at this point in time. We are there. In terms of the volume growth next year, we are not commenting on the numbers. But what you are saying, we are aligned to the situation. We know where we have got elbowroom or headroom available. And one of the other debottlenecking, et cetera, which we are trying to -- we would do. So we will address that question when it comes at the time of the next call.

Shravan Shah: Okay. Okay. Because why I was saying, because our -- except the Mukutban, our entire -- the rest of the plants are running at kind of a full capacity utilization of 96%, 97-odd percent. So there is, as such, no headroom in terms of the outgrowing. So that's what I was trying to understand the next capacity. So our original plan was to reach a 25 million capacity by FY '27. So are we sticking to it or is there a possibility that a new capacity can come earlier so that we can have at least at par with the industry kind of a volume growth?

Aditya Saraogi: We are not changing any of our projections. Including the timelines with regards to the future expansion.

Sandip Ghose: We will say whatever is required in an appropriate time. But as of now -- and this is for the benefit of all questioners, I wouldn't repeat this again. There is no change in our guidance short term, long term, anything as of now.

Moderator: Next question comes from Mangesh Bhadang: from Centrum Broking.

Mangesh Bhadang: Thanks for those opening remarks, which have been very informative. Sir, first question is on the demand growth. So you mentioned Central region demand growth has been pretty slow. So just wanted to understand, how much this demand would have grown in 3Q? And what are your expectations for the next quarter and any impact either positive or negative of Kumbh that you expect in this region?

Sandip Ghose: Kumbh, we think it's a temporary phenomenon. There will be pent-up demand, which will be made up. There is obviously some amount of dislocation in our limited geography as well as movement of things, but that is not going to overall change the entire situation very much for the quarter as a whole.

Mangesh Bhadang: Any expectation, sir, you have from this region into whether it will come back to the normalcy in terms of demand growth, because it has been weak in the first -- in this year?

Sandip Ghose: First, that's true for the entire this thing. As far as this is concerned, you see, unlike the North and the Center, what are, defer is North you may have, there is no capacity expansion or capacity overhang. So things may be more, what you should say, firm in North in terms of whatever progress. In Center, we expect Center to come back to normal essentially because of two things.

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One is good monsoons and good harvest. So agricultural demand is coming back. We also see beginning in terms of government expenses at the state government level, which -- there was

some amount of slowdown, which had happened earlier. I think, the budget, which has just been announced would also instil confidence in things. So we expect there to be a healthy return to healthy growth in the Center. So it cannot be, as I said, as firm as what you are seeing in the North?

Mangesh Bhadang: Understood. Sir, second question on pricing. You mentioned in the press release that prices have firmed up and that should drive profitability higher going forward. So just

wanted to understand,

see, from your 3Q average, what is the current realization from the exit of 3Q with how much it is higher from the average, how much it is higher right now?

Sandip Ghose: We have indicated the overall per bag prices, I wouldn't like to get on to a per tonne realization, et cetera. And that is -- I think, if there is, by and large, consensus among all of you is the kind of the way market has moved up. A little change from one -- a mix will change from one company to another, because of the regional balance, et cetera. So what you have seen or heard so far, overall, I think we don't have any special insights to offer on that.

Mangesh Bhadang: Okay. So last question for me. So earlier, we had this vision of reaching 25 million tonnes by '27 and then next up to 30 million tonnes. So now we have reached a target of, say, INR 3,000 crores of net debt. When can we expect the next set of announcement, capex announcement from your side?

Sandip Ghose: What we mentioned just now, Mangesh, we are repeating that we are not changing anything. As and when the things will come, we will announce. So we are pretty consistent in whatever we are saying.

Mangesh Bhadang: So nothing beyond Kundanganj as of now, right?

Sandip Ghose: As of now, nothing. If you could go around the question, I'll point to similar. Whatever we have stated we are sticking to it.

Moderator: The next question comes from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor : Firstly, Saraogi, you mentioned about the capex to be at INR 500 crores and INR 300 crores is what we have spent for the 9 months. Sir, our closing capital working progress was closer to INR580 crores. So how much have we capitalized for this quarter? And the depreciation amount has been lower sequentially and also year -on-year, sir. How will you explain this, sir?

Aditya Saraogi: I don't have the number on the capitalization part. Saket, you can connect offline with us. And depreciation, I don't think, there's any material change. And I see no reason for any change also, because there's not been any change in our accounting policy as such. So I see no reason why there could be any variance with regard to the depreciation as such.

Saket Kapoor: Okay. And Ghose sir, you mentioned about pressure on the non -trade segment price going smaller. And when we look at our mix, I think, so the trade channel has been at sub lower level

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of 70%. So if you could just explain what were you trying to allude by the lower size for the non-trade segment?

Sandip Ghose: I didn't say lower size. I said the price pressures were much more on non-trade, which had a spillover effect on the trade segment. Because the two segments don't exist in isolation. So in the last quarters, et cetera, because the trade segment was slower, all the players focused much more on the non-trade and that too on the OPC. And therefore, the prices in the non-trade sector in most regions, including North and Center was very highly affected. So that had a spillover effect on the trade. And we are essentially trade players.

We are not -- we are trade and we are a blended cement players. So we don't operate in that segment. So because of the spillover obviously, trade prices were there. But our strategy is to remain primarily a trade player, and that's a blended cement player, and that's what we will do as the market grows. We are not changing our strategy there.

Saket Kapoor: The second question is in your press release, you mentioned about healthy rural demand coupled with higher government spending, generated momentum in the cement demand. Sir, so when you are mentioning about the non -trade segment pressure, I think, that the non-trade is towards the institutional part, that is the governed by the government spending only. So if you could just explain how the...

Sandip Ghose:

se: That is Saket, when you talk of -- what you are talking about is a big infra spend. We are not talking about big infra spends. We are talking about overall infrastructure, money being released to contractors, et cetera, for the rural. You are talking about the Pradhan Mantri Awas Yojana spends, things like that, which boosts rural demand. So I'm not talking about infra spend.

Saket Kapoor: Okay. So we are seeing this traction now from the government spending part. That is what we should take in factoring for the quarter ahead.

Sandip Ghose: I don't get you. .

Saket Kapoor: As per our release, we should now factor the government spending part. That was the cause of concern earlier

that the type of spending, which was envisaged from the government, and even when we look at the budget numbers, and the more concentration for fiscal deficit, we have seen there is a lowering the government spending intention also. So that is getting corrected?

Sandip Ghose: I'm not talking about macro trends at all, Saket, to clarify. Our talk is largely in terms of state and local government spend. Post various elections and everything else, government budgets, certain funds got diverted into other developmental schemes due to which monies in many of these markets, which get released to contractors, et cetera, there was a slowdown. We expect those monies to get released and we are seeing that happening and which is going to boost our overall traction in the rural. Rural demand comes from one is individual homebuilders, which is a function of, as we said, the crops, the harvest, monsoons, et cetera, the overall income. And then, the other part comes through rural infrastructure. And I think, for which the state government spending and state government -- a lot of the central government spending in many of the schemes are linked to the state government expenditure.

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State government doesn't release the fund. The central government also don't release the fund in some of those development efforts. So it's a combination of that. I'm not making a comment about what was talked about in the union budget. Those relate to mega infrastructure, and we have a very small presence in that segment.

Saket Kapoor: Okay. Sir, how do you -- only the receivable part from the government in terms...

Moderator: Our next question comes from Sanchita Sood: from RoboCapital.

Sanchita Sood: I just wanted to ask if we can get any guidance on what our EBITDA per tonne could be in FY '26 and FY '27? And if we can see EBITDA per tonne hitting, say, INR 1,000 per tonne anytime soon, maybe in the next 2, 3 years?

Sandip Ghose: '26, '27, we are not going to comment, Sanchita. That's too far into the future, we don't want to speculate on that. We have told about this year, and we, for the moment, we will restrict that. We are a conservative company, Sanchita. We don't do too much of future reading.

Moderator: Your next question comes from Pathanjali Srinivasan: from Sundaram Mutual Fund.

Pathanjali Srinivasan: So I wanted to check on the utilization. So I think, in our press release, you have mentioned that our utilization is 91%. But I think, you had also mentioned in your opening remarks that the utilization at Mukutban was close to 70%. So can you help me understand this?

Sandip Ghose: Look at the weighted average, boss. Our existing plants operate at a certain level and Mukutban -- but there, Mukutban is not even 1/4 of our capacity, and over in other places, we are close to operating close to 100%. So that's how the average works out.

Pathanjali Srinivasan: Okay. And a couple -- one more question related to the incentives. Could you tell me like if you started receiving incentives for the Mukutban plant?

Sandip Ghose: We have.

Aditya Saraogi: We have started accruing. We have not received, but we have started accruing incentive.

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Pathanjali Srinivasan: What would be the accrual, sir, for the quarter?

Aditya Saraogi: For this year, as guided earlier, we are expecting total incentive accrual to be around INR 100 crores.

Pathanjali Srinivasan: Only from Mukutban or at the company level, sir?

Aditya Saraogi: Company level. Most of it, it will be from Mukutban.

Sandip Ghose: Most of it, it is Mukutban right now.

Pathanjali Srinivasan: Okay, sir. And just one last question. This trade and non-trade volume. If I look at trade volume 9 months year-on-year, it has declined. So is this like any specific reason that you could attribute towards this?

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Sandip Ghose: No, this is a function of how the market moved in the last 2 quarters. As we are saying, everybody are saying there has been a shift in the last 2 quarters when the trade demand, especially in the rural sector was muted. So by definition, some of it shifted towards non-trade. And besides in our Mukutban area, Maharashtra, there is -- in some places, there is a higher component of OPC and non-trade, and that is where it has shifted, because that's the construct of the Maharashtra market. So that has shifted, but we expect it to the reverse correction to start happening now that IHB segment and rural segment is picking up.

But you would see compared to everybody else, our trade volumes are much higher than many of our peers as well as some of the larger players.

Moderator: The next question comes from Prateek Kumar: from Jefferies.

Prateek Kumar: I have three questions. Firstly, on your incentive. You said INR 40 crores incentive in third quarter, what is the 9-month incentive for the company and expectation for full year?

Sandip Ghose: Yes, we already mentioned was INR 100 crores is what we have mentioned.

Aditya Saraogi: For 9 months, that accruals is around INR 60 crores.

Prateek Kumar: Okay. So basically, this quarter was like slightly higher than run rate. We got incentive for...

Sandip Ghose: It's a function of the volume as well as the price.

Prateek Kumar: Okay. Secondly, on -- we have historically talked about a few new businesses like Construction Chemicals, also sometime around RMC business. So have these businesses like sort of scaled to any meaningful level? And how do we look at these businesses?

Sandip Ghose: Both these businesses are, I would say, on a fairly nascent stage. Construction Chemicals, we are focused in the areas where we are strong. We are not scaling it up to areas where we don't have a strong presence. It is linked to our -- Perfect Plus brand. It's a brand extension. And on RMC also, we have been on a kind of a test marketing you might say, or initial we are trying to learn. That's an area where we want to learn the ropes of the business. We don't want to -- there are a lot of people who have gone into RMC in a very fast track.

And then, we believe that has not been profitable or that has been a cash drain. We don't want to do that. We are moving slowly and we'll step by step, and we'll let you know as soon as the next phase of expansion whenever we do that.

Prateek Kumar: And last question is on profitability. So first half versus -- Q3 versus first half seems higher by around INR30, INR40. We are looking at INR 150 improvement for second half. So you are looking at like INR 200 crores, INR 250 improvement in 4Q, right, on a quarter -to-quarter basis?

Sandip Ghose: Yes, that's the arithmetic. That's what we stick by, as we said.

Moderator: The next question comes from the line of Sanjay Nandi from VT Capital.

Sanjay Nandi : Sir, can you please share with the clinker utilization levels for this quarter?

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Aditya Saraogi: Clinker utilization.

Sandip Ghose: What do you mean by that?

Sanjay Nandi : Look, what has been the utilization level for clinker capacity as we have?

Sandip Ghose: 100%.

Sanjay Nandi : 100%. Okay, sir, that's all from my side. Wish you all the best.

Moderator: The next question comes from the line of Girija Ray from YES Securities.

Girija Ray : So I have a couple of questions. First, with related to freight costs. So I can see there is a spike in freight costs on per-ton basis. Is this because of like we are transporting volumes from Mukutban plant to Gujarat or is it becoming so far for Maharashtra?

Sandip Ghose: Mukutban obviously has contributed a little bit, because the Mukutban footprint since our plant is in Vidarbha, the further we go, it increases a little bit. You don't have a grinding unit there.

But it's -- overall, we've had to reconfigure some of the GeoMix distribution given the market conditions, and but it has not increased in other places. So it's -- roughly, we don't see any significant increase in our things. It's only very marginal change.

Girija Ray : So -- so is this also possible that we sell the volume to Telangana market as well from Mukutban plant?

Sandip Ghose: Telangana is very close. Telangana is right next door. Telangana has an opportunistic sale depending on the pricing there.

Girija Ray : So basically, our primary market would be Telangana for Mukutban plant, right?

Sandip Ghose: No, it's not primary. It's -- as I said, a very marginal market, it is spillover. Telangana is an opportunity sale when the prices, et cetera, is good, our primary market for Mukutban is Vidarbha, Khandesh and then going further, if you want to go towards Nasik and Mumbai. Telangana is not something we focus on.

Girija Ray : Okay. And one more thing, like if I see year -on-year basis, like from various data, there is a spike of pet coke and imported coal. So how do you see this pet coke price and coal price, imported coal price is going to shape out going forward?

Aditya Saraogi: Pet coke price has come down to mid-90 levels. And currently there, again going back to around \$110. And we expect this to range between \$100 to \$110 pet coke prices. As far domestic coal prices are concerned, they are quite range bound.

Moderator: The next question comes from the line of Uttam Kumar Simal from Axis Securities Limited.

Uttam Kumar Simal : Congratulations on good volume growth. Sir, my question pertains to your capex . You mentioned about FY '25 capex . So what would be our FY '26 capex ?

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Aditya Saraogi: We can't -- we can take that question in the next quarter.

Uttam Kumar Simal : Okay. And sir, now coming to your Jute business, though, it's a very 4% of our entire revenue. But this quarter, we have seen some substantial growth on Y -o-Y and quarter -on-quarter basis in revenue. So how do you see this Jute business panning out in fourth quarter, and in next year?

Sandip Ghose: Right now, we're not -- it will go along, but we're not seeing any significant changes in relation to what's happening in the market, there is a greater demand for agri bags, et cetera. We are not seeing too much of a change there. But when we have something more to say on Jute, we may have some things to talk about in the future. We will let -- we will talk about it in greater depth. At the moment, there's no material changes we are reporting.

Moderator: The next follow-up question comes from the line of Shravan Shah: from Dolat Capital.

Shravan Shah: Sir, the question is pertaining to the -- our captive coal mine. So if you can help us so currently, in terms of the fuel mix, how much should that we are using our captive coal and the Bikram coal, which is likely to be operational by Q1 FY '26? So how it will -- in terms of the fuel mix, how it will increase, because there the cost previously you mentioned is 30%, 40% kind of a lower versus current KKL cost?

Aditya Saraogi: Yes. Our own coal was to the tune of 15% in

this quarter. And once Bikram Coal Block comes on field, once that achieved the optimum level of production, it should go up to around 30% -- between 30%, 32% of our total.

Shravan Shah: So will that be -- by end of FY '26, we will be able to reach that level or it will take even one more year?

Aditya Saraogi: I think next year, it will not reach optimum level. Optimum level will be reached in the next financial year, that is '26-'27.

Shravan Shah: Okay. Got it. And then, this Green, sir, which we currently have 26% odd level, so how we see it structurally for next 1 or 2 years, where we want to reach this level?

Aditya Saraogi: Which one?

Sandip Ghose: Green Power.

Shravan Shah: Green Power, sir.

Rajat Prusty: Yes. We are working on the projects. Some projects we have already started working on both in terms of the hybrid solar. So our aim is to reach to the level of 35%. But it will take -- as you rightly said, it will take another 1 year to 1.5 years.

Moderator: The next follow-up question comes from the line of Saket Kapoor from Kapoor Company.

Sandip Ghose: Saket, your questions are disproportionate to the distance from our office. Okay, you are the closest to us and maximum question. I think, you should come and have a cup of tea with Mr.

Saraogi rather than asking on a con call.

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Saket Kapoor: Okay sir.

Sandip Ghose: No, no, you can ask. You can go ahead and ask.

Saket Kapoor: Sir, the question is for you only. Sir, what is -- you have mentioned about we have accrued INR100 crores incentive on account of the total government incentives. What is the closing balance as on 30th December and in actual how much we have received out of the pending balances?

Aditya Saraogi: No. We have not accrued INR 100 crores. We have accrued around INR 60 crores. We expect a few hundred crores by the end of end of this year. As our closing balance is about INR 435 crores as of 31 December '24, this is excluding the West Bengal incentive which is under litigation.

Saket Kapoor: What is that amount, sir?

Aditya Saraogi: That is about INR 118 crores.

Saket Kapoor: Okay. So INR 435 minus -- in a nutshell, how much have we received cash in terms of the subsidy balances?

Aditya Saraogi: This financial year?

Saket Kapoor: This financial year.

Aditya Saraogi: INR187 crores in this financial year.

Saket Kapoor: INR187 crores of cash we have received.

Moderator: The next question comes from Rajesh Kumar Ravi.

Rajesh Kumar Ravi: My question pertains to first on this capex, which number which we are earlier looking to INR800 crores, which was for the slowdown to INR 700 crores, now you are looking at INR 500 crores. So why this slowdown on the capex number, where are we -- what is exactly leading to this deferment?

Aditya Saraogi: We try to optimize our cash flow. So while we plan, we plan on a conservative basis, but then we try to optimize bulk of it is on account of maintenance capex, sustenance capex. We're trying to optimize whatever is possible to defer, we defer that. That is an ongoing exercise.

Rajesh Kumar Ravi: Okay. And then, Bihar expansion was also announced long back. And last update was the process of -- there's companies in the process of acquiring land and is there anything which is materially progressed over there, in next 1, 2 years, we will see this project coming to light?

Aditya Saraogi: That will part of the 5 million tonne expansion, which we are -- and we are starting to complete by 2027. And we have acquired most of the land on the location.

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Rajesh Kumar Ravi: Okay. And lastly, on the coal blocks, you mentioned it will be 30% plus when this Bikram mines become fully optimized total of your requirements, 30% will come from your captive mines?

Marki -Barka, which will come up in

FY '27, how will that change the captive requirement, sir?

Aditya Saraogi: Marki -Barka once that comes, it will be around 55% -- between 55% and 60% of our total requirements.

Rajesh Kumar Ravi: Total at company level?

Aditya Saraogi: Yes, yes.

Moderator: The next question comes from the line of Harshil from AMSEC .

Harshil: Sir, what would be the gap in terms of profitability between Mukutban and company average?

Aditya Saraogi: I'm sorry, we don't share unit -wise or region -wise profitability.

Moderator: Ladies and gentlemen, we would take that as the last question for today. I now hand the conference over to the management for closing comments.

Sandip Ghose: Thank you very much for participating. This has been very heartening the level of participation, the number of people who participated, and above all, for the confidence you have in the management and the performance and the support we've been receiving from all of you. Thank you once again, and see you soon. Bye.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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15th May, 2025

BSE Limited
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Scrip Code: 500335 National Stock Exchange of India Ltd.
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Symbol : BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst earnings conference call on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2025

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investors/analyst earnings conference call held on 12th May, 2025 at 2.00 P.M. (IST) on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2025. The event concluded at 2.48 P.M. (IST) on 12th May, 2025.

A copy of the same is also available on the Company's website at <https://birlacorporation.com/earnings-call-transcript.html>.

This is for your information and records.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above

"Birla Corporation Q 4 FY'25 Earnings Conference Call"

May 12, 2025

M
ANAGEMENT : MR. SANDIP GHOSE – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , BIRLA CORPORATION LIMITED
MR. ADITYA SARAOGI – GROUP CHIEF FINANCIAL
OFFICER , BIRLA CORPORATION LIMITED
MR. RAJAT KUMAR PRUSTY – CHIEF OF
MANUFACTURING AND PROJECTS , BIRLA CORPORATION
LIMITED
MR. KALIDAS PRAMANIK , CHIEF MARKETING OFFICER ,
BIRLA CORPORATION LIMITED
MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

Birla Corporation
May 12, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Birla Corp Q4 FY25 Earnings Conference Call hosted by HDFC Securities.

As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*”, then “0” on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajesh Kumar Ravi from HDFC Securities. Thank you. And over to you.

Rajesh K Ravi: Good afternoon, everyone. On behalf of HDFC Securities, I welcome you all to the Earnings Call of the Birla Corporation Limited to Discuss the Financial Results for the Quarter and Full Year -ended March 2025.

From the Management side, we have Mr. Sandip Ghose – M.D. & CEO and Mr. Aditya Saraogi – Group CFO and Other Senior Members of the team.

I now hand over the call to the “Management for their Opening Remarks,” which will be followed by the “Q&A.” Thank you. And over to you, sir.

Sandip Ghose: A very good afternoon to all of you. And on this happy occasion of Buddha Purnima, I welcome all of you to this call. There is a very large participation, that is always encouraging. This morning's trading in this market has also been a cause of I think encouragement for us. Thank all of you for your positive response.

I think when the numbers do their own talking, there are little commentary to be added. So, on this occasion, unlike in previous times, I will leave the floor to our Group CFO – Mr. Aditya Saraogi and along with him we have got our operating team, Mr. Rajat Prusty – our Chief of Manufacturing and Projects, we have Mr. Kalidas Pramanik – our Chief Marketing Officer, and some of our other colleagues, they will chip in and I will come back to answer any specific overall queries you may have on the business or the outlook or the plans of the group.

So, with that I hand it over to Mr. Aditya Saraogi and after he finishes, then probably we will open up for questioning. Thanks.

Aditya Saraogi: Thank you, sir. Good afternoon, ladies and gentlemen. While we have shared most of the Financial Information in our Press Release, there are a few numbers which I would like to share with you which are not appearing there which I am sure you might be interested in.

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For example, the total incentives that we have accrued in this year is Rs.103 crores, of which in this current quarter Q4 we have accrued Rs.41 crores. Fuel cost in this quarter was 1.39 per million calories. And our total CAPEX for the year were Rs.437 crores. So these are some of the key numbers which are not obtained in the press release and I now open the floor for questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you and congratulations on very good set of numbers. Sir, my first question is you have mentioned the incentive for this quarter was just Rs. 41-odd crores. Despite that we have seen more than 7% kind of QoQ improvement in realization. So just wanted to understand what led this sharp of moving the realization?

Kalidas Pramanik: So this is Kalidas Pramanik. I am talking about that realization improvement how it has happened. If you look at in the Quarter 4 across the country mostly the price in the North region gone up and the east also gone up, but our volume also if you look at the western region has gone up. So that has

resulted into increase of our realization of almost 7% in the Quarter 4. And also if you look at in the central region, central region, more or less remain flat. Here and there little increase

was there, but

mostly the realization has come from the North as well as the eastern.

Shravan Shah: Okay, okay, got it. So it means this is a structural realization that the company has achieved. Even if you can also help us currently how are the prices and this kind of realization is sustainable. So net - net the important point is that the profitability that we achieve more than Rs. 1,000 EBITDA per ton, if that's the case then should be a kind of a sustainable number. That is the only thing we wanted to understand.

Sandip Ghose: This is Sandip Ghose again. One point which we keep saying is the way we are distributed, our realization is usually a weighted average of more than others and how the regional prices play out.

So if you were to look at the last quarter to this quarter, it is not always a like-to-like thing because how the prices move with the different geographies between last quarter and this quarter would be very different. So, it is not very linear. So therefore that is one factor. And secondly, therefore as an extension of that, we are not going to hazard any guess in terms of our EBITDA, how it is going to move forward and it will be I think misleading, or it could be erroneous to extrapolate the EBITDA and the subsequent quarter basis what has happened in Q4?

Aditya Saraogi: Yes, to answer your question, there are no one-off for incentive for any other. So it is purely operation number that has been reported.

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Shravan Shah: Great. Great. That is great. Yes. Just the two, three data points if you can share Mukutban volume, lead distance and also if you can help us with the cash flow, there was Rs. 346 crore working capital inflow which is from the other financial asset, what was that?

Aditya Saraogi: Mukutban volume for this quarter was 7,50,000 tons. Lead distance was around 450 Kms. We got some incentive. That probably would answer your questions about the change in current assets.

Shravan Shah: Sir, you said the lead distance was 350 or 450?

Aditya Saraogi: Mukutban was 450, overall, 350.

Shravan Shah: Okay, got it. Thank you and all the best, sir.

Moderator: Thank you. The next question comes from the line of Siddhant Dand from Goodwill Warehousing Private Limited. Please go ahead.

Siddhant Dand: Yes. Hi, I wanted to know our long term strategy for our jute business because if you see last 10 years, there has been very little profitability and it continues to be a drag on our ROCE. And would we take any impairment because it takes a very large part of our block?

Sandip Ghose: I would not say so, in fact, I would in the larger context of the entire group we are sitting here. Jute business I consider to be for Birla Corporation it gives us a very distinct and unique advantage. When you find a lot of our peer group companies are trying to make forays into adjacencies and new businesses, we have already got with us existing asset competencies of a business which has eminent possibilities of scaling up and increasing profitability especially in the current context, when geotextiles and eco-friendly fabrics are becoming more. The point I am trying to say is that, let us say, if we were today try and foray into another adjacency new businesses in the allied sectors like some of our peer group people have done, the amount of time it will take us to scale up to a turnover like what we have in jute as on date and what is the potential of increasing jute from its current level to a higher level is far higher than what somebody else entering totally new field would take to generate that kind of a top line as well as an equivalent bottom line. I do not have specific numbers. So if there is an X amount of top line people are generating, let us say in the course of three or four or five years and also a bottom line of Y the amount of time they will take effort, in

vestment,

management intensity and the rest of it we have got a readymade opportunity in our jute business because particularly jute is now poised for growth is what we believe. Here, we are the only jute company, if you were to look at it we are a 100-plus year-old jute mill company, one of the original jute companies. Rest of the people who are there, most of them have either come into the business much later, taking it over from the foreign jute companies which have moved out and taken them on, and their whole mindset about the business has been very different and only therefore very few

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players today who are taking a much more futuristic and enlightened view of the jute business to move up the value chain with value added products with new R & D and tapping the export market as well as in the domestic markets moving away from the traditional dependence only on government orders which are subsidy-led etc., So we believe jute has a future and as we have commented on that in our press release is that we are now putting in a different management focus into the jute business. It is early days for us to speak about it. We have had a revamp in the management structure of the jute business. We are approaching it in a much more integrated manner, not treating it at an arm's

length as a different business which is handled differently, we are increasingly integrating it into our main operations so that it gets that kind of management focus from our E-team and the central management, we are looking aggressively at what are the scope of increasing not only efficiencies in the existing business, but how as I mentioned earlier to move up the value chain. This company, some of you would not know, had in fact were pioneered years ago on many jute value added products which we had done. But probably we were then ahead of the times, and it did not commercially succeed. But we are very encouraged to see some of those products like using of jute say in automobile upholstery or other kind of jute product mix with other laminates, etc., all of those things are making a huge comeback. And internationally, there are even more possibilities. So we are looking at jute in a very, very new way and we do not see that as a drag at all in our business, and being part of the Birla Corporation structure, we believe we should be able to nurture and grow it further because of our emotional connect which we have if you really speak Birla Corporation, that is the mother business and not just the Birla Corporation of the entire larger Birla fraternity, that is where it has all started and we therefore have a very strong both sentimental as emotional connect and we know that business and therefore for us there is that will, we have not just come in subsequently taking over business from some other company which is leaving the field for other thing and then treat it as a short-term opportunity or a trading opportunity. We have long-term stakes and we have been around for 100-years and hopefully we would like to be in this business for another 100-years.

Siddhant Dand: Wonderful to hear. But is there some kind of let us say in five, seven years once the business is nurtured, what kind of margin expectations that you have? And when can we expect double digit ROC in the company?

Sandip Ghose: As we said, it is early. We have made some indications. We would not like to if you read this times press release there itself we have mentioned a few things, but it is very early days yet. I repeat myself, we have put a new management team, we are taking a very new different look at this business and I am personally confident that like you have seen a lot of turnaround in the company's main cement business over the last 10 years, you will see a transformation in the jute business also in the times to come.

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Siddhant Dand: Okay. One last question before I join the queue. We also have a lot of lot of equity investment outside the MP Birla Group including the largest cement player. So considering that the valuation difference in theirs, would you consider selling those equity investments to do further cement CAPEX?

Aditya Saraogi: Those are not strategic investment for us, but currently we do not have any plans, we feel that we have got enough internal accruals to cater to CAPEX requirement, so as of now, we do not have any immediate plans to sell those investments.

Sandip Ghose: Those financing decisions that arrive at a particular point in time as Aditya mentioned it is a non-strategic investment. So it is not going to be part of our growth strategy. We will take a call on it when we have to as a part of our financing decision and at the right moment we have to see we are getting the right value out of it or not, we are under no distress or pressure to sell that to fund our growth.

Siddhant Dand: Okay, that is great. Thank you so much.

Moderator: The next question comes from the line of Jyoti from Nirmal Bang. Please go ahead.

Jyoti: Good evening, Sir. Thank you for the opportunity. Great set of numbers.

Sandip Ghose: Welcome. The first time I think you are speaking in any of our con calls.

Jyoti: Yes. The entire industry has done very well. If the numbers are correct we should be doing YoY 10% growth so which means they are in line with industry, EBITDA per ton also almost everybody would be doing some 250-plus, now in Quarter 1 also we expect similar numbers. Will this sustain in second quarter, third quarter and fourth quarter when we are going to have such massive capacity coming in... so do we expect similar consistency of numbers going ahead? I mean, I do not see any major disruptions happening in the economy. So far whatever it was, it was over. How do you see things going forward for industry on the whole? On the consolidation part, do you think going forward prices are going to stabilize because of consolidation?

Sandip Ghose: Jyoti, as you have seen us over the last two, three years, we try to do what we think is right for our business. We are not that large to influence industry trends or basically make those predictions. We have a clear strategy and we try to stay to that and stay close to our promises to our stakeholders as well as our investors without getting carried away by what is happening around us. Because those are things there are other larger players who have different sets of priorities for them to look at it. Our job is to manage our existing businesses not only profitably, but in a value adding way, create value for our all stakeholders, not just investors and shareholders, for everybody, we have a commitment there because we are here for a long-term. And secondly, we have committed ourselves for expansion and a new phase of growth, we would like to deliver that in the best possible way. So

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we do not like to get deflected on day -to-day basis . Whatever will have to happen in the larger context it will happen and there are bigger people to take care of that . We would like to keep our head on our shoulders and try and deliver a reasonable performance quarter -on-quarter.

Jyoti: Thank you so much, sir and all the best. I wish you only progress and do well going forward.

Sandip Ghose: Thank you very much. We appreciate your wishes.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor : Yes. Namaskar sir and congratulations to the entire team for very -very good set of operational and financial set of numbers.

Saket Kapoor: Firstly, Sandip sir, we are targeting a capacity of 27.6 million tons. So if you could just articulate to us on a three year basis what would be the likely capacity addition ? And also Aditya ji, how much CAPEX will be spent this year?

Rajat Prusty : Yes. Good afternoon to all. I am Rajat Prusty . As you rightly mentioned, our capacity will go to 27.6 million tons by FY29, but if you see maybe by December Q3 FY 28 we should be reaching the Maihar Line-II and two grinding setups at Prayagraj and Gaya Phase-I, which will add on our capacity to roughly 25 million tonnes.

Saket Kapoor: For the year '26-27, what kind of additional volumes we will be going through? I just missed your last point.

Rajat Prusty : This '26-27 you can say that our capacity will remain only in addition of 1.4 million ton which is going on presently on time as Kundan Line-3 that will be commissioned and that will continue to ramp up that volume to 21.4 million tons.

Saket Kapoor: The CAPEX number for the current financial year ? And also sir in the cash flow as well as in the non-current assets we have given Rs. 100 crore s intercorporate loan. Can you please explain to whom and the rationale for the same ?

Aditya Saraogi: So in terms of CAPEX for this year, we expect the total CAPEX to be around Rs.1,100 crore s including the project CAPEX . So that is the number. Rs.100 crores is an intercorporate deposit we have given to another company at arm's length basis .

Saket Kapoor: Sorry, sir, did not understand.

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Sandip Ghose: We have given it to another company on an arm's length basis. It is an intercorporate loan. We do not want to disclose the names , etc., here.

Saket Kapoor: Okay, sir. For the coal mining part, sir, if you could just give color ? In the press release, we are also not mentioning about offtake from our coal mine and the target which we have set in terms of self -sufficiency which we will be achieving about the Bikram coal and the other coal mining activities that we have initiated.

Aditya Saraogi: In terms of coal mines, Bikram coal mine, in Q 3 of this year we are expecting to start that coal mine, but meaningful production will start from next financial year only . As regards the other coal mine, which is Marki Barka, that we expect to start only in FY28 .

Sandip Ghose: There is no salvation in just saying what is the self -sufficiency . Coal mine captive versus purchase will all depend always on the cost equations. Sometimes you may actually decide to mine less if your cost of mining is more than your purchase of coal. As I said, there is no absolute virtue in only mining your own coal. So, that is a call we take. Our job is to keep the fuel mix in the most efficient and most economic manner. So to that extent there is no color to add to coal mine, Coal is always black and will remain black.

Saket Kapoor: I will join the queue.

Moderator: Thank you. The next question comes from the line of Pushkar Jain from Mil i Capital. Please go.

Pushkar Jain: Thank you. Congratulations on the good set of numbers . My question was regarding power cost. As we have seen a meaningful decline in power cost, I just wanted to know the trend we see it going forward.

Rajat Prusty : So power and fuel cost combined together you can see the trend already. It is in a downward trend of Rs.1,000 per ton and of course that depends on the coal prices as rightly said by Aditya sir in the beginning of the conference that our fuel cost is Rs. 1.39 and we are working on different models that is continuously to see that what best fuel mix we can do so that we can optimize our cost . And parallelly for green power also of course now it is around 25% , continuously we are working on certain projects both in solar , hybrid and renewable power like WHRS also. So we have planned many improvement in projects including additional capacity. So going forward you can see that our green power is going to increase in next two years time to around 36 % , 37%. So if we see only electricity power then it will remain almost similar and better than the today's number.

Aditya Saraogi: You should see a gradual declining trend in terms of power cost.

Pushkar Jain: Okay, got it. Thanks a lot.

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Moderator: Thank you. The next question comes from the line of Siddharth Gupta, an individual investor. Please go ahead.

Siddharth Gupta: Yes. So I wanted to ask about the Chittorgarh mining case. There was recently a news article stating that the state government is considering ban on mining within 10 kilometer radius to Chittorgarh Fort. So I wanted to understand what is the update regarding this ?

Sandip Ghose: We have no such information on this. That statement was made, but we have not found any veracity and we will be surprised if such position is taken because this is contrary to anything which has been stated in the past and the case has been progressing in a particular manner, there has been certain studies which were prescribed by the Supreme Court, the studies have been completed and the reports are at the disposal of the court to consider, so we shall wait. We do not see any material change from whatever the position was earlier.

Siddharth Gupta: Does the company have any alternatives if such a situation would arise ?

Sandip Ghose: That is a very hypothetical question. We are not even considering that as a situation just now because there is no reason to think anything like this cases you know have been there for a very long time, all aspects of it has been gone into. So there is really nothing to comment at the moment on that and there is therefore nothing to talk of an alternative just now.

Siddharth Gupta: So I wanted to know what is the current realization compared to Q4 average, if you can share that?

Sandip Ghose: This quarter you are talking about the current quarter ?

Siddharth Gupta: Ongoing quarter, I am talking about Q1 FY26.

Kalidas Pramanik: Ongoing almost remains same. There is no much variation.

Siddharth Gupta: Okay, okay. Thank you so much. Thank you.

Moderator: Thank you. The next question comes from the line of Vipul Kumar Anupchand Shah from Sumangal Investment. Please go ahead.

Vipul K A Shah: Hi, thanks for the opportunity and congratulations for very good set of numbers. Mr. Saraogi, would you repeat the volume for Mukutban quarter and year please? I could not listen it properly.

Aditya Saraogi: 7,50,000 tons for the quarter.

Vipul K A Shah: And what was the yearly volume, sir?

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Sandip Ghose: 22.5 million tons approximately.

Vipul K A Shah: We have taken another expansion. So what will be the debt trajectory over the next two, three years ? Our debt started coming down meaningfully and again now we are taking debt funded expansion route.

Aditya Saraogi: In absolute terms, if you see, definitely there will be some increase in the debt. But as we have always maintained, you should look at our debt in terms of debt-to-EBITDA metrics. And while we have always maintained that as a policy, we would always like to remain below three. For the current financial year, the debt-to-EBITDA ratio we are expecting to be well below two.

Vipul K A Shah: Okay. No, I am talking about the next two years, sir.

Aditya Saraogi: The next two years, I do not see my debt-to-EBITDA exceeding much beyond two.

Vipul K A Shah: Okay, Sir. Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Amit Agicha from H G Hawa & Co. Please go ahead.

Amit Agicha: Good afternoon. Thank you for the opportunity, sir, and congratulations for this good set of results. So most of the questions have been answered. Just a request, sir -- the investor presentation has not yet been updated on the stock exchange.

Aditya Saraogi: We do not come out with investor presentation. We always come up with the

press release which has been uploaded.

Amit Agicha: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Girija Shankar from YES Securities. Please go ahead.

Girija Shankar: Hello, sir. Good afternoon. Thanks for taking my questions. Congratulations for a good set of numbers. So I have a small bookkeeping questions. Just wanted to understand the total capacity expansion what we are going to do for Prayagraj, Gaya, Aligarh and Kundan ganj? So Kundan ganj is 1.4 and Gaya is 2 million tons. Prayagraj and Aligarh number I want ?

Management: No, Gaya is 2.8 million tons in two phases, Aligarh is 2 million tons, Prayagraj is 1.4 million tons.

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Girija Shankar: This is 7.6 million tons. So for this 7.6 million tons and including Maihar clinker, the total CAPEX, we are estimating Rs. 4,335 crores, right?

Management: No, no 6.2 million tons because Kundan ganj Line-III already job is going on.

Aditya Saraogi: Rs.4,759 crores is the number including Kundanga nj Line-III.

Girija Shankar: And is there any clinker sale we did for this quarter?

Sandip Ghose: Hardly marginal. Something would have been there.

Girija Shankar: And there is no one -off in our top line growth, right?

Sandip Ghose: No.

Girija Shankar: And this Prayagraj, Gaya, Aligarh, these are the three grinding units expected to come by third quarter of FY28 and Kundanga nj -

Aditya Saraogi : By calendar year '27 we are expecting Maihar Line-II, Phase-I of Gaya, Prayagraj and of course Kundanga nj Line-III is expected in the second quarter of this financial year .

Girija Shankar: Okay. Okay. Thank you, sir. Thank you very much.

Moderator: Thank you. The next question comes from the line of Moksh Ranka from Aurore Capital. Please go ahead.

Moksh Ranka: Hello! I wanted to know your total clinker capacity and your total limestone reserve in metric tons?

Rajat Prusty : So total clinker capacity is around 13 million tons as of today and plan for another 3.7 million tons . That is the main Maihar Line-II.

Moksh Ranka: And limestone reserve?

Aditya Saraogi: We have sufficient limestone reserve. We can not give a specific number as of now .

Moksh Ranka: Okay. That is it from my side.

Moderator: Thank you. The next question comes from the line of Uttam Kumar Simal from Axis Securities Limited. Please go ahead.

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Uttam K Simal : Good afternoon. Thanks for the opportunity and congratulations on great set of numbers. Sir, in your press conference where you have mentioned about RMC business, so just wanted to know how many RMC plant we are going to set up this year? What kind of CAPEX we will be incurring in the RMC business ? And what would be the margin in this particular business?

Sandip Ghose: This is early for us to talk about it. We are still firming up our strategy. We have made a beginning in UP. We are finalizing our strategy . Hopefully by next quarter we should be able to give you a clearer picture on this.

Uttam K Simal: If you can give volume guidance for FY 26, that will be very helpful ?

Aditya Saraogi: This year industry is expected to grow maybe between 6 % and 8%. We should be in line with industry if not better.

Uttam K Simal: Okay, sir. That is all from my side and all the very best .

Sandip Ghose: Thank you very much.

Moderator: Thank you. The next question comes from the line of Pat hanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

P Srinivasan : Congrats on great set of numbers, sir. Thank you for the opportunity. I have a couple of questions . Sir, previous quarter end we were a little bit watchful in terms of the commentary because we said that this whole Prayagraj event was going on and the pricing environment was very benign , but when we look at our results and the numbers that we have shown things seem to have turned around in a very quick manner . So could you just tell me like one or two key things that came in as a surprise or came in because of our efforts, which was different from what you had expected initially?

Sandip Ghose: First of all, we are always conservative but realistic and there is something, I hope you will give us credit for because from every quarter -to-quarter, we have always tried to take in a realistic view of things and so therefore, it was not that we were exceptionally pessimistic or anything when we spoke at the end of the previous quarter . And Prayagraj, what we talked about at that time, the Kumbh Mela if you are referring to that, that indeed affected our operations in central India because for a long time eastern UP was inaccessible, and because we feed Bihar entirely by rail, our rail movements were also affected, but what happened I would not say it surprised us, but what we have done very well and despite these constraints and everywhere else, the way both our manufacturing and the sales team have operated, we have operated at a very high level of capacity utilization in not only in our every old markets, but even in our new markets like Mukutban we have I think exceeded our own internal expectations of what we have done out there. So therefore , our volumes definitely what we would have taken a realistic or conservative estimate of that , that has gone up, and wherever we have had

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uptick of prices, which is more than North as Mr. Pramanik was saying had been a very depressed scenario for three quarters and not showed an improvement in the fourth quarter , east showed up an improvement there. So those came in handy for us. There was a slight improvement also in the Maharashtra area, which was earlier for a long time it had remained depressed , but post the elections, everything stabilized in Maharashtra and that picked up. So all those are tailwinds which we got which might have given us a little ahead of others, and of course, fuel prices , etc., were benign , input costs were benign , that together . So no big surprises per se, except, as I said that our people exceeded

I think our expectation in terms of the operations and that has been huge because when you have a capacity like ours which is not very large, if you see that if you have to do it on a sustainable basis maintains dispatches and sales from day one of the month to the last day of the month, that calls for tremendous coordination, planning, operation between sales, marketing, logistics and the rest of it, and that is where I think we did very well.

P Srinivasan: Sure, sir. And just a related question. So when you say pricing improvement happened in terms of demand also would have played a factor. So if we operate largely in three regions if you could tell me which region had the rough increases in prices that we were able to see at our organization?

Sandip Ghose: I do not think we will get into that specific. The overall market prices you are aware of. As we mentioned that in the North –

P Srinivasan: Directionally, where would we have seen the highest increase in price, something like that if you could give me a direction?

Sandip Ghose: North and East. East was probably higher, but our presence in East is not that high, but that we have done well and North of course was good especially in the initial months, thereafter, it plateaued, but initial months North picked up quite a bit from being in a fairly depressed state in the third quarter.

P Srinivasan: Sure, sir. Sir, just the last question for Sarangi, sir. What would our net debt absolute number for '26 be and CAPEX for '27 also be if you could help us with it?

Aditya Saraogi: As I said, net debt as on date is expected to increase in this financial year because of the CAPEX program. As of now, we expect it to be in the vicinity of Rs. 3,

000 crores. But in terms of net debt -

to-EBITDA, it definitely should be below two for this financial year.

P Srinivasan: Sure, sir. And CAPEX for '27, sir?

Aditya Saraogi: Total CAPEX, I do not have that number for the next financial year '27.

P Srinivasan: Sure. Thank you so much.

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Sandip Ghose: Thank you.

Moderator: Thank you. The next question comes from the line of Vipul Kumar Anupchand Shah from Sumangal Investment. Please go ahead.

Vipul K A Shah: Thanks for the follow up, sir. What type of volume we are expecting from Mukutban for this year?

Sandip Ghose: We are doing a steady ramp up; so we have been operating close to 80% capacity utilization, next year it will be 85%.

Vipul K A Shah: Okay, sir. Thank you.

Sandip Ghose: Thank you very much.

Rajesh K Ravi: Sir, if you have any closing comments? After that, we will close the call.

Sandip Ghose: We can only thank you once more. We are I think confident and now we are setting our heart and minds to basically delivering not only on the existing thing but all the expansions we have committed, the new projects, we'll try to get Kundan ganj the new line operational, and everything allied to that including what we discussed about jute business, RMC and the rest of it. So hard work ahead, but we feel confident after the delivery of last year. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of HDFC Securities, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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5th August , 2025

BSE Limited
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Scrip Code: 500335 National Stock Exchange of India Ltd.
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Symbol: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst conference call on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June, 2025

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investors/ analyst conference call held on 31st July, 2025 at 2.00 P.M. (IST) on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June, 2025. The event concluded at 2.57 P.M. (IST) on 31st July, 2025 .

A copy of the same is also available on the Company's website at <https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above
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"Birla Corporation Limited
Q1 FY '26 Earnings Conference Call "
July 31, 2025

MANAGEMENT : MR. SANDIP GHOSH –MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – BIRLA CORPORATION LIMITED
MR. ADITYA SARAOGI – GROUP CHIEF FINANCIAL
OFFICER - BIRLA CORPORATION LIMITED
MR. RAJAT KUMAR PRUSTY – CHIEF OF
MANUFACTURING AND PROJECTS – BIRLA
CORPORATION LIMITED
MR. KALIDAS PRAMANIK – CHIEF MARKETING
OFFICER – BIRLA CORPORATION LIMITED
MR. ARUN AGARWAL – GROUP CONTROLLER AND
CHIEF FINANCIAL OFFICER – RCCPL PRIVATE
LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Birla Corporation Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajesh Kumar Ravi, HDFC Securities. Thank you. And over to you, sir.
Rajesh Kumar Ravi: Hi. Good afternoon, everyone. On behalf of HDFC Securities, I welcome you all to the Q1 FY '26 conference Call of Birla Corporation Limited. From the management side, we have Mr. Sandip Ghose, MD and CEO; and Mr. Aditya Saraogi, Group CFO. I'll now hand over the call to the management team. Post their opening remarks, we will open the floor for Q&A. Over to you, Sandip, sir.

Sandip Ghose: Very good afternoon to everybody, and thank you so much for joining in such large numbers. Though as been reminded just before the conference that probably our timing is not very correct. It eats into literally into a lot of your lunch time. So, we'll consider next time onwards whether we should keep it at two or a little later, and then keep all of you hungry or interrupt your lunch break. So good to have everybody here, and I will come straight to the brass tacks without too much of a preamble or going around.

I sense and for the few people who have called us, etcetera, there is a slight dissonance or surprise at the kind of results we have done in terms of what were being expected by many of you as well as in the market. And I'd like to put it in context so that you understand the basis because this is something we encounter every quarter, irrespective of whether the quarter has gone very well or not so well.

When it goes very well, sometimes there is an element of surprise there. And when things are not according to expectation also, I think there is a degree of confusion. And that's probably what is not understood very clearly to our mind is the changing business profile of Birla Corporation over the few years.

Initially, of course, market took into notice our acquisition of Reliance, but post-acquisition of Reliance, things have also further undergone some amount of structural changes at each stage, and it will probably keep happening as we go forward. The most significant one, as you would know, in the last 2 years has been Mukutban and the rapid scaling up of Mukutban. But simultaneously, there are other things happened like our Chanderia expansion, which had happened earlier.

The utilization of Chanderia, although it was high, but now its utilization in the core market has gone up significantly, and that's linked to how those markets have performed now vis-a-vis some other markets in the neighboring regions. To be clear, what I'm trying to say is Chanderia caters for us a large part of the traditional north, but in our terminology, we look at also Western MP and Western UP as part of Chanderia's reach.

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And sometimes it can even in terms of clinker, not necessarily in terms of cement, we could be even taking Chanderia clinker all the way down to center to -- if the demand in that area, central and East is different. So that's something which keeps changing in our company and similarly so Chanderia, Mukutban equally also plays not just a role in Vidarbha but we have always seen this Mukutban as a very integral part of our larger footprint map.

I recall when I first came in, there was a lot of skepticism among many of you -- some of your colleagues when I said that Mukutban, we can actually supplement our Mukutban production in clinker to use as far as

if required, all the way down to the east in Durgapur and people doesn't believe in some people, as I said, very skeptical or cynical about it. But that is precisely what we have been doing very profitably and successfully, and that's where our strategy has played out. So the point of my elaborating on these things is there is this whole context of our geographic footprint and how we move things seamlessly between our various units. I think there is probably not a very full understanding of that. The analogy I try to look at it when I talk to our marketing colleagues, they think that today, the organization is more like an amoeba, it changes shapes depending on how the market behaves, how the opportunities arise, and that's how we also operate in our planning. When we look at it very holistically, we are a smaller player, we granted, we are a smaller player.

We operate in a limited geography. But within that, this is how we try to optimize. The point I'm getting in here is when you look at realization, etcetera, our volume mix today, as of today in the last quarter, it stands at 50% in Central India. It stands 21% in the East, 16% in the North and West is 13%. As opposed to -- I don't want to take names of some of our peer groups.

But if I were to -- all of you can guess some of our peers who are in the same range, if I were to say one; the first set of people, they have as high as 68% or close to 70% in Eastern India, no presence in the North or West, or negligible presence in the West and they have a Southern presence. There are other people we have who have again got 70% presence in the East, and they maybe similar to us kind of presence in the North.

But in the West, they are negligible. There are, again, some other people who are in our league who have almost equal presence between North and Central. Unlike us, where Central is heavier, North is less, they have almost -- so all these things, factors would be influencing the results, not only in terms of what is there in this quarter, but also in terms of the base effect.

And I would ask for your indulgence for a minute to just recall, you know last year, first quarter, East was down, North was down, whereas Central was by and large holding on. And for us, although the West or Maharashtra areas markets were not as buoyant because last year, if you recall, these were all the aftermath of the elections, run up to the elections, summers, everything. Although those markets are not buoyant, our presence there was much more limited because Mukutban had not been ramped up to today's level. So, these things have changed, and therefore, this mix also is constantly changing. So, our mix as in last year and our mix today is very different.

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So this year, we have -- though we have a very small presence in the East, we have benefited also from the price increase, etcetera, which has happened in the East, which is both -- although our Durgapur unit is a very small unit, it is very much in Bengal, etcetera, the market which is there. Durgapur produces, as you know, slag cement mainly.

We have a premium brand there, Unique Plus, and that has done very well. And then Bihar also has been a market, which has been on an upswing -- upbeat, I would say upswing, have been upbeat due to all the things. But the Bihar, we have a slight disadvantage because we don't have a grinding unit there as compared to many of our peers. So, we have to service them from Maihar and Satna. And sometimes we are therefore, subject to the vagaries of the logistics system.

So, taking all these things into account, how this is -- how this situation has fared, last year, again, talking of our Central regions, between -- if we were to see in our markets between center region, there has not been too much of a price change between Q1 last year to Q1 this year over there. Or even if

we were to compare Q4 of last year to Q1 now, there has been a drop there, but it's a marginal drop. It is not a drop of a very significant level. I think it would be -- it's about 2%.

Aditya Saraogi: On the whole, there is 2%.

Sandip Ghose: About a 2% kind of a thing on the whole, we have seen. But we have tried to hold on to our central prices as we will talk later in greater detail. You will see in terms of how we have further buttressed our premium portfolio over there, how we have increased our blended cement percentage there, which we were -- in the previous quarters, we were forced to sell a lot in the non-trade, which we have reduced dramatically. We have reduced our OPC dramatically, taking up our blended cement and everything together. And that is how the -- if you were to look at it from a realization standpoint, that is how things have panned out.

Where we have had a problem this quarter is we had two extended shutdowns in Mukutban and Maihar. These shutdowns were planned shutdowns, but their period got extended due to some unforeseen thing. In Mukutban, there was heavy rains in that area. In Maihar, we have faced

certain problems. So those got extended.

And having had a very strong quarter in Q4, we were actually short of clinker, maintaining -- because our ambition of the plant was very high. As you know, our plant in our core areas, our plants operate at full capacity, full throttle. So, we were short of clinker. So, we had to purchase a lot of clinker from the market. We purchased maybe about a lakh tons of clinker from the market, which is 1 lakh tons we have purchased. And in fact, in the previous quarter, we were actually -- there was a net sales which was happening over in the previous quarter.

Aditya Saraogi: Immediately preceding .

Sandip Ghose: Yes. Immediately preceding quarter is what I mean. So, there is a delta which has hit us in terms of the clinker cost, which you see reflected. If you have seen our EBITDA per ton being lower than maybe what some of you have estimated, a large component of that comes from the clinker cost impact, which we have had, especially in our Central region, which is our core market, as I

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said, about 50%. Equally, when we had a problem in Mukutban area, obviously, that took some jolt on the sales.

In Mukutban, we could have done much better in Mukutban region, given we had already ramped up. We had a market presence over there and some markets around it were also doing pretty well. So, we lost something over there. So between these two things, I don't want to put a number, but if you'll be able to guess the 7.5 if it -- because all of you had your own estimates, could have been much higher had it not been for these two, the negative hit.

So therefore, if I were to compare the two, the largest contributor of this result is the marginally lower realization, which is a function of, as I said, the Central region prices being somewhat lukewarm compared to what has happened in the North and what has happened in the East, especially.

So, those who have a higher presence in the North, obviously, have benefited in the North prices. Those who have presence in the East, we also have a small presence. So, we have also benefited, but albeit because our plant is small. Our impact what we have got is not as large to compensate for this clinical loss, etcetera, which I was talking about in the Central markets where we had to buy clinker from many of our competitors nearby, whereas as I said, in the previous quarters, we were net sellers. We were doing -- there are many places, which was a swapping situation. But net-net, we were sellers in some markets. That has changed, and that's impacted the overall sales. So, these two per se should be able to explain, as I said, any deviation which you have in your mind between our performance. But we, as a compa

ny, as we have stated in the press

release, today, we think we are positioned on very firm footing standing on four legs, very strong and with the flexibility, which is something, which we keep on highlighting everywhere. And this gives us the confidence of now moving forward with our plans as -- again, there is no change. We have stated our growth plans earlier. So, we feel we are able to move forward with far greater confidence and some of it you would have seen reflected. In terms of our longer-term plans, though this is not related to our caution to add to anything specific, but many people have observed our acquisition of some mining rights of late, etcetera.

So these, as you see, are building blocks, which are falling in place for delivering whatever our commitment is to our stakeholders and to the market going forward by 2027 and then by 2030.

I would probably rest here and invite questions, which would be answered, not just by me, but I have with me, as usual, our Group CFO, Mr. Aditya Saraogi; our Chief Controller; Mr. Arun Agarwal. We have got Rajat Prusty, our CMOP, our Chief of Manufacturing and Projects; and Mr. -- of course, Kalidas Pramanik, our Chief Marketing Officer. So, they will all join in to respond to your questions.

But as always, we have been totally transparent and that's how we will be with you. There's nothing to hide. There's nothing to -- we don't find anything that we need to be defensive about because that's how things are as it stands. And we are confident of the future. Thank you.

Moderator: The first question is from the line of Shravan S from Dolat Capital.

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Shravan S: Sir, whatever you have given, so just to try to understand in terms of the profitability, so given from INR1,000 -odd EBITDA per ton, now we came to INR715-odd. So given, both on the pricing front and on the cost front, how one can look at this profitability from this quarter Q2 onwards or maybe for full year, any sense how one can look at? So, both you can say the current prices versus what it was in the Q1 and from the cost perspective, any further cost reduction, how one can look at the profitability?

Sandip Ghose: See, first of all, before I hand over to Mr. Saraogi, I'd like to make two comments. INR715,

which I have already underscored, there is a certain, I would call it abnormal loss, which is on account, as I said very clearly, largely on account of our clinker shortage and therefore, purchase clinker, which you know, Maihar plant. I would not be able to tell you specifically, but all of you are very knowledgeable. Our Maihar plant clinker is one of the cheapest clinker production, which we have within the company, so is Mukutban.

It's one of the cheapest sources of clinker, not only in the company, but some of them compare with the best in the industry. As opposed to that, our own variable cost of clinker, if I have had to purchase clinker from our competitors who in a normal situation, they would not be also having a huge surplus. So, they obviously would not give it to me at any great discount. So, that delta is very significant. And that delta is what has given us a hit in the results.

INR715, if you were to -- since you're comparing from INR1,000, a large component of that would be coming from this one single factor. Then the second factor is which we've already said there is -- in our case, on a weighted average basis, we haven't had a spike in the prices, which people in the East and people in the North have benefited from.

People in the East and South are not taking into account because South, we are not present, but East and North. And when you do peer comparisons, when you do industry thing, obviously, the South factor will play in the results and some of our competitors who got a strong South presence, obviously, they have benefited from that I told you. We have among our people, some

people who are as high as 12% of their volumes coming from the South. Others have close to 10% or more, or 25%, 26% also in the case of one particular player who also are in our league. So, obviously, their realizations would have been higher. In our case, a combination of our Central region being slightly depressed, but also when we look at Mukutban, that area, the overall realization is much lower than if you were to compare with the East or North because the prices there are at a lower peg. So when you do a weighted average thing, our overall average realization comes down. So, that has also had an impact. So, these 2 impacts are there.

Now if I were to talk going forward, what you will see, what we can predict? Obviously, I don't see our clinker shortage situation continuing, okay? So, we are not buying any clinker just now, and I don't expect to buy any clinker going forward either in Q2 or Q3, Q4. We are quite self-sufficient in our clinker position. So, that is not going to happen.

So, whatever amount you are assigning on account of the clinker thing, that you can take out straight away. Rest in terms of prices, everything is transparent before you. The good story is, Birla Corporation Limited

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as all of you have been commenting in your report. There is some background noise coming from

Moderator: Yes sir ...

Sandip Ghose: So as you will see, the prices, I think overall between Q1 to Q2, except what I am reading in the South, there has not been any dramatic change. I can't predict. I can't do crystal ball gazing as to how it will behave in the coming months. It depends on monsoons, depends on various other factors.

But I'm not seeing any huge dark clouds on the pricing front. So, those factors remain static. What will change for us again, while I told you about the clinker element in center, that won't be there, but we'll also have Mukutban, which I told you we had lost a little bit of volume in the last quarter. That will get corrected. We will get back to our plan of ramp-up.

And we believe in the center, we will add to our volumes and market share because of some debottlenecking and other things, which are happening as all of you know, so that should give us. So, those will change. Some of the other factors, which is true for us could be true for others also in terms of reduction in non-trade sales, etcetera.

But there are also players we know who are in our direct competition who are highly OPC focused as well as non-trade focused. Compared to them, the more the market develops, we would be in a better position to reduce our non-trade component and increase our blended cement going back to the kind of levels we were operating in the past.

Shravan S: Sir, a couple of data points for Q1, if you can share, our Mukutban volume, lead distance, KKL cost and capex and net debt?

Sandip Ghose: Who is speaking, please?

Shravan S: Sir, Shravan here from Dolat Capital.

Aditya Saraogi: Mukutban volume was 6.6 lakh tons. Fuel cost 146 Kcal, capex was around INR100 crores and what else?

Shravan S: Fuel Cost

Aditya Saraogi: Avg total lead distance was 342

Shravan S: Sorry, lead distance, sir, you said 340?

Aditya Saraogi: 342, yes.

Shravan S: 342. And KKL cost, you said 142.
Aditya Saraogi: 146.
Shravan S: And capex is INR100 crores.
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Moderator: The next question is from the line of Jyoti from Nirmal Bang.

Jyoti : Yes. I mean, yes, just first of all, in terms of the number, I hope -- we know that the second half is going to be a very good year for the cement industry, while this quarter has been almost like a 10% Y-o-Y. My concern is that would be a limited ability to cater to the market because of the capacity. Do you think there is a possibility that in third end quarter, you may lose market share even if you are r

unning at 90% utilization level. So could you just give us -- yes, sir.

Sandip Ghose: Two things. One is we don't run at 90%. We run at much higher than that, okay?

Jyoti : I know that. 90% plus. I mean last 90% plus plus.

Sandip Ghose: Okay. And as I said, there will be some more changes, which are happening in the pipeline which will make it plus, plus, plus. It will not put us in the league of people who have expanded their capacity and continuing to expand their capacity. That is something, which we are very conscious of, but that's why our focus is not really what others are doing. They have their strategy.

They have their own fights to play in the market. We focus on our strategy, and that has been, as you know, focusing on our value share. Now, at this juncture we are not worried about volume share as much because, obviously, since we have a limited volume, so we would like to improve our value share wherever possible. And there is no hiding this fact. There's nothing to be, as I said, defensive or apologetic.

We have a certain constraint, but we do -- we feel that we do have an opportunity to increase our value share. I was personally quite -- in the presence of my colleagues, I must say I was personally quite happy and flattered, if I may say, that some of you who went -- I saw some of the analyst reports, which coming in from field visits, which have now for the first time I found they have acknowledged openly that our product, Perfect Plus is operating at par or higher than some of our A-category competitors.

So, that should reinforce apart from the percentage figures, which we give you in various markets where we are operating with more than -- in UP, we have three premium brands, Perfect Plus, Ultimate, Samrat Advance and each has a segment. So, that is how we have been doing in terms of moving up.

In this quarter, Mr. Pramanik and his team have further increased the premium component in the Mukutban region where we are selling -- we increased our premium percentage from what used to be about 40% of sales to now 50% of sales. And again, I hope some of you who go for field visits will realize that our products are selling no less than the erstwhile top brands in these markets. So, we are focusing on that.

We are aware of the -- Jyoti, there will be -- we cannot compete on market share -- volume market share with people at this point in time because we haven't set up new capacity. Even if we are setting up new grinding capacity, we don't have additional clinker coming in immediately.

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So, we have to make do with what we have. So, we focus on our strategy because through that, our focus is to give the maximum returns to our shareholder with whatever assets we have, not only sweating them, but getting the maximum return out of them. And again, to repeat what I have always emphasized, we as a company have always believed from that the assets are not just your plant assets, not just your thing.

Your major part of the asset, which is not always recognized in this industry is the go-to-market assets, which is your sales and distribution, the channel, plus your people and your -- obviously, your brand and marketing strength.

Jyoti : I agree, sir. In fact, I would rather look at Star Cement because in this situation where even Star, while it has actually increased capacity, but I feel that they will also have very limited presence.

Yet even if at the current capacity, whatever little debottlenecking we do, if we maintain EBITDA of about INR1,000, that creates a lot of value for the shareholders. That's all I want to say that while we may be limited for the next maybe couple of months. But if we continue to maintain a very healthy EBITDA per ton, that alone speaks volumes about the company's performance.

Sandip Ghose: Jyoti, thank you. But you know that's the only reason we -- t

that's our reason for existence. We

will not give up EBITDA per ton for either lack of will or lack of -- you might say competence.

Jyoti : So full year, can we expect that you will recover in the next 3 quarters and will be close to ballpark of, let's say, 1,000 or we will be close to INR1,100? Is there any estimate or benchmark you set for full -year EBITDA per ton for the company? And what is the kind of cost savings that you expect in the next -- over this year, which you will achieve?

Sandip Ghose: Jyoti, you know us long enough to know that we don't commit numbers in terms of future EBITDA. You know sometimes better than us what we are going to deliver, go by your judgment rather than me making a hazarding, okay? Or if you can give me a separate call and tell me what is your estimate of EBITDA for the rest of the year. I'll keep that in mind, or target if you set for me. Thank you.

Jyoti : I will do that.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.

Sandip Ghose: Saket, you don't come for tea, but you join up here and ask questions. That's not fair.

Saket Kapoor : Yes, sir. No sir, I will make it a point, seek an appointment and will be there before the AGM, sir. Thank you sir personally for acknowledging me and namaskar to the team....

Sandip Ghose: You have another -- I mean, it's an unfair advantage over everybody else, you also attend the AGM. So today, you should not ask too many questions.

Saket Kapoor : Okay, sir. Sir, the first part is towards the employee cost. When we see on a quarter -on-quarter basis, that has also gone up. So, any one of item in it or is it the annual increment that have been tested?

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Sandip Ghose: These are all function of fixed costs, a function of volume also. So when your volumes have suffered, obviously, fixed cost absorption will go up. If your answer is that, I don't think apart from the usual increment, nothing really -- I have to give a better idea about where we are placed on the remuneration bracket. It is just a function of volumes and you see changes in that as we go forward.

Saket Kapoor : And sir, for the capex , you mentioned INR100 crores for this quarter. What have we budgeted for the entire year?

Aditya Saraogi: I think in the last call, we had mentioned around INR1,100 crores.

Sandip Ghose: In the ballpark of INR1,000 crores, we had said. No change.

Aditya Saraogi: No change to what we had said last quarter.

Saket Kapoor: Sir, the number I missed, how many crores you mentioned?

Sandip Ghose: Around INR1,000 crores we had said.

Aditya Saraogi: You can check the last call transcript.

Sandip Ghose: We are one company, Saket. You will appreciate, we don't change our position frequently.

Saket Kapoor: Okay. So sir, keeping that into account, what is the current net debt number, our current year maturities and what should be closing the year in terms of the debt levels?

Aditya Saraogi: Our current net debt is around INR2,300 crores, and we expect to close less than INR3,000 crores.

Saket Kapoor: Under INR3,000 crores. And last question is on the jute part, sir. In your release, you mentioned about the cost and the profitability to be best in the industry. And I think so you also mentioned the impact of higher raw jute prices. So, what steps are we taking and what are we eyeing in terms of being best -in-class in terms of jute and what can we expect from this segment going forward, sir?

Sandip Ghose: Jute, as we said, we want to be the best in class. We are, as you know, the oldest jute operating company and this is a flagship company. What I always emphasize that other companies, some of them may be old, but none of them have remained with the same owners for this length of time. Everybody has undergone a change. So, we have a very different kind of not only a commitment, but our relat

ionship with this business.

But what we are seeing today, Saket, first of all, jute, there is a lot of -- I wouldn't call it low - hanging fruit, but there is a lot of things on the ground, which can be swept aside. If you were to just simply change your manufacturing practices, your efficiencies and we have already started getting benefits of that.

We are trying to reduce our dependence on government orders, improve our non -government orders both in domestic as well as we have said, there is new focus we are putting on exports.

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But along with that, there is some modernization going on, getting more the modern looms and changing /increasing the efficiency there. We are working on the raw jute and a whole host of things.

The pricing, which is going up in the market, that is not really in our control. That we can only try to do best by sharpening our buying practices, buying policies, where also we are having a much more focused commercial approach.

Saket Kapoor: Right, sir. And lastly, sir, if we take the volume, how should the volume shape up for the balance 3 quarters in terms of the volume growth trajectory, if you could just articulate for us?

Sandip Ghose: Nothing changes, Saket. We have been giving the annual indication. We have given you a 6% to 7% kind of indication. That's what we had maintained. We will maintain that guidance.

Moderator: The next question is from the line of Kunal Shah from DAM Capital.

Kunal Shah: Yes. Just a couple of things. So one, on a couple of previous calls and this press release as well, you highlighted about prices in Central India being a bit depressed. I just wanted to get your thoughts on how would the supply-demand dynamics play out in our micro pockets once Jaypee is acquired and ramped up. Now, like do you see this pricing pressure to sort of sustain over the near to mid-term?

Sandip Ghose: JK or Jaypee?

Kunal Shah : Jaypee as such . Jaiprakash.

Sandip Ghose: That's still some way off. But the Central market operates at three or four-level segments and the growth also comes from three or four segments very clearly. There is going to be a lot of infra-led growth, which is heartening and where people who were much more dominant in the OPC segment and who go through in the non-trade route for them, there is lesser area. But at the same time, if there are investments and economic growth happening in those places, we also see a clear trend towards premiumization and growth of individual house builders as well as in the retail segment really. We are seeing an upgrading happening in those markets.

Some of them -- you have commented, you have visited Western MP, but similarly, if you go to UP, you are due to go. You'll find all these markets. There is a huge upgrading, which is happening there. We would like to operate largely in the cream over there. And so that's why even in this quarter, if you were to look at how we have maintained our net realization, we have been able to maintain -- I can't give you comparative figures between us and some of our peers in the relevant as you use your very nice term, micro markets.

Our realization, we've been able to maintain basically on the premium we command. And that also gives us stickiness in the volume there and gives us -- retains our market share in those particular segments. The real tussle will happen, I think at the bottom of the pyramid as new capacities come up because people have to sell more on non-trade, on OPC, and that's where you see -- obviously, that also impacts the retail segment. But when you are higher up on the value chain, you are somewhat insulated.

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Kunal Shah: Got it. And just one related question then in this backdrop, like how do we plan to retain our trade level share, like given we have limited capacity expansion

for the next 2 years in these

home markets? So, will we just keep focusing more towards the trade and back track from the non-trade/OPC segment? Or how to think about this?

Sandip Ghose: We have said this again and again, Kunal, that trade is our bread and butter. That has always been our situation if you go back not just today. Even earlier, we have always operated at plus 85% on trade as well as on blended cement, sometimes going even higher. So we have no -- we are not back tracking on the non-trade. We sell non-trade only when it is necessary.

Otherwise, we are quite happy to leave the non-trade for those who are interested in playing in that ground. We choose our price segment on the ground, which we want to play in with what we have. So to say that for 2 years, we will remain static is perhaps not very correct. You will see, of course, our new capacity of Maihar will take 2 years to come up.

But while that is happening, even within our existing mix, you will see both a qualitative change and some amount of innovation, debottlenecking or some other tactical moves, which will give us some edge. Obviously, we cannot be competing with somebody setting up a new plant or reactivating a new plant. But within our distinct, what I keep referring to our value share, we will try to maintain that.

Aditya Saraogi: So Kunal, just to add to what Mr. Ghose said, our share of blended cement -- proportion of blended cement this quarter was 89%. That is up from 82% on a sequential basis. So, that is the kind of change we have been able to affect. And coming to the trade sale again, in the immediately preceding quarter was 72%, from there we have taken it to 78% in this quarter.

Sandip Ghose: And that change of 82% to 89%, I hope all of you will recognize, appreciate. It's a reflection of our brand strength, our marketing, sales and distribution strength. This is something I'd like to emphasize because anybody wanting to turn the switch on and off are not able to do it so easily without sacrificing their brand premiums or increasing discounts or whatever.

Moderator: The next question is from the line of Sanjay Nandi from VT Capital.

Sanjay Nandi: Sir, in the beginning you just mentioned that you have bought 1 lakh ton of clinker for this

quarter because of shortage of clinker. So, could you please guide us like what price did we buy or what is the average price, which is running on as on date for the clinker, that you buy from outside?

Sandip Ghose: We can't divulge the exact prices, Sanjay. We have given an indication and that's something very easy for you guys to find out. A couple of calls you'll get to know what are the clinker price sales today.

Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.

Rajesh Kumar Ravi: Sir, in this quarter, obviously, you delivered very strong volumes, gaining market share. And you also shared the regional breakup of your sales volume. We wanted to understand

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sequentially how were your regional sales mix in Q4 to understand the sequential decline in pricing, which is visible in the numbers, where has the decline come from on a Q-on-Q basis?

Sandip Ghose: Decline in pricing. You see there are two elements. You see there is a price mix and the geographic mix, volume in terms of geography, which happened. So, Central region is the overall 50% of our volumes coming from center. There the prices not having gone up.

You have to compare it relative to the other regions and that's how things have gone -- how they have gained in the overall mix. So, Central region is where we have -- we said about minus 2% or so is the price hit, which we have got. But other regions, where it has gone up, which is East primarily, we have benefited, but our volumes there is pretty small.

So, we have not obviously got the same benefit as other

people. In Mukutban area, the loss is

essentially a volume. So, there has been marginal improvement in prices in Maharashtra -- in the West markets in the last quarter. But we have obviously not benefited totally from this because of our -- this thing.

Rajesh Kumar Ravi: Sir, in Q4, what was the volume mix? As you mentioned 50% Central in Q4, what was the Central mix?

Sandip Ghose: I don't have the exact numbers, but our West would have been slightly more. East would have been slightly lower. I think about 18% or 19% would have been East. West would have been higher at about 14% or 15%, I guess. And North would have been by and large around the 16% or so. Last quarter, we had done very well in the North.

Rajesh Kumar Ravi: And how much has been the incentive accrued in Q1?

Aditya Saraogi: INR23 crores, Rajesh.

Rajesh Kumar Ravi: Okay. INR23 crores. So versus INR40 crores in Q4, we have accrued only INR23 crores in Q1.

Aditya Saraogi: Yes. INR41 crores in Q4.

Rajesh Kumar Ravi: INR41 crores, right. And sir, this depreciation 10% decline year-on-year, what led to this fall in depreciation expense?

Aditya Saraogi: There is no specific reason as such, Rajesh. Maybe because there was shutdown, the running days was less. Maybe because of that days fall.

Management: Certain depreciation on limestone, which has come down and second of all many assets have reached its 5% -- decrease in their depreciation, we have stopped charging as per book.

Rajesh Kumar Ravi: Okay. And lastly, in the progress of the clinker expansion and Kundanganj project, what milestone we have achieved so far on the Maihar expansion clinker line and what is the status on the Kundanganj commissioning?

Sandip Ghose: In fact, Rajesh, there is nothing very specific to report at this point in time. Maybe when we are having the next con call, you will hear more from us.

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Rajesh Kumar Ravi: Okay. Out of INR1,000, INR1,100 crore, which you had targeted for this year, Q1 you mentioned we have spent INR100 crores. So, INR900-odd crores out of INR1,000 crores, you'll be doing it the subsequent 9 months and where would they be allocated into those buckets?

Aditya Saraogi: We don't have that breakup. It is a mix of projects and sustenance capex.

Sandip Ghose: Some of that, which is in pipeline will get capitalized. Not yet been done. Some of that will come from there and few of them are from, as Mr. Saraogi mentioned, are from sustenance capex because we have a very [ible 0:48:11].

Rajesh Kumar Ravi: And lastly before I move on, this clinker purchase which you did, what was the additional cost, which would have put on the books in Q1, which will not be present in subsequent quarter versus your own production cost?

Sandip Ghose: Rajesh, as I mentioned, we cannot give the exact specific figures, but you have a fair idea. We have given you as much of a hint that Maihar is our lowest cost producer. And opposed to that, the people I buy from there, cost itself is much higher. Again, I don't have to tell you the names or the kind of thing. And they obviously -- the situation would not give me at a big discount. So

it is a fairly heavy charge.

Moderator: The next question is from the line of Ashutosh Murarka from Choice Institutional Equities. As there's no response from the participant, we'll move on to the next one. The next question is from the line of Saket Kapoor from Kapoor & Co.

Sandip Ghose: Saket, I thought your next question would be on 15th of September at the AGM. Why are you...

Saket Kapoor : Sir, for the WHRS, what is our current capacity and what have we outlined for the incremental capacity and the savings thereof, if I may ask, sir?

Rajat Prusty : So the current capacity of WHRS is around 40 megawatts, and we are planning for any other modernization on these areas with around 10 megawatt more we are planning.

ing. So it will be

roughly -- you can say that 50 megawatt will be our whole capacity. Once we complete all the expansion, which we have planned or modernization, which we have planned for the existing setups.

Saket Kapoor : Okay. And how much you will spend for the same and the payback period?

Rajat Prusty : Those are the things already...

Aditya Saraogi: We don't give such specific details, Saket.

Saket Kapoor : Okay, sir. Sir, since you mentioned that there is -- our Maihar clinker are the cheapest, so if you could just outline to us, what was the absolute number impact for the EBITDA per ton going down to INR700? Had been a normalized quarter, what would have been this number, sir?

Any...

Sandip Ghose: We have said this repeatedly, Saket, in the course of this call itself. We can't talk of specific numbers on this. You're a very educated guest. I told this four or five times here. We gave you

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as much as saying that we have bought about a lakh ton of clinker. We have said that. You find your numbers.

Moderator: Ladies and gentlemen, we'll take that as our last question. I would now like to hand the conference over to the management for closing comments.

Sandip Ghose: There is a call from Motilal Oswal. Prathamesh.

Moderator: Next question is from the line of Prathamesh Dahake from Motilal Oswal.

Prathamesh Dahake : Just one small question from my side. I wanted to check the update on the upcoming capacities and what will be the capacity installed by the end of FY '26 and '27?

Aditya Saraogi: We have given the guidance in the last conference call. You can have a look at that. There's no change in the guidance that we have given.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sandip Ghose: Thank you very much for participating in such large numbers. Hope we have been able to answer some of your queries and doubts. Rest of it, while we have not been specific, that's part of the policy. But I guess all of you have a fair idea on all the questions there. The last question, which was asked, I would only like to comment that you don't see a clinker capacity coming before '27. It is all the major change you will find is at Kundanganj new line, which is going to -- that is going to get commissioned in the course of the year. Thank you.

Moderator: Thank you. On behalf of Birla Corporation, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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13th November , 2025

BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai - 400 001
Scrip Code: 500335 National Stock Exchange of India Ltd.
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Symbol: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst conference call on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended 30th September , 2025

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investors/analyst conference call held on 10th November , 2025 at 2.30 P.M. (IST) on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended 30th September , 2025. The event concluded at 3.18 P.M. (IST) on 10th November , 2025 .

A copy of the same is also available on the Company's website at
<https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above
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"Birla Corporation Limited
Q2 FY '26 Earnings Conference Call "
November 10, 2025

MANAGEMENT : MR. SANDIP GHOSH – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – BIRLA CORPORATION LIMITED
MR. ADITYA SARAOGI – GROUP CHIEF FINANCIAL
OFFICER – BIRLA CORPORATION LIMITED
MR. RAJAT PRUSTY – CHIEF OF MANUFACTURING
AND PROJECTS – BIRLA CORPORATION LIMITED
MR. KALIDAS PRAMANIK – CHIEF MARKETING
OFFICER – BIRLA CORPORATION LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '26 Earnings Conference Call of Birla Corporation hosted by HDFC Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Rajesh Kumar Ravi from HDFC Securities. Thank you, and over to you, sir.

Rajesh Kumar Ravi: Hi, good afternoon, everyone. On behalf of HDFC Securities, we welcome all of you to the Q2 and H1 FY '26 Earnings Call of Birla Corporation Limited. From the management side, we have Mr. Sandip Ghose, MD and CEO; Mr. Aditya Saraogi, Group CFO; and other senior members of the team.

I now hand over the call to the management for the opening remarks, after which the moderator will open the floor for Q&A. Over to you, Sandip, sir.

Sandip Ghose: Very good afternoon, everybody, and thank you for joining our Q2 call. This is -- this happens to be, I think, our 3rd running year or shall we say, 12 consecutive quarters of calls since we started doing it in January '23. And we have been encouraged by the level of response and interest, which we have found from the analysts and investor community.

That gives us, as management, a lot of confidence in the strategy which we are following and the appreciation of the communication, which is happening. It's a 2-way situation gives us a lot of feedback. But I think it probably reinforces our conviction as well as the confidence which we received from talking to all of you. So thank you once more.

This quarter, as we know, we have been, I think, fairly consistent with the industry performance, though our scale is much smaller than some of the very large players. But despite that, I think we have stayed in line with the broad industry performance. And this is despite a few headwinds. We, as you know, operate primarily in the central region.

And as some other companies have also stated in their communication, the prices in central region have remained the most subdued compared to other regions throughout this period and

even subsequently as we move into the third quarter. That has been one headwind. Obviously, the heavy unseasonal rains in our key markets have been also a dampener.

On our side, we had a setback at the end of last quarter itself in terms of breakdown in our -- the biggest units, that's Maihar. And we had an overhang of that into this quarter, which -- for which we had to continue using the purchase of clinker from what we had bought from outside, and so that carried on. And that gave us a dent in our profitability.

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And had it not been for that, we probably would have reported much better results than what we have, though it seems from all the comments we have seen so far, the market and analysts have been generally positive about what we have reported, but we could have done slightly better than that too, had we not had this particular setback.

Mukutban also that area was affected by heavy rains that was during the period and which caused dislocations and dispatches. So our Mukutban, the volumes were probably lower than what we

had been budgeting for, but that is a temporary aberration as markets open up and we feel we should get back on track as per our original projections. So that's broadly an observation. You know all the trends.

Now September, as we all know, the GST was a major disruptor, the GST changes. How it affected us, especially in the central region, apart from generally, and it's probably useful to point out, the biggest hit came in the non-trade sector, industrial sector. Mercifully or thankfully or really

y speaking as per our plan, our exposure in the non-trade is very limited.

We don't even sell more than 15% of our volumes in the non-trade sector. So our exposure is very limited. But overall, that is where the biggest slide in prices happened. And obviously, that also has its fallout and spillover into the trade segment as well, affecting both demand as well as prices.

But the biggest -- as I said, the slide happened in the non-trade sector for 2 reasons. Many companies -- a lot of companies there in our region, some of our peers have the benefit of incentives, GST incentives they have because of the new facilities. And many of them took advantage of dispatching higher -- making higher dispatches before the changeover of rates because even taking into account subsequent drop in prices, what they stood to gain in terms of incentives was pretty significant.

So as a result, a, there was a huge buildup of stocks in that -- in the non-trade pipeline as well as, therefore, post the changes, there was a very sharp drop in prices, sharper. So therefore, actually, it became a double whammy. There were price slide in anticipation of the GST changes. There was a slide in the market.

But because of the factors I mentioned, there was an even bigger slide post the 22nd of September and which actually has carried on to October. That's a different story. But I'm underscoring that we were able to insulate ourselves to a large extent from this impact because of our consistent stated strategy to focus on the trade segment, that is the B2C segment and also focus on blended cement. And third point is on premium product. So some of you have expressed surprise at the realization and profitability, but that's been the key driver of our profitability despite some of these headwinds, as I mentioned, or negative trends in the market. Here, our strategy has been vindicated.

And this has been vindicated at large because as I've been repeating, though we had moved out of the incentive period in UP last year itself, the new entrants who came in with newer plants and incentive, they have focused primarily on non-trade and OPC and having been unable to

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penetrate much into the trade segment, the value-added segment and the value-added trade segment, the premium segment.

So therefore, their impact has remained a great deal in this OPC and non-trade segment over there. And we have managed to keep our head above the water despite any sort of ups and downs and turmoil in the market. So that has been the story overall.

Last quarter, though we have a very small presence in Eastern India, our Durgapur plant has done despite that well. Rajasthan, we have managed to gain our volumes, regain our volumes in the trade segment. That has been a very positive development over there. We had in the previous year, again, led largely by the low prices, which made our products unviable in certain markets. We had lost market share in the previous year. In the overall context in volumes, we have been able to recover much of that.

Maharashtra, we remain as per strategy, barring these few aberrations we talked of, but we are led really speaking by what's happening in the market and the overall prices or demand situation. That's what affects, but we are -- otherwise, we are not operating with any lag or handicap vis-à-vis either the old established player or any other newer entrants.

So that's my overall summary. I will hand over to Mr. Saraogi, our CFO; and my colleague, Rajat Prusty, who is the CMOP and Mr. Kalidas Pramanik, who is our Sales and Marketing

Head to answer any other questions. So Aditya, you would like to go in or we open the -- so in the interest of time, we would open this out for now the questions, and we can take it the question-answer and any additional comments simultaneously.

Moderator: The first question is from S

Shravan Shah from Dolat Capital.

Shravan Shah: Sir, continuing to your opening remarks, so 2, 3 points I just wanted to put together. So the clinker purchase in the second quarter and your opening commentary, you are saying the prices are under pressure till now. So if you can help us in terms of quantify?

So currently, the prices until now versus the 2Q average for us would be how much lower and also possible region-wise, if you can break it up, would be better. And given that the prices are under pressure, how do we see now the profitability, which is around INR 700 plus for us in the first half? And what kind of a cost savings we have? So in the second half, how one can look at the profitability inching up?

Sandip Ghose: You have combined many questions into one, Shravan. And so we'll have to sort of unbundle them and talk to you. So first of all, we said about the -- what you asked about the clinker purchase. It has...

Aditya Saraogi: We can't share the specific number.

Sandip Ghose: We can't share the specific numbers there, but I think you can make a rough guess. It would have -- it's not very large, but...

Aditya Saraogi: INR 20 crores, INR 25 crores...

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Sandip Ghose: Yes, kind of number is what we have had in the -- for that setback. But that's all water under the bridge now behind us. We are now very, very comfortable on clinker stocks and our plants are operating full steam. So we have no such contingency to worry about throughout.

The rest of it, I think all of you have been tracking prices. So we have been in line with the price scenario. As we said in our net realization or in terms of the bottom line, we have tried to improve by having a higher component of our value-added product, the premium products, et cetera, which the numbers we have already shared in our press release.

Aditya Saraogi: As regards H2, normally, H2 is better than H1 because in H1, we have this lean season of monsoon period. So definitely, in this year also, we don't expect any exception. We expect the second half to be better than the first half of the year.

Sandip Ghose: So the demand scenario is, again, we are not seeing anything more than what the market has said. Prices, as we see, it depends. We are already getting into the -- close to the second half of

November. But we think there should be some price improvement beginning to happen from the second half. But really, if the demand picks up, we'll see the major correction coming in the last quarter.

Shravan Shah: Okay. Okay. Got it. Because I just wanted more clarity in terms of the number till now if the prices don't improve, will it on an average basis, though the premium side is helping us in a decent way. But on a ballpark basis, kind of one can assume kind of INR 100-odd kind of an impact if the prices don't improve from here on for the third quarter. That's the way one can broadly look at?

Sandip Ghose: We won't commit on numbers, Shravan, you've been with us for a long time. And prices really speaking, as we said, I think it will have to be led by the non-trade segment and without that recovering and that we are not really major players. So we are looking up to what the market does. And then accordingly, we sympathetically will change. Nobody is going to take prices aggressively up now than what the market naturally can take in.

Shravan Shah: Got it. Lastly, a couple of data points, lead distance for this quarter, kcal cost and the capex for full year would be how much?

Aditya Saraogi: Lead distance for this quarter is 340 kilometers. Kcal cost is 1.48. And capex for the entire year, we expect to be around INR 800 crores.

Shravan Shah: Okay. So it is lower versus what we were looking at INR 1,000 crores to INR 1,100-odd crores.

Sandip Ghose: Right, right.

Aditya Saraogi: Marginally.

Moderator: The next question is from Manish

Choudhary from PhillipCapital India.

Manish Choudhary: Actually, I have not pressed anything to come into the queue. I think there is a mistake.

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Moderator: Okay, sure. We'll move to the next question. The next question is from Saket Kapoor from Kapoor Company.

Saket Kapoor: Sir, firstly, my question is to sir, Saraogi sir in the cash flow, we have mentioned about direct taxes paid to the tune of INR 91 crores. So this is the net cash outflow on account of this advanced tax payment as on September or any other component is also embedded here?

Aditya Saraogi: There's no other component. This is the routine payment of taxes.

Saket Kapoor: Okay. That translates into 45% of what the total tax liability for the year. That is how it has worked out?

Aditya Saraogi: No, I can't comment on that, Mr. Kapoor.

Saket Kapoor: Okay, sir. Sir, for the EBITDA per ton for this quarter, I think so we were in the range of INR 712. And for the first half, it was at INR 714. So taking into account the current environment and the opening commentary by Sandip, sir, what should be penciling in, in terms of the EBITDA trajectory going ahead?

Sandip Ghose: We also commented on that, Saket, that we don't predict specific number.

Aditya Saraogi: We expect second half to be better than the first half. But beyond that, we can't discuss specific -- no -- other cement company also there. plan out of that. So we also...

Sandip Ghose: There are variables in the market just now, which all of us are aware of. So there is -- we don't want to give you any indication or commitment, which doesn't have a strong basis.

Saket Kapoor: Right, sir. sir, on the efficiency front, if you could just outline to us the backward integration in terms of the captive coal output that we are anticipating from the 2 mines for this year? How is that -- how is the ramp-up going ahead?

Rajat Prusty: Rajat here. Yes, already the Sial Ghogri is going on. And for the Bikram, already the activities are on. We expect that during the end of this financial year, we'll start some activity and maybe you can touch the coal production also.

Aditya Saraogi: So meaningfully from next financial year, we will start getting the production from Bikram Coal

Mine .

Saket Kapoor: Okay. Sir, in your commentary, just to conclude, you have mentioned about the management expects cement demand to revive in the 3 months ending December, led by government capex translating into a Y-o-Y volume growth of 4% to 5%. So this is what we can work out our number in terms of what you are anticipating. So we are on track even after taking into account how October has been -- we have factored in the month of October with this comment?

Sandip Ghose: Yes. Saket, we made the declaration on Friday. So obviously, we have taken that into account. There should not be any change. It's as recent as that.

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Saket Kapoor: Right, sir. And sir, just a very small comment. As in your opening remarks, Sandip, sir, you have very well articulated to us that what the communication means for investing community in creating the awareness for the company as a whole.

So through the channel, I would also request you to abreast our Chairman also about the group companies and the valuation that currently are there for the market to understand to open up the same medium for other companies also so that the insight and awareness can be created through this platform so that the benefits flow to the other group companies also. My humble submission, if that could be a followed.

Sandip Ghose: We are that way, independent companies and independent Board of Directors. And I'm aware you go and attend the AGMs of all other companies as well. So I'm sure you have a forum and opportunity to voice your expectations.

Saket Kapoor: Sir, for

the Jute part of the story, sir, if you could just allude to us what is the thought process of the management currently with the type of scaling up of this segment since it's a legacy and we were earlier known as Birla Jute.

So taking into account the capex done by other people, I think so an announcement came from the Kanodia Group also today in the business journey of upping their capacity by meaningful 30%, 40%. So what are we outlined for Jute as a sector in terms of volume, capacity growth and profitability also because the margins are very near when we look at what we have posted?

Sandip Ghose: Saket, first of all, we still remain Birla Jute, and we are very proud of our heritage because as I keep repeating, we are the oldest Indian jute manufacturers. And we remain probably the only major company, which is -- the ownership has not changed hands right from the inception, whereas many of the foreign companies which were there, the foreign owners have left the place. And thereafter, also, it has changed several hands, many of them, there are very few who has remained consistent. So we have an abiding commitment to this business. It's close to our heart, and we -- just like in our other business, also, we have done things which is right for the business. That's what we will try to do.

But the change which has happened is now jute has been mainstream in the company. It is no longer like a satellite unit which is operating separately, our top leadership team is fully engaged in the jute operations. We took a step since you know just which is very unconventional in the industry, for the first time, we have a head of the business who has moved from the main business to jute rather than being -- people usually take career jute people from either here or there, we have taken our person.

The intent behind it is to bring the same synergies and the efficiencies and discipline, which we have in our main business focus not only on improving technical efficiencies, but also start focusing on R&D. And so our first intention is to grow through value addition. By value addition, I don't mean just value-added product, but creating more value and profitability.

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There's a lot we believe can be done in jute. So we are not really concerned about just adding a few machines and hands and opportunistically and increasing the looms which are there and thereby get additional quota and do that. We want to do what is right long-term for the business. We are already -- as you've seen, we are seeing -- we are beginning to see results. And just like in cement, we have stuck consistent with the strategy. We hope that we'll be able to move forward in the same way in jute as well. But it's a bit early in the day. Just like in cement, we have taken 2, 3 years for -- to build your confidence. We hope that in a few quarters down the line, you will see the difference.

Moderator: Next question is from Anup Lal from Eureka Stock & Share Broking Services.

Anup Lal: Is it likely to know that currently, your premium brand contribution is around 60% of trade sales.

So what is the target mix for FY '26...

Sandip Ghose: Sorry. We will remain in the same region, Anup. We don't want to vacate the territory. We have a strong presence on both segment. Our brands are equally strong. Our Samrat and Chetak is

very strong in the value segment, whereas Perfect Plus has been making rapid strides in consolidating on the premium segment.

You know, we don't have right now too much of headroom in capacity. So this is how we are going to operate. We are committed to both the segments and that fits us strategically. We consider it to be a strategic advantage because compared to whether our bigger peers, larger peers or people who are at the same level or smaller.

We have -- the only company who almost straddles between the 2 segments

almost equally. So

unlike, as I said, some of the bigger peers are present primarily only on the top segment, the A and premium category, whereas people who are on the other side, they are trying to inch up some of their things to get up a level of premium mix in their volume, but their premium is actually far lower than at the level where we are operating in the A category. So they are doing that, whereas we have presence on both sides.

And we also have a presence now in what I would call the upper value segment because we have -- when we are looking at Samrat, we have a product called Samrat Advance, which is actually at a level compared to what others are calling premium from the B category. We are -- when we are Samrat Advances at par with them, whereas Perfect Plus is clearly, as some of you have commented in your assessment, we are clearly in line with the top A category players.

So we would like to operate that way. This is -- we consider it to be, as I said, a competitive advantage. And this is how we wish to stay there. We are not going to abdicate or abandon one segment for the sake of others.

We see merit long-term in being present in both, and that's how we are going to -- and because we see not only merit in growth, we feel there is a market in both ends, whether you look at segment it geographically or segment it market-wise. So that's part of our strategy. And so far, we have done well, we believe, and we'll continue on that.

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Anup Lal: Sir, my next question is regarding the increase of share of renewable energy to 32% in the second half. So what is -- what -- could you quantify the cost savings?

Aditya Saraogi: We can't quantify the cost savings as such, but definitely it could be in line with the industry.

Sandip Ghose: So when we talk -- only thing what I would say, our renewable energy is essentially mix of solar.

We are getting into hybrid and all of that. And that is our higher level. We are not so high on alternate fuel, et cetera. So you'll find it in these 2 categories. And there, the benefit, as Mr.

Saraogi said, is in line with what other industries are getting and also varying from state to state.

So it's fairly easy to, I think, extrapolate.

Moderator: The next question is from Uttam Kumar Simal from Axis Securities.

Uttam Kumar Simal: And congratulations for the good set of numbers. Sir, my question pertains to the capacity expansion plan. So can we -- is there a time line for a Kundangunj unit?

Aditya Saraogi: We are expecting Kundangunj to commence by the end of third quarter, beginning of fourth quarter.

Uttam Kumar Simal: Okay. And sir, on RMC business, you can give some time line how RMC business is going on currently and how much plant we are planning to open in RMC business?

Sandip Ghose: RMC business, as we said, we are still on a -- we are progressing steadily and slowly. We don't want -- we are in no rush to expand and then burn our hands and feet and all that, which many people have done. The profitability component there is lower. So we are taking wherever there is a clear synergy with our brands, we are trying to see and we would like to progress in a very -- not only steady but sure-footed way. There are no great anxiety to expand the volume and gain share.

Again, a lot of people are doing that because they have a lot of spare cement, and they are doing it as a captive source. We don't have that as any compulsion. Our own cement, we are selling well. This we are trying to do only to expand our footprint for us. We see a lot of synergy in our brand because we are operating RMC under the Perfect Plus umbrella.

So, so far, the markets where we have entered have got clear presence of that. We are present in Lucknow, which is a strong market for us in Perfect Plus, we have moved up to Ayodhya area, which is again a strong market because we w

ant to get benefit of our branding.

RMC, as you know, is at the base level, if you're looking at the Vanilla RMC, it is a very, very low cost, low margin kind of an operation. People don't make much money. And you start making money only if you are providing value-added RMC, which is the high tech or if there is a brand value, people are willing to pay for your product. You really can't compete with the small players and everybody just giving the vanilla product. So that is the route we are taking.

And the refore, we want to move forward systematically, making a combination of the market opportunity plus our brand synergy there. So if there is an area where our brand is not present, just for the sake of opening a

got plants all over the country where they don't have any brand presence or even manufacturing presence. We are not going that route. We are going clearly expanding where we are strong.

Uttam Kumar Srimal: Okay. And sir, Saraogi -ji, last one, what is current net debt?

Aditya Saraogi: About INR2,450 crores.

Moderator: The next question is from Rajesh Kumar Ravi from HDFC Securities.

Rajesh Kumar Ravi: My first question pertains to if you could share what was the incentive accrued in Q2? And also, how was the ramp-up happening in Mukutban, like, you shared the Q1 volumes, what was that in Q2?

Aditya Saraogi: The incentive in Q2 was about INR 18 crores. And second is the -- Mukutban volume was 6 lakh tons in this quarter. So there's a Y-on-Y growth of 20%.

Rajesh Kumar Ravi: 20% great. And sir, this GST, will this change -- how will this change post the GST rate cut from 28% to 18% quarterly accumulation?

Aditya Saraogi: Of incentives?

Rajesh Kumar Ravi: Yes, yes, incentive accrual, which you will be making.

Aditya Saraogi: Largely, we are not expecting any major change. In some states like Rajasthan and all, it might come down. But that is about maybe INR 10-odd crores.

Sandip Ghose: Rajesh, there are 2 components to this, as you know. Some places, there is a GST cap in terms of the absolute. So if in the earlier scenario, we were exceeding the cap, okay, what we could draw during the year, though the rates have fallen. So that's the cap remains. So in absolute terms, we can claim the GST, we claim that. So therefore, there is no actual loss on that.

Secondly, you might say it's a blessing in disguise or otherwise, since we didn't have incentive in Uttar Pradesh since last year, now our job will start ticking in the new -- with the new rates from day 1. So we will plan it accordingly. So whatever we'll get now from Kundangunj Line 3, it will be incremental from what we have at the moment.

So as Mr. Saraogi has said, we are not anticipating any major thing. Only place we are getting affected a little bit is Rajasthan because of the -- it's all linked to our sales in Rajasthan and within...

Aditya Saraogi: Incremental sales.

Sandip Ghose: Incremental sales, therefore, Rajasthan, but there our stakes are not very high.

Rajesh Kumar Ravi: Understood. And sir, on the expansion plan, you have lowered the capex outgo guidance from INR1,200-odd crores to INR800 crores, so could you just share what is your plan or what is your...

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Sandip Ghose: This is the sustainable capex -- sustaining capex -- this is not really expansion...

Aditya Saraogi: Sometimes their historical trend also, we -- at the beginning of the year, the guidance we -- is usually as we end up spending lower than that.

Rajesh Kumar Ravi: Okay. I just wanted to understand this Maihar expansion, what is the progress on that? And by when -- how much capacity -- what stage of the expansion we are in the central region beyond the Kundangunj?

Aditya Saraogi: Rajesh, on t

hat, we are maintaining our earlier guidance. You can take our earlier guidance, we are maintaining that guidance in terms of capacity expansion.

Rajesh Kumar Ravi: Okay. So next year, how much capex you're looking at FY '27?

Aditya Saraogi: We can't, at this stage, give you a year-wise capex, maybe down the line, we can share that.

Moderator: The next question is from Vipulkumar Anopchand Shah from Sumangal Investments.

Vipul Shah: Most of my questions have been answered. I just have a question on some of our plants are efficiency-wise operating quite moderately. So is there any plan to upgrade them -- and what will be the capex required? What will be the timeline, which plants you are considering, if your broad comments will be welcome, sir?

Sandip Ghose: I will let Mr. Prusty answer that, but I don't know where you're talking about are we operating lower than efficiency because if you see our capacity utilization, when there is a thing we are operating in all our older plants at peak capacity or higher. Only it is in Mukutban, which is still in the process of reaching the peak capacity. We are below our nameplate capacity. But everywhere else, we pride ourselves in the efficiency what we are doing, okay?

Rajat Prusty: Yes. Already as rightly said by Ghose sir, like we are operating in the efficiency front of thermal, electrical, everywhere we are working. And already, there are very good numbers, and there are benchmark numbers in many of our plants, both in terms of grinding and thermal electrical power for the clinkering also. And capacity point of view, you have seen the results also. It's already we are more than 90% we are operating. And the availability, reliability is really good.

So we are continuously focusing there.

Yes, one plant, we have a little bit of higher thermal because of the old technology. But there also, we are operating to ensure establish that what are the the best possible way. And if there is a future requirement will be the capex , we'll review that because now at this point of time, we are operating all the kilns and all the mills at peak rate capacity with efficiency.

Sandip Ghose: I think we should close here, Rajesh. Shravan and Saket get disproportionate time and people will almost suspect that we plan t them to ask more questions. So we should close it here unless something is very pressing to ask.

Moderator: We'll take that as the last question. I would now like to hand the conference back to the management team for any closing comments.

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Sandip Ghose: No, we are all -- we're looking with -- cautiously at this quarter. I think that will -- this third quarter will show the light for the fourth quarter. So like everybody else, we are looking at it circumspectly, still keeping our confidence with the kind of growth which we have indicated and a reasonable improvement in realization, especially coming in t he fourth quarter. Thank you very much.

Moderator: Thank you very much. With that, we conclude today's conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2026

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3rd February, 2026

BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai - 400 001
Scrip Code: 500335 National Stock Exchange of India Ltd.
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Symbol: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst conference call on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended 31st December, 2025

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investors/analyst conference call held on 31st January, 2026 at 04.07 P.M. (IST) on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended 31st December, 2025. The event concluded at 04.59 P.M. (IST) on 31st January, 2026.

A copy of the same is also available on the Company's website at <https://birlacorporation.com/earnings-call-transcript.html>.

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above
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"Birla Corporation Limited
Q3 FY '26 Earnings Conference Call "
January 31, 2026

MANAGEMENT : MR. SANDIP GHOSH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA CORPORATION

LIMITED

MR. ADITYA SARAOGI – GROUP CHIEF FINANCIAL
OFFICER - BIRLA CORPORATION LIMITED

MR. RAJAT KUMAR PRUSTY – CHIEF OF
MANUFACTURING AND PROJECTS – BIRLA
CORPORATION LIMITED

MR. KALIDAS PRAMANIK – CHIEF MARKETING
OFFICER – BIRLA CORPORATION LIMITED

MR. NITESH SONI – GENERAL MANAGER (FINANCE &
ACCOUNTS) – BIRLA CORPORATION LIMITED

MR. MANOJ KUMAR MEHTA – COMPANY SECRETARY
AND LEGAL HEAD – BIRLA CORPORATION LIMITED

MR. SANDEEP ASRANI – CHIEF OF STAFF, MANAGING
DIRECTOR'S OFFICE – BIRLA CORPORATION LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Birla Corp Q3 FY '26 Earnings Conference Call, hosted by HDFC Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Rajesh Kumar Ravi from HDFC Securities. Thank you, and over to you, sir.

Rajesh Kumar Ravi : Thank you, Rayo . Good evening, everyone. On behalf of HDFC Securities, I welcome all of you to the Q3 9 months FY '26 Earnings Call of Birla Corporation Limited. From the Birla Corp, we are hosting Mr. Sandip Ghose, MD and CEO; Mr. Aditya Saraogi, Group CFO; and along with other senior members of the team.

I now hand over the call to the management for their opening remarks, which will be followed by Q&A. Over to you, Sandip, sir.

Sandip Ghose: Very good afternoon, everyone. And since we are speaking for the first time in the new year, although late, but a Happy New Year to all of you. Thank you so much for joining in such large numbers on a Saturday afternoon. I understand that all of you will be in a rush to go back home for the weekend because tomorrow, anyway, it's also a working day for you with the budget. So we will try to keep the call short and not stretch it further.

This quarter has been a quarter, as we all know, of mixed results, mixed outcome, mixed expectations or contrary to expectations and etcetera. So it's a bit of mixed sentiments when we are speaking here. What I'd like to emphasize before -- I think the figures are before you, the press release is before you.

A couple of points is what I would like to emphasize before handing it over to my colleagues who are present here, Mr. Aditya Saraogi, our Group CFO. I have Nitin Soni, he is our Deputy Treasurer. Mr. Manoj Mehta, our Company Secretary and Compliance Officer; Mr. Kalidas Pramanik, who is our Chief Marketing Officer. You would have noted Mr. Pramanik's appointment has been extended by 2 more years.

He was otherwise due to retire as per age and rules this quarter, but the Board has extended him for 2 more years. And Mr. Rajat Prusty, our CMOP, Chief Manufacturing and Projects. So we are -- all of us are here. So they will take on the questions. I also have Mr. Sandeep Asrani, who is my Head of -- Chief of Staff of the MD's office. So they will take specific questions.

I would like to emphasize on two things. Birla Corporation, you would have noticed and those who are following the company for a long time, we have always tried to stay on course of a strategy irrespective of market fluctuations or changes in the market because we believe we have a certain proven strategy, which has worked for us, and that is working for also our stakeholders.

So we try to remain as steady or on course on that strategy.

And what is that strategy at the core of reputation? We have limited capacity. So we want to use -- maximize our capacity utilization over there. We want to focus primarily on the trade segment,

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and that is B2C. We want to also focus on blended cement, which is environment-friendly cement. And we will -- given our situation, we will focus continuously on cost reduction, increasing efficiencies, including lead distance, our go-to-market strategy, distribution and building of brands.

And building of brands will get translated not just by our volume of our premium products, but also overall improving the net realization. We are a company because we have limited or clinker limited this thing. We always measure our sales, not in terms of realization for us, in fact, realization comes very secondary. Wh

at we look at is clinker realization. Per tonne of clinker, where am I getting the maximum realization ?

And therefore, this is a function of product mix, geo mix that is in terms of distance and product mix would, of course, imply the premium product versus popular product, but not necessarily premium product may not give you the maximum clinker realization in all markets.

If we are able to sell more of popular product, if we don't want to vacate a market which is close to our factory, etcetera, where there is a demand for popular product because that will give us a higher clinker realization. So we look at this very carefully, and we have found that this gives us dividend in terms of results in any situation.

So therefore, you'll find that in the last quarter, when we analyze volumes, we see many -- not only many of our peers, but also the very large players, the volume leaders, they focused a great deal on non-trade or infra sales. Some people have gone up to sell almost 50% of their volumes during that quarter and certain months in non-trade sales, whereas we consciously stuck to our strategy of focusing on trade and blended cement.

As a result, our percentage of trade sales has grown during this quarter in terms of proportion, percentage of blended cement has grown and our percentage of premium cement has also grown. So if you see our results, it is a function of this strategy.

I'm not going to comment as to whether

you see our results in what light, whether it's favorable or how do you see with your -- but whatever we have delivered, we have been able to deliver because of this strategy.

Our capacity utilization also, we have kept at our peak, including our Mukutban plant, which was a matter of concern for many of you for a long time. Mukutban plant has now is performing absolutely beautifully in a thing and happy to share if I may, because today, we have -- in this month, we have made the highest ever dispatch from Mukutban over there. So that ramping up, which has been done about which many people were skeptical.

Many people had raised doubts, and we have been able to do that. And most importantly, we have been able to do that over there in that market with a large share of premium products and even in the high category of OPC -53, which wherever it's relevant because in that market, we have been able to sell that. So that has been our strategy, and that has really been what you -- what you're seeing in terms of results.

So this is primarily the point which I would like to emphasize. There is -- in terms of logistics, there is -- we have reduced lead distance. In fact, our lead distance is today 328 kilometers, which you all know is better than many large players who have a higher proportion of grinding Birla Corporation Limited

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units for themselves. Our grinding unit to main plant ratio, integrated plant ratio is lower than many people.

But despite that, our lead distance has actually -- is actually lower than many of them, and we have been able to further reduce that. We have had one -- specifically, we have had a couple of handicaps against which we worked and I'd be upfront in stating that we do not have a grinding unit in Bihar. So during the period of Bihar elections, as we all know, rail movement in Bihar was hugely impaired because the railways allocated trains for passenger movement in preference to goods movement. So we not having a grinding unit there, we were handicapped. But at the same time, while the handicap has not bothered us so much because the growth which came in Bihar, we see that the growth has been primarily on the non-trade sector. And in non-trade, Kali, how much has been the growth in December? We have seen 100% growth in Bihar?

Kalidas Pramanik: Bihar is almost 99%.

Sandip Ghose: Bihar, almost 99% growth we have seen as per our estimates has grown in non-trade. So we did not participate

in that. Whatever material we took there, we've sold it in trade. And so we are not unhappy about that. In UP area, there, we have not only maintained our realization, we have been able to improve our realization.

Despite the fact that many of our -- again, our peer group and competition focused heavily into non-trade. Some people, as we have seen and you know better, they have sold almost 50% of their volumes in non-trade. They have their own reasons. Some of them have got newer plants, and they had to do capacity utilization because of incentives, which they get from the state. But we stayed again because we believe in our brand, we believe in the long-term benefits of having our brands.

And therefore, we do not want to wear from the strategy and dilute our equity in the market. We hold on to that. And as a result, during this period, how we've been able to increase our

realization higher than others is because our premium prices, we held steady volumes -- percentage volume of premium went up. Our premium volume, which has gone up to, what, 60%, what is the number? 63%, it has gone up to.

Now if you see the gap between premium and our popular is one thing. But actually because due to this whole aberration in the market and huge pressure on non-trade, the general popular segment prices went down further. As a result, the delta of our premium brand vis-à-vis the popular brand generally in the market, which operate at point in time about INR30 generally that even in some places, it went up to INR40 premium.

As you all know, and this is published information or information in open domain, the trade and non-trade prices during this period sometimes has gone up to upwards of INR60 to our estimates, we have seen in the market even INR 80 difference. And that is where it required a lot of resolve, a lot of determination for us not to get swayed, stay with the strategy. And we think, therefore, that's paid us result.

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We had certain -- where we got affected in terms of our bottom line, apart from the exceptional item, which everybody has had to put for the Labor Code. We did have some continuing problems in some of our plants. A couple of them were more to do with industrial relations sort of problem and external factors. And in our own plant, we have had again, we had some breakdowns in one of our plants over there due to which in Madhya Pradesh, due to which some of our volume dispatches got constrained.

So that's taken -- we had to take a hit on that account. But in terms of, as I said, in sales strategy, marketing strategy, I am personally very vindicated at the end of incidentally, I finished 3 years of my stint as Managing Director. I too was supposed to retire on 31st December, but the management has extended. The Board has extended my tenure. So I'm still here.

Otherwise, I would not have been probably addressing this conference for you. So at the end of 3 years, the journey which we had embarked on at the beginning of 2023, I personally feel vindicated and I say this with some degree of modest satisfaction. Thank you very much. I will now pass it on to my colleagues to do a quick wrap up and then open up for questions. Anything you want to add?

We can open it for questions. And as I said, everybody is in a hurry. We have had our Board meeting since the morning. All of that, we are also tired, so we will not stretch the call too much.

Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from Shravan Shah from Dolat Capital.

Shravan Shah: Sir, I have a couple of questions, but I understand that you normally don't allow, but request you to allow me. First, a couple of data points, which will be helpful to everybody. Mukutban volume for this quarter, CC ratio, capex for 9 months, net debt, incentive for third quarter?

Sandip Ghose:

Yes, we'll respond to those.

Aditya Saraogi: Mukutban volume was 6.3 lakh tonnes was the volume. I don't have the exact CC ratio. It will be in the range of 0.6.

Management: 0.61.

Aditya Saraogi: 0.61.

Shravan Shah: Yes. At consol level, CC ratio would be 1.53.

Aditya Saraogi: 1.6 actually.

Shravan Shah: 1.6. Okay. Got it.

Aditya Saraogi: Approximately in that range.

Sandip Ghose: 1.58.

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Rajat Prusty : 1.58.

Shravan Shah: Okay. Got it.

Aditya Saraogi: Capex for 9 months was around INR300 crores.

Shravan Shah: Okay.

Aditya Saraogi: And what else?

Shravan Shah: Net debt, incentive?

Aditya Saraogi: Incentives in this quarter, we have booked about INR8 crores.

Sandip Ghose: Incentive as you realize is obviously lower because of the GST correction.

Aditya Saraogi: Yes, yes.

Shravan Shah: And net debt?

Aditya Saraogi: INR2,550 crores.

Shravan Shah: Right . And KKL cost?

Aditya Saraogi: 1.47.

Shravan Shah: Yes. Sir, now considering it's good to see that in terms of our both trade and premium volume growth, there is a decent growth of 8% and 15% plus. It is only the non-trade, which has actually impacted the overall year. So now given that what we understand is non-trade prices have kind of gone up, if you can also quantify what we hear is INR15, INR20- odd. So in that scenario, now we will still continue with our strategy?

And how do we now see in terms of the volume growth going forward for this quarter and maybe going forward, given the capacity that we will be adding Kundanganj maybe by end of this March, 1.4 million tonnes. And the rest will be coming in the FY '27 and '28 and '29. So just trying to understand how one can look at the volume growth going forward?

Sandip Ghose: Saket, first of all -- Shravan, first of all, yes, Shravan. Saket is always top of mind because he is always there in the questions. He sends questions before the conference, after the conference.

So sorry for...

Shravan Shah: I thought I will be in your mind?

Sandip Ghose: Of course, you are on my mind, top of mind because each one is in a different way. Now the point is, Shravan, we on non-trade, I will tell you, it might sound strange to you. We don't even look at non-trade prices. We don't look at non-trade prices because we -- ideally, we will not try to sell a single tonne. When we sell in non-trade, if we have to sell something, then we see whether it makes sense for us to sell it or not.

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So whether non-trade has gone up by INR10, INR15 is not of concern to us until we are unable to sell the trade volumes. So that is where our focus. That is where our sales team's focus is. And we kind of -- if they come -- somebody comes to me with a non-trade proposal, we consider it to be -- people hesitate because people will think that we think they are not able to sell trade. That's why they are coming to us with non-trade.

So our strategy is not going to change on trade, non-trade because it can only change if there are situation so dramatically happens that by which non-trade prices go higher than trade or realization in non-trade is higher than trade, which we don't see happening at least in a foreseeable period. Given our capacity constraints, given that we operate almost 100% or sometimes 100% plus capacity in some places, non-trade is not at all of concern to us.

Rest of it is, we are looking at overall growth of 4% to 5%, in line with what industry has done.

In this quarter, although there is a surge in demand, but it is not an upsurge or it is not like you have a very, very buoyant situation this quarter. We are looking at in this quarter with greater interest volume, we know will come.

Again, our situation is slightly different because we are already selling enough. Our focus is to see where the prices

are. We hope the prices will improve. And in that context, we sometimes look at the non-trade to see if non-trade is improving, we hope the trade prices will also go up.

So that's broadly the strategy, Shravan.

Shravan Shah: Yes. Lastly, sir, capex now for full year, last time we said INR 800-odd crores. So -- and possible for next year, how much one can look at? Because both our expansions, roughly INR 4,400 crores is the announced capex . So if you can have a broadly how...

Sandip Ghose: Shravan, you know us better. We don't -- we look at the present. That is what we think matters. We never talk about.

Aditya Saraogi: On a year-to-year basis, we give a guidance. So for the next year, we will give the guidance in the next call.

Shravan Shah: Okay. So in fourth quarter, how much capex , sir, more?

Sandip Ghose: We already said that you were not paying attention.

Aditya Saraogi: It will be less than the earlier guidance that we have given. Okay.

Moderator: Next question is from Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: General doubts I have, like your unit cost of production has gone down quite a bit compared to the last year. So some of your initiatives seem to have been working. There is just one doubt I have, though, is that our share of premium has gone up. Our share of trade has gone up, but our profitability is not reflecting that part because our cost reduction quarter-on-quarter is about INR200 from '24 to '25, but EBITDA has gone up by INR160. So what am I missing here?

Sandip Ghose: Essentially, the pricing issue is what you are missing because of Central region, etcetera, prices have been depressed. Only area where price was slightly decent was North. And that is about

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less than 1/3 of our volumes. And Maharashtra also prices were -- are not there. So that's the

only thing you are missing. So despite our increasing proportion of blended, etcetera, we couldn't -- we obviously couldn't make up for...

Aditya Saraogi: Loss in realization.

Sandip Ghose: Loss in realization. And we have said that in some cases, some part, we have also lost a little bit in volumes because of issues. So that is what has happened. But aren't you happy overall with our -- what realization and the premiumization and our focus on blended?

Pathanjali Srinivasan: Sir, your journey has definitely been very encouraging because you've grown more on trade and you've increased share of premium. But I'm just trying to see the -- if it comes through in numbers, then I'll be much happier. So that's my...

Sandip Ghose: Just coming through boss. I think the one error you people make is we still and we are not at all shy about that. We still have a popular component in our sale. We are premium as our definition is much, much higher than anybody else who is talking of premiumization now, certainly in the

-- our category. But we operate in popular segment and that we would continue to do.

We don't want to vacate that space. We have got heritage brands there, strong brands, legacy brands over there. And we -- as I was explaining earlier, we find in clinker realization in some places, we get very good clinker realization in our popular brands. So we don't want to vacate that. So we will continue to look at that.

And so therefore, in a combined way, the problem arises if you were to just simply see us as a premium company and compare us with others. But again, the people who are selling premium,

I don't want to take names who were earlier at a certain level, you will see from the results, you'll get an idea of how the -- even the B2C market has moved during this quarter.

Pathanjali Srinivasan: Sir this quarter, I'm quite happy with your earnings number, sir. Only thing is the volume, you mentioned that there was some bit of challenge in one of the plants. Is there any possibility? Can you

quantify how much impact in volume terms we would have had because of that? Like how much...

Sandip Ghose: We would not like to do that because it's a combination of a lot of things. As I told you, one plant, there was a little bit of technical problem. Another place, we had some sort of an IR problem. And another place, it was more of logistics -related issues, not logistics issues, but all that. So it's a combination, and this is part of the game. So I don't want to separately spell it out.

Moderator: The next question is from Harshal Mehta from AMSEC.

Harshal Mehta: Two quick questions from my end. Firstly, on pricing. So what you mentioned that competition is intense and price increase might be limited going ahead. So is this across all our operating regions? Or is it mainly to do with the central region?

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That was one. And when do we expect this competitive intensity to ease out? Also, if you can just help with how our spot cement prices versus the average of Q3 across all our regions in both trade and nontrade. So that was on pricing. And secondly, on market share.

So in this quarter, like you said, we have lost market share, and that is particularly on the non-trade side as prices remain weak. So what gives us the confidence that we'll again be able to regain our lost market share as prices recover? Yes.

Sandip Ghose: See, first of all, let me start with the market share. I don't see the relevance of market share in terms of non-trade. We are not in that space at all. We look at our market share in the trade segment and the B2C segment. And there, we don't think we have lost market share. In fact, we would have improved market share in certain places by a couple of basis points.

And that is what we focus on because our concerns are very different. Some people have set up newer capacity. They're operating at a very low CU. I'm operating at 100% CU, capacity

utilization level, somebody who is operating at 55%, 60%. They will sell non-trade because if they have set up also units where basis of incentive, they would like to sell more and get it.

As a result, that's why you have seen how non-trade prices shrank in the last quarter. So we are not in that game. And we are not even worried about -- as I said, I'll be very happy if my market

share in non-trade is 0 and I'm selling everything in trade. So it's not -- so that's not the game which we are in, and we are looking at purely on market share. So therefore, I was seeing some of the commentaries of other analysts who have written about market share loss, etcetera.

Sorry, we don't see market share in that view. We think the relevance of market share is essentially in the B2C. And I come from an FMCG background. Therefore, for me, that's what makes sense. You never look at industrial sales, etcetera, and think of market share there.

So that's the point. Spot prices, I don't think that will be indicative to say in any specific market.

We believe that our -- in terms of our -- what we call our premium category, we are not only at par, some places, we may be a couple of -- between INR2 to INR5 higher than the top brand in that category. By premium, our definition is, frankly, we say the A category player. The second player in the A category, our belief is their pricing position is diluted significantly in most key markets.

So there is one player with whom we kind of compare. And from them, we're either at par or, as I said, a couple of rupees higher in some markets, maybe even INR5 higher. When you come to the popular segment, that's the B category segment, we firmly believe from the general B category status, our prices are at least INR10 higher than the B category players in -- where we have our heritage brands or legacy brands I'm talking about. Heritage and legacy to be spell it out for you, is Samrat in Central zone. In the North zone, it is

Chetak.

These are our heritage brands. We sell some amount of those brands in the Maharashtra region, but that's where it is not a heritage brand. That's a popular brand, so I'm not considering there. In Maharashtra, our focus is purely on Perfect Plus. We are a small player in the East, that is West Bengal.

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And there, our unique plus has done extremely well. We sell in a very limited geography close to our -- we don't want to spread thin. We don't have those volumes. That has done well and gives us excellent clinker realization because it's a slag cement, and we are able to do that. To reveal a secret, I'll tell you, we -- initially, people had laughed at me when I had said in some of these conference calls that we may find it profitable if we have excess clinker in Mukutban to bring it all the way to Durgapur.

We are actually finding that is true even now, okay? So -- and that's partly because our clinker cost in Mukutban is very, very competitive, one of the best in the industry. So that's broadly the position, how I will answer your question. May not have satisfied you totally, but that's all I can reveal at the moment. Harshal Mehta: Just on the competitive intensity, if you can just help me like when do you expect that to ease out?

Sandip Ghose: Come again?

Aditya Saraogi: Competitive pressure...

Harshal Mehta: Competitive intensity, when do you expect that to ease out?

Sandip Ghose: Competitive intensity. See, competitive intensity for us, the only area of competitive intensity issue is in Central. But Central, again, the competitive intensity, there are two parts to it. We were concerned about how the competition is going to take us on in terms of the Trade segment. We are finding for whatever reason or the people whom we were expecting, they seem to be more concerned about their volumes and the volumes they are trying to get from non-trade. We thought they will probably try to get it by deep discounting in the Trade segment, but they seem to probably find it better to sell non-trade or they have not been able to penetrate the trade market or create their own distribution network so well, acceptance of the brand and their brands in those places in the trade network is probably not as good. So they're not getting similar amount of traction. So they find it much easier to sell in non-trade.

So that per se is not affecting us. Really the point of reckoning is I told you without naming them, some of the category brands, and we try to be over there and go on consolidating our share over there. In terms of competitive intensity, in the North, we are a very small player. We've got just 6% or 7% market share there.

So competitive intensity does not affect us in that way, except for the price levels in the market. Similarly in the East. In the Maharashtra, there, again, overall, if you see competitive intensity doesn't affect us that much, except in our core market of Vidarbha and Khandesh, that area. Their competitive intensity and there has been some changes which have happened over there in recent times due to some consolidation factors, brands have changed hands.

Even existing brands have tried to do some kind of rationalization. They're trying to do brand rationalization, etcetera. So those have changed the dynamics in those markets, but that has actually worked to our advantage.

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Moderator: Next question is from Prateek Kumar from Jefferies.

Prateek Kumar: I have a question on your next round of expansion, what are the time lines you're looking at for the next round of clinker expansion in your central region?

Sandip Ghose: Essentially, we are looking at, first of all, we have already said the Kundangunj Line-III will come on stream in this quarter itself. And then we are looking at Maihar's Line 2, essentially, then

at will be FY '28 is when we are looking at it. And in parallel with that, we will come up our grinding, first 2 grinding units.

Aditya Saraogi: Gaya and Prayagraj, so that will take our total capacity to 24.2 million tonnes by FY '28. And by FY '29, we plan to take this capacity up to 27.6 million tonnes.

Prateek Kumar: Okay. Sorry, is the '28 to '29 bridge of 3 million tonnes?

Aditya Saraogi: Sorry.

Prateek Kumar: What is the bridge from 24.2 million tonnes to 27.6 million tonnes? What are the additions there?

Aditya Saraogi: So here, we'll be doubling the capacity at the clinker capacity at Maihar. And together with that, we'll put up a split grinding unit in Gaya and Prayagraj in Uttar Pradesh. In Phase 2, we will have a further expansion of 1.4 million tonnes. In Phase 1, we'll put 1.4 million tonnes. And again in Phase 2 also, we'll put another 1.4 million tonnes in Gaya in Bihar.

And together with that in northern part, the west part of Western UP, maybe earlier or somewhere close by, we intend to put 2 million tonne grinding unit. This is broadly the state of 24.2 million tonnes and 27.6 million tonnes.

Sandip Ghose: That's the visibility we have, and then we will see, as you know that.

Aditya Saraogi: There might be some tweaking in terms of the location of grinding units, but this is broadly...

Sandip Ghose: Broadly the thing. And we are trying to consolidate our limestone holding. So what you will have seen in terms of our mines acquisition, etcetera. So that's where our focus lies.

Prateek Kumar: Sir, just clarity on clinker. So clinker and expansion of these all grinding units is in FY '29, not FY '28. That's what you said?

Aditya Saraogi: By '28, the increase in capacity will be 4.2 million tonnes. And by FY '29, we'll have another 3.4 million tonnes. So at the end of FY '28, the capacity will be increased from 20 million tonnes to 24.2 million tonnes. And by FY '29, it will be increased from 24.2 million tonnes to 27.6 million tonnes.

Prateek Kumar: Sure. One other question is on recently some mine in Rajasthan got canceled or delayed. Can you elaborate on that? That was my last question.

Sandip Ghose: We are examining that. That has happened, but we are examining the decision, and we don't want to comment on it just now.

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Aditya Saraogi: We are looking at various options, including the legal options.

Sandip Ghose: Yes. If we have to pursue a legal option, we will see because we don't see clearly any justification for because this was not that we are the only bidders who got it. There's multiple bidders who after bidding, they escort. Because we got that, we did not bid for some of the other mines, which had come out up in the neighbourhood.

So we don't think it has been a very equitable decision. We are examining options, as Mr. Saraogi said. And we'll have -- you'll probably have an answer in that in the coming few weeks.

Prateek Kumar: And this mine was towards expansion at the Rajasthan plant or just extension of life of the business.

Aditya Saraogi: Expansion.

Sandip Ghose: New plant, Jaisalmer.

Aditya Saraogi: New plant in Jaisalmer.

Moderator: The next question is from Raghav Maheshwari from Equirus Securities.

Raghav Maheshwari: Just one thing, what is the time line we are looking for Kundanganj Line 2 commissioning? Earlier, I think you guided for this quarter end.

Sandip Ghose: Yes, we said that, Raghav.

Aditya Saraogi: Within this quarter...

Sandip Ghose: Within this quarter, Kundanganj Line -III. We said that earlier, you probably missed it that we'll be doing it this quarter.

Raghav Maheshwari: And sir, just one thing on realization side, what's my reading? Firstly, on the congratulations on great set of a trade percentage and the premium product side. But sir, just wanted to understand one thing, despite being the highest trade channel

and highest one of a premium product mix into the category of overall sale, our EBITDA per tonne is still lower in the terms of a B category

size of player. Is it despite our base price -- base product price is a very low realization or our premium product is realigned with the base price or base product price of some...?

Sandip Ghose: We don't align our premium product price with the base product. We try and peg it with the market, okay? In fact, that is our clear thing. There is no one -- our sales team, nobody

speaks of our base product plus X or premium minus X, etcetera. So that is not there. It's a function of a couple of things. You see we have got a -- you will realize our cost, we've got certain disparities.

We've got legacy plants, we've got new plants. New plants, the costs are very competitive.

Legacy plants, the costs are much higher. So the average cost changes and some of the legacy -

- the new plants may not be as proximate to the market. To be very clear, say Satna is much closer to UP. Maihar, though the costs are much better, Maihar is further down.

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So it takes -- there is an additional component we have to -- so those -- there are the cost elements which come in. And then when you look at it overall, it's a weighted average. So in the weighted average situation, it's a known fact. Again, other competitors have also commented Central region price has been the most challenged or tight as opposed to what North has been. So our presence in North is less.

Even whatever presence we have, our Northern plant, all of you know that because of certain reason, our costs are high, so we would not be making that kind of margin with some others will be making newer plants. And so some of them in terms of their thing when you are talking of I don't know who you meant in terms of B category players.

Some of the players who have -- I would think you are talking about they have got very new plants located in places. So their cost of production would be lower. They have also have advantage of incentive, which we don't have today. So they are even selling OPC at an incentive, okay? And getting incentive on OPC.

So that's the reason why INR60, INR80 price difference came up because they could undercut prices because they had an incentive package in those states. So those are all kind of factors, but we know we have limitations in our EBITDA, and we are working consciously to that on multiple fronts to see how do we take our EBITDA to the level which we had earlier indicated the guidance which we had given.

But due to circumstances beyond our control, there has been a slide even from you'll see last quarter of previous fiscal to now. And for reasons all of us know, that's how the market and everything has moved. But we are working, therefore, on every front. We know we have a limitation in size, limitation in capacity. So we'll have to squeeze the lemon from all directions, which we are doing. Thank you.

Moderator: The next question is from Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, in the earlier press releases also, we had mentioned about our foray into the RMC business and its contribution to rise going ahead. So what's correctly the thought process? And sir, you have mentioned about pricing for the Central market and the Northern market, how have prices behaved in the Eastern market? Because I think some capacity additions have happened there also.

Sandip Ghose: You are sitting in Calcutta, Saket, you should -- we are a very small player here. You should tell me about the pricing in Eastern market and what is happening. You have a better sense of the market. We are a very small player. We have a very good clinker realization here because we have a good brand, small brand, but a good brand, and we sell in a limited geography.

Aditya Saraogi: We mostly sell P SC, slag cement.

Sandip Ghose: Slag cement, mostly slag cement and that too in the proximity of our plant. So that is fine. We really -- we don't even think of the big players because they are far too big for us in this region, whether you talk of Dalmia, UltraTech, Adani, we are just a drop in the ocean for them. So we float as the market goes and try to maximize our realization. So that's as far as East is concerned.

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I don't know what more to add in terms of Central and North. That's we have already covered.

And on RMC, as we have said, we are making -- it's still not a big ticket item for us. We are making steady progress. We are -- I think today, we have -- we are focusing on the areas we are trying to clearly see brand synergies and our market presence.

So far, we are progressing only in U P. I think we are on the fifth plant, if I'm not mistaken, in RMC. No, 3 have happened, Varanasi and Gorakhpur is going to happen now. Varanasi, I think, is almost done. So it's a small thing. We are just testing the waters because we know a lot of big people have burned their fingers burned.

And we don't have -- some people have the strategy because again, they have additional volume, they want to utilize their cement through RMC. We don't have any such thing. In fact, in some times my RMC business head finds it cheaper to buy other people's cement and talk to Mr. Pramanik. Mr. Pramanik is very tight-fisted.

So very often, he is able to get OPC. And we don't make OPC or if we help it, we don't want to make OPC. They get OPC from outside. So our -- it's still early days. We are figuring out our strategy, and we would like to move cautiously there in the market.

Saket Kapoor: Okay. And sir, with Kundangunj line being commercialized for Q4, last year, Q4, we did volume of 5.25 and taking into account how the -- what the strength you have spoken about the uptake in the volume for January also, does the 5.25 number looks good, the base looks good for us to report growth on this number?

Sandip Ghose: We have talked of 3% to 4% growth. We will do that.

Saket Kapoor: Sir, for 9 months, we have already done that. So I was just looking at Q4.

Sandip Ghose: This quarter also, we are not really setting up too much of Kundangunj capacity will come by juggling around where we are grinding, etcetera. So that is what we'll do. We have model and we are giving up, as you saw, we are not running after volumes in non-trade, etcetera. What will

happen? Instead of 4% -5%, if it is 5.5%, what difference does it make? Why split hair on that?

Saket Kapoor: And lastly, sir, on the jute part...

Sandip Ghose: You can't add question. You can't go on adding questions, Saket.

Saket Kapoor: Okay, sir, if you allow, then last question on jute and I will then...

Sandip Ghose: Whatever we wanted to say, we already said it, that also you are sitting in Calcutta. You know the jute market...

Aditya Saraogi: Maybe it is a small portion ?

Sandip Ghose: Very tiny portion of our – INR2.5 crores impact on the bottom line. Why do you want to take other people's time on that?

Moderator: Next question is from Shravan Shah from Dolat Capital.

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Shravan Shah: Sir...

Sandip Ghose: Shravan, you just cannot have a second innings. You asked the maximum number of questions and we are most forthright to give you all the answers.

Shravan Shah : Yes. Sir, it was kind of a data point, which is, I think, relevant for everybody. So they are just only the data points. So actually after the call we normally don't get a chance to any data points.

So basic, just historically, maybe FY '24, '25 or maybe 9 months KKL per kg and power units, which normally is 65, 66, whatever.

So what is the number for us and KKL per kg, which is 720, 730, whatever, so broader and the power cost. So why I'm asking is just t

rying to understand that green share, once it incr eases

further, how one can see that the power cost can come down?

Sandip Ghose: We will tell all that later...

Aditya Saraogi: We don't give such granular details -- no one does...

Sandip Ghose: Such a granular thing. Okay. We'll keep it. Thank you, Shrava n.

Moderator: Next question is from Rajesh Kumar Ravi from HDFC Securities.

Sandip Ghose: I don't see his name in the queue. Rajesh, your name is not in the queue. How are you coming in from backdoor entry?

Rajesh Kumar Ravi: Sir, just wanted to know on this capex spread, which you talked about this Maihar clinker and the other grinding unit. So tentatively, obviously, we'll be taking the capex FY '27 onwards. So what is the total project cost and how much we have already incurred, if any, of these projects ?

And any broad ballpark number, how would that be split between 2 to 3 years?

Aditya Saraogi: See, overall project cost is around INR4,750 crores, including GST. Net of GST, it is about INR4,200 crores.

Rajesh Kumar Ravi: Okay.

Aditya Saraogi: And we can't give you year wise split at this juncture. Maybe in the next conference call, we can give you an indication of how much capex we are going to incur in the next financial year and remaining of course, you can derive from there.

Rajesh Kumar Ravi: Sure, su re. And this fuel cost this quarter has gone up, right, Q3 versus Q2 marginally.

Aditya Saraogi: It has come down. I think it was around INR1.5, it has come down to INR1.47.

Rajesh Kumar Ravi: INR1.47. Okay. And what is the trend you're looking at in Q4? A nd what is your fuel mix broadly?

Aditya Saraogi: It may increase marginally. So at this juncture, we are looking at INR1.5 per 1,000 kilo in Q4.

Rajesh Kumar Ravi: Okay. And fuel mix, sir, between pet coke linkage and imported coal?

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Aditya Saraogi: About 30% is pet coke and imported coal and 70% is domestic /indigenous .

Sandip Ghose: Thank you very much. So we'll close it now.

Moderator: Yes, sir, that was the last question. Would you like to give any closing comments?

Sandip Ghose: No, nothing. Thank you v ery much for joining us on a Saturday afternoon. Let's all hope for a very good budget tomorrow. And we hope the international markets also are -- there is less volatility for various reasons, which will help us all to plan our year better. Thank you once again, and once more, all the best for 2026. Bye.

Moderator: Thank you very much. On behalf of HDFC Securities, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2026

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14th May, 2026

BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai - 400 001
Scrip Code: 500335 National Stock Exchange of India Ltd.
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Symbol: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst conference call on the Audited
Standalone and Consolidated Financial Results of the Company for the
quarter and year ended 31st March , 2026

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities
and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations,
2015, please find attached the transcript of the investors/analyst conference call held on 11th
May, 2026 at 12.00 noon (IST) on the Audited Standalone and Consolidated Financial Results
of the Company for the quarter and year ended 31st March , 2026. The event concluded at
12.49 p.m. (IST) on 11th May, 2026.

A copy of the same is also available on the Company's website at
<https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above
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"Birla Corporation Limited
Q4 and FY '26 Earnings Conference Call "
May 11, 2026

MANAGEMENT : MR. SANDIP GHOSH –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA CORPORATION
LIMITED
MR. ADITYA SARAOGI – GROUP CHIEF FINANCIAL
OFFICER – BIRLA CORPORATION LIMITED
MR. RAJAT KUMAR PRUSTY – CHIEF OF
MANUFACTURING & PROJECTS – BIRLA
CORPORATION LIMITED
MR. KALIDAS PRAMANIK – CHIEF MARKETING
OFFICER – BIRLA CORPORATION LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Birla Corporation Limited Q4 and FY '26 Earnings Conference Call hosted by HDFC Securities Limited. As a reminder, all participant lines will be on listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Rajesh Kumar Ravi from HDFC Securities. Thank you, and over to you.

Rajesh Kumar Ravi: Thank you, Yashashree. Good day, everyone. On behalf of HDFC Securities, I welcome you all to Birla Corporation's Q4 and FY '26 Earnings Call. The Birla Corp management will be represented by Mr. Sandip Ghose, MD and CEO; and Mr. Aditya Saraogi, Group CFO. I now hand over the call to the management for their opening remarks, which will be followed by Q&A. Over to you, Sandip, sir.

Sandip Ghose: Very good morning or good afternoon to all of you. Thank you for joining in such large numbers on a Monday morning. We know Mondays are busy days and lots of activities have happened around the country, lots of announcements. So we don't want to take too much of your time in today's call. Most of our statements have been contained in the press release, which you have seen and which I find has been also captured by many of the analysts.

So we will dive straight into some of the operating parameters and then I'll get into your questions. So this is Sandip Ghose, Managing Director, Birla Corporation. With me, I have Mr. Aditya Saraogi, our Group CFO. And on the operations side, I have Mr. Rajat Prusty, who is our CMOP, the Chief of Manufacturing and Projects; and Mr. Kalidas Pramanik, who is our CMO, Chief Marketing Officer. He is present here.

In short, as you would have seen, we had during the year a few challenges and marginal setbacks, especially with regard to the operations of a couple of our plants. But we were, I think, able to overcome them.

And also sticking to our strategy, we were able to make the most of the tailwinds which one observed during the last quarter and making the most advantage of it in the marketplace as well as in our operations side and been able to deliver a healthy set of numbers, we believe, or which we are -- we find satisfactory for ending the year on a reasonably good note.

As we look forward, I know we are all starting at many uncertainties and variables. So any kind of projection has to be tempered with caution for the unknowns, which would be applicable to all, not just all companies in the industry, but the country as a whole and maybe the entire global economy, especially some of our neighboring countries.

So we are sort of taking it as it comes and will not be making -- as it is, we don't make much of forward-looking statements. But even going forward, I think we will be cautious in our guidance for the months ahead.

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We are in a very, very dynamic and volatile situation, as you would know, from the day we declared our results on Saturday till today, we have had announcements from the Prime Minister, no less than the Prime Minister himself in terms of some of the clouds looming on the horizon. So we have to look at each day separately and go forward. But I think 2 things are there. We are -- as far as we are concerned, we are on a solid footing in whatever we have done and what we have demonstrated, hopefully to the market and to all of you who observe the company, follow the company closely that we are not the ones who do knee-jerk reactions or wear from strategy.

We set our course in a particular way 3 years or more than 3 years ago post -COVID. And we have, b

y and large, been able to stick to that, adhere to that. And without getting distracted by temporary ups and downs or some regional imbalances and disturbances.

So with that, I hand over to Mr. Aditya Saraogi to give you a broad overview of the numbers. He is just -- he is fresh from the CNBC interview, wherein also he has given, I think, an overview, which many of you have heard, and I found some of you have also reported on that. So we will get straight into it and conclude the meeting as soon as we can. So we would also request you to be focused on your questions and what is relevant because we may not be able to unnecessarily speculate much on the future. So those futuristic questions, some of that which sometimes comes up in the natural course, ask only what you think is immediately relevant in the interest of time. Thank you very much.

Aditya Saraogi: Good afternoon, ladies and gentlemen. In terms of our performance for this financial year, we have done a growth of about 4% in volume. Our EBITDA for the year was close to about INR 800 and for the quarter ended March was close to INR 1,000. Apart from the quantitative factors, there are certain qualitative factors where we have taken conscious effort and we are seeing positive result. For instance in the blended cement we have moved from 82% in last financial year to 88% in the current financial year.

The trade segment from 70% in the last financial year we have moved to 77% in this financial year. Our lead distance has come down from 360 kilometers to 337 kilometers in this financial year. And our Mukundan volume has improved from 24.6 lakhs tons to 27.7 lakhs tons in this financial year.

With that I open the forum for Q&A and will be glad to answer specific questions that you have.

Moderator: Thank you very much. We will now begin the question and answer session. We will take our first question from the line of Sucrit D. Patil from Eyesight Fintrade.

Sucrit D. Patil: I have two questions. The first question to Mr. Ghose is, looking ahead, how do you see Birla Corporation shaping its growth in the cement and building materials over the next coming quarters? And particularly in terms of capacity expansion, sustainability initiatives and brand placement in the premium space? That's my first question. I'll ask the second question after.

Sandip Ghose: It will be useful. It's helpful if you would have asked your second question as well, but I'll answer your first question. As you know that our capacity, we do not have any major capacity expansion

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plans unlike many others who have announced in the past. I do notice that some people had announced capacity expansion are on a rollback or have announced some rollback or slowdown in their capacity. We have not done any aggressive capacity expansion announcements in the past.

So we will proceed according to that. There are no major changes from whatever is already there.

We know our Maihar Line -II is work in progress, along with that will come the new grinding units, which are linked to that, which will -- our Eastern UP around Prayagraj, some of those.

But beyond that, we are not really looking at acquisitions, expansions. With the Maihar Line -II coming by financial year '29, we would go up to 27.5 million tons is what we are looking at.

What you would see in terms of our strategy so far, you see our total numbers this year, we have reported the highest ever number with our existing capacity.

So what is happening is our strategy of moving progressively towards almost 100% capacity of blended cement, we are making steady progress despite the change in the market composition because in our markets, core markets where we are, the way markets are expanding and with the investment in brands that we have done over a period of time, we are finding there is greater acceptance of our blended an

d value-added cement.

So you'll find, therefore, the composition of our premium volume in those -- in our total kitty is systematically increasing not just across units, but across regions. Also how our Mukutban volumes are progressing. There, again, in our core markets, we are able to acquire greater market share and that too through our blended.

So this kind of efforts will continue. We have installed our third line in Kundanganj, that will give us again some play in our core and profitable UP market. And all of that will again come from blended cement. Unlike some people who have set up new units, grinding units in Uttar Pradesh, we are aware of, but they are grinding OPC over there. That's not our idea.

We want to do it a value-added blended cement and that to our premium brands. So that is basically how things will move. We are not talking of any big bang expansion just now. There are some, as you know, some mines acquisitions, et cetera are happening. Those are much more futuristic, and we'll talk about that in the days to come or years to come.

Sucrit D. Patil: My second question to Mr. Aditya is from a forward-looking point of view, I want to understand

your plan of action on how you see capital allocation evolving to balance growth investments, reduction in debt and shareholder returns? And what structural cost levers are being built today to ensure margins stay strong in the coming quarters?

Aditya Saraogi: See, in terms of capital allocation, we have got about INR4,000 crores, INR4,500 crores capex plan undergoing at this juncture. So where we are taking our capacity one part we just concluded in the last financial year, will range from 20 to 21.5. Now in the next few years, we are going to take it up to 27.5. So most of our capex is -- most of our internal accruals going to be allocated towards that capex program. So you will not see any debt reduction major debt reduction.

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In fact, the debt is going to go up. In absolute terms though in terms of debt to EBITDA it will not exceed 2.5 is what our outlook is. And as far as cost reduction is concerned, one major lever is that we have just started production or mining in our Bikram coal block. The full-fledged production is going to come from next financial year. So that is going to be one major lever in cost reduction.

Sucrit D. Patil: Thank you and best wishes.

Moderator: Thank you. Next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Hi, sir. Thank you and congratulations on better operating performance this quarter. Sir, before asking question, just to clarify or maybe reconfirm whatever the Saraogi sir has said on the CNBC kind of 20 million volume in FY 27, which is close to kind of a 7% growth, INR800 EBITDA per ton, INR900 capex for FY27 and some INR 50-odd price hike, which is there in April and INR 150 to INR175 cost per ton increase from Q1 onwards. So just wanted to reconfirm that this is what that we are looking at?

Aditya Saraogi: Just one small mention, I said close to close to 20 million tons, I did not give a specific number. I said mid-single digit in terms of volume.

Shravan Shah: Okay. So in that scenario, so first on the volume front, if I exclude the Mukutban, the entire other capacity even for entire full year of FY 26 is one can say close to kind of a 99% utilization is there. So whatever the growth in the volume in FY 27 likely to come is primarily on the 1.4 million ton Kundanganj that we have started/

Aditya Saraogi: That's very right. Some headroom in Mukutban also.

Shravan Shah: Okay. Got it. And now on a couple of data points. So particularly on the kcal front for Q4, what was the kcal and in terms of fuel mix also? So you have said that Bikram coal, the full-fledged production will come in the FY 28. So this year, how one can look at and how much

kind of a

saving this year and maybe the next year once it will reach the full fledge. So what's the cost difference, how one can look at that part?

Aditya Saraogi: Coming to Bikram this year, the annual capacity is about 3.6 lakh tons. And this year, we expect to be about 1.2 lakh tons or thereabout. And next year, we expect to achieve full capacity. And to give you a sense on the cost, out landed cost for Bikram is going to be in the region of 1 to 1.05. And the current prices of domestic coal maybe around 1.45. So that will give you a sense of the cost arbitrage that we will get from Bikram coal block. What was your other question?

Shravan Shah: What was the kcal cost?

Aditya Saraogi: Kcal cost in Q4, it was 1.53.

Shravan Shah: Okay, 1.53. And mostly in Q1, primarily the packing cost, which will be INR 1,800 and here also?

Aditya Saraogi: Both packing bag and fuel.

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Shravan Shah: Fuel, okay.

Aditya Saraogi: And gradually the diesel cost will go towards increasing the logistics cost a bit.

Shravan Shah: Okay. Got it. And just a clarity in terms of the capacity, so 1.4 million tons each for Prayagraj and Gaya Phase 1, this we will be starting by FY 28 and/ or it would be maybe Q3, Q4 FY 28?

Aditya Saraogi: Q3, Q4.

Shravan Shah: Okay, Q3, Q4 that we will be starting. And in terms of the, sir, you said that now we are looking at 100% kind of a blended cement, which will be the premium share, which will keep on increasing. So this current 63% premium share, how one can look at to inch up and the blended cement also 87% when one can look at kind of 100% kind of a number and how this will help us in terms of the extra EBITDA?

Sandip Ghose: See, it's difficult to predict exactly how. But what you see in our trajectory, quarter-to-quarter, year-on-year, if you see we have been moving in that direction. And this is despite the market composition changing. There is as you know, in many -- most markets, we have seen the growth in non-trade segment increasing. And consequently, there is an OPC segment, which has gone up, but we have not been

lured by that.

We have stuck to our position of pushing our blended cement and the premium cement up and that is a strategy which we will follow consistently. So we are not wearing from that and that's the point to be noted from your thing that you'll find that we are doing that in a very consistent manner.

But it's difficult to say when we will reach 100 or whether -- what is the level we are today, whether that level will remain or there may be a slight slippage or reversal on a quarter -to-quarter basis or something. It can be -- those are subject to market variations. But we are extremely clear on that strategy.

What is further thing we are going to do on the brands, etcetera, that only we can't talk about now. But we were the ones who -- among the -- I don't like to use the term, the B category players, we were the first to move heavily towards premiumization. And we are -- we have gone in there aggressively over the years. created a new flagship brand, Perfect Plus, which has now got practically a footprint in all of Northern India to Central India. It has gained traction and all of it.

So that strategy has worked. So we will -- also we hope to lead innovations in that category because others have also moved in that direction subsequently who were the B segment. We have seen some amount of dilution in the equity of the A category players without naming them in terms of their price positioning, which has put us at par with many of them or even higher than many of them in our core markets. So that's the direction we are moving. We have the advantage of being a smaller player with high capacity utilization.

So we are not really under pressure to ramp up. As I said, some people who have added capacity are having to even grind OPC, which is a very

unusual thing in the grinding units rather than

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taking the OPC from their mother unit plants, which are fairly close by. We are not doing any of that, even if there are incentives available somewhere. So we will stick to that, but you can't really predict exactly when we will reach 100% or whether that 100% will remain constant or there may be a slight reversal on a quarter -to-quarter basis.

Shravan Shah : Sir, lastly the incentive in revenue in Q4 is just INR1 -odd crores? And if that is the case, how one can look at FY '27 incentive on a full year basis?

Aditya Saraogi: See in Q4, we have booked INR140 crores out of which about INR90 crores was relating to earlier year and INR50 crores relating to the current year. In the current year, we have a average quarterly run-rate of about INR24 crores. So you can say to the extent of INR24 -odd crores, the incentive which we booked in this quarter was relating to the earlier quarter. And so far as the next year is concerned, with Kundanganj coming on stream, we expect the incentives to go up to around INR130 crores.

Moderator: Next question is from the line of Siddhant Dand from Goodwill.

Siddhant Dand: I wanted to understand why the working capital got very tight, which the cash flows from operations. Any particular reason why?

Aditya Saraogi: Yes. We consciously started building up stocks because of the geopolitical situation. We were anticipating some tightness in so far as the price of the coal is concerned, for coal and the fuel is concerned. So instead of the normal strategy of driving down the inventory, we consciously built up inventory at the year end.

Siddhant Dand: Understood. What is the current debt at the end of the year of the invest, I couldn't get the net debt number.

Aditya Saraogi: About INR2,100 crores.

Siddhant Dand: INR2,100 crores was the net debt number, okay, great. And what do we expect the peak debt, just a range for the -- in this cycle?

Aditya Saraogi: In this cycle, our expectation is that the peak net debt should be in the range of INR 4,000 crores.

Siddhant Dand: Peak net debt in the range of INR 4,000 crores. Understood. And what are the interest costs assuming the current rates for -- that you are expecting for FY '27?

Aditya Saraogi: It's difficult to give an estimate on that because most of our term loans are linked to external benchmarks.

Siddhant Dand: EBLR, okay.

Aditya Saraogi: So that is slightly difficult.

Siddhant Dand: Okay, just one final question for Sandip sir, that we keep...

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Moderator: I'm sorry, you're sounding muffled, Siddhant. We can't hear you. Siddhant?

Siddhant Dand: Around that business. Hello?

Moderator: Siddhant, please repeat your question. We were unable to hear you.

Siddhant Dand: Just for the jute business, have you considered getting in a strategic investor or turnaround because it's been taking quite a bit of time?

Sandip Ghose: No, we don't have a problem in investing. Jute business turnaround last year, it was a very exceptional year when jute prices had reached abnormal highs, historical highs it has reached last year, and kind of levels which nobody has seen. It is due to multiplicity of factors, including the stoppage of imports from Bangladesh and a variety of factors. And that has thrown many people out of gear.

There are many jute plants which have actually shut down and jute plants which have shut down or people have reduced their man-days, the weekly workings to 4 days, 3 days in a week, all that has happened. So this has been a very abnormal thing, jute. We don't need a strategic investor.

We know the business. We have been in the business the longest among any of the current players, the management, as you know, is the oldest Indian jute mill.

We know what has to be done, but it

is a matter of time and the opportunity. We expect now, though it's forward-looking that with the change of government in West Bengal, jute will receive a different kind of attention, and there will be greater coordination between the center and the state government because so far, jute, as you know, is a central textile ministry subject. There has been a lot of interest, especially the current Textile Minister Giriraj Singh.

But the center and the state have not always worked in sync. So jute -- to give an example, whereas jute is -- textile is a PLI industry, and there has been a lot of PLI activity has happened in textile for other materials in jute, nothing has happened. I have personally met earlier the Textile Minister, Mr. Singh, who has visited. They have been urging the industry to look at innovations, industry to look at new products rather than rely only on government orders, etcetera, none of that was really happening.

There are a lot of structural systemic issues. So hopefully, if the government, there is greater attention over there, we have a new head of the NITI Aayog, who, apart from being an economist, he came -- he was last time elected from the jute belt. He has gone. So I am personally optimistic in a lot of positive policy changes, which will show improvement in the jute industry per se, something which has not happened for many, many years.

Moderator: Next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Sir, firstly, our foray into the RMC and the construction chemical business, Sandip sir, you can outline to us what are we eyeing and exactly in this space where we intend to make our mark?

Sandip Ghose: First of all, on RMC, our strategy of RMC is very different from others in the sense that many other people who are investing in RMC, including the largest players, they look at RMC as a Birla Corporation Limited

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channel for their own cement because their own capacity utilization of cement is much lower.

So while they're also trying to certainly move up the value chain, but one of their main drivers is they can use their own cement.

Whereas for us, the RMC is a matter of certainly climbing up the value chain, but it's more importantly a question of brand extension. It's a question of leveraging. We, as a company, I have said this in the past, when we look at assets, we don't look at assets as just manufacturing assets.

We look at our marketing assets, though you don't assign a value to them on the balance sheet, we are very conscious of our marketing and sales and distribution assets. And we think that just like one sweats the manufacturing assets, there is a scope to sweat the marketing and go-to-market assets. And that is what we intend doing with RMC. So, our RMC progression so far has been slow but steady. We have now -- very soon, we'll have our fifth plant in Uttar Pradesh.

And that's because Uttar Pradesh is a core market for us where we have a strong brand equity for Perfect Plus. So, our RMC is being marketed. And under the perfect Plus brand name, we are doing so, but we don't want to really go overboard on RMC, we know how many companies have burned their fingers. There are a lot of issues in the RMC segment, particularly relating to outstanding's. Your recovery and commercial aspects.

So, we don't want to do something aggressive -- overaggressive, which is going to hurt our main business. So far, I think we are developing a reasonably good footprint in UP market, which is giving us a lot of learnings. You will probably get to see our progressing now extending the same format to other regions where we have a strong brand equity. On chemicals, extension chemicals is there were two parts to it. When we launched it, there was a part of wall putty and there was a construction chemical.

Wall putty is a market which we have seen is highly price-driven and a lot of

new entrants have come in not only from the cement side, but also from the paint side. So, it is a very, very commoditized market. We don't see too much of value. So, we are not going aggressive on wall putty at the moment. But we are seeing a lot of traction in the chemicals side.

And there, again, we are having a brand synergy with our premium brand, Perfect Plus. And we are changing our supply chain model there over learning, and you will see us trying to scale it

up in the coming year. Because of in between COVID, everything else, it was put on the back burner for a while, and we were focusing on other areas, but you'll find now much more focused attention on chemicals. But chemicals is never going to be a huge number.

It is going to give you again a brand extension thing and which will probably give us sort of a multiplier effect on our existing brands. We are not really looking at it in a huge number, but it is going to certainly, we believe, add value to our overall brand assets and positioning.

Saket Kapoor: And sir, in terms of capex, any number, any significant number we will be eyeing in this segment?

Sandip Ghose: These are all capex -light projects.

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Saket Kapoor: Okay. My second question...

Moderator: I request you to join back the queue, please, as we have participants waiting.

Saket Kapoor: My second question, second question only was, I was asking.

Moderator: Okay, please go ahead.

Saket Kapoor: Saraogi sir, as you have alluded in the interview also about the power and fuel cost, so with the rising crude and the pet coke prices, how are these going to affect our fuel prices? And what steps are we taking to improve our mix in terms of further investment in the WHRS? And also, please provide us the current maturity number of debt for the current year and what number they are going to close for FY '26-'27?

Aditya Saraogi: See, in terms of the total cost impact, I have given an estimate of INR150 to INR175 per ton.

That is mainly on two forms, one is the packaging cost and the other is the fuel cost, okay? And within the fuel, our current mix of imported fuel is around 30%. But let me share with you it's

not, only the imported fuel cost which is going up. Even the domestic fuel, although the cost is relatively less, but even the cost of domestic fuel is going up because many cement players are now switching from imported fuel to domestic fuel and also the summer, strong summer season, there is a strong demand for domestic fuel.

Even the cost of domestic fuel is going up. And so far as waste heat recovery is concerned, we are trying to increase the, optimize the capacity of existing waste heat recovery wherever possible. And in case of our new plant, we will have a optimized level of waste heat recovery in the Maihar lines. So the...

Saket Kapoor: Didn't get the last point, sir. Didn't get your last point.

Rajat Prusty: No, there are two things. Rajat here. Yes, waste heat recovery as said by Adityaji, yes, we are working on that to improve our efficiency in the waste heat recovery, including the new setup which is going to come for the Maihar Line -II. That will be there. And apart from that, the solar and hybrid also, we are continuously working on that. And as of now, we can see that there is another plan of around 25 to 30 megawatt, which is going to improve in next 1 to 2 years of time.

Moderator: We'll take our next question from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: Good set of numbers. I just have a couple of questions. So firstly, with respect to our operating cash flows, so we have generated more EBITDA than last year. However, our operating cash flow has kind of declined very sharply versus the previous year. Could you help me understand this bridge sir, versus the previous year, why this was such a sharp decline?

Aditya Saraogi: Some of the incentive that we accrued particularly from Maharashtra, that we have not realized. So hopefully, by next year, we'll start realizing that incentive. So that is one. Secondly, as explained, the working capital has gone up because of the conscious effort to increase the fuel inventory. That is the second reason for lower cash flow...

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Pathanjali Srinivasan: Sir, what would the receivable amounts be, sir, pertaining to incentives for us?

Aditya Saraogi: Receivable is about INR 500 crores.

Pathanjali Srinivasan: Got it, sir. And we expect this to be coming in the current year, is it?

Aditya Saraogi: Yes, we should start seeing, realizing from the current financial year.

Pathanjali Srinivasan: Got it, sir. And just one last question, sir. What is the capex guidance for '27 and '28? And how much capacity commissioning for the next 2 years?

Aditya Saraogi: We are not giving any guidance for the next financial year. For FY '27 it is INR 900 crores. And our capacity addition by FY '29 will be 6 million tons, from 21.5 to 27.5.

Pathanjali Srinivasan: Got it, sir. Any time line when the first -- next set of capacity is coming in?

Aditya Saraogi: All in FY '29, some at the beginning of the year and some toward the end of the year.

Moderator: Next question is from the line of Girija Ray from Nirmal Bang.

Girija Ray: Many congratulations for a good set of numbers. I appreciate the consistency level of the company. And the fourth quarter is kind of surprise to the street, I can say. So, I have a couple of questions. So just wanted to check Brahampuri and Marki Barka coal block, when we can expect to be operated or something like that, if you can throw some light? This is my first

question.

Aditya Saraogi: So far as Brahampuri is concerned, we are not pursuing that job actively because the capacity which was given in the bid document, the actual capacity is much lower than that. So, we are contesting that particular job. And in so far as Marki Barka is concerned, we are in touch with the government for certain regulatory issues. So maybe by FY '29 we expect to start that job.

Girija Ray: And do you think this Bikram coal, sir, they have started operating April, so this is going to reduce our lead distance in terms of coal transportation, overall company lead distance, is it going to reduce our coal distance? Because I can see Bikram Coal mining is around 50% distance reducing from your central region plants. So, is this going to help us to Mukutban and central regions, if we -- from this Bikram coal mining?

Aditya Saraogi: See, the lead distance not such a much what matters is the land rate cost that we pay for the fuel compared to the alternatives. which we have to buy from the market or from Coal India subsidiaries. So there, as I explained, there is a delta our cost, blended cost which is in the region of INR1 to INR1.05 per million calories as against current market price of INR1.45 per million calories.

Girija Ray: The last question, if I may. So, I just -- I could not hear you properly. What is the incentive we have included in FY '26 revenue, full year this is, and what is the amount we are going to add in FY '27, the incentive?

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Aditya Saraogi: We have accrued INR140 crores, out of which INR 90 crores pertain to earlier years and INR 50 crores pertain to the current financial year.

Girija Ray: And for FY '27, what is your expecting incentive?

Aditya Saraogi: INR130 crore.

Moderator: Next question is from the line of Harshal Mehta from AMSPL.

Harshal Mehta: Just one clarification in terms of incentives. So broadly, for the full year you booked around INR50 crores of incentive. And how much is that for Q4, that number?

Aditya Saraogi: No, no, for the full year, it is about INR 95 crores, out

of which -- no, no, excluding the INR 90-

odd crores that was pertaining to earlier year. So, for this current year, it is about INR 95 crores, out of which about INR 48 crores has been booked in this current quarter.

Harshal Mehta: So, what is the number of this quarter, Q4?

Aditya Saraogi: Q4, we have booked INR 48 crores and 1x can say probably INR 24 crores could have been booked in earlier quarters because that calculation was received in the current quarter, that's why we have booked INR 48 crores. Annual run rate of Maharashtra incentive is expected to be about INR90 crores INR 95 crores.

Harshal Mehta: Okay. Okay. Thank you.

Moderator: Next question is from the line of Nikhil Gandhi from Bajaj Life Insurance. Since there is no response, we'll move on to the next question from the line of Prashant Shah, an individual investor.

Prashant Shah: Congratulations to the team for an excellent set of numbers. Saraogi sir, just to confirm, the lead distance now is 337 kilometers and the kcal is 1.53. Are these numbers what I understand is correct?

Aditya Saraogi: Yes. For March.

Prashant Shah: For March, okay. Out of the total -- so my first question is...

Moderator: I'm sorry, you're sounding muffled, can you repeat the question again, Prashant?

Prashant Shah: So, my question is, how much of our energy consumption is coming from renewable sources in terms of percentage? And how much is the non -RE part?

Rajat Prusty : 31% renewable energy.

Prashant Shah: And how much do we...

Rajat Prusty : That is the power, total power.

Aditya Saraogi: Power, there is no power.

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Rajat Prusty : Power consumption.

Aditya Saraogi: Fuel has no renewable aspect.

Prashant Shah: Okay, okay. And how much do we -- what is your expectation, how much will it go for -- go to in the FY '27, '28 period?

Rajat Prusty : 37% to 38%.

Aditya Saraogi: 37%, 38% is what we try to get...

Prashant Shah: Okay. And what is our kcal?

Rajat Prusty : Kcal, per ton of clinker you are asking or...

Pras hant Shah: Per ton of clinker. Per ton of clinker.

Rajat Prusty : There is a plant to plant also ...

Aditya Saraogi: Right, there is plant to plant, yes.

Rajat Prusty : But to a range 700 - 710.

Moderator: Thank you. Next question is from the line of Manzil Shah from NSFO.

Manzil Shah: What will be the total capex for this addition from 21.5 to 27.5?

Aditya Saraogi: INR4,753 crore s including GST. Net of GST, it is about INR 4,300 crore.

Manzil Shah: Okay. I just missed the opening, but there is some guidance of close to around INR 1,600 crores EBITDA for financial year '27?

Aditya Saraogi: Sorry?

Manzil Shah: There is a guidance of INR 1,600 crores EBITDA for financial year '27?

Aditya Saraogi: We are not going to give any specific guidance. We expect EBITDA to b e similar range to the previous financial year ...

Manzil Shah: Because I just wanted to clarify, I heard somewhere that 2 million ton into INR 800 EBITDA per ton.

Aditya Saraogi: That you can do your own calculation, right? We are not...

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to management for closing comments. Over to you, sir. Any closing comments, sir?

Sandip Ghose: So, thank you very much. Thank you very much. We appreciate your support. We appreciate your interest in the company. Pleasure talking to you. And hopefully, we won't disappoint you

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going forward. And despite, as I said, the uncertainties moving in the horizon, we will stick to our strategy and do better than our best. Thank you very much.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2026

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28th July, 2026

BSE Limited
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Scrip Code: 500335 National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block G,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Scrip Symbol: BIRLACORPN

Dear Sir(s),

Sub: Transcript of the investors/analyst conference call on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June, 2026

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investors/analyst conference call held on 25th July, 2026 at 3 .30 P.M. (IST) on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June, 2026. The event concluded at 4.17 P.M. (IST) on 25th July, 2026.

A copy of the same is also available on the Company's website at <https://birlacorporation.com/earnings-call-transcript.html> .

This is for your information and record.

Thanking you,

Yours faithfully,
For BIRLA CORPORATION LIMITED

(MANOJ KUMAR MEHTA)
Company Secretary & Legal Head

Encl: As above

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"Birla Corporation Limited
Q1 FY27 Earnings Conference Call "
July 25, 2026

MANAGEMENT : MR. SANDIP GHOS E –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA CORPORATION
LIMITED
MR. ADITYA SARAOG I – GROUP CHIEF FINANCIAL

OFFICER - BIRLA CORPORATION LIMITED
MR. RAJAT PRUSTY – CHIEF OF MANUFACTURING AND
PROJECTS – BIRLA CORPORATION LIMITED
MR. KALIDAS PRAMANIK – CHIEF MARKETING
OFFICER – BIRLA CORPORATION LIMITED

MODERATOR : MR. RAJESH KUMAR RAVI – HDFC SECURITIES

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July 25, 2026
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Moderator: Ladies and gentlemen, good day and welcome to the Birla Corporation Limited Q1 FY27 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Rajesh Kumar Ravi from HDFC Securities Limited for opening remarks. Thank you and over to you, Rajesh.

Rajesh Kumar Ravi: Thanks, Ryan. Good afternoon everyone. On behalf of HDFC Securities, we welcome you all to the earnings call of Birla Corporation Limited for Q1 FY27. On behalf of the management, we have Mr. Sandip Ghose, MD and CEO, and Mr. Aditya Saraogi, Group CFO, including other senior members of the management team.

I now hand over the call to the management team for their opening remarks, which will be followed up by the Q&A. Over to you, sir.

Sandip Ghose: Very good afternoon and thanks all of you for joining on a late Saturday afternoon on the weekend as the weekend is starting. The results are already should be before you, the press release is out, we have informed the stock exchange. This quarter, I would say that we have been to some extent, you know, victim of our own success as I'll explain why I say that, because we had over a period of time maxed out on our trade sales, trade volumes and blended cement volume.

Which unfortunately, that segment did not see any significant price increase, in fact they saw bit of a price rollback in the last month of the quarter, whereas the real gains have come during this period from the non-trade segment, industrial segment and OPC, which is again not our strong suit as a matter of strategy we have defocused from OPC because our capacity is as you know very high level of capacity utilization, so we focus primarily on blended.

So the blended overall in the industry scenario since the blended cement realizations didn't go up as much as didn't go up at all in comparison to the non-trade, which showed significant recovery in most markets, especially North and even in the Center, our relative realization was lower than what was anticipated.

We had expected that some amount of price correction will happen during the quarter and especially since demand was pretty buoyant from the middle of May and June, but we were surprised that the reluctance on part of players to pass it on to the market, they instead focused on correcting their non-trade and OPC prices and letting not really touching the trade prices where the gap certainly came down, but overall price levels were, I don't want to get into what is our reading of that, but this affected us most in Central India.

Unfortunately, Central India for whatever reason the prices have remained soft practically for the last one year, I would say, because of competition dynamics. And since over a period of time

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again our dependence on Central India or dependence or dominance in Central India is very high and it has in fact increased further with the commissioning of Kundanganj Line 3, this I wouldn't say hurt us, but we could not be beneficiary of the increases which were seen in say for example North and certainly in the East, which as I see the reports of the many companies, the East-based companies coming through, there has been people have seen a major spurt in profitability over there, but we have a very small presence as you know in the East, so we didn't benefit on that. Maharashtra is the same story, we have been doing going in Mukutban our maintaining the volumes, in fact changing our pro

duct mix to get into more proximate markets, we don't want to go all the way up to Bombay etc. except for the high value OPC 53, which is sold in that market, we sell bit of that, we are trying to focus on the closer geography. But we could have or we would like to ramp up the production further, we have headroom for it.

In the last quarter, there were sporadic disturbance on logistics as you know for the availability of diesel and trucks etc. that area there were periods when there were dislocation in logistics, so we lost out some volumes over there, so there could have been additional volume gain in that in Mukutban, which remains a opportunity area for us going forward, we think we will be able to take advantage of that.

Now, I wouldn't like to we'll come back to our outlook of the second quarter and the rest of the year, which you know most of the industry players who have declared their results have already spoken there on that. We have certain other marketing plans which will be we shall share with you in other right time, which we are looking at given the constraints as I said of the Central region prices remaining where they are and if this continues, if the bigger players do not show any interest in raising the trade prices, we have to also revisit some of our strategy, which we have thought, but that will depend on how the market pans out.

In terms of costs, I think in terms of our estimate, we have managed the costs reasonably well given our again our geographic spread, our dependence on pet coke being where it is a lower in terms of replacing some places we do have limitations in terms of using domestic coal, which some players have done and been able to again on a relative basis from their initial base they have been able to bring down, so for us that has that has not been significant.

We have been hurt in again on the petroleum front and our mechanical mining which happens in Rajasthan, there are because of diesel costs etc. some of that has added to our cost basis, but overall in terms of our assessment, in terms of our estimates, we think we have done reasonably well on the costs. Mr. Saraogi and Mr. Prusty are here, they will answer that more specifically.

As we go forward, second quarter we are all looking eagerly at how the market spans out, we are almost towards the end of July, so far we haven't seen any movement in terms of pricing there due to delayed monsoon, demand is continuing well, but if there are monsoons hit later, one is one doesn't know how much it'll have a carryover impact into the third quarter if the agricultural scenario is not that good, if the harvest is not that good.

But this is too early to predict that, we will look at it when we discuss either in the course of this quarter we will talk about it or when we discuss the next quarter's projection. Thank you from Birla Corporation Limited

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my side at the moment, I leave it to Mr. Saraogi, Mr. Prusty, we have Mr. Kalidas Pramanik and all of them there. So you can actually go straight into the questions and as per your questions we will take on the respective colleagues will answer. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi sir. Sir, before asking questions, just a four-five data points so that would be better to ask a proper relevant question. Sir, if you can share the Mukutban volume, lead distance, fuel cost that is the K Cal for Q1, and capex for first quarter and net debt as on first quarter?

Aditya Saraogi: The Mukutban volume was 7.5 lakh tons. Total lead distance was 335, Mukutban lead distance was around 400 kilometers. And K Cal cost was 1.64. What was the other?

Shravan Shah: And capex and net debt for Q1?

Aditya Saraogi: Capex was around

INR120 crore s.

Shravan Shah: INR120 crores. Okay. And net debt sir?

Aditya Saraogi: Net debt INR2,300 crore s.

Shravan Shah: INR2,300 crore s. Okay. Got it. And the incentive will be a INR 28 crore s?

Aditya Saraogi: Incentive we have accrued INR33 crores.

Shravan Shah: INR33 crore s. Okay. So now sir, as far as in the opening remarks has mentioned that whatever our plus point in terms of the trade blended cement that are working against us in terms of the we are not seeing the price hike there versus the non-trade we are seeing. So given this and also at the same time the Q2 maybe the way that everybody is talking in terms of the cost pressure would be there.

So two things to -- want to understand. In Q2, given let's say the prices as it is where it is, how much more cost pressure on per ton we can see in the Q2 including everything diesel, obviously packing will not be there, but the fuel and the diesel and overall last time we said that we are looking at kind of a 6%-7% or maybe industry kind of a growth and EBITDA per ton of last time which is a 786, but given this and maybe Q2 would be muted, is it fair to say unless the prices improve we would be seeing a for full year FY27 Y-o-Y maybe a decent decline on the EBITDA per ton?

Aditya Saraogi: I'll start with the initial comment on the realization. Now on the face of it you find that there is a reduction in realization to extent of about INR40 per ton. But you have to see it in perspective, one as I said the incentive booked in this quarter is about INR33 crore s. Now in the Q4 of last year, total incentive booked was INR60 crore s.

So on account of lower incentives, there's been an impact of about INR50-odd per ton on the realization on a sequential basis. And similarly on account of several other factors as we have

regard to all those factors, actually if you exclude those factors our realization during the quarter has actually gone up by INR80 on a sequential basis. Okay, number one.
Coming to the question you asked in terms of cost pressure, yes we continue to see cost pressure particularly fuel, the full impact will be seen in Q2. So in Q2 we expect a cost to increase by INR70 to INR80 sequentially.

And as far as the growth is concerned, we are maintaining our guidance which we have provided earlier and as far as the EBITDA for the whole year, it is too early to comment, we are hopeful of you know prices recovering in the markets to operate. So it is slightly premature to comment on the EBITDA for the whole year.

Shravan Shah: Okay, thank you sir. I have a couple of questions, but will come back in queue. Thank you sir.

Moderator: Thank you. We take the next question from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Yes. Namaskar sir and thank you for the opportunity. Saraogi ji, as you mentioned that the capex for the quarter was to the tune of INR120 crores, so what have the outline for the current financial year?

Aditya Saraogi: We are maintaining the guidance of INR900 crores for the whole year.

Saket Kapoor: Okay. And the debt number at 2,300, so what would we be exiting the debt figure for FY26-'27?

Aditya Saraogi: Saket, we are not changing our guidance, whatever guidance we have given, I think possibly it was around INR2,000-odd crores, so we are maintaining those guidance.

Saket Kapoor: Okay. And sir with in terms of the capex part for this year, we will have the benefit entire benefit of the Kundanganj Line the grinding one 1.4 million, that will add to the volume. So how are we moving ahead with our with our timeline of FY29 of 27.6 metric ton capacity, how are things aligned?

Aditya Saraogi: Yes, whatever guidance we have given we are not changing, we are on track to a

chieve our

guidance. Okay, in terms of capacity expansion.

Saket Kapoor: Okay. And sir can you just explain to us Mr. Ghose about the dynamics of trade and non-trade mix that have changed and as you mentioned that we need to take the course correction. So what has exactly happened, if you could just throw some more light on this?

Sandip Ghose: We have not taken, we don't want to take course correction in the terms of trade and non-trade. We are very happy with our mix, we are not going to give up trade to go into non-trade, that is not if that is the takeout I'm sorry, that's not what I meant.

I meant that knowing that we will be focused on trade as per our strategy and if our if other players are not willing to take up prices in that segment for whatever reason of their own if they are they are happy to keep the prices low and not go in for price increases, we have to then decide on our own strategy of how to play that market.

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That is a marketing thing which we are not going to discuss on an open call, but we will -- we cannot be dependent on others' you know move for very inexplicable reasons when costs going up everything if they do not feel the need to take up prices in that segment, we'll have to figure out how we protect our margins in that segment, which could be a variety not necessarily by taking up prices, it could be through other measures by which you do. So that is a part of the strategy, but we are not certainly going to change our strategy to reduce trade and increase non-trade.

Saket Kapoor: And the non-trade is pertaining to the government purchase that is the institutional one. So as you mentioned that there is lot of traction in in that category, that is what the understanding is and there is a lower uptake for the trade segment, that is from the housing and the other segment?

Sandip Ghose: I don't agree on that. If you see the volumes of the last quarter, May onwards, May -middle May onwards everybody has sold well, the volume that's why they have got growth. The growth has come from both segments, delayed monsoons have in fact kept the momentum going in rural demand as far as rural housing etc etc is concerned because harvests were good and people have done, so that has continued.

When we talk of non-trade, non-trade is not necessarily just infra demand, there are also real estate big large real estate development, there are other industrial and other development where it goes. The problem was in previous quarters in last year there had been a severe undercutting in the non-trade segment due to which the trade non-trade gap had increased to abnormal levels. And that was also hurting the trade prices and trade volume because in these markets, there is always leakage, there is always spill over from one side to the other if non-trade prices are very

low, some of the material will naturally flow into the trade market and affecting both volumes in trade as well as the realization in trade.

The players who have got larger stake in non-trade, they therefore first concentrated on correcting the non-trade prices. Because those non-trade prices were not remunerative on -- if you were to compare on a point-to-point like-to-like basis, those who have a higher non-trade component and if non-trade has improved realization of INR10 or INR20 per bag, that translated into their top line better than others.

Now since we are already focused on 85% practically on blended cement and over 80% on trade, and if that segment hasn't grown up although we are our prices were pegged wherever, we didn't get that incremental gain in that because that segment didn't grow. And because our non-trade component is low, whatever improvement over there, that has only a marginal impact on our overall realization.

So that is the point I was making. I would like to thank for asking this question,

I hope people

didn't get a feeling that we are now going to shift towards non-trade from trade. That's certainly not our strategy, we will focus on trade, we will focus on blended cement not only because it makes commercial sense but because we think it's a sustainable cement, it's good for the environment, so we are a strong votary of promoting blended cement and we'll continue to do that.

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Saket Kapoor: Just a small point sir on the WHRS investment, what is our current capacity and what are we envisaging for the year and also in terms of the other expenses line item that has moved up from Q-on-Q basis from INR264 crore s to INR281 crore s. So, what explains this jump? I think it's in the no, the number is 511 to 551 on a console basis, I mentioned the standalone number ? So, these two points if you could answer.

Rajat Prusty: Rajat here. For WHRS, our present capacity is around 43-44 megawatt and there are projects which are in the pipeline, which will further help us to increase to around up to 50. And then obviously when the Maihar Line 2 which will be coming, there will add another 17 to 18 million megawatt of WHRS.

Saket Kapoor: Right sir. On and the other expenses part?

Rajat Prusty : That I think we are checking that.

Aditya Saraogi: What was the question regarding other expenses?

Saket Kapoor: Sir, the other expenses Q-on-Q also has moved up from 511 to 551 on a console basis. So what explains this 8 %-9% jump on a Q-on-Q basis and just to add to it sir, this year we will have only the benefit of the Kundanganj lines in the volume that is that is expected the growth which is expected for this year?

Aditya Saraogi: Yes, Kundanganj of course we will get full benefit this year. And as far as other expenses concerned, there's no specific reason these are annual increases. More the mining has been more, the limestone mining, so that has also had some attribution to the other expenses.

Rajat Prusty: Because of the higher clinker production , we did our own mining more, which cost of which goes to other expenditure, that's why your other expenditure seems to be higher Y-on-Y basis.

Saket Kapoor: Right sir. And in terms of the incentive for the Kundanganj line sir what would be accruing for this year with now the commissioning or we will first reach an optimum level in volume then will start accruing the same?

Aditya Saraogi: Total incentive we are expecting about INR130 crores, 135 crore s including Mukutban and Kundanganj.

Saket Kapoor: Right. Okay, sir Thank you.

Moderator: Thank you. We take the next question from the line of Karan Tubadia , an Individual Investor.

Please go ahead. Karan, if you can please unmute your line and proceed with your question.

Since there is no response, we'll move ahead. We take the next question from the line of Rajesh Kumar Ravi from HDFC Securities Limited. Please go ahead.

Rajesh Kumar Ravi: Hi sir. I just wanted to check, you know the Central market now with JP's asset to be ramped up under Dalmia, the competition would only intensify and even and more so I would assume the non-trade market because this is the easiest early market any player when they ramp up the capacity they follow through. So, and you know so when non-trade prices would face stiff competition, even trade prices generally don't see a recovery.

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So, what is your thought in terms of pricing for the second half of this year, Q2 could be a monsoon quarter, I understand you know best case the industry would look to keep a flattish pricing, but Central where you have the largest exposure, there the competitive intensity in H2 will certainly be much higher than what we are seeing currently. Any thoughts on that?

Sandip Ghose: We can only expect as we said people more enlightened competition in this market because

keeping p

prices low is not necessarily a formula for you know volume growth if the demand is good, I don't see why there should be space for everyone, why should people have to keep instead if they make money, that money invested in brand building will give them far more lasting you know benefits than short-term price cuts.

So, we think you know that is a matter which people will take a strategic call, but we have so far for good or bad in the last I can talk of the last three years, we have stayed on course to our stated strategy, we want to do that and we would like to you know as I said if others are not doing something they have got their own reasons, we have to cut our own costs. I being a Bengali I can only say "ekla cholo re", but it's not that "ekla cholo re", but you know we have to do what is right for us and right for the business.

Rajesh Kumar Ravi: Understood sir. And on the capex, any tangible progress or whatever milestones we have covered in terms of achieving this 25 million ton capacity, more so from the Maihar clinker unit?

Rajat Prusty: That is as per plan, our EC and other activities, pre-project activities are going on and whatever we have committed last call, we are maintaining that.

Rajesh Kumar Ravi: Understood sir. I'll come back in queue. Thank you.

Aditya Saraogi: No, just one clarification, I think someone asked about the other expense, here we must clarify that the packaging cost also gets included in other expenses. So that is one single most important reason for the abnormal increase in other expenses.

Moderator: Thank you. We take the next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi sir. Sir, just wanted to check the ongoing expansions which will be by FY29 we are expecting the 6.2 million ton to come in. So roughly out of INR4,800 crore s kind of a capex was supposed to be there, out of that how much we have till now would have spent on that?

Rajat Prusty: It's very low, very minimal, because...

Aditya Saraogi: Kundanganj Line 2 was included ...

Rajat Prusty: No, no.

Aditya Saraogi: Kundanganj Line 2 was included in INR4,800 crores .

Rajat Prusty: No, we just started the activity, so it's almost nil you can say because now the next phase will be starting on the placing the order and other thing, that time there will be there.

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Shravan Shah: So, in FY28 then this INR900 crore s capex that we are looking at this year will significantly inch up to close to maybe a INR2,500 crore s kind of a number?

Aditya Saraogi: It's slightly premature to comment, but yes there will be a significant increase next year.

Shravan Shah: Okay. Okay. And in terms of sir our Bikram coal which has just started, just to get a more sense for this year, I think last time we said around 1.2 lakh ton kind of a volume that we can do and in terms of the costing also INR1.05 Kcal versus whatever the currently we have in terms of blended 1.63, 1.64.

So, in terms of the percentage, how much this will contribute the additional whatever the quantity if you want to rectify in terms of the Bikram and for next year how much we can in terms of the overall fuel mix can increase, so just wanted to understand how it will help us to save the or reduce the power and fuel cost?

Aditya Saraogi: See this year it will be about 1.2 lakh, next year we are planning to take it up to 3.5 lakh tons. Okay. And the actual saving and all will be a function of the market price.

Shravan Shah: Yes, Yes, definitely, definitely. But in terms of let's say this 1.2 lakh and then 3.5 lakh, so how much currently let's say the Bikram is let's say zero, so it will reach to how much 15%, 20% of the total fuel that we need in terms of the coal, pet coke or 30 %, 35% just wanted to understand?

Rajat Prusty: No, it is more of like I can say this this will be more supplied to our CPP in the current

scenario

and maybe next year partly it will go to kiln also, but majority will be for the CPP only and I can say that key one-third of the CPP coal requirement can be met through Bikram.

Shravan Shah: Okay, okay, okay, got it. And the in terms of the peak net debt that last time we said INR4,000 crore s and we will not cross two times net debt EBITDA, so that two and a half times, that we are maintaining sir?

Aditya Saraogi: Yes, yes, we are not changing any guidance whatsoever.

Shravan Shah: Okay, okay, okay. Got it and hope for the prices recover and we should see a better profitability. Thanks.

Moderator: Thank you. We take the next question from the line of Karan Tubadia, an individual investor. Please go ahead.

Karan Tubadia: Sir, I want to ask for this financial year how much growth you are targeting as CAGR percentage?

Aditya Saraogi: So, we are maintaining our earlier guidance whatever we have given, we are not changing the

guidance.

Karan Tubaria: Thank you.

Moderator: Thank you. We take the next question from the line of Girija Ray from Nirmal Bang Securities.

Please go ahead.

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Girija Ray: Hi, thanks for taking my question. I have a couple of questions. First coming to your other expenses. So, for this quarter on per ton basis how much was the packaging cost impact and what we can expect for next quarter in terms of with respect to your packaging cost? And second question is with related to you said we did lot of limestone extractions that is a component of your other expenses. So ideally this is limestone extraction what I believe we use industrial diesel which the cost of industrial diesel has shot up, so this is the reason where it is also you know impact seeing the actual you know cost of producing the limestone and second most importantly this should be a part of our raw material cost if I think.

So, is this the reason that we have taken out from raw material cost and we have added it here in other expenses, that is the reason we are seeing a spike in other expenses? I'll come back with the fourth question.

Aditya Saraogi: No, in terms of accounting the expenses get booked in the natural head. So, the raising cost, if for example the diesel expense etcetera, they get booked in other expenses, the employee cost, the people who are working there, cost will get booked under employee cost.

So, it does not get booked under raw material. There are two different types of accounting which are followed by cement companies, one set of companies they book it in raw material on a functional account basis, the other set of companies they book under natural head.

So, we have always been booking under natural head. And you are right to the extent that diesel commercial diesel price is going up does have a impact on the raising cost, more so in Chanderia where we are dependent on mechanical mining, so our cost is higher than others on a relative basis also.

Coming to the impact of bag overall impact of bag and fuel in this quarter because of geopolitical factors basically has been to the extent of INR150 per ton. And as I explained in the next quarter on a sequential basis, we expect a further increase in cost to the extent of INR70 to INR80 on account of geopolitical factors.

Girija Ray: Okay. So -- my next question will be for the industry -wise. See if I see there are around you know there are a couple of companies, they have deferred their capacity expansion to FY30 or some of the larger players are actually coming up with their higher capacity by FY 28. So, we saw in FY 26 throughout the over the years the highest capacity addition in FY 26 and even in fact we are expecting higher capacity addition more than FY26 is in FY 28.

So, coming back to your trade non-trade mix, OPC, PPC market and the pricing kind of war which is happening, how do you see despite adding you

know higher capacity in FY28 how the

cement companies are going to manage with the pricing and is this incremental demand is going to be sorry this incremental capacity is going to be absorbed by the incremental demand in next two years? That's it that's my last question. Yes.

Sandip Ghose: See, the two parts, one is I'm not at all surprised by some people rolling back their plans because sometimes when people were going very gung-ho as you see as you've seen, we have really not

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been so gung-ho at the for sometimes we were flummoxed by the kind of bullishness shown by others in capacity expansion during that period.

So, all these things obviously get moderated as per how the market pans out. So that's but that's not for us, but when you're talking about I don't think there is a price war happening. It is just the question of people being shy of taking price increases because they don't want to upset the equilibrium.

Because when you want to make those changes, you do need you know sometimes people have to be you know they have to sort of make a leap of faith to some extent and that depends on individual risk appetite or individual attitude. Now it changes from time to time, different companies have their different so now among the big players it's not for me to say, you people talk, you hear other people the players giving out their views.

So, some people may like to play it you know more just like in test match, some people hit sixes and some people like to play with a take singles and play with a straight bat for a while for their own reason if they're doing so that sort of a thing is happening. I don't see a price war happening. People who'll enter the market luckily these are not new players, they have been there in the business for a long time in other regions, so they know the limitations of going and undercutting and trying to make a quick entry because they have done it in the past, seen it happen in their

market.

So, I expect them to be sensible and ramp up, but I don't see them getting aggressive in pricing terms. They might try to do things on the marketing front, acquiring you know network, how they're going the amount of money they put in in terms of brand building in that area in terms of people and the rest of it, but I don't see them playing just the price game to buy immediate volume because these people are also investing a lot of money.

They've seen others who have tried to play those price games in the short term how they have panned out and in fact some of the assets people are buying are of companies which played that game and burnt their you know platform, so they won't repeat that mistake. These are successful companies who have done their been around seen it and done it done that. So I'm not worried about any kind of price war per se.

Girija Ray: Fair enough sir. Thank you very much and all the best.

Moderator: Thank you. We take the next question from the line of Vipul Kumar Anopchand Shah from Sumangal Investments. Please go ahead.

Vipul Anopchand Shah: Hi, thanks for the opportunity. Sir, in view of this uncertain geopolitical situation, are we reconsidering or deferring any of our expansion plans by few years, what are your thoughts sir?

Aditya Saraogi: We are already operating at more than 90% capacity so far as we are concerned, we are constrained for growth in the market that we are operating. So, there's no question of any deferral of capacity addition.

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Vipul Anopchand Shah: And sir regarding other expenses, what is the per ton cost for packaging in this quarter and what was the same in last quarter?

Aditya Saraogi: In this quarter it is INR269 per ton and in the previous quarter it was corresponding quarter of the previous year it was INR191.

Vipul Anopchand Shah: And in last in last quarter

of the last financial year, what was that?

Aditya Saraogi: That number is not readily available. You can write it to us ...okay.

Vipul Anopchand Shah: Okay, thank you.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Sandip Ghose: So right now, I don't think there is much more to add, we are all looking at things circumspectly, there are various forces at play internally we've been talking about geopolitics, there is the climate issue in terms of rains, monsoons. So, at this point in time I don't think there is much to you know speculate and make any forward-looking comments or anything different from what you've heard from others.

We shall wait for things to pan out and we'll speak to you either at the end of this quarter or earlier if required to give if we have some significant changes to report or guidance to provide. But thank you once more for joining us on a Saturday afternoon and wish all a very happy weekend. Goodbye.

Moderator: Thank you, sir. On behalf of HDFC Securities Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.